

GMM Pfaudler (GMMPFAUDLR)

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"GMM Pfaudler Limited Q1 FY-23 Earnings
Conference Call"

July 29 , 2022

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INDIA BUSINESS
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GMM Pfaudler Limited
Earnings Conference Call
July 29, 2022

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY 23 Conference Call of GMM Pfaudler Limited. As a reminder, all participant lines will be in listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.

Please note that this conference is being recorded. I now have the conference over to Priyanka Daga. Thank you and over to you, ma'am.

Priyanka Daga: A very warm welcome to all of you into the Q1 FY23 earnings call of GMM Pfaudler limited. The Earnings Presentation was uploaded on the stock exchanges and is also, available on our website. Hope all of you had a chance to go through it.

From the management we have with us our Managing Director, Mr. Tarak Patel, our CEO of international business. Mr. Thomas Kehl , our CEO of India Business - - Mr. As eem Joshi , our CFO of International Business -- Mr. Alexander Pompner , our CFO of India Business -- Mr. Manish Podda and our Company Secretary and Compliance Officer -- Ms. Mittal Mehta.

We will give you a brief overview of the performance of the company after which we will get into the Q&A. Before we begin with the overview, a brief disclaimer.

The presentation which we have uploaded on the stock exchange as well as on GMM Pfaudler Limited

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our website, including our call discussions that is happening now contains or

may have certain forward -looking statements, concerning our business prospects and profitability, which are subject to several risks and uncertainties, and the actual results could materially differ from those in such forward -looking statements. I would now hand over the call to Mr. Patel to provide you an overview of our performance. Over to you Tarak.

Tarak Patel: Thank you Priyanka. Good morning everybody. So let me give you a brief overview of the quarter that we just completed . Overall, it's been a very strong quarter for us both in terms of execution and also in terms of ordering. Both the international and the India business has performed quite strongly. The international business has performed exceedingly well both in terms of revenue growth but also in terms of a significantly higher order intake this quarter. This puts us in a very strong position in terms of order backlog we have a current order backlog in excess of about 2100 odd crores which obviously gives us good visibility for the next two quarters. Our order intake also has been quite nicely spread over our technology , systems and services business, so all in all our business lines are doing quite well. The investment activity in Europe and the USA is really heating up. We're seeing a resurgence of investment . We see Plans and investments coming back to those countries, shows and that's driving the growth in the international business. In India as well ; Chemicals still need, still continues to be the biggest sector for us. And going forward we hope that pharmaceuticals will also pick up. Our synergies with the international business is also doing quite well. We've already met the budget in terms of value sourcing from India and we hope that over the next few quarters we can increase shipments from India to the rest of the world. Our stock and sale program also is gaining traction. We have about 25 odd vessels that are being manufactured

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here in India and will be shipped to Germany in the next few weeks or so. We've also seen a major breakthrough in terms of our mixing business. Mixing business was a small business about a 30 crores business a few years ago. We a

quired a

company in Pune called IMSD then became about a 50 or 60 crore business this year we expect to double that business. We've seen a lot of activity in the fermentation. So there's a lot of fermentation penicillin manufacturing that will be coming in Hyderabad and Vizag and the technology that we have in mixing has been quite helpful for us in securing large orders in this space as well. Another good order that I'd like to talk about where we kind of showcase the strength of the group as a whole is a large systems order from China. This entire order will be manufactured here in India, but the process and the technology has come from Pfaudler US and then obviously the local Chinese sales team have kind of worked together to win this \$ 6 million order which showcases really the strength of our group. Interest in India also is going quite nicely. We've added four new clients to the Interseal and we expect a large order in Interseal in the region of 20 to 25 mechanical sales in the next few weeks. We are also currently working on a large acid recovery project, hopefully again in the next few days we will have a breakthrough here and that's something that we've been working on for quite some time, so we expect nice little bit of success there as well. In terms of commodity prices, we've seen a cool -off of commodity prices. Metal prices have come down. Carbon steel and stainless steel both have significantly reduced. We should see that impact actually helping us Q3 and Q4 onwards, so that will be nice to see. However, energy costs will remain a concern for UK, Germany and India still have higher energy costs, especially gas prices have increased significantly, so that's some thing that we're trying to keep our eyes on. Lastly, we also acquired a small engineering company in Milan, Italy – Hydro Air. Again, very process driven technology , the company that will help

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us enter the adjacent market as well as augment our capabilities in the space of engineering. So, this will be a nice addition to our group and hopefully over the next few quarters and year, we will be able to bring the technology to our client

base. With that I think let's open it up to Q&A. And we will be happy to answer any questions that you may have, thank you.

Priyanka Daga: Thank you Tarak, now we can open the question and answer session.

Moderator: We will now begin the question and answer session. We have the first question from the line of Utsav Mehta from Edelweiss AMC. Please go ahead.

Utsav Mehta: Two questions from my side, both on the India business, the first one you notice some improvement in gross margins in the international business while India's Gross margins are probably at a multi quarter low. If you could just explain if this is just purely to do with steel prices and should improve, going ahead, or is there a mix change that that we should know?

Aseem Joshi: Good afternoon this is Aseem Joshi. I'll take that question so you are right our gross margins are lower than previous quarter. It's affected primarily by higher steel prices as we indicated during our last conversation. Tarak did allude to the cooling-off of the steel prices and we're seeing that benefit now in steel that they're buying currently, so we are seeing that by the end of this quarter, that expensive steel would have been flushed out and the newer orders will be converted with the steel that we are purchasing now. So I think it's a transitional problem that we had anticipated and it will correct itself by few quarters.

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Utsav Mehta: And therefore it's fair to say with the increased execution run rate and improvement of gross margins, the current EBITDA margin should revert to 20% or closer to those levels as

you go ahead.

Aseem Joshi: Eventually yes, we do need to flush out this more expensive steel, but ultimately, we do expect to get back to what a normal run-rate and margins were.

Tarak Patel: I think one more point here, would kind of jump in. Also, there's a slight change in product mix. Heavy engineering by its nature is not as profitable as our glass lined and proprietary products business. So as that the chunk of that pie increases, you will see a little bit of impact there, but again, our focus is also trying to improve that business and improve the margins in that business and obviously through, let's say export business, change in MOC and things like that. But, yes as a general case, the product mix will also have a slight impact on profitability.

Utsav Mehta: Is there a higher mix of HE this quarter?

Tarak Patel: That is about higher base of HE in this quarter

Utsav Mehta: My second question again on the India businesses that look we've seen a very healthy order inflow this this quarter. But if you look at the order book year on year, it's up only 3% because obviously our execution run rates are sort of a very high, if we have to do around 250-300 crores of revenue each quarter to grow for next year, you will have to clock in 300-350 crores of order inflow. Do you think that's given the current environment that's doable and is it maintainable 300 plus crores order in flow each quarter.

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Aseem Joshi: Yeah, I'll comment on this quarter's orders first, so we employed a strategy of being very selective in order. To make sure that those are created for our business. You may recall from last quarter we had actually lower orders than expected in our last time this because it helped capacity open for the orders that we really wanted and those converted in this quarter so similarly in this quarter from the heavy engineering side, we've not picked up a lot of orders, because then we can see a few good orders coming and we've held our capacity open for that, so we'll always continue to be selective in the orders that we take we feel comfortable that we can, there's enough orders in the market for us to meet our business projections for the year.

Tarak Patel: Just to add a few points on that there is definitely a very strong opportunity pipeline like I mentioned to you here in India the chemical sector is doing quite well. We have large investment lined up which would materialize in the next few months, so overall we're quite confident that we can meet the run rate and we have enough of availability to make sure that we continue to grow the India

business at a certain rate.

Utsav Mehta: And last question on from my side could you just help us with gross debt and net debt at the end of the quarter.

Manish Poddar : Gross debt we were at \$70 million at the consolidated level and the cash we had was \$38 million. So, \$32 is net debt.

Tarak Patel : There's also a change in the pension liability because of the increased interest rate, if you remember when we acquired the Pfaudler group the pension liability was in the range of about \$70 million. Today it's come down to about \$35

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million, all because of the interest rate increases, so that's also a positive thing that we've seen this quarter.

Utsav Mehta: So it's down, sorry, I just can only see the crore number so it is around 490 crores at the end of I think last quarter. If I'm not mistaken, 400 odd crores, how much is it now?

Manish Poddar : \$38 million pension liability stands today at \$38 million.

Moderator: Sandeep Tulsiyan You may go ahead with your question.

Sandeep Tulsiyan: My first question is pertaining to the glass lined segment, if you could help us give the glass lined segment

order inflow growth that you had in the current quarter, because what we had been serving is although the overall order book was growing, this piece was not keeping up to the pace because the other segments were having a faster growth so if you could just help us give some more color on the glass lined specifically.

Tarak Patel: So glass lined business has done well across geography. There were large orders that we won here in India in China. We also kind of hit 60% of our budget for the year already in glass lined orders and also in Europe is where we've seen a strong order intake in the glass lined business. I don't have the exact number Priyanka is checking this number and she'll probably come back to you, but there has been a good growth in glass lined order intake this quarter.

Manish Poddar : Just to complement that the standalone order intake has been 300 crores and like us being mentioned that we have been conservative with regard to the HE. So that's right.

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Priyanka Daga: Glass lined orders in this quarter, we had around 190 crores booked in India.

Sandeep Tulsiyan: Second question was pertaining to the PPA impact, a number which we disclosed. I think this quarter we have not separately disclosed that if you could just help us with that.

Manish Poddar : So, if you recall on the EBITDA the PPA impact was only in Q4 of FY 21 and Q1 of FY22. Thereafter everything, the entire PPA was in the depreciation & amortization line and that number has now is close to something like Rs 5.5 crore per quarter. So that is the number that you will see consistently throughout, and because it's now not a changing number every quarter and all that and that life is normal that there so that has not been disclosed separately. If you refer to our presentation in Q4 of FY21, we had given a detailed table on how it will pan out over various years.

Sandeep Tulsiyan: Right now, that number used to be around Rs 7 crores, so just wanted to get an exact number. So that's five and a half crores what you say?

Priyanka Daga: So, you can assume Rs 5.5 crore.

Sandeep Tulsiyan: Third question is on the high gas prices in Europe particularly, I just want to understand the genesis of this strong inflows that we are seeing in our international subsidiaries, what is driving this. Is it more driven by the competition facing challenges due to high gas prices and we are scoring because of the Indian factory over here or because overall demand scenario now itself looks quite positive and robust going forward. So what is exactly if you could give some more color on this.

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Tarak Patel: So I think it's a combination of multiple things. Obviously our offering now to the customer ; we are much more flexible with what we can offer, so we have different facilities across the world where we can kind of bring in the right product to meet exactly what the customer wants. We also have, like you said technology , leadership as well as brand recognition across. So, I think all in all, I think Pfaudler kind of is always the first choice. And if we can kind of come somewhere in the ballpark of what the customer is looking from a price standpoint, I think we usually get the right of first refusal. So from that standpoint and having new facilities in China , in Germany having those ramping up nicely as well, using India as a low cost source – component as well as complete vessels that gives us a bit of an edge, but again having said that, we do believe that the investments that we are seeing in Europe is kind of driven by local manufacturing, the redundancy being created in these geographies. So it's heartening to see that, and most of these countries are now looking at building these capacity in

house so that they don't have to kind of depend on India, China for many of their products. So that's driving a lot of the investments in Europe and in the USA.

Sandeep Tulsyan: One last question. If I can squeeze in is just if you can share the EU -wise where do we stand in terms of capacity and what is the utilization levels.

Tarak Patel: So EU wise on the India level we have some numbers. We are still rolling out the global EU program so I can't give you a number for a global EU. But the Indian numbers pretty much the same as last year. Now the new furnace that with that just came into Hyderabad few months ago will add to that and then obviously we have. The bigger furnace is coming into the Karamsad facility sometime in

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September -October, so that will also increase, but we'll try and share with you the revised use data, maybe in the next month or so.

Moderator: Thank you we have the next question from the line of Harshil Shethia from AUM Fund Advisors LLP. Please go ahead.

Harshil Shethia: Can you just throw some highlight on our new acquisition? How is it going to help us in molding the whole entire business? Or are we planning to bring the technology in India?

Tarak Patel: Yes, so this acquisition we are really acquiring basically for technology process know-how and engineering capability . it's an asset light model. They don't have any manufacturing, they have 15 employees and everything is outsourced. Their experience and knowledge in membrane technology, is something that is a welcome addition to the group we already have engineering teams that run an acid recovery business both in the USA and in Germany, so this would be a very complementary kind of addition to those group of people. Well, one of the problems that this company faced in countries like India and China was that they didn't have local manufacturing and hence they were normally priced out now. Having local manufacturing in China and India with GMM Pfaudler here in Karamsad and then with our factory in China but obviously give them an edge . The opportunity pipeline in this business and its engineering capability also is quite strong, so we expect to kind of grow this business. They've also entered into nice new markets where they kind of provide customers with green technologies in plant based proteins. They do work on the EV side as well, so all in all is kind of extend our product portfolio will also help us enter into new markets and like he said, we're always looking to add good

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technology, new technology, and that's something that we will bring to the table with this acquisition.

Harshil Shethia: OK, and secondly it would be very helpful if you could quantify as the whole market size, what kind of growth rate is the market growing at and are we just a very small company in a big pond? Or just to get a sense of the whole business.

Tarak Patel: In this acquisition related business.

Harshil Shethia: Yes, the acquisition.

Tarak Patel: Yeah, so again it's a small company there are competitors here in India and China localized, but again here it's a technology play. So, a lot of these skid mounted units and processes that these guys sell are really kind of made specifically for clients. So, you work with client or a few months, you do trials, you do tests and then you come out and then you kind of make and manufacture a complete system. So again, it's kind of moving up the value chain where you're going to give process guarantee they're going to give kind of value add and not just their equipment. So there are specific clients who need specific issues resolved, and that's where we kind of target. But yes, doubling or tripling this business over the next three to five years

should not be very difficult.

Harshil Shethia: So thirdly I had this question. So in the last quarter you had mentioned that you give some sense on the guidance for the next four to five years and our vision, I guess.

Tarak Patel: Yes, so we are planning something an investor day sometime in September. More details will be shared in the next few weeks, but yet we

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haven't forgotten that promise and we will come back with some new numbers and a new plan in terms of what and where we want to be.

Moderator: Thank you. We have the next question from the line of Sanjay Shah from KSA Securities. Please go ahead.

Sanjay Shah: So, my question was regarding our order which we received was on the side of that fermentation application. Sir, can you elaborate on the technologies with us and what size opportunity we see in there that segment because I suppose this is the new order what we have received.

Tarak Patel: So, the idea here is obviously there is this entire push and PLI scheme that is driving local manufacturing. Penicillin is something that we've usually always imported from China, and the government has been kind of proactive to start and have companies' manufacture penicillin here in India, so there three large plants that are becoming up one in north and two in the South of India. A major investment in this; the technology, and in terms of order side, we got orders in excess of about ₹50 crores just for the agitators for the fermentation part. So it is a major breakthrough for us and we do have technology because these are very large reactors. They go upto about 300,000 cubic meters, so very, very large agitators and obviously with the technology that we have in mixing, we were the preferred choice when it came to this. So that's a nice breakthrough for us and now we're also looking at using this technology to maybe enter the international market where we can also give fermentation technology to other clients.

Sanjay Shah: And does it throws a huge opportunity on this vertical or it's limited?

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Tarak Patel: There is definitely opportunity as I said if more people in India, start manufacturing and fermentation becomes a big opportunity for us, definitely we will be the preferred supplier here. There's not too many other manufacturers in India who can kind of deal with fermentation technology. The other two or three players are international and obviously being Indian and local, we have a cost advantage. But yes, if this was something that were to grow, then yes, it would directly relate into our new business opportunity for us.

Sanjay Shah: So my second question was regarding our order which we received from Chinese market around 50 odd crores. So that was just to understand what's the USP, or what's the rationale of the Chinese people giving order to GMM and where we use the USA technology and engineering from India and what is that they have to come to India for such an order.

Aseem Joshi : Yeah, so let me take this so this is a quite a specialized product. It's a wiped film evaporator and normally they would have to take it from our American sources.

Clearly this is a situation where the customer needed a cost competitive product

and we were able to really hit the sweet spot of what they needed because our sales team local sales team really understood what the requirements were. The process knows how came from our U.S. team. A lot of the engineering work and of course the manufacturing work will happen in India. So, this is an example where we were able to really benefit from the strength of one team kind of approach across the three locations to convince the client that yes, this company can meet its requirements from a technology, from a cost and

from a delivery

stand of point. So I think it's a good example of how we can work together to meet customer requirements wherever they are.

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Sanjay Shah: So does this order carry performance guarantee?

Tarak Patel: So these are equipment that we are supplying and we were in competition with a European competitor and then obviously having the flexibility of localizing manufacturing that gave us an advantage. But in terms of the application itself is something that we've done quite often, but there's no process guarantees associated with it.

Moderator: Thank you. We have the next question from the line of Renjith Sivaram from Mahindra Manulife Mutual Fund.

Renjith Sivaram: Just wanted to check with you, the local CNG gas prices and the availability issue, are they completely sorted out now and we from here on do we see an incremental increase in the gross margins or the standalone margins from here on.

Tarak Patel: So I think a supply of gas is not a concern. The pricing is a concern and that's hitting us by approximately 1% in this quarter. So yes, as the price is cool off to back to normal prices of last year Q1, that should be a straightforward improvement in margins. So other than it from understanding of standpoint, we do have a combination of gas furnaces as well electric furnaces and the way that we kind of look at the gas price increases we kind of kind of balance the production between gas and electric as much as possible, but if gas prices were to reduce over the next two quarters that will positively impact our profitability.

Renjith Sivaram: There is some talks and in some places there are get kind of substituting gas with low cost propane or something which is low cost. So such kind of alternative is impossible for us over.

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Tarak Patel: No, I don't think there is a chance of replacing the gas with any other kind of gas. Plus, consumptions are quite high as well. So no, and then to convert these gas furnaces to electric also it's not possible so we will have to continue with gas.

Renjith Sivaram: OK, and how is the overall outlook in Europe? I think this is asked before also you said that the economy is not doing much and they are also impacted by this gas availability and most of the plants are at subdued utilizations. So when you see a slowdown in order intake going forward because of this for the international market.

Tarak Patel: So to be honest with you, I can't say that we are seeing a slowdown right now. The opportunity pipeline across the group are quite strong, so no, we are not seeing anything specific that is pointing towards the trend. But like you said, obviously there are issues in Europe in obviously with the Ukraine war, inflationary pressures and things like that. Will it have any impact? I can't really say right now, but right now, as in terms of order, intake and opportunity, we're not seeing a slowdown.

Manish Poddar: And our furnaces outside are all electric services and not gas furnaces.

Moderator: Thank you. We have the next question from the line of Rahul Agarwal from L&T Mutual fund. Please go ahead.

Rahul Agarwal: So just I wanted to understand more in terms of the breakup between price and volume and what your revenue and order book growth has been. If you could give some sense on that.

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Tarak Patel: So just to give you an overview, I think we've seen both. There has been a strong focus on improving pricing across the group, especially here in India, and we've been working towards that. But there's also been volume growth as well across our geographies. Like I said, strong execution has been the cornerstone of this quarter's performance especially in

Europe, China, USA and India. So those are the areas where we have seen strong execution. In terms of the exact break up I don't think I have the number with me right now, but I should be something like approximately 10% broadly

Rahul Agarwal : OK, and just the order inflow that we have got this quarter would it be fair to assume that these are at the new commodity prices that we have after the fall, or they would be still at the old ones?

Tarak Patel: No, so this quarter order will be executed in the next maybe six months or so. So obviously we will use the cheaper materials for these orders.

Rahul Agarwal : But your booking this order would have been at a higher commodity price compared to what you will execute. Is that the case?

Tarak Patel: So our pricing has not changed downwards. We still maintain our pricing and as the price leader we try and obviously drive pricing strategy across geographies. So from a pricing standpoint we maintain pricing and it is a benefit that coming from lower material cost you will see that improvement happening from Q3 onwards.

Rahul Agarwal : And just if you could just throw some more insight into the pipeline that we mentioned, as in terms of maybe the numbers that you're seeing or any qualitative understanding on it.

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Tarak Patel: So I mean, just to give you a broad idea across the group, including the new acquisition that we've done. They all are seeing an all-time high kind of backlog, plus also a very strong opportunity pipeline. In India as well we're seeing large chemical investments, they're coming up, companies like PI industries, SRF Deccan and Divis and many other companies are now planning large investments which should materialize in the next few weeks to months. So we don't see a real slow down here. There's also good opportunities for us, like I mentioned in my opening, in acid recovery hopefully by the end of early next week, we should have some good successes here. We're working on a large, very large project here on acid recovery and would be a major breakthrough for us. So all in all, the pipeline remains quite strong. If you then look at the China plus one strategy if some of their production work was to move to India that will only further kind of improve that opportunity pipeline as well. But across the globe across the geographies, we're not seeing a slowdown in terms of opportunities. Investments are coming back into pharma and to chemical and obviously with a new market that we now also cater to, like I said, fermentation, paints, food and beverage. There's also now a new market like green technology in the liquid extraction and in bioplastic and plant based protein, so all in all things look quite positive for us.

Moderator: Thank you. We have the next question from the line of Jaiveer Shikhavat from Ambit Capital. Please go ahead.

Jaiveer Shikhavat: So firstly in terms the order intake could you specify that could it be that so me of the orders that was supposed to come in fourth quarter came in during this quarter and hence the 40% is like that we're seeing for the international

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business on YOY basis. Or do you believe you can build on top of the one QoQ order intake levels in the subsequent quarters?

Tarak Patel: So you know there's always an issue with backlog, but like I said, the orders are quite well spread and in most cases we have a strong pipeline, so just to give

you an example, our Swiss subsidiary has now nearly 16 to 18 month backlog. As it stands right, I think the current backlog is close to 40 million Swiss francs. So obviously you won't see that kind of new orders coming at the same pace because they already have a very , very strong backlog. But for glass -

line and

other businesses I think where we have a kind of a smaller backlog especially here in India, where it's about four to five months only, that's where we can really kind of ramp up, because customers do look for quicker deliveries in glass-lined, and that's something that we always wanted to be that four to six-month range where we can really quickly turn it around and supply to the customer as soon as possible. But in general, from as it stands, I also know that Q2 has been pretty good in terms of order intake, so we're not seeing a real slow down, and I think this will continue at least for the next few months .

Jaiveer Shikhavat: Got it and secondly on the acquisition. While we've highlighted as to how the application augments your engineering capabilities and the agencies that it opens up, how does Hydro-Air benefit from GMM technologies or capabilities? Could you specify that as well?

Tarak Patel: Sure, so Hydro-Air obviously they were owned by a small private equity company and obviously when we spoke to the gentleman there a few days ago he was kind of happy that somebody is now talking to him about his product and technology and not really about numbers. So strategically he's, they're very happy to be part of the Pfäudler group. It opens up brand new markets for them

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brand new geographies. So the customers that he caters to are the same customers that we go to sell our glass-lined. So our glass-lined guys , our Mixion guys , acid recovery guys can all go and kind of sell these products so he immediately gets a global reach that he being a small Italian company, he could not really kind of cater to the world. So now the US opens up, India opens up , China opens up for him and then having low-cost manufacturing in China and in India will also give him a local presence. So maybe bringing in the materials from Europe was kind of price prohibited now having local manufacturing available that would give him an added edge as well . we also have Thomas Kehl here on the line and Thomas maybe you want to add something on the acquisition and how Hydro Air feel about being part of the Pfäudler group?

Thomas Kehl: Yeah, I think Tarak summarized it very well. It's a small engineering group. They are very keen on their process know-how and their edge is that they developed together with customers processing through pilot lines and pilots' facilities in pilot testing and usually wants a pilot facility testing is successful, the orders around the corner and there's a global reach. Now we can go far beyond they have been. Also the financing structure, financing down payment that can take larger orders much faster. And since engineering capabilities they have are very similar to the engineering capabilities that we have in Europe. So, we can cross-sell and create additional resources in short-term, if you have to , for larger orders. So we believe and also the Managing Director of this company believes that it's exploding each now being part of the GMM Pfäudler family, doubling the business, even tripling the business in the next few years should not be a huge issue, and we believe strongly about success. It's a good team. They're very loyal, they want to stay. They want to be part of us and they are excited we are excited. The technology is quite sustainable and another take that we see is

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opportunities in green technologies, so bioplastics where we are working on the project in California right now that is of great interest and at the same time our systems group in the US has been started working on bioplastic technologies and processes as well, so we're looking into future technologies that are needed to us and some of our customers as well.

Jaiveer Shikhavat: L

astly, are you looking for more tuck in acquisitions like these and how is the landscape in Europe currently? Are you finding those opportunities?

Tarak Patel: Yeah, so there are multiple opportunities in the pipeline again, our thought process is something similar to what we did with Interseal. We would like to buy small companies and then obviously grow the business, double or triple the business like we did with Interseal when we bought it. It was about a \$2 million business, today it's about a \$10 million business. Now becoming a global business now with the India launch as well, growing that business quite nicely. So, yet there are opportunities obviously as the Pfaudler group is now a global company, quite well known. Many of these small companies who have good technology actually look up to Pfaudler and they want to be a part of the group and have that kind of a global reach, be part of a kind of a global company as well, so we get a lot of opportunities. We get a lot of inquiries all the time, but then again, we need to kind of pick and choose the ones that really complement well with our portfolio and really add technology to our portfolio. So yes, that's something that's always ongoing, and that's something that we've always said would be the cornerstone of our growth strategy would be M&A opportunities and that's something that will continue to look at all the time.

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Moderator: Thank you. We have the next question from the line of Rohit from Progressive. Please go ahead.

Rohit: Two questions or probably 2 parts to that. GMM was probably the only company listed in the heavy engineering kind of business which was a quarterly dividend paying this time around, we have skipped the dividend, so anything that you'd like to share, the reason for that and what will be the dividend distribution policy going forward.

Tarak Patel: So we had disclosed this actually last quarter that we said we are going to switch to twice a year dividend policy after we decided to give the bonus shares, Manish just quickly jump in.

Manish Poddar: If you recall, we have been paying ₹5 per year and last year we finished with ₹6. Now if you divide this into and post a bonus, then it practically turns out to be ₹2 per share and then you end up doing it in four quarters. So then becomes too small numbers and operationally from an effort standpoint, from a cost standpoint, too much of an exercise and then of course from a receipt standpoint it becomes a minuscule numbers. So therefore we wanted to just consolidate it into a half yearly basis.

Rohit: In the consolidated numbers what is this 284 million of the other income which is there. If we can share that.

Manish Poddar: The other income is primarily on the effects revaluation gain of the euro loan that we have at Pfaudler international level. So because the euro has depreciated over a period of time last quarter, so therefore you have a number.

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Rohit: OK, in terms of the recently acquired operation for HARI, they've been outsourcing so who were their clients? If you can share that, who exactly were the outsourcing their production or the assembly points from?

Tarak Patel: So they have multiple vendors and it kind of depends on the specific project. But like the membrane they buy from membrane manufacturers, and they outsource it to local manufacturing companies in and around but no specific names that come to mind. But generally it's an outsourced model that they've been using and getting quite successful.

Rohit: And any thoughts and using or have you reduced the pledge position, which was around 32.68% or so.

Tarak Patel: Sorry, we didn't get that. Can you please repeat the question?

Rohit: We had a pledge position

possession of around 32.68%. Have you reduced that or any thoughts on reducing that?

Tarak Patel: So the pledge, I think, that you're talking about is not really pledge, it's a lieu that DBAG shares that DBAG held in GMM Pfaudler. They need permission from

the bank before they sell those shares, and that means something that has been part of the rollover debt package that came to us. But the Indian promoters have no shares that have been pledged.

Moderator: Thank you we have the next question from the line of Rahul Jain from Anand Rath. Please go ahead.

Rahul Jain: Can you comment on performance of Mavg in Q1 specifically and how was it demand environment there?

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Tarak Patel: So Mavg has a backlog of close to 40 million Swiss francs and the performance and output has obviously been quite good like rest of Europe and the US. They did face a little bit of margin pressure due to the higher material costs, but that should also stabilize in the next few quarters, and they have a very strong visibility, both in terms of execution, but also in terms of the order backlog that they have. So, all in all they have a strong performance as well.

Rahul Jain: Can you give the breakup of international order book like between PFI and others? What you used to give?

Tarak Patel: I don't have those numbers with me, but again, just to give you an overall view. I think the order book stands are quite well balanced between the three large geographies that we cater to. The America, Europe, and Asia Pacific where we can include India and China in that, so that's 1/3rd-1/3rd and 1/3rd, so it's quite evenly spread. And again, like I mentioned earlier on, it's well spread between our technology businesses, our service businesses, as well as our system segment. So it's quite well balanced and there's not one specific region that has kind of outperformed the others.

Rahul Jain: Sure, Sir, one more question about the forex revaluation gain. Again, how much was it?

Tarak Patel: The pension?

Rahul Jain: FX revaluation gain, which was reflected in other income, so how much was it?

Tarak Patel: Wait for a few minutes I'll come back to you on that.

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Moderator: Thank you we have the next question from the line of Akshay Kothari from Envision Capital Services. Please go ahead.

Akshay Kothari: So do we see any improvement in working capital cycle going forward?

Manish Poddar: We will not be able to further improve from the current level simply because while you see the metal prices, cooling off and all that, and maybe in two three quarters, that will happen but by then the group you know trajectory would have been asked for a more working capital from that perspective. So therefore I think if we could maintain the working capital cycle that should be fine. And most of these cases as we have been disclosing in our half yearly numbers, the inventory, so we have a lot of advance from customers as well so as to mitigate the working capital crunch.

Akshay Kothari: OK, and so you did mention about the new businesses and it will be operated on a fermentation part. Could you please elaborate on paints, bioplastics, food and beverages as well? How are we seeing opportunity?

Aseem Joshi: So on paint certainly we're seeing a fair bit of demand both for mixing business and also for some of our reactor vessels. We've won a few orders in mixing, in particular from some of the newer paint manufacturers or some of the newer facilities that paint manufacturers in India are putting up. So we see this as a good growth vertical for businesses like mixing. And bioplastics is still nascent for us. We are doing some exploration there. I won't be able to comment a lot more on bioplastics right now

but with the new acquisition of HARI I think there's potential to expand our footprint in that space as well.

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Tarak Patel: So just to add to that, so Asian paints, obviously is setting up new manufacturing facility so we got large orders from them, and then also now Grasim is planning investment in the paints. So that also is driving new order intake in the mixing segment from them as well.

Moderator: Thank you. We have the next question from the line of Jiten Parmar from Aurum Capital. Please go ahead.

Jiten Parmar: Yeah, two questions. I think the first one is answered regarding the other income of 28 crores if you can just throw more light on it whether this is something which is one time and second question is basically what are the margin for the business outside India.

Manish Poddar: On the other income that 28 crores that you're talking about is primarily on the accounts of the Euro loans that we have. It's something like I think \$2.6-2.7 million gain. Something like 20 to 23 Crore rupees that we have in this quarter. Primarily this is MTM, revaluation of a liability and that's related.

Jiten Parmar: So the other question was on the margins for business outside India.

Tarak Patel: There has been a margin improvement in the international business compared to previous quarter and we hope to maintain margins both in India and the international business. We are focusing internally on our cost structure. We're looking at being more efficient and trying to control whatever we can in house so that we can maintain margins and then eventually when metal prices would have cooled off that if energy costs come down, then obviously that will see a nice bump up to the margin profile as well.

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Jiten Parmar: OK, so what I get is that you will try to maintain these margins. Can you give a number? Is it quantifiable? How much is the margin for the business outside India?

Tarak Patel: So the business outside India is currently at a 10% to 10.5% margin and India is at about the 16%-17% margin.

Moderator: Thank you. We have the next question from the line Saurabh Shah from AUM advisors. Please go ahead.

Saurabh Shah: The first question on, you know the integration plan when we acquired Pfaudler. You know there was some short term targets and I think there are some longer term targets in two years etc. I just heard that you expect to retain margins at this level. I wanted to check with you are there any long-term integration kind of process is still underway, or you think most of them have been finished in terms of moving production to some extent in India or reducing outsourcing and they know this is outside that gas price bump up and other things that might happen. So just from the integration plan where do you see yourself for the next one or two years.

Tarak Patel: So for integration standpoint our major project that we had is now completed and we've kind of made synergy and integration kind of part and parcel of our daily work and it's not something that we kind of really focus on. But yes, it's still important part of growing our business, both from a revenue standpoint and also from a profitability standpoint as well. So there are multiple things that are in the works that are continuing to kind of gain traction and the momentum. So like I mentioned very early on we had a budget of India sourcing from Europe and we've already crossed, I mean the entire year's or the budget was already

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crossed in the first quarter. The opportunity pipeline for India made value sourced equipment is at an all-time high and we hopefully will convert some of these to hard orders in the next few months

so. All in all, India sourcing is continuing quite well. On top of that, as I mentioned earlier on, we are being a stock and sale program. Germany is going to stock Indian made vessels in Germany. So when the customer needs something quickly overnight, they can turn it around and obviously sell it to them very, very quickly. So that's something that we are working on as well. On top of that we also have components being sourced from India, nozzles and other the metal parts. It

gives Pfaudler two advantages. One is obviously a price advantage, but the other thing is also just to create a second vendor for them. So that's something that's ongoing. On top of that, there are multiple other kind of synergies that we are working on. Like trying to move engineering to India as well, kind of creating low cost kind of back office is here to help and support some of the teams in Europe and in the US and then I would say from a synergy standpoint we also launched our new brand, our profile. We have now a single website in place. We now have a globally ESOP program as well, so I mean getting the company together, trying to have everybody under the same kind of platform also create good synergies within the group.

Saurabh Shah: One additional point on the sales side; are we doing anything with this new acquisition. It does sound like you have a much wider product kind of basket. So are you investing in creating, especially in the US or elsewhere larger sales efforts we just give us a sense of what you plan to do in the next 12 months. That would be great.

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Tarak Patel: I think with the sales, network is already quite strong both in terms of having our own sales teams, but also agents and as well as reps. So we have a pretty extensive network. We obviously keep looking at certain areas where we are not well represented like Southeast Asia was one example where we've added people as well. In India we kind of add people. But you're right, I think for some of these new age technologies we might need to bring in expertise from outside the industry, who can really go and kind of tell the technologies to new industries that we don't normally cater to. So, I think from that standpoint, yet we will need to add people who know these industries quite well, like for example bioplastics or plant-based protein, the green technologies for some of these other kinds of processes. We might have to bring in external help as well.

Thomas: I could confirm that we are opening some new positions created in Europe as well as in the United States and also in China where we are now working with advisors and contractors to fill those positions, and the skill sets that we are requesting from the new sales people are paying in some insights in the market that we are going to solve so we are already in the mode of increasing our sales force in place power.

Moderator: Thank you. We have the next question from the line of Ashit R Kothi with an individual investor. Please go ahead.

Ashit R Kothi: Two quick questions. One is on interest cost. And the second one is on green solutions.

Manish Poddar: So, interest in India is just under 7% and interest costs overseas is approximately 5% and then coming to green technology, so one of the things that this company that we just acquired does is kind of promote green technologies from very

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specific processes of meat industry, starch industry. They kind of reduce the amount of water that's being used and create a much more efficient process, so this is one area that we could sell this product into and give the customer a kind of a better process and more efficient process to work with than their current processes and from the ESG standpoint as well this

would be quite nice story

where you are actually conserving water and creating new efficiencies as well.

Moderator: Thank you we have the next question from the line of Siddharth, an individual investor. Please go ahead.

Siddharth: I want to know if it would be possible for you to give me a number regarding the new acquisition in the market size that you foresee for the company and what it could be adding to the India company.

Tarak Patel: So the current size of that business is about 7-8 million euros. The market obviously is large across the world, so I can't put a really number to it. But we believe that this business could double in the short term, and that's what our focus is on the back of having a much larger sales network as well as having a little bit more financial clarity will give this company the ability to take in more

orders and grow their business.

Siddharth: Just a follow up to that. Have you received any sort of interest regarding orders in these fields from say Ethanol or bio fuels in India or anything else from the other geographies?

Tarak Patel: So India specifically, we get a lot of inquiry to many different applications, but they this community acquired have already supplied plans to India to customers like Aurobindo and have quite a few more as well. So they already have a

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presence in India. So, we can start building on that already strong foundation that they have got and kind of talk to some more clients in the pharmaceutical area where they have a very strong presence as well.

Moderator: We have the next question from the line of Jason Soans from our Ashika Group. Please go ahead.

Jason Soans: You did mention a new initial remarks investments are coming back to US and Europe we did speak about that last time as well in terms of the aftermath of the Covid crisis, lot of stagnant economies that I mean processes especially the high and critical work. So just wanted to know your comments on the sustainability of this trend. Obviously it will benefit us in a lot of ways that we have the network all over now, so just wanted your comments on how do you see the investments happening more in the developed economies.

Tarak Patel: Heading to your first point that our aftersales business has picked up, it was much lower during the COVID times because our people were not allowed to go and visit factories and people are not allowing engineers and service people who come into factories. Now that since it opened up will obviously create a whole kind of new revenue stream which was earlier not there, so that's definitely a positive, and you'll already see that in our servicing business. The chunk of services business has increased already, so that's definitely a positive sign, but like I mentioned to you earlier, the situation in spite of the global economic environment still remains very strong for chemical and pharmaceutical companies, both in India and in Europe and our ability to cater to these industries now put us in a very strong position. So even making headway into some of the low-cost markets like Spain or Eastern Europe or even Singapore for that matter, or some parts of South America we've had major

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breakthrough since we acquired the Pfaudler group, because obviously now we have a much wider range of products that we can offer, plus a different cost structure. So if there was a client that could not kind of would not buy a German made equipment now has access to an Indian made equipment or a hybrid version. So there's multiple different offerings that we can play with and that puts us into a very strong position as well.

Moderator: Thank you we have the next question from the line of Denzil Rodrigues an individual investor. Please go ahead.

Denzil Rodrigues: I have a couple of generic questions. Can you please share your views on continuous flow reactor technologies? Can the reactors be scaled up for large scale industry use? Our contribution to it and the opportunity size. Also, have you seen any increase in enquiries for your glass-line flow reactors?

Tarak Patel: So a good question, and not that the generic actually, so continuous flow reactors are being talked about definitely more now. But again, replacing batch reactor with continuous flow reactors is something that will take a lot of time, however we already have technology available within our network of continuous flow reactors, we recently had a seminar here in Bombay where we were kind of showcasing our capabilities in continuous flow reactors. We also have a new company that one of our group companies has acquired in the UK that does specific work on continuous flow reaction and filtration as well, but that's something that we will continue to build on. It's a nice technology. There are a few small Indian companies who are already talking about it. It is really being converted to order I can't feel that it has been, but for the future, I think

it's definitely an area that we should focus on and try to build some technology in that area.

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Aseem Joshi : Just to add we are monitoring this trend very closely because there's inherent advantages to continue flow reactions over batch, and we're ready with the product we have a glass line continuous flow reactor , first of its kind in the world that we that we offer in fact we have already sold one unit. As in when this change picks up and we're ready to serve the market when it comes.

Moderator: Thank you. I now hand it over to the management for closing comments.

Tarak Patel: Thank you everybody for this conference call . We'll talk to you again next quarter and in the meantime, if you have any further questions, please feel free to reach out to IR team and we'll be happy to answer those questions as well. Thank you for your time. Good afternoon.

Moderator: Thank you on behalf of GMM Pfaudler that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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"GMM Pfaudler Limited
Q2 FY '23 Earnings Conference Call "
November 04, 2022

MANAGEMENT : MR. TARAK PATEL – MANAGING DIRECTOR – GMM
PFAUDLER LIMITED
MR. THOMAS KEHL – CHIEF EXECUTIVE OFFICER -
INTERNATIONAL BUSINESS – GMM PFAUDLER
LIMITED
MR. ASEEM JOSHI – CHIEF EXECUTIVE OFFICER -
INDIA BUSINESS – GMM PFAUDLER LIMITED
MR. ALEXANDER PÖMPNER – CHIEF FINANCIAL
OFFICER – INTERNATIONAL BUSINESS – GMM
PFAUDLER LIMITED
MR. MANISH PODDAR – CHIEF FINANCIAL OFFICER –
INDIA BUSINESS – GMM PFAUDLER LIMITED
MS. PRIYANKA DAGA – DEPUTY GENERAL MANAGER -
STRATEGY FINANCE – GMM PFAUDLER LIMITED

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Moderator: Good day ladies and gentlemen, and welcome to the Q2 and H1 FY '23 Earnings Conference Call of GMM Pfaudler Limited. As a reminder all participants lines will be in the listen -only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Priyanka Daga from GMM Pfaudler Limited. Thank you, and over to you, ma'am.

Priyanka Daga: Thank you, Michelle. Good evening, ladies and gentlemen. A very warm welcome to all of you into the Q2 FY23 Earnings Call of GMM Pfaudler Limited. The earnings presentation was uploaded on the Stock Exchange last evening and is also available on our website. Hope all of you had a chance to go through it. From the management, we have with us our Managing Director, Mr. Tarak Patel; our CEO of International Business, Mr. Thomas Kehl; our CEO of India Business, Mr. Aseem Joshi; our CFO of International Business, Mr. Alexander Pömpner; and our CFO of India Business, Mr. Manish Poddar. We will give you a brief overview of the performance of the company, after which we will get into the Q&A.

Before we begin with the overview, a brief disclaimer, the presentation which we have uploaded on the Stock Exchange and on our website, including our call discussions that will happen now, contained or may have certain forward -looking statements concerning our business prospects and profitability, which are subject to several risks and uncertainties and the actual results could materially differ from those in such forward -looking statements.

I will now hand over the call to Mr. Patel to provide an overview of the performance. Over to you, Tarak.

Tarak Patel: Thank you, Priyanka, and good afternoon to everybody. We are happy to report a strong quarter with a revenue growth of close to 21% year -on-year. Our EBITDA margins have also improved to 15.2% , and our order intake has also increased 6% year -on-year. As for the order backlog, we stand currently at INR 2,119 crores, which gives us visibility for the next 6 to 9 months as well. We continue to see a lot of traction both in the chemical and pharmaceutical spaces around the world and we believe that both international business and the India business will continue to do well, which will be driven by these two main industries.

The international business has done really well this quarter, both in terms of revenue and profitability. Our European business , in spite of the higher energy costs and the cost reduction

measures that we have taken, has done quite well. And we believe that looking into the future, the European business will kind of stabilize with energy prices now stabilizing and also kind of going down.

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We've also completed the acquisition of Hydro Air Research Italia. This is a company that we had acquired a few months ago, that acquisition is now complete. This company deals in membrane separation system and opens new industries as well. We've also completed the acquisition of the balance 46% in the GMM International S. a.r.l.

As many as you know, GMM was a subsidiary of the company and now wholly owned subsidiary of GMM Pfaudler Limited with 100% of the profit accruing from Q3 onwards. We also have reaffirmed our credit ratings both by CRISIL and ICRA, AA- and A1+, respectively. We also completed recently our first Investor/Analyst Day, which was held in September 2022. Now to give you a little bit more color on the numbers, both consolidated and standalone, I would like to invite Manish Poddar, our CFO of the India Business to take you through the numbers.

Manish P

Manish Poddar: Thank you, Tarak Good evening, everyone. So, to start with the consolidated balance sheet. We see NCI that the Non-Controlling Interest has netted that's because we just acquired the balance for the 46% of the Pfaudler International. So going forward, you'll see 100% of the profits accruing to us. Similarly, the debt has increased primarily on account of debt that we have taken in acquiring this stake. Pension liabilities have gone down substantially on account of rising interest rates and therefore the present value of the liabilities going down.

Moving on to the goodwill and intangibles there have been some addition on account of the Hydro Air investment that we made in Italy. Similarly, talking about the few ratios, the net debt is INR 767 crores gross minus INR 300 crores cash, say INR 467 crores and so net debt to equity stands at 0.7. Net debt to EBITDA stands at 1.1.

Moving on to working capital. There's a slight increase in the working capital. Some debtors need to be recovered in the standalone business for India. There have been some increases in the working capital overall, primarily on account of heavy engineering taking larger share of the business.

And then moving on to the cash flow. So there has been business cash generation of INR 231 crores and the investment of INR 251 crores on the working capital and capex and the balance has been primarily on account of repayments of the debt and the interest thereon.

Moving on to dividend and the EPS. We have the annualized EPS would turn out to be something like say, INR 50 if we just annualize it for the H1 deferrals and the ROE and ROCE has also improved substantially to 29.2% and 33%. That's it for me. Priyanka, do you want to take it?

Priyanka Daga: Thank you, Manish. Michelle, we can now open the line for questions.

Moderator: [Operator Instructions] The first question is from the line of Venkatesh Balasubramaniam from Axis Capital.

V. Balasubramaniam: My first question is to Manish, more like a book-keeping question. I believe that if you actually look at the numbers, second quarter numbers, your EBITDA is close to around INR 119 crores

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for the consolidated entity. The standalone entity has done INR 42 crores, and Mavag and Pfaudler Inc. has done INR 70 crores. So, INR 42 crores and INR 70 crores adds up to 112 and there is another positive INR 7 crores.

So, is there anything else in the company that we are missing here? Because ideally, if you look at the numbers, last year usually, when you added the numbers which you gave in your standalone EBITDA and your international EBITDA, you had to actually do some elimination of INR 6 crores or INR 7 crores to get the consolidated EBITDA.

But since the first quarter of the current year, it's slightly different. When you add up your standalone numbers, which you put in your PPT and the international numbers, you can actually add a small number to get to the consolidated EBITDA. So, can you please explain this?

Manish Poddar: Yes. Good catch, Venkatesh, yes that's true. That is primarily on account of accrual accounting concept per se. So, what happens is, when you export from India to say, Germany or US in this case, so you accrue to the profit in the standalone business in the earlier quarters.

However, in the consol, you get the profit -- the entire profit of standalone and international business once you sell it out from the group, which happened in Q2. So therefore, the shipments for which India shipped before Q2 and international business then moved out to the ultimate

customer in Q2, the entire profits of standalone and consol accrued to this quarter . So that's where the INR 7 crores of positive is there. You may see this small number positive or negative, depending upon which quarter was higher or lower, going forward as well.

V. Balasubramaniam: Now I a

Iso remember that Mr. Patel had given some kind of color after the first quarter result, here he said that as of now, you are executing your orders with higher cost inventory of steel and you are expecting that given steel prices have come down, third, second half of the year, your margin should be better. Now you've already got to 15.2% consolidated margins in the second quarter. So, is it reasonable to assume that margins can go up even further from here in the second half? what exactly do you expect happens to the standalone numbers because , which are contracted quite sharply on a Y-o-Y basis in the first half? So, are you expecting that to improve or you're expecting more of an improvement in the international part of the business? Manish Poddar : Venkatesh so, I think, Y-o-Y comparison for standalone maybe a bit of an aberration simply because that was the first two quarters of the year of FY22 where we got the rise, but we're still consuming the old plates. And now exactly that the opposite has happened in these two quarters of this current financial year. And that's why you see that huge difference between a 25% and 16.5%, 17% sort of a number. We expect this to normalize in second half of the year. So for Q3 and Q4, we should see maybe improvement there on a standalone basis. International business has already enhanced its performance to something like 13%. So, we expect something like 12%, 13% to continue for them as well.

V. Balasubramaniam: Just one last question, if I may. What would be a reasonable effective tax rate for the full year for the consolidated entity?

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Manish Poddar : Yes. So effective tax rate, something like 27%. If you're alluding to this quarter per se, so there has been a deferred tax credit , and there's a much lower percentage, but that's not a true reflection of a sustained basis. On a sustained basis, something like 27% of an effective tax rate is reasonable.

Moderator: Thank you. We have the next question from the line of Utsav Mehta from Edelweiss AMC. Please go ahead.

Utsav Mehta: I'll just continue on the previous question. So, does that mean that from what you reported in this quarter, the international margins should sort of normalize back towards 12, 13? That is India will pick up. Is that correct? Is my understanding correct?

Manish Poddar : Yes, that is correct, that international business has already, improved considerably in recent past from 10%.

Utsav Mehta: No, I asked because it's at 15 right now. This quarter was, I think around 15-ish, sorry, not 15.

Manish Poddar : 15% is the consol number, international 13%. India is at 16.5%. So, India, you can expect 16.5% to go up and the international business primarily, you may expect to sustain .

Utsav Mehta: Sorry, I was adding INR 5 crores to INR 7 crores.

Tarak Patel: No, you're right. INR 7 crores will give you that differential ...

Utsav Mehta: Sorry, you were saying something?

Tarak Patel: No. So, I say, yes, that INR 7 crores is going to give you the differential as well between the numbers.

Utsav Mehta: That may or may not repeat in the coming quarters, basically?

Tarak Patel: Yes, on the steady state .

Utsav Mehta: Tarak, I just wanted to check. So, it's been four quarters running the order book, on an absolute basis, it's around INR 2,100 -odd crores. If you could just provide some flavor in terms of, where do you see this number go. What does it take for this to go to INR 2,300 crores, INR 2,400 crores, INR 2,500 crores? Is there enough in the market for this number to continue to go up?

Tarak Patel: Right. So, I think, on the order front, I think, like I mentioned to you, I think we already had quite a sweet spot for the international business. I think having any more backlog means longer delivery time, so that would not be the right place to be at. But I

think where we could probably

grow order intake is here in India. I've spoken about this in the last few conference calls, where I've said that we have been very selective in terms of glass-lining business to an extent where we have said no to customers when the price did not meet our requirement. And having said that, we were also waiting for some of the larger projects to come through from our key clients. So that when those large projects do materialize, we have enough capacity for that. We've just

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started seeing a big, large order intake happening in the glass-lined business here in India. So, I think, looking forward, you will see the India backlog increase, which is right now currently for the glass-lined business around four months, but being around four and six months for is just the right the sweet spot. So, I think we still have some capacity here in India to increase order intake. And I think the glass-line area here in India is going to be a big driver for us in the next few quarters.

Utsav Mehta: And if I'm not mistaken, the Karamsad furnace now we should be able to take on more in terms of the amount of orders we can take, correct?

Tarak Patel: Right. So, I was actually going to say this in my opening remarks, and it completely slipped my mind. But yes, we have now commissioned the 80,000-liter furnace, which is India's biggest furnace, and obviously, will cater to super large vessels, not only for India, but also for the international business. We've actually received an order for 3 x 80,000-liter storage tanks. That's already in our books, and fabrication has started. We're expecting another 5 x 80,000 liters. actually, the timing has been just perfect because as soon as we start, this furnace came online, these orders have now come in, so yes, that will also help us improve both our shipment and the number of EUs that we have that we can manufacture here in India.

Utsav Mehta: Fantastic. And just one last question. Apart from receivables in India, I've also noticed other financial assets sort of increased by INR 50 crores over the last six months. Typically, this tends to be unbilled revenue. I just wanted to clarify what this number is?

Manish Poddar : So, receivables, of course, have gone up primarily. There's some collection that we need to make, and we expect this to improve in the coming quarters, and that is one. But you see, you're right, the unbilled revenues have also scaled up overall in the business, both in India and international business.

Utsav Mehta: And this is just to do with the scale at which we are operating

Manish Poddar : I think there's some 90 crores of POC addition that has happened in this H1, and we expect this to maybe something like 30-40 crores improvement over in H2, but that beyond that, should remain in the business.

Moderator: Thank you. Ladies and gentlemen, in order to ensure that the management will be able to answer questions from all participants. Please limit your questions to two per participant. Should you have a follow-up question, please re-join the queue. Thank you. We have the next question from the line of Tanayaa from Marcellus Investment Managers. Please go ahead.

Tanayaa: Just a couple of quick questions. So, if I look at our standalone business, though other expenses, just above the EBITDA, they have gone up by around INR 20 crores on a yearly basis. Could you kind of provide some color on that?

Manish Poddar : Yes, expenses have increased by INR 20 crores, primarily on account of power and fuel, if you refer to where we were last year, Y-o-Y. And this increase is also primarily because in heavy

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engineering, again, the combination of change is taking an impact. And also, there's some freight outward because we had a larger ex

port shipment. So, freight outward particularly in this H1 or Q2 actually has been also higher.

Tanayaa: And sir, the pension liability reduction on the consol level, just purely because of interest going up, you have n't funding or cash outflow to kind of get this number down. Am I right?

Manish Poddar: Right. So, this is purely on account of the interest rate results.

Moderator: Thank you. We have our next question from the line of Jason Soans from Ashika Stock Broking. Please go ahead.

Jason Soans: –So if you could just give us some color on the demand outlook for GLE overall. So, you had earlier in the Analyst Day as well as spoken about the slowdown in the Pharma segment in terms of demand and order intake. So just a brief outlook I would want, especially amid rising costs, inflationary environment as well as whatever is happening in Europe. Just wanted to understand what's the demand outlook for pharma and chemical both from the end user segments?

Aseem Joshi: I'll start with India, and maybe Thomas can add on the international business. As far as India is concerned, Tarak mentioned earlier, we've been careful about selecting the right set of orders.

So, we've made sure that we fill our factory with the kind of orders that we like. Now in recent times, we started seeing a pickup of some of the large projects that we saw on the horizon, and they're starting to move forward. And in fact, one of the big orders that Tarak talked about, is one such project. There are several more that are on the horizon, and we feel we are competitively placed on that. So, I think from a demand perspective, especially for larger projects, we are starting to see reasonably good movement. Of course, some of the smaller projects, run rate business we're still sort of still at a sluggish pace the large projects are picking up, right. And Thomas, would you like to address for the international business?

Tarak Patel : So maybe I'll kind of take that. So, Jason, you're right. So like Aseem mentioned, pharma has been a bit slow. But we have seen some kind of traction, mainly in the PLI schemes that have been launched, especially in penicillin here in India. So, three large orders for penicillin manufacturing, fermentation that we've got. But pharma has been much -much slower. We see the main drivers for us have been the chemical industry, both agro and specialty chemicals. And the large project that we speak about are also kind of for this specialty chemical kind of large projects, right. Also, what we've done now recently we supplied the first lot of our stock and sale vessels to Europe. So, 24 equipment have been ordered in India, which will be stock and sold in the European facility and will be sold when customers have a breakdown and if immediate need for a replacement. So that's worked out quite well. But generally, across the board, I think our chemicals will account for nearly 60% of our total glass-lined sales, and pharmaceuticals will account for nearly about 25% to 30%.

Jason Soans: And one question what I wanted to ask you is, I mean, we are seeing pretty good traction in the international business. So, in terms of revenue growth and margin growth also, which is around 9%, 10%, is now moved up to 12%, 12.5%. And this is in a phase of an energy price already

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growing in Europe. So, I just wanted to know what are you doing different so that to gain such a positive performance?

Tarak Patel: Yes. So, I think I'll maybe start off, and then if my German colleagues are online, they can kind of just build on that. But we have taken some measures. So, in Germany, itself we have gone down to a 4-day work week. So, we actually have less number of hours. I mean with the same number of man hours being used, so they work longer hours, but one day is additionally factory is close

d, which obviously helps us reduce our consumption of gas and energy. In terms of pricing also, we've kind of built in all these material and energy increases in to our pricing, and that's also helped us. And then on top of that, we've added new businesses, small businesses through M&A, which are now showing a good amount of turnaround and growth and that's also helping improve profitability.

The last thing that's also changed significantly is the services component because of the pandemic was smaller in terms of the pie, they were smaller. And now we see a lot of factories opening up and the services part of the business is actually growing. And as you would know, services are definitely more profitable than the other businesses, right? Thomas, Alex, if you're on, if you want to speak maybe a little bit about the energy situation in Germany?

Alexander Pömpner : This is Alex, not so sure if Thomas is in again. In fact, what you said I could definitely echo this. And with regard to the energy situation in Europe, I think, finally, we face an increase already since end of last calendar year, became really strange from February, March, April onwards. But nevertheless, we, currently, we're even, in this situation, with this higher energy cost and able to increase the margin. It's partly due to the shift just that they have a higher share of service business. But nevertheless, we were already behind 2% on some margin improvement, and this now drops through. So, it currently overcompensates the energy cost increases. And now looking forward, that the energy costs stabilize or even they reduced in the last weeks. So, we are confident that the outlook remains positive.

Jason Soans: Then just two more simple question. Just wanted to know about the ramp up in the Vatva facility. And now that GMM has taken over the remaining 46% stake, and this is going to reflect from Q3. So, are we not going to see any non-controlling interest? Just wanted to clarify.

Tarak Patel: Yes, exactly. So, I think, currently, 46% is removed for non-controlling and now you see 100% accrual from Q3 onwards.

Jason Soans: So, we will not see any non-controlling interests, right, from 3Q?

Manish Poddar : Yes, for non-controlling interest has been eliminated on 30th September, as of 30th September as well. So, in the balance and 1st October was the entire profits accrued to the organization.

Aseem Joshi: Yes. And as far as Vatva is concerned, we're very pleased with how the site is progressed. As you now, we've taken it over a little over 18 months ago. And since then, the ramp-up has been really to our expectation. So, the site is now full. We've had a number of orders that have already been executed and shipped from there. And we've, in fact, broken the record, in some cases,

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about the size of the equipment that's been shipped. So overall, we're very pleased with the way it is progressing.

Moderator: Thank you. [Operator Instructions] We have the next question from the line of Saket Reddy from

Polasani Enterprises . Please go ahead.

Saket Reddy: Congratulations on good results. There's one thing in the international balance sheet . Pension liabilities. Can you explain how is it treated in the P&L? If it is treated on the P &L?

Manish Poddar : Sure, Saket I'll start off, and then maybe Alex can jump in. So typically, these are non -funded pension liabilities, primarily in Germany. And these are close d plans, and no new employees are being added to the plan & existing employees age is approximately 80 years. And the accounting treatment is basically – as the interest rate rise as you would imagine , present value of the future liabilities go es down , and that gain accrue s the OCI , Other Comprehensive Income. And then the balance sheet movement happens.

Alexander Poempner: Fully corr

ect . In fact, on what we see in the balance sheet will start that assumption or the actual report and changes, and it is especially driven due to the change in the interest rate as Mani sh already mentioned that the participants and the number of participants will reduce over time just because they pass away. The plan is closed, and now we just have changes due to the interest rates. But from the cash perspective or there an impact on the income statement it's no further impact.

Saket Reddy: Tarak, I think in H1, you did around 11% margin in the international business. So, any further impact on the trajectory there?

Tarak Patel: Yes. So, I think the international business has already shown a strong recovery. I think both revenue growth has been significant and profit improvement as well. We are looking to fine - tune our product portfolio. There are definitely products that we need to bring up to the level in terms of profitability. We are wo rking on those. We have put in a lot of effort over the last maybe a few years. And we believe that some of the things that we have done will start showing results in the next few quarters. So again, the focus area to really improved margins is to really f ocus on services and grow that part of the business, and then obviously, our non -glass -line business, right . Because that's where we can really grow. We have small market share. We have the small products, which really can be global, can use the Pfaudler global network and be sold. And we're seeing a good amount of growth that will come from there as well. But all in all, I think all the product lines have done well. We also now, thanks to new acquisitions, we've made have access to new industries, right S o I did speak about some of this in the past, but these kind of sold products now to meat companies that make a plant -based meat , we sold products to the bio - plastics space . We also made inroads in metals and minerals in terms of also power , we've had a large order here in India. So, all in all, I think in spite of the investment that's going on in our core industries, which is just chemical and pharma, we are also trying to move into new industries that will help us kind of diversify and make sure that our growth is on track.

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Saket Reddy: And my last question on the services part. So, if you look at your revenue breakup and also the order intake breakup, in the standalone business, services are pretty low compared to international. So, it's in low single di gits, low to mid -single digits, whereas the international business itself is around 30% or 40% , if you look at revenue or order intake. So why is such heavy divergence , which is a high-margin product?

Aseem Joshi : Saket, you're right. So, this is definitel y an area of focus for us. Historically, the service , customer behavior in Europe and the US has been different relative to India in terms the amount of service that they expect from the OEM. Having said that, we recognize that single -digit service as a percent of our business is low, and that's cer tainly an area of focus for us. I n fact, just thi s quarter, we have made some changes to organization and appointed a service leader in the India business, which is very similar to how the international business also runs it. And so, I expect that with the focus that this individual will bring, we'll sta rt to see an improvement here. In fact, we're already seeing it. And it's really about the approach to our customers, the analysis of our installed base , our service offerings the appropriate pricing , etc. All of those actions are now underway. So, it's ce rtainly an area of opportunity for us, and we are working on it.

Saket Reddy: And just one last question on the sharehold ing. You've completed GMM international acquisition. So now how the shareholding structure look

s like? I think Patel's family has 24%

and the rest of the promoter's stake would be with DBAG, is that correct?

Man ish Poddar : The balance 31% as of now is with DBAG, correct

Tarak Patel: So just to add to that Saket, the Patel family have increased our stake. We were around 22 % something, now we are at 24.2 through the pre f-allotment that we recently did. So, our stake has gone up. And the balance is with the public out of which, I think, 18, if I'm not mistaken, Priyanka, maybe you can correct if I'm wrong , is with FPI and we have mutual funds about 5 %-6% and then obviously, all the other institutions and public.

Saket Reddy: And DBAG is committed to stay with you? Is that right as of now?

Tarak Patel: Yes. So, when we did this transaction, we have signed a contract and an agreement where we have a 3-year lock in, and they are committed to the business.

Moderator: Thank you. We have a follow-up question from the line of Venkatesh. Balasubramaniam from Axis Capital. Please go ahead.

V. Balasubramaniam: Yes, I had a couple of follow-up questions, if I just look at the India business of glass line equipment, and I actually look at the business of one of your largest competitors here, HLE Glascoat. If you notice over the last 1.5-2 years, when you've been busy in consummating the Pfaudler Inc acquisition, HLE Glascoat has grown at much faster pace than your glass-line equipment in India part. So, have you been losing market share in India? And is this a cause of concern? Because I also observed that actually HLE Glascoat, on an average, the India business meets almost 400 basis points lower margins than you. So, has your key competitor been cutting GMM Pfaudler Limited
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prices and picking up orders and is this something that you worry about? This is the first question.

Aseem Joshi: Yes. So let me address this. So, look, I obviously can't comment on other businesses performance. What I would say is glass-line is obviously our largest business, and this is an area that we have been a leader in. We intend to remain a leader in. As we outlined earlier, we've always been careful about the orders that we use to fill our factory with, and we'll continue to do that.

So, we are quite satisfied with the performance of our glass-line business. Our Hyderabad factory is also now ramped up nicely. And so, we have used our capacity to satisfy the right kind of customer needs, including some of the export orders that we have started to ramp up on.

V. Balasubramaniam: Okay. What exactly is your capacity in terms of equivalent units currently in India?

Aseem Joshi: With this new furnace that we have now commissioned, we should be up to about 2,900 to 3,000 EUs per year.

V. Balasubramaniam: Okay. And what kind of utilization are you currently at?

Tarak Patel: So, I think in terms of utilization, I think both the Karamsad and Hyderabad facility are close to 80-90% utilization. Obviously, now with this new furnace that has just come in, in Karamsad, that number will drop. So, we are at pretty much very high utilization across all our plants in terms of the glass-line business, where we have very large backlog.

V. Balasubramaniam: Now just one last question from me. I think this question was asked. I just put it across in a slightly different way. Now obviously, the continent of Europe is under severe stress. I mean what is the war, inflation, energy prices going through the roof and the kind of news which we keep reading in terms of end industry, a lot of industries shutting down, things like that.

Now, are your customers basically in the chemical industries and the pharma industries, are they having any of these companies having stress? And if they are having or understate how come it is not impacting your numbers? So, what exactly is the key driver for this very good

growth?

Because almost 39%, 40% of the consolidated numbers comes from Europe. So, some color on that would be very helpful.

Tarak Patel: Yes. So, I think some of the news that we get here, obviously, maybe gets blown up a little bit and there is also a lot of the fostering that happens. But on the ground, what we are seeing today is that customers are finalizing new orders. New factories are being set up, just to give you an example, if I think one of our companies, the Swiss subsidiary, is actually finalizing an order, I'm not mistaken, which is going to be delivered 2.5 years from now, right. So, people have that long-term visibility. People don't even need it immediately, and they're willing to wait. But the order book that we have, gives us a lot of the comfort, right. So that the next 6 months, 9 months in different regions, we already have orders on hand, and our focus really shifts to the execution, right.

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Are we seeing anything on the ground that tells us that they're going to slow down, things are not looking that bright? I don't think we're seeing any of that right now. The opportunity level, the interest levels, the inquiry that do continue to flow in are of pretty much the same level. The only thing that we probably see now is that the time it takes to finalize something is slightly longer than earlier.

People may take a few months more. That's really the only difference that we see. And just coming back to India, again, like I mentioned, chemicals have a lot of new projects. Obviously,

we work with the host of the chemical companies, and many of them are and have plans to expand further and invest more and more in terms of building new facilities. And obviously, being a major supplier to chemicals, we will definitely benefit from that.

Moderator: Thank you. The next question is from the line of Harshil from AUM Fund. Please go ahead.

Harshil: The government in Germany is aiding companies which are you know keeping the plant shut. So, are we receiving any kind of incentives from the government?

Tarak Patel: No, nothing right now. But the government and what we hear, especially in Germany, there could be a bailout the package that could be kind of a program where the government will step in and help some of the companies who are facing a lot of pricing issues and production issues, but nothing that we have seen. Like I mentioned earlier and what Alex said as well is that we're actually seeing the prices now stabilized energy costs have stabilized. And in the last few weeks have also come down. So, we kind of believe that we are actually past the highest level. So, anything further improvement will have a good impact on the rest of the year as well.

Harshil Shethia: What I wanted to understand is, is there any kind of government subsidy in our margins, which is why we are hitting kind of 12, 13 % margin subsidy.

Tarak Patel: No, no government subsidy

Moderator: Thank you. We have a follow-up question from the line of Tanayaa from Marcellus Investment Managers. Please go ahead.

Tanayaa: Sir, on the international business front, you had several new smaller businesses, which are showing good traction apart from your glass-lined equipment business. Could you just kind of go into a little bit more detail on that? And related to that, next question you have tech services system, technologies of that we have been world number one for ages. How do you see growth in system specifically, which new business at kind of dragging attraction?

Tarak Patel: Right. So, I think maybe let me just kind of take you through what we have in our portfolio. So obviously, we have two new acquisitions that we made. Hydro Air is obviously in membrane separation technologies. That business is about \$8 million or so. We expect to k

ind of double

that business in the short term. So, they are doing a lot of nice and interesting work that will help us not only internationally, but also here in India. They do a lot of work in bioplastics, in bio meats, proteins, EVs and things like that.

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So, it opens up a whole new industry segment for us. So that's where we believe our growth will come from. Having said that, we already have a strong foothold in chemical and pharmaceuticals. So, it's definitely a complementary product. The other product that has done exceedingly well is a product called Interseal, which is the sealing technology that we've launched here in India as well. They recently won a very large order, about \$2 million worth with a large German customer.

And in India also, we are finding that there are a lot of interest, and we've also got orders, I think, 20 seals in India. So again, a small business that was about \$3 million is now trading around maybe \$10 million, \$11 million. So, we've grown that business in a very short period of time.

We decide that we also have some smaller businesses. They are not brands per se, but these businesses are small, and they grow quite quickly. They're quite profitable as well. So, we have plans on growing those businesses as well. And in terms of the system business, I think that has done quite well. I did mention to you in the last quarter call that we received our second acid recovery or the year around INR 20 crores plus from a power company. Right? So, this power company, they currently had sulfur that actually goes into the air, which they now want to convert in to sulphuric acid, and we got a large chunk of that project because it's also brings into the glass-lined equipment space as well. So, the system also remains an important part.

That's where we really kind of move up the value chain. And since we offer process know-how and technology, they can definitely command much better margins. I think Aseem maybe want to add something to that.

Aseem Joshi: Yes. So just on this last example that Tarak talked about the acid recovery I'll add a little more color to it. So, it's a very interesting space because it's essentially a flue gas desulfurization application, which is essentially the smoke coming out of smoke stacks is cleaned through scrubbers. And it basically creates sulphuric acid which is weak. And then that's where GMM Pfaudler comes in, and we actually help them concentrate that weak sulphuric acid into concentrated sulphuric acid, which can actually then be used.

So, it's an interesting application. It has the potential to scale. Of course, India is just starting off, but we are pretty excited about the possibilities and what GMM Pfaudler has to offer. Tarak talked about some of the other businesses around the bio meat, the plant-based meat, etcetera. That too is now new to GMM Pfaudler through the Hydro Air acquisition, but we see potential to scale that up reasonably quickly as well.

So, all in all, we have a portfolio now where we think we have a number of interesting bets that play on macro trends, and we believe we should take them forward. One moment, Tarak just going to add something?

Tarak Patel: Yes. So just to build on that, I think we have some ideas in terms of how we further enhance our portfolio as well. I mentioned to you that certain businesses that don't fit that well and new businesses that fit better. So, we are always looking at opportunities and I think that's going to GMM Pfaudler Limited
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be the cornerstone of our growth strategy as well as in M&A is in a very important part of our growth strategy. And we always have interest in increasing and improving our portfolio.

Moderator: Thank you. We have the next question from the line of Rohit from Progressive Sha

re. Please go ahead.

Rohit: Two questions. First one is a follow-up. When you mentioned that there are certain businesses that don't fit the entire system that well. It reminds me of Edlon and its divestment. So, any update on that?

Tarak Patel: Right. So, Rohit, yes, Edlon was up for sale. The process is still ongoing. However, while this process has been ongoing, Edlon has done quite well. They do have a large order backlog and their profitability has also kind of improved significantly. So, we are still reviewing and we're still working on that when we have an update on Edlon, we will definitely let you know.

Rohit: My second question is related to Mixion - industrial paints and the development that you are doing with Mavag AG you can just take us through numbers in terms of millions or crores

Tarak Patel: So, I think Mixion is a business that has seen significant growth, and we'll continue to see a significant growth. It's a complementary product because it's mixing. It's used in the same industries that we cater to. We can use mixing in the glass-line business as well. It's very complementary. We will really like that business. It's quite profitable as well. And recently, we've had major breakthroughs, like I mentioned, not only in the historic chemical and pharmaceutical industries that we've got into fermentation, we've got into Metals & Minerals, we've got into paints. And I think I can continually say that today in India, we would probably be the biggest mixing player in the market.

So Mixion is definitely a focus area for us, growing this business not only here in India but internationally as well. And we do need to probably look at building the resources and capabilities, but this business, on a long-term view, is something to be very excited about.

Rohit: Currently, approximately what percent of turnover is coming from Mixion?

Tarak Patel: In India, I think last year, we did about INR 60 -odd crores of revenue this year should be twice as much. So, we have a very large order backlog. The business is doubling in size, if not more and we wish to really grow the business and become a large player in this space.

Rohit: And on the international front?

Tarak Patel: International front mixing is something that is quite small. We don't export a lot of these mixes. We have sold some to Europe and the US. But again, having a strong footprint in international business, we would probably need to have a little bit of local manufacturing as well. And that's where probably an M&A opportunity if it were to come up, would be very interesting for us.

But yes, but mixing is something that definitely is on top of our minds right now. How do we grow this business and how do we become a relevant player in this market.

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Moderator: Thank you. We have the next question from the line of K Ramesh Achar, an Individual Investor. Please go ahead.

Ramesh Achar: There was a talk about relocation of your Hyderabad facility some 2, 3 quarters back, and we haven't heard anything further. Can I know what's the position now?

Tarak Patel: Yes. So, the Hyderabad facility right now, there is no plan on the relocation, the Hyderabad plant, we've just invested and just commissioned a new furnace. We are also renovating some of the factory sheds. But our thought was that when Pharma City were to come up, we would then ask the government for land in the Pharma City so we could be close, obviously, to the industry that we cater to. As of now, there is no plan in place to move. And when Pharma City were to be available, we would definitely like to look at that as an alternative production facility.

Moderator: Thank you. We have a follow-up question from the line of Jason Soans from Ashika Stock Broking. Please go ahead.

Jason Soans: Just wanted to know in terms of

margins and standalone results, we have seen quite a sharp dip from 25% around margins last year, now they're at around 16.4%. Just to wanted to know from you what were the reasons for the same one would probably be the higher steel prices and the higher cost of inventory which you've been holding . But some other reasons are that some of the Vatva ramp -up is you'll have lesser margins than GLE equipment, obviously, so that the product mix also has an impact on that. Just wanted some color on that, the margin bit?

Aseem Joshi : Yes, I take this I'll take it first. First of all, the basis for comparison this year is a little unfortunate last year, this time, we were really benefiting from the strong tailwinds, and we were achieving close to 25% EBITDA. That was quite abnormal. –And as Manish mentioned earlier, a year later now, we're seeing the opposite effect of the high commodity prices affecting us.

So that's probably the biggest factor, the commodity prices that ha ve let us down. Yes, you also identified the second factor around product mix. That's something that was not unexpected. So, as we scaled up in some of the Equilloy kind of business , is probably not as high margin as our traditional business. But these are things that we are addressing, and we are confident that as we continue our sales strategy around being selective around orders, we will be able to get back on track. Manish gave an outlook for the rest of the year already, where we expect to see a contin ued improvement in margins in the standalone business. So, we feel pretty comfortable that we're on track to do that.

Jason Soans: So, Manish did give an outlook for the margins. So, in terms of margins, probably we'll be looking at an effect from the stan dalone entities and probably international margins, we can at least expect them to be steady, steady stage from hereon?

Aseem Joshi : Yes, I think that's broadly what we expect.

Jason Soans: And just one thing, just in the presentation, there is a statemen t mentioned backlog with net of POC. Just wanted some clarification on the POC concept, if possible?

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Tarak Patel: I think we are out of time, but maybe you can take this up separately off -line with them because that concept itself will be kind of long, and you'll have explained.

Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to the management for closing comments.

Priyanka Daga: Thank you, Michelle. Thank you everybody for participat ing in our earnings call today, and we look forward to meeting you again in the next quarter. Thank you, and good night.

Moderator: Thank you. On behalf of GMM P faudler Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2023

GMM/SEC/2022- 23/83 February 10, 2023

To,
BSE Limited NSE Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, C-1, Block G,
1st Floor, Dalal Street, Bandra Kurla Complex, Bandra (E)
Mumbai – 400 001 Mumbai – 400 051

Scrip Code: 505255 Symbol: GMMPFADLR

Dear Sir / Ma'am ,

Sub. : Earnings Call Q3 FY23- Transcript

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended December 31, 2022 conducted on February 03, 2023, for your information and records.

The above information is also available on the website of the Company.

Thanking you.

Yours faithfully,

For GMM Pfadler Ltd

Mittal Mehta
Company Secretary & Compliance Officer
FCS No.: 7848

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"GMM Pfadler Limited Q3 Earnings Conference Call"

February 03, 2023

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Moderator : Ladies and gentlemen, good day, and welcome to GMM Pfaudler Limited Q3 and 9 Months FY '23 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. Please note that this conference is being recorded.

I now hand the conference over to Ms. Priyanka Daga from GMM Pfaudler. Thank you, and over to you, Ms. Daga.

Priyanka Daga : Thank you, Nirav. Good afternoon, ladies and gentlemen. A very warm welcome to all of you into the Q3 FY '23 Earnings Call of GMM Pfaudler Limited. The Earnings Presentation was uploaded on the stock exchanges last evening and is also available on our website. Hope all of you had a chance to go through it.

From the management, we have with us our Managing Director – Mr. Tarak Patel; our CEO of International Business – Mr. Thomas Kehl; our CEO of India business – Mr. Aseem Joshi; our CFO of International business – Mr. Alexander Pömpner; and our CFO of India business – Mr. Manish Poddar.

We will give you a brief overview of the performance of the Company, after which we will get into the Q&A.

Before we begin with the overview, a brief disclaimer:

The presentation which we uploaded on the stock exchange and our website, including our call discussions that will happen now, contained or may have certain forward-looking statements regarding our business prospects and profitability, which are subject to several risks and uncertainties. The actual results could materially differ from those in such forward-looking statements.

I will now hand over the call to Mr. Patel to provide an overview of the performance. Over to you, Tarak.

Tarak Patel : Thank you, Priyanka. Good afternoon, everyone. I am pleased to report another good quarter driven by strong execution across geographies.

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Our overall performance remains on track, and we are confident of meeting our FY '25 guidance. In terms of financial performance this quarter, we reported a revenue of Rs. 792 crores, which is a growth of about 23% and EBITDA of Rs. 118 crores, translating to a growth of 44 % with an EBITDA margin of 14.9%.

I would like to also highlight here that there are 2 one-time exceptional items:

One is on the basis of an inventory provision where we were actually going to supply a large reactor from U.K. to China, and the application of this export license was rejected by the U.K., the government. Obviously, we have taken the most conservative approach and provided for the entire order. However, we will be reapplying for the export license, and there is a good chance that this export license will come through. And obviously, at that point of time, we would then provide for this in a deposited manner. The other option for this equipment is obviously we

would sell it to somebody else. And if this export license is rejected again, we would then look at selling to somebody else or then finding another way where we could probably remove the glass and then send it into China and have it reglassed over there. So, there are multiple options there.

The other one is for the acquisition-related expenses, again, one-time and that is to the tune of about Rs. 8 crore. The PAT was also impacted by a one-time mark-to-market forex loss which is a non-cash item. And obviously, in the first 2 quarters, we had a forex gain, but in this quarter because of intercompany loans, we had a forex net loss. In terms of our business performance, our shipment and order intake for the year is ahead of plan, and the outlook remains positive. Our Technologies and

Services platforms are seeing good traction across geographies and our systems business, the opportunity pipeline remained quite strong.

The order backlog as it stands today is about Rs. 2,247 crores, which gives us about 6 to 9 months of revenue visibility. We've also done a large stock in sale order had been fulfilled. 24 vessels have been shipped to Germany. Out of these, 7 have been sold and the reordering of new equipment are in process. At the same time, I would still like to mention that commodity and energy costs do remain a concern. However, we are working on cost control measures across geographies and hopefully, that will help mitigate some of these costs.

In terms of other updates, we recently, as of this morning, completed the acquisition of Mixel France SAS and its wholly owned subsidiary Mixel Agitator Company Limited in France and China. The total consideration for this was about EUR 7 million. Mixel has a revenue of EUR 13.2 million, with an EBITDA margin of about 12%, and the backlog and the business visibility remains quite strong. This is a good acquisition for us as it helps us improve our mixing the portfolio, gives us access to new industries and to new technologies.

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Lastly, I would also like to make a statement regarding the recent liquidity event. DBAG is a responsible shareholder and has been a strong supporter of our business and management team since 2014. The lock-in agreement was between Patel family and DBAG so that DBAG would not exit until the successful integration of the Pfaudler International was completed. This was estimated to be around 3 years.

But as many of you know, we outperformed and completed our 2020 guidance 1 year ahead of plan, and it was hence decided that this was the right time to start DBAG's divestment. The recent liquidity event and sale of nearly 17.3% stake held by DBAG to high-quality investors shows that the strong demand and interest in our business. The Patel family is now the largest single shareholder and have continually increased our stake post 2020. Further, we have also agreed to purchase an additional 1% in the business from DBAG at a price of Rs. 1,700. Regarding the balance stake of DBAG, it will be sold to the right set of investors at the right time.

At this point of time, I would like to now pass on this to Manish, our CFO of the India business, and he will take you through the numbers in more detail. Thank you.

Manish Poddar : Thank you, Tarak. Good afternoon, all. We start with the consolidated numbers. The revenues for Q3 of FY '23 stood at Rs. 792 crores, a decent 23% growth Y-o-Y. EBITDA margin stood at 15% at Rs. 118 crores. This is a 2% increase in the margins Y-o-Y. PAT also is up Y-o-Y. However, in the current quarter, we were hit by a couple of exceptional items worth Rs. 22 crores, first one was the inventory provision of Rs. 14 crores that Tarak explained. This was a GLE equipment shipment plant from U.K. to China. Because of the rejection of the export license, we could not ship it out. And therefore, we took a conservative view of providing 100% of the Rs. 14 crores.

The second exceptional item was on the legal costs on the recent acquisitions and the Edlon sale back proposed of Rs. 8 crore. Apart from these 2 exceptional items, we also had a forex MTM loss of Rs. 18 crores, which is a non-cash item on the foreign currency forex. This is on intercompany loans in Euro and as you know, this quarter Euro appreciated, hence the resultant loss. Again, this is a non-cash item. And likewise, on the YTD performance, revenue stood at Rs. 2,300 crores, up 26%. EBITDA stands at 14.5% at Rs. 335 crores, up 3% margin Y-o-Y. PAT also stands at Rs. 199 crores, up 2.5x versus last year. Therefore, you will observe that we are on track to achieve our guidance for FY '25, which is Rs. 3,700 crores of top line and Rs. 630 cr

ores of EBITDA.

Over to you, Priyanka.

Priyanka Daga : Thank you, Manish. Nirav, we can now open the line for questions.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Utsav Mehta from Edelweiss Asset Management. Please go ahead.

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Utsav Mehta : First one, what is the gross debt as it stands currently and how much of that is in foreign currency?

Manish Poddar : Utsav, the gross debt stands at Rs. 800 crores of which Rs. 400 crores is in the international business, which is obviously all in foreign currency, local currency in those countries. And another \$5 million of ECB, which is there in India. Apart from that, we, of course, have some \$25 million of cash to net debt will be there to that.

Utsav Mehta : And this excludes the employee liabilities, right, pension liabilities?

Manish Poddar : Yes, this is the total debt. This is the only debt to the bank.

Utsav Mehta : I just wanted to understand the Rs. 18 crore foreign currency translation loss on an international debt of Rs. 400 crores, that's almost 5% for a quarter.

Manish Poddar : So, this is not on the bank debt. This is an intercompany loan, a legacy loan once we acquired the business from DBAG itself. This is a loan from a euro entity to a dollar entity. The loan is in euro. So, while the debt gets knocked off as we consolidate between the loan received and the loan paid, the FOREX fluctuation gets impacted because the dollar entity has to pay in euros. Therefore, you would have seen Q1 and Q2, we had a positive impact of Rs. 22 crores, Rs. 22 crores each quarter because the euro depreciated. This quarter, euro appreciated, therefore, there is a loss of in Rs. 18 crores. This is not on the Rs. 400 crores of PFI debt.

Utsav Mehta : Sorry, how much was the gains that were booked in the earlier quarters?

Manish Poddar : 22 plus 22, something like Rs. 44 crores in H1 of this year.

Tarak Patel : So, maybe want to just add for the 9 months, we are still positive, where there is gain on the 9 months

Manish Poddar- Rs. 24 crores, Rs. 25 crores of net gain is still there.

Utsav Mehta : And that gain is in other income, is it?

Manish Poddar : Yes, this entire piece sits in the other income. Just to conclude this point. So, therefore, you see the other income for 9 months is Rs. 37 crores versus Rs. 5 crores. So, majority of that is, as Tarak mentioned is net of gain.

Utsav Mehta : Tarak, you guys have given a sort of a guidepost in terms of the EBITDA that you want to achieve. But I also wanted to understand this Rs. 800 crores of debt, sort of what is the target in terms of bringing this number down? And how will you go about achieving it over the next 3 years?

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Tarak Patel : Yes. Hi, Utsav. So, we have a plan in place. So, the actual number is not 800 because we have cash on hand as well. So, it's lower than that. However, we do have a plan to be debt free by FY '28. However, we believe that it will be sooner than that. We do have some small acquisitions lined up, but nothing significant. So, most of the cash that we will generate now and we have a track record of generating good cash flows. So, I think over time, you will see that the debt number will reduce significantly. And we obviously have a plan to remain below the 1x Debt to EBITDA. And it was lower until we acquired, obviously, the 46% held by DBAG very recently, and then we made this new acquisition in Mixel. But I think over time, you will see that the number will start to reduce and come significantly below the 1x mark.

Utsav Mehta : So, from this Rs. 800 crore number, should I assume will be a peak number? From here on in it should decline?

Tarak Patel : Yes. So, I think that is around where we will be. I don't think this number is going to increase

significantly at all, if anything, you'll see it going down over time.

Utsav Mehta : Wonderful. And one last question from my side.

Tarak Patel : But just to clarify, net debt today is how much?

Manish Poddar : so net debt would be something like Rs. 500 crores.

Tarak Patel : Yes. So, Rs. 500 crore, because we have cash on hand, so the net debt is about Rs. 500-odd crores.

Utsav Mehta : One last question from my side. At the analyst meet, you had mentioned that high-cost inventory, especially in India will be sort of done by the second quarter. And in the third quarter itself, you'll start seeing some benefits of that. But the standalone business in India this quarter has still shown a sort of 50% gross margin and 15% EBITDA margin. So, just wanted to understand how this number will trend over the next few quarters?

Tarak Patel : So, let me just start out by saying that you're absolutely right. We are hoping for some positive impact of metal pricing reducing and old inventory actually moving out. But again, this quarter,

we had a very large shipment of 1 specific job for heavy engineering. So, there is a significant change in product mix. The India team, Aseem and Manish, are both working on improving the margins here in India. Obviously, material costs still remain a concern. We are still about twice the amount it was about 12 to 18 months ago. There has been significant increases. We tried to pass on as much as we can to customers. The heavy engineering business, like we know, is definitely not as lucrative as the glass trend part of the business and the product mix itself is having an impact on margin.

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But we do believe that we have taken some actions over the last few months where the order intake in heavy engineering, obviously, is more profitable. We are working on increasing prices in the glass-lined business. The proprietary products is obviously doing quite well. So, we do have a plan that over the next few quarters, we will start seeing an improvement in margins. Maybe Aseem you want to jump in and just kind of talk a little bit more about what really impacted the Q3 margins here in India and how do you see them going forward?

Aseem Joshi : Yes. Thanks, Tarak. So, Utsav, I think Tarak covered most of the points. I think I'll just elaborate on Heavy Engineering a little bit. As you know, this is a line of business that we've really accelerated this year given the backlog we had. In the last 3 to 6 months, as we have shared earlier, we've been a lot more selective about the kind of orders we take in this business and happy to see the change in the margin and the backlog profile that are starting to be shipped. So, we expect the benefits of that to come really in the following financial year. And at the same time, our filtration drying and systems business, both continue to ramp up as well as the mixing business continue to ramp up very nicely, and we start to see profitability there. I think Manish will just add a couple more points.

Manish Poddar : So, Utsav, just to give you a perspective, heavy engineering was more than 25% of the business this time in this quarter. So, therefore, you see there is sudden spurt in Q3 standalone numbers to Rs. 276 crores vis-à-vis versus Rs. 256 crores in Q2. And on top of it, the major order that we had, the Rs. 100 crore order that we had, Rs. 30 crore was shipped out this quarter in Q3. And we expect the balance leftover of something like Rs. 20 crores to be shipped out in current quarter Q4. And then we're done with that big order where it was really margin dilutive. We did get something like 1% of material reduction impact, had a positive impact in our P&L. However, this was more than done by this higher share of the heavy engineering business. If we take out the heavy engineering business, the rest of the standalone business stands a

t 20-plus percent

EBITDA margin.

Tarak Patel : And maybe just to add in terms of business strategy, we've also kind of taken a relook at heavy engineering. We are kind of thinking of reducing our exposure there, keeping the revenues to a smaller number while filling that factory up with other products like mixing, like proprietary. And hopefully, that will help us also kind of improve the margins coming out of the new facility in Vatva.

Utsav Mehta : Is there a difference in working capital between the HE business and the glass lining business?

Manish Poddar : Yes, it does consume significantly higher amount of working capital, both on the inventory and on the receivables side, simply because on the inventory side, the manufacturing cycle is that much longer. So, GLE would have normally 3 months of manufacturing cycle. HE may go from 6 months, 9 months as well.

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Utsav Mehta: Thank you so much.

Moderator : Next question is from the line of Sandeep Tulsian from JM Financial. Please go ahead.

Sandeep Tulsian : Just following up on the margin question on international side. I think when we had guided originally to improve our margins to somewhere about 16%, the expectation was that although we maintain standard margins around 20%, there would be a significant step up in the international margins, which has kind of played out in the first 9-month period. So, just want to understand where all do you further see scope of improvement in international margins from this 12.7% what is reported in the current quarter? Or do you think largely all of those improvement plan has materialized and this is where steady state margins should sustain?

Tarak Patel : So, yes, I think the international business today is in par with our India business. In the past, India business was accounting to nearly 70-odd percent of our total profit. While today, the international business is nearly as big and as strong as the India business. So, that's definitely a very kind of a heartening situation for us. We also see that this margin in the international

business will continue. Some of the new acquisitions that we've done will only help us kind of improve and maybe grow this margin as well. One of the recent acquisitions that we've done with Mixel, again, mixing is a business that we really are focusing on. We're trying to create mixing as a new kind of business line for us, again, because it really has good margins. It's a technology play, it really helps our customers improve, let's say, batch time, heat transfer, reduced power consumption. So, it's really becoming more and more popular. Again, you don't have too much competition again, and it cross-sells with the blast line very well, right? So, across the board, it ticks all the boxes. It opens up a wide new set of industries, metals and minerals, water, waste treatment, cosmetics, food and beverages, besides chemical and pharma, right? So, mixing for us is something that we really want to focus on. We really want to create a brand, a global brand where we can really be one of the top key players in mixing globally, and that's what we are working towards. We are looking at some small acquisitions that will help us reach this kind of size and scale and hopefully, that's something that we can announce shortly. But generally, in international business, the acquisitions that we've made will only help us improve the margins. Hydro Air has done quite well. We've seen a significant order intake. Again, a very kind of good technology products, again, with high margins. The services businesses are growing, again high margin. Interseal are doing quite well, again very high margin. So, overall, we are quite confident that the international business margins should sustain. You will also note that now internationally in Europe, especially in Germany, we are now seeing prices of the gas

and electricity coming down. So, that's only going to have a positive impact. We've already taken cost reduction measures.

For example, we have gone down to a 4-day work week in Germany which has helped us. So, we are working on a lot of different things. But generally, to answer your question, yes, I do believe the international business will continue to perform and may be even do a little bit better.

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We have our CEO of International business here with us today, so maybe he wants to jump in and just say a few words. Thomas?

Thomas Kehl : Yes. So, thank you very much, Tarak. The international business is going quite well. We're seeing very strong order intake. The inquiries are still at a very high level and we don't see any projects being postponed or cancelled anything from our customers and marketplace. And as Tarak said, we have taken a lot of actions in countering the cost increases in material, energy prices.

However, the overall energy consumption and the cost of energy is less than 5% of the total revenue but the impact is absorbable. And with energy prices coming down now will positively impact us because the current margin already includes higher energy costs that we have been absorbing. And so far, we are looking into, let's say, good foreseeable future on that part. So, overall, business International is intact. Also in the Americas, we have good business activities, a lot of activities going on and the order intake, especially on the service side, is pretty good.

Sandeep Tulsiyan : That's quite elaborative. Second question that I have was on these acquisitions that we had done in India, specifically the De Dietrich facility, Hindustan Dorr-Oliver facility. If you could give us some color how those acquisitions have panned out in terms of ramp-up in production? What are the capacity utilization rates at these manufacturing plants? Where are they in terms of what you envisioned 3 years back to the scale and size that you can grow these businesses which you acquired? A bit more color with some quantification should help over there.

Aseem Joshi : So, this is Aseem. I'll take this one. There are 2 acquisitions that we've done in recent times in India, the De Dietrich plant in Hyderabad and the HDO, Hindustan Dorr-Oliver plant in Vatva, Ahmedabad. We're actually very pleased with the way both these facilities are ramping up. First, the plant in Hyderabad, this is a glass lining plant. The idea was to be able to be local to the Andhra Pradesh- Telangana belt, where we have a key set of customers. I'm happy to report that, over the last 2 years, we have ramped-up production to a point where we were doing roughly 2.5 times what that plant had achieved in the past, in terms of revenue output. So, we're very pleased with the way that developed. And we continue to ensure that our processes are standardized, streamlined and work just like a GMM Pfaudler plant.

At the same time in our Vatva facility, which is a Heavy Engineering factory, again that's ramped-up very nicely. And while we have had the margin dilutive issue related to the order, the production itself has come up very nicely. And so, from operation standpoint, we are quite pleased with the way this factory has done for us as well. Tarak, anything to add?

Tarak Patel : Yes. Maybe that we've added a furnace in Hyderabad, the new furnace in Hyderabad where we have expanded capacity there. We've added some factory space as well. We also are manufacturing some agitators for Mixion in Hyderabad. We've also manufactured new products in Vatva.

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So, we're really using all the real estate as much as possible. We also at the same time just commissioned our big furnace here in Karamsad, 80,000 liters. We have received 6 orders for 80,000-liter tanks. These are the biggest vessels that can

be made in India and the timing was

perfect. Just when we started this new furnace, we actually got these orders for CPVC project.

So, timing was good and we do have the capabilities now to make super large vessel here in India.

Moderator : Next question is from the line of Salil Desai from Marcellus investments. Please go ahead.

Salil Desai : Hi Team, I have a question. Manish, if you can help me understand this. If I look at EBITDA in the International business, this is the number on Slide #21 of your presentation, this is about Rs.

71 crores odd, right, which is the International businesses EBITDA, right? And if look at the EBIT in the overseas business, I'm assuming these are like -to-like comparison and the EBITDA is close to Rs. 14 crores odd, Rs. 14.15 crores. The part of the difference obviously is depreciation, which I did --

Tarak Patel : Salil, we can't hear you very clearly. Can you maybe just slow it down a little bit and speak up a little bit, so we can hear you a little bit more clearly.

Salil Desai : Sure, sure, I'll do that. So, I think EBITDA in the International business is Rs. 71 crores and the EBIT in overseas business, which is part of the segment results is some Rs. 14 .15 crores. So, I'm just trying to see how do we get from Rs. 71 crores to Rs. 14 crores, right? I saw some depreciation could be about Rs. 20 crores odd. But if you could help understand the rest of the bridge, it would be really helpful? This seems like a pretty large difference.

Manish Poddar : So, Salil, you're right. So, if we start with the segmental EBIT of Rs. 14 crores in Q3. So, from that, we add another inventory provision of Rs. 14 crores. We add exceptional legal cost of Rs. 8 crores, so that's Rs. 22 crores, plus we add this FX on the intercompany loan of Rs. 18 crores. So, Rs. 14 crores plus Rs. 22 crores plus Rs. 18 crores makes it Rs. 54 crores, right?

So, that's the basic construct of this Q3. And likewise, if we see like-for-like, Q2 of EBIT said Rs. 69 crores, right? Now Rs. 69 crores had a Rs. 22 crore FX gain, right? So, that Rs. 69 crore minus Rs. 22 crores actually makes it Rs. 47 crore on a like-to-like business-business performance perspective. So, Q2 EBIT adjusted would be Rs. 47 crores, Q3 adjusted EBIT will be Rs. 54 crores.

Salil Desai : And the next question, Tarak, this is for you, now, when you said that since you have some more acquisitions, some planned or thought off. You're looking to add products, geographies, if you can just explain how, I mean, how much more we need to acquire before say the portfolio you think is the complete?

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Tarak Patel : So, this is part of our strategy. So, when I spoke about mixing and mixing becoming a business, a standalone business that we really want to focus on. With the Mixel acquisition, we have now presence in Europe. Mixel has a factory in China. So, we have a presence, automatically in China and through our Mixion Business line here in India, we have business here in India. So, India, China, Europe taken care of, that leaves only the Americas as the place where we don't have a presence, so that's something, but is in the same space as mixing.

So, we want to kind of combine these 4 geographies and have a global mixing platform, where we can go out and we can sell or we can brand under 1 umbrella. We have one focused person. We've actually just hired a person who is going to take over as the Head of the Mixing business for the Company eventually. So, we're giving the mixing a focused and the ability to grow. Like I mentioned to you, the market side of mixing is much, much bigger than glass line. It's a technology play, so high margin business. It's something that involves a lot of simulation, software technology, and a proven track record. So, companies who have supplied equipment in the past, that automatically qualifies you with

large oil and gas project, license the project. So, it really opens up a really wide range of application in that end and the industry that we can cater to. It's very much complementary to glass line. It's also very important today that companies are looking at ways to reduce batch time power consumption, improve heat transfer, improve product quality and yield. So, mixing has become an important part of their efficiency improvement program, right? Most of these Indian companies have 300-400 reactors, but if you can reduce the power consumption of each reactor from let's say 25 horsepower to 15 horsepower, tremendous saving would be possible.

So, mixing is something we are focusing on. Mixel acquisition was the first step. We have something planned as well, something smaller, something not too large. Again, the size of acquisition are not that big, it is between \$5 million to \$10 million range, but some of these acquisitions can double or triple in size, very quickly. And our eventual goal in mixing is to be, at least in the top 3 in the world and that would put us in the \$100 million to \$150 million mark, right? And that will happen eventually in 3 to 5 years from now and that's what we're aiming for.

Moderator : Next question is from the line of Jonas Bhutta from Aditya Birla Mutual Fund. Please go ahead.

Jonas Bhutta : Just trying to put in place the commentary to the numbers. So, basically, what we've seen is in the last 2 quarters, our order intake has sequentially declined from a peak of almost Rs. 990 crores odd down to Rs. 770 crores. But on the other hand, we also heard your comment where you said inquiries seem to be still robust. So, how should we think about this in terms of is this largely a timing issue where client seem to be taking longer or you are seeing genuine slow down while people seem to be talking to you, but there is a general slowdown happening particularly in Europe?

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Tarak Patel : So, I think it's a combination of multiple things, generally the business environment is a bit subdued over the last maybe 2 quarters. I think the Ukraine war, the global inflationary issues and problems going on. But the inquiry still continue, maybe the time they take to finalize has kind of increased. But we are seeing again some kind of a reversal in those trends. We have over the last quarter seen significant project here in the glass line part of our business here in India, like I mentioned to you. Yes, we've seen some slowdown in the systems business internationally, but the opportunity pipeline remains strong. We do expect some large orders to come in, in the fourth quarter.

Luckily for us, we have a large backlog in most geographies, 6 to 9 months, in some cases even more than that. So, that gives us good revenue visibility. We also have the ability now to kind of target some orders which earlier we could not target, now with India being part of the global sourcing program, we are ready to enter new markets like Eastern Europe, Southeast Asia, some parts of Spain and Africa. So, there is a lot of opportunity available. But generally, we have also been kind of selective in terms of what we take and I think one of the things in India especially that we've done that we've kind of been selective both in HE and in glass line.

But glass line has picked up last month and we expect that to pick-up as well. I think the other thing to keep in mind is, well, we said last couple of quarters, we had a large order from heavy engineering, but because of the large backlog that we have in that business, new orders will take some time because we already have our factories full for 9 months. So, we expect orders in HE to come in the next few quarters. And with Mavag for example, our Swiss subsidiary has a backlog of close to nearly 15 to 18 months, right? So, generally, the activity is there, they're still

ill

finalizing new orders. So, there is activity going on in Europe and in the US. India is also picking up. Maybe Thomas, Aseem, you want to add something on what you're seeing in Europe and in India?

Thomas Kehl : So, looking at the European and American activities such as that before, I think they are quite normal on a high levels still. Demand is not really slowing down. I think we have seen the last couple of years and slightly overheated situation, that is coming now back to a normal situation. So, the decision-making process means that customers are not slowing down, more than they have been before. They were extremely fast over the last 2 years and that couldn't hold forever. So, we are not concerned about order intake, about these demand that we see in Europe or in America at this point.

Aseem Joshi : Yes, I think we are seeing as Tarak mentioned a lot of activity, especially in the specialty chemical space, our order book there is actually growing quite nicely on the glass line there particularly. While pharma continues to remain somewhat subdued. Overall, we're pretty satisfied with the way our glass line has done.

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Jonas Bhutta : And just given that we don't have too much of a history of how our order book used to behave for PFI before it came in, given that we're sitting on a backlog of about Rs. 20 crores to Rs. 50 crores odd, and even if we sort of conservatively grow our sales next year by about 10%, we're talking of roughly 3,300 kind of number. With this kind of backlog, what kind of order intake

that you think that we'll have to pull -through so that we can comfortably sort of reach at least 10%? So, it has typically order book- to-sales coverage being 0.7x or there seems to be on the lower side. Just from a historical perspective?

Tarak Patel : No. I think from a historical perspective, I think this is record order book. They used to be much, much lower. In India, obviously, we do try and start the year with at least half the order book of what the year is targeted. So, let's say, for example, if we have a Rs. 1,000 crore revenue target, we should have at least Rs. 500 crores of revenue on-hand. So, from that standpoint, half the order backlog is already on our books. We will book new orders in Q4.

Plus also what you probably don't consider in this is sales and services, right? These are ongoing and these are short delivery items and get booked continuously. So, that will only add to it. So, I think we are quite comfortable from an order backlog's endpoint, that's why I mentioned, we have about 6 to 9 months of visibility. We won't have any kind of urgency in terms of building in orders or dropping prices. We can hold pricing. We know there are large orders in the pipeline. We know large projects here in India that are currently happening. We have good projects on hand in Europe as well. So, overall, I think we are in a strong position, but like there will be cyclicity in the market. There will be ups and down. But our recurring backlog gives us a strong kind of a base to build on.

Jonas Bhutta : And the last one that I had was on margin. So, you mentioned that the heavy engineering piece still has a legacy order book of Rs. 20 crores to Rs. 30 crores, which probably will get executed in the fourth quarter. So, is it fair to assume that the fourth quarter margins of the standalone piece would sort be similar to the Q3 or there are levers there also, which you think will help us better margins there?

Tarak Patel : So, obviously we are looking at internal measures to reduce costs, but I would stick with the current margins that we have been delivering. Obviously, there will be new orders coming in. But again, metal prices again have kind of stabilized now. There has been some talk that it might even go up. So, we have to be a little bit careful. But I think we definitely have

opportunity to

reduce cost internally, Aseem and Manish are working on that. There is currently a procurement activity going on with the help of a consultant to look at large contract and to find ways of buying them more efficiently.

So, all those things will be ongoing, but right now, I don't want to really give you or change that number from last quarter. We do always try and next year hopefully, we have some actions in place, where we can see some improvement in margins during the India standalone numbers.

Moderator : Next question is from the line of Bhavesh from Jeetay Investments. Please go ahead.

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Bhavesh : I just wanted to understand on the valuation front. So, can you just give me a brief on the valuation, what we like acquired the pending or the remaining 46% which we acquired on that front?

Tarak Patel : Manish? Valuation of the 46%.

Manish Poddar : So. I think we have a detailed presentation penned out for this at the time of acquisition. And it compares all about I think both the EV EBITDA multiple, it was 6-6.5. That was the valuation multiple effect, that's what we're looking at.

Bhavesh : And just on the 2014 DBAG one?

Tarak Patel : DBAG had acquired in 2014. They acquired the Pfaudler Group. I'm not sure at that point it was done directly with another Company, what DBAG ended up paying, I have no idea. That's something that is not in the public domain and that was done between NOV, who is an American Company and DBAG. Not sure of those numbers. But the 2020 numbers as well as the 2022 numbers, both have been compared and they are on our website, you can have a look and all the details in terms of EV valuation multiples are all part of that presentation.

Bhavesh : And just one another question that in the chemical side, like is there any segment which we are not catering to other than like agro and specialty chemicals? Is there another sector or profile?

Tarak Patel : So, obviously agro-chemical and specialty chemicals are the big ones. We also do dyes and paints for glass line equipment. In pharma, we do API, basically bulk drugs and API. We don't do formulations really. There are certain applications like fluorination. Anytime you use fluorine, you can't use glass line because it reacts to glass. But besides that, chemical, agrochemical and specialty chemical, will require some kind of glass line equipment in their plants.

Moderator : Next question is from the line of Venkatesh Balasubramaniam from Axis Capital. Please go ahead.

V. Balasubramaniam : I actually had one question for Manish and one question for Tarak. Now, firstly, Manish, last year, if you actually see the fourth quarter results, fourth quarter last year, effective tax rate was almost 60% odd in the fourth quarter. Are we expecting a similar level of effective tax rate in the fourth quarter? This is a question for Manish.

Manish Poddar : So, effective tax rate for the organization stands at 27%. However, there have been fluctuations on the positive and the negative side through the quarters as we've seen. There have been deferred tax reversals and further credit in the last quarter as we saw.

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Similarly, if you look at the current quarter, Q3, you have a PAT of Rs . 19 crores, a reported number. And if you add 27% of normal tax rate, you give us Rs. 5 crores of taxes. And then the FOREX MTM that we spoke about that Rs. 18 crores, that is obviously is non taxable. So, that's a Rs. 6 crore impact. And these are the minor deferred tax accruals and deferrals. And because of that, we come to the number that we have.

V. Balasubramaniam : The other question is to Tarak. Now, obviously you are planning to buy 1% from DBAG fund and I believe that you need some regulatory approval. So, what exactly is this regulatory approval which you are waiting for? And when

does this come to, that is first part of your question and when will this happen, this 1% stake purchase? Secondly, I guess when you actually buy from DBAG, it's an inter se purchase, so it doesn't trigger an open offer. So, does it also mean that when the next round of, the remaining 13% odd percent of DBAG, whenever that comes to the market, you will be looking to buy more? Because if you don't buy from them and you buy from the open market, it might end up causing an open offer. So, are you thinking about increasing the stake even further in the next round? So, if you could provide some color on that, that would be useful.

Tarak Patel : Sure. So, Venkatesh, let me start off first with the approvals required. There are 3 approvals required, the U.K. FDI, French FDI and Italian FDI. These 3 approvals are only getting triggered because we are crossing the 25% mark, when we acquired this 1% stake from DBAG. Those applications have already been made and we expect that and the CCI approval to come sometime in the mid of March. So, we expect those transactions to be completed in the March month, end of March, something like that. When we acquired this 1%, we will cross from 24.2% odd to 25.2%, so we would have crossed that threshold. After crossing the 25 %-mark threshold, we can then free from the market, we can buy from the market to any more acquisitions of shares will not trigger any open offer, because we brought that 25%. Do I plan to buy more from DBAG? Obviously, when that time comes and when DBAG is looking to sell that stake, we will think about it, but right now, my first goal was to cross the 25% mark. I've also mentioned in the past that yes, as the dominant promoter, we would like to be somewhere around the 28% to 30% mark. If that is possible, I would like to do that. Timing, I'm not really sure, but if there is an opportunity to buy something from DBAG, sure, we'll consider it.

Moderator : Next question is from the line of Ronak Vora from AUM Fund Advisors. Please go ahead.

Ronak Vora : When we say our hands are full with the order book of 6 to 9 months, what kind of capacities do we have in hand currently, as in what kind of utilizations are we at and where can we reach?

Tarak Patel : So, I would definitely see that in our India glass line business, we are not at full capacity. India has a backlog of about 6 months. So, there is definitely potential to kind of improve the capacity in India and take more orders like I mentioned to you. Orders have been between choosing and picking orders carefully to make sure that we do a good margin business. But in Europe and the other geographies, we do have a higher capacity utilization and I think the order backlog there is much stronger. They have about 9 months in most of the glass line factories, so there the

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utilization rates are much higher. I also mentioned that we've taken some steps to reduce costs in Germany, where we've gone to a 4 -day work week, but we're still producing the amount of equipment. So, there the utilization has actually improved.

We are also working on a global operational excellence program. So, we have seen significant improvement in our China facility. China is really an area we want to grow market share. We have brand new facility there. We have new furnaces there. They just recently also finished manufacturing 140,000 liters glass line vessels, which is the first time that has been done at the Group. So, we have really big plans for the China facility and hopefully market share in China can increase significantly.

Manish Poddar : Just to add, as I recall from our guidance that we gave, we do not expect to make any significant CAPEX for our guidance of Rs. 3,700 crores. We actually think that we should be able to do something like Rs. 4,000 crores to Rs. 4,500 crores out of the current CAPEX . So, if that answers

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our question.

Ronak Vora : So, basically, currently, your gross block, which is a Rs. 1300 crores can do Rs. 4,000 cores to Rs. 4,500 crores of top line, correct?

Manish Poddar : Yes. Of course, there will be maintenance CAPEX throughout, as we mentioned in the guidance period, in the guidance presentation as well. So, you should expect 2.5%, 3% of CAPEX in our requisite.

Ronak Vora : Yes. I'm just getting rough figures; I don't want to ballpark this time. Secondly, you said that India is underutilized, and we are picking orders. Is it something because the pharma industry in India has been dull, the chemical has been pretty good. So, is it something that there are lack of orders in the market, which is leading to the 6 months of order backlog.

Tarak Patel : No, it's a combination of multiple things. I think one is that most of our furnaces in Gujarat are on gas. So, we try not to use the gas furnaces and use it at spot rate basis, so we try and consume the gas which is at the lower prices. So, we don't need to over kind of extend and use this furnace 24/7. So, we've been a little bit conscious about that.

Plus, we now have the Hyderabad facility, which also has capacity, like you rightly said, there has been a little bit of a slowdown when it comes to pharmaceutical, but then the agrochemical and specialty chemical sectors are making up for that shortfall, right? So, there are large projects in the pipeline, PI industries, and PP 12 and 13 is coming. SRF just announced a new agrochemical plant. Meghmani is putting up a CPVC project. These are all large reactors. Deccan Fine Chemicals is expanding as well. So, there is no shortage of orders. Expansions are happening. India will continue to invest in chemical and pharma. Obviously, in the past, earlier on, maybe if you look back 10 years, pharma used to account for nearly 60% of our glass line business, today only account for 30%. So, pharma has definitely slowed down because we

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replaced it by chemical. Hopefully, pharma will start coming back and that will also add more orders coming into the market and it would definitely be more business for us as well.

Moderator : Next question is from the line of Rohit Ohri from Progressive Shares. Please go ahead.

Rohit Ohri : Two questions. The first one is related to this holding of Pfaudler Inc. So, is there any binding clause or binding agreement or contract because we had some of these contracts in the past for 3 years. So, are there any more contracts or are they willing to extend it going forward?

Tarak Patel : No. So, there is no real contract in place. But again, I mentioned that DBAG is a responsible shareholder and they will only sell when the time is right and with the right set of investors. So, again, there is no specific timeframe. As and when the demand is there, the right price and the right set of investors, we would like to do the transaction. And obviously, the private equity investors, they have a financial timeframe that's been announced in 2014. It's already now nearly 9 years. So, the timeframe is probably at the end of the timeframe. So, when we find the right position for them, I'm sure they will be looking to exit and at the right time.

Rohit Ohri : And if you can just share like what is the timeline? Is it like September or October?

Tarak Patel : So, I can't really say any timelines right now. There is no specific timelines. Again, it all depends on what happens in terms of the demand, the interest levels. So, as I said, at the right time to the right set of investors, we will then plan that sale accordingly.

Rohit Ohri : My second question is related to the split if you do in the segments and sub-segments. We see that the standalone and international has been reducing in terms of the percentages for technologies. And on the same hand, the systems and the services is growing and

it is inching

slightly more towards the north side. So, any guidance you would like to give on this or will this trend continue with technologies becoming slightly weaker and system services going towards the north?

Manish Poddar : Maybe Tarak and Aseem and Thomas can explain. Just to give a perspective, technologies is growing naturally slower than systems and services because systems and services are the new businesses that we have. So, it's all relative because ultimately the pie has to stack up to 100.

Thomas Kehl : Thought you said it very well, Manish, thank you. This is our core business where we have high market shares in all the regions. And therefore, we grow consciously with the market. We are not growing the market share at any price. We mentioned selective decisions on what orders we take and whatever we're not going to take. And the other segments are our pure growth segments where we are investing in capacity and also in M&A. And those are the segments where we are looking for growing the pie and getting to the piece of the pie and they're naturally as Manish said, both ways we expect to be significantly high.

Moderator : Next question is from the line of Jaiveer Shekhawat from Ambit Capital. Please go ahead.

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Jaiveer Shekhawat : One question. If I remember right, I mean in the previous call, you had mentioned that the reason

why you're not participating, especially in the kind of orders that your domestic competitor usually gets into is because these are on the lower end of the F&D. Now when I look at their margins, that is whether be the gross margin or the EBITDA margin, they seem much better despite having the higher mix of that lower end of F&D. So, could you just help me understand and probably provide your perspective as to how probably they are able to make better margins, despite being on the lower end?

Tarak Patel : I'm not sure what you're speaking about, but in terms of glass line , obviously, we are the market leader. In F&D, filtration and drying, we are definitely not the market leader, and we focus on the high end of any kind of filtration and drying which requires technology, that's what we're really focus on. I mean, I have access to my competitor 's numbers, I don't really know how and why those numbers are the way they are. What we can tell you is that being a market leader, we drive price.

Price is important for us, and we make sure that we will only do business in the glass-lined segment at a price that makes sense to us as the price leader, and we do command a premium when it comes to glass-line because of our quality and our technology. Even in the F&D business that we do, we have specific products like the spherical dryers , glass lined ANFD, like V CD, again, very specific, very kind of critical. And hence, again, the margin profile there is significantly better, and that's what we really focus on.

Moderator : I now hand the conference over to Mr. Tarak Patel from GMM Pfau dler for closing comments.

Tarak Patel : Thank you very much, everybody, for joining the call. Have a nice weekend, and we will talk to you after our Q4 results. Thank you very much.

Moderator : Thank you very much. On behalf of GMM Pfau dler Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Jun 2023

GMM Pfaudler Ltd.

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GMM/SEC/202 3-24/22 June 2, 202 3

To,
BSE Limited NSE Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, C -1, Block G,
1st Floor, Dalal Street, Bandra Kurla Complex, Bandra (E)
Mumbai – 400 001 Mumbai – 400 051

Scrip Code: 505255 Symbol: GMMPFADLR

Dear Sir / Ma'am ,

Sub.: Earnings Call Q 4 FY23 - Transcript

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended March 31, 202 3 conducted on May 26, 2023, for your information and records.

The above information is also available on the website of the Company .

Thanking you .

Yours faithfully,

For GMM Pfaudler Ltd

Mittal Mehta
Company Secretary & Compliance Officer
FCS No.: 7848

Encl: as above
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"GMM Pfaudler Limited
Q4 FY '23 Earnings Conference Call "
May 26 , 202 3

MANAGEMENT : MR. TARAK PATEL – MANAGING DIRECTOR , GMM
PFAUDLER LIMITED
MR. THOMAS KEHL – CHIEF EXECUTIVE OFFICER

(INTERNATIONAL BUSINESS), GMM PFAUDLER
LIMITED
MR. ASEEM JOSHI – CHIEF EXECUTIVE OFFICER
(INDIA BUSINESS), GMM PFAUDLER LIMITED
MR. ALEXANDER PÖMPNER – CHIEF FINANCIAL
OFFICER (INTERNATIONAL BUSINESS), GMM
PFAUDLER LIMITED
MR. MANISH PODDAR – CHIEF FINANCIAL OFFICER
(INDIA BUSINESS), GMM PFAUDLER LIMITED
MS. PRIYANKA DAGA – DGM STRATEG IC FINANCE ,
GMM PFAUDLER LIMITED

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Moderator: Good day Ladies and gentlemen, good day and welcome to the GMM Pfaudler Q4 and FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation con cludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Priyanka Daga from GMM Pfaudler. Thank you and over to you.

Priyanka Daga : Thank you, Ryan. Good afternoon, ladie s and gentlemen. A very warm welcome to all of you into the Q4 FY '23 Earnings Call o f GMM Pfaudler Ltd.

The earnings presentation was uploaded on the Stock Exchanges last evening and is also available on our website. Hope all of you had a chance to go thr ough it. From the management, we have with us our Managing Director, Mr. Tarak Patel; our CEO of International Business, Mr. Thomas Kehl; our CEO of India business, Mr. Aseem Joshi; CFO of International Business, Mr. Alexander Pömpner ; and CFO of India bus iness, Mr. Manish Poddar. We will give you a brief overview of the performance of the company, after which, we will get into the Q&A. Before we begin with the overview, a brief disclaimer. The presentation which we uplo aded on the stock exchange and our we bsite, including of all discussions that will happen now, contains or may have certain forward -looking statements regarding our business prospects and profitability, which is subject to certain risks and uncertainties. The actual results could materially d iffer from those in such forward -looking statements.

I will now hand over the call to Mr. Patel to provide an overview of the performance. Over to you, Tarak.

Tarak Patel : Thank you, Priyanka. So let me start off with -- by giving you a snapshot for the financial year that we've completed. We closed the year at INR 3,178 crores of revenue, a significant increase over the previous year number , INR 431 crores of EBITDA, which translates to a 13.6% EBITDA margin , INR 235 crores of profit after tax, which tra nslates to a 7.4% PAT margin, EPS of about INR 43 or so.

The order intake for the year also was quite strong and we did about INR 3,392 crores of order intake, which translates to a current backlog on April 1, 2023, of INR 2,162 crores. This backlog is quite evenly spread between the international and the India business. The International business has a current visibility of about 8 to 9 months in most geographies, with certain geographies having even a longer backlog.

For the India business, we have about a 6 to 7 month s of backlog. And we are quite confident that, going forward, from what we've seen in the beginning of this year, th e order intake continues to remain quite strong.

Like I mentioned, the revenue growth was in excess of 20%, which was driven by the international business, which grew at 21% and the India business, which grew at 32%. The main drivers of the order intake we re basically our technology platform, which includes glass -lined
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equipment, filtration & drying, mixing and heavy engineering, and also on the services business. Our systems business, which has a very strong opportunity pipeline, continues to remain behind the budget. But we expect that in the coming months, some of these orders, which were actually going to be finalized, will now get finalized. And that will give us a nice bump to our order intake as well.

The profitability in the international business ha s seen a significant improvement. It is now close to about 11 %. When we acquired the international business, we had an EBITDA margin of close

to 7.5% to 8%. So the International business has performed quite well.
The I

ndian margins obviously have remained quite stable, 15 %. And we have seen some pressure on the India margins, mainly driven by higher input costs and a slight slowdown in investments in both chemical and pharmaceutical.

Some of the other highlights for the year, both our factories in Vatva and Hyderabad are fully up and running now. These facilities accounted for more than INR 300 crores of revenue. Do keep in mind that not a very long time ago, both these factories was zero in terms of revenue. So we are quite happy with the startup.

We've completed an operational excellence program in Vatva. And now we have actually started one more operational efficiency program in Hyderabad as well. Cost reduction measures continue across geographies. We have seen some stabilization in India, especially on the metal prices. We've also seen a steep reduction in energy cost starting this quarter as well, mainly natural gas. So that's going to give us a nice positive outlook for the year.

And one of the higher kind of materials that goes into glass lining, which is the lithium carbonate, has also seen a 50% reduction in cost. So, if these costs continue to remain at this level, that would obviously have a positive impact on profitability as well. In terms of some manufacturing highlights, we recently manufactured India's biggest glass-lined vessel, 80,000 liters. We have a backlog of more than 5 or 6 of these large sizes currently in our factory. And our Chinese facility also manufactured probably the world's biggest glass-lined vessel, which is about 140,000 litres.

From a corporate perspective, we've completed the balance acquisition of the 46% of GMM International; 100% is now owned by GMM Pfaudler Ltd and all the profits now accrued to the share holders of GMM Pfaudler. During the year, we also completed the acquisition of Hydro Air Research in Italy, JDS Manufacturing in USA and Mixel Group, which has factories in France and China.

So in terms of outlook, we are quite positive with our outlook for recast. We expect the growth rate to continue in the same region of maybe about the 15 %. From a margin perspective, we also do plan and we do hope to see an improvement in the current margins, which currently stood at 13.6%. We do plan to increase this margin, which will be driven by both improvement in margins in the international business as well as in the India business. Manish, over to you, please.

Manish Poddar : Thank you, Tarak. Good afternoon, ladies and gentlemen. On the results, as Tarak mentioned, we ended the year on a strong note, with INR 3,178 crores of revenue, 25% higher Y-o-Y and GMM Pfaudler Limited

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an EBITDA of INR 431 crores, 52% higher Y-o-Y. We also achieved an EBITDA margin of 13.6%, which is 1.5% higher than last year. Last year, we at 11.2%.

On the quarter as well, Q4 ended up with 24% higher revenues Y-o-Y at INR 866 crores and 34% higher EBITDA at INR 96 crores. On international business, the EBITDA margins would improve by 0.5%, if we exclude the three new acquisition entities performance of HARI, JDS and Mixel. Therefore, we are absolutely on track to surpass our FY '25 target of INR 3,700 crores of revenues, EBITDA of INR 630 crores and ROCE of 25%.

For the quarter specifically, payroll cost was higher for the international business. This is an accumulation of 3 factors. There were 3 new acquisitions that we just spoke about. Also, the annual increment cycle on the international business starts on 1st of January. So therefore, you will expect increment on Q4 over Q3 and there were a few one-time payments as well.

On the similar lines, other expenses were higher due to the new entities and the annual catch up of the facilities expenses. Order intake, already, Tarak has already spoken about. On cash flow, specifically on slide number 11 in our presentation, there are a couple of callouts, I just wante

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to share with you.

As part of the global POC alignment, there is an increase in the unbilled revenues for this year.

This is a major portion in the negative INR 248 crores working capital number that we see in slide number 11. The second piece is due to the addition of the three new entities, the profit accumulated was only for 2 to 3 months. However, working capital being a balance sheet item was added for the full year as a closing balance sheet item. So, these two items are distorting the cash generation picture as we see in the numbers.

If you eliminate these two items, we have a healthy free cash flow of 50% vis-a-vis the EBITDA.

On the similar line, on the standalone cash flow, refer slide number 25, we have shown the annual cash flow into two halves to reflect upon the improvement in the working capital in India in the second half. And we believe that we can continue this journey of improving the working capital for additional 3 to 4 days in the upcoming years. Over to you, Priyanka.

Priyanka Daga : Thank you, Manish. Hi Ryan, we can probably now open the Q&A session.

Moderator : Our first question is from Venkatesh Balasubramaniam with Axis Capital. Please go ahead.

Venkatesh B.: Thanks for the opportunity. I had a few questions. So the first one is, in the fourth quarter, there was a dip in the international margins quarter-on-quarter. I think last quarter, I think we were at 12.7%. We have moved down to 8.9%. That's a sharp decrease. Now this dip, is this like a cyclical thing that every year, we will have a dip in the fourth quarter on the international side? Or is it just like we had something specifically negative in this quarter, which pulled down the margins? So that is the first question.

Tarak Patel : Sure. So Venkatesh, let me start off and then, both the CFOs are here, who can also jump in. But yes, so I think the way that you should look at it or company should look at it that internationally, historically, fourth quarter has always been weak in terms of margin.

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Usually, there are two reasons for this. One is obviously, as Manish mentioned, that the new increment cycle in international business starts on January 1. So you will always see that kind of bump up happening. But also, there is sometimes the catch-up cost that you have in some of the factories, which gets allocated right at the end of the year in Q4.

So our expectation is that international business margins will stabilize to the earlier numbers in Q1 and Q2 and so on and so forth. This is obviously a phenomenon that will continue. And you can always kind of probably building the fact that Q4 in the international business will always be slightly lower than the past 3 quarters. Maybe, Alex, do you want to jump in and just...

Alexander Pommer : Hello , exactly what just Tarak said and in general, if you look on and let me say, 12-month basis, we definitely confirm that we are on track with our growth trend in international business.

Venkatesh B.: Okay. Okay. The second question, I think what you said that this year, you are expecting around roughly 15% kind of top line growth. Do you have like a margin guidance target, whatever ; what you can get to this year in terms of consolidated margins?

Tarak Patel : So, I would say that the international business is currently tracking between 11% to 12% or so.

We would expect 100 bps improvement there, somewhere in between that. At least, that's the minimum that we are targeting. And we are quite confident that we can achieve.

India is around 15% to 16%. We are also hoping or expecting an improvement there in the same kind of range. These are conservative estimates and obviously, if our cost efficiency, energy cost, metal costs continue to go down, if there is a kind of an improved, I guess, investment cycle that gets kicked in this will obviously add to that. But

there are currently quite a few measures

that we have taken, both in India and internationally, to make sure that margin improvement is a prime focus within the group.

And looking at the order inflow in Q1 and our expectation for Q1 shipment as well, we are quite confident that margins would normalize to earlier levels, if not improve upon them.

Venkatesh B.: Okay. Okay. Now just on -- if you could spare some thought on this aspect. I think you had guided for around INR 3,700 crores top line for FY '25 and around INR 630 crores EBITDA.

That basically means 17% EBITDA margins in FY '25. We are currently at 13.6%.

Looking at your numbers, it looks like achieving the top line guidance will be very easy, whereas the margin guidance looks a tad bit tougher, 13.6% to 17%. Is it more like given that the top line is higher, we don't need to get to 17% margins to get to that fix. And that is what is the plan? Or we will get to the 17% margin irrespective of the higher top line, which we might end up achieving?

Tarak Patel : Yes. So when we put out the guidance with a revenue number of INR 3,700 crores, like you rightly said and INR 630 crores EBITDA number and a 25% ROCE, I think we are on target to achieve all 3 of them.

Obviously, the INR 630 crores is not going to mean that our margin can be as low as, let's say 10% and we do like INR 6,000 crores of revenue. So that's not going to happen. But it is going

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to be exactly 17% or not, that's something that really is something I can't really commit but INR 630 crores is something that we will definitely do.

How much of revenue that requires? We obviously hope that it requires something very close to INR 3,700 crores because that's our internal plan and that's the target. We do have some challenges that we are facing currently in the market, in chemical and pharma here in India. But we are quite confident that when the cycle will turn and we have enough visibility to make sure that we have a few quarters before the cycles return and the kind of action plans that we have

for the next financial year, we believe that we will be very close to all these 3 numbers. Having said that, it's a good opportunity for me right now to also just give you a little bit of outlook in terms of what we are hearing from both chemical and pharma. So chemical and pharma both are seeing a challenging environment, some headwinds. But we do expect a strong recovery at the end of this financial year end of this year rather, the calendar year. Many of our pharma customers are now looking at large capex for the investments. And most of these will start sometime in the end of 2023, early 2024, because a lot of them are planning for the cycle ; the ordering cycle to turn, which is expected sometime in mid -2024, 2025 .So I think that's something that we will see.

Chemical is seeing a slightly slower order intake right now here in India, but we do have a large kind of opportunity in pipeline. So , we believe chemicals will also start ordering again. And with the backlog that we have, obviously, we believe that we are quite in a comfortable position. Internationally, both chemical and pharma have remained kind of stable. But Thomas, if you could just jump in and give an overview of the German market as well.

Thomas Kehl : Thank you, Tarak. This is Thomas Kehl. Yes, I think I can only second that, that the markets, the chemicals and pharmaceuticals in Germany and in Europe, especially are very strong, so growing. We are experiencing, not only in Germany but in other countries in Europe, still a shortage of basic medicals, especially treating children. That's why the government to motivate and incentivize the pharmaceutical industries to invest locally in Germany and in other European countries and that will go on for quite a while. That will be seen this year, next year and maybe the years a

fter. And this is something that we feel very strong about. We are well positioned to serve those markets and industries and expect that demand to be strong.

In chemicals, we have seen some chemical companies making plans to move to another regions, like BASF, with some of their products. However, those products that we are making in China in the future are not related to the equipment that we make, fortunately. In the chemicals that we serve, the demand is right now at a normal or normal plus level, I would say.

Venkatesh B.: Okay. Now just a couple of other data questions. I think first 2 quarters of this year, you had like a INR 22 crores kind of FX gain in the other income. Third quarter, you had an INR 18.5 crores loss. In the fourth quarter, did you have a gain or a loss?

Manish Poddar : I don't think this is a substantial number.

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Tarak Patel : Yes, I think it was kind of small, nothing significant.

Manish Poddar : Nothing significant because the euro dollar did n't move and that was the biggest lever in the first 3 quarters, actually. And that's why we didn't want to call it out separately because it's business as usual.

Venkatesh B.: Okay. One last question from my side. What is the expected effective tax rate for the overall consolidated entity for the next year? Some kind of broad range would be helpful.

Tarak Patel : So on a go-forward basis, it should be something like 26%, 26% to 27%.

Moderator : Our next question comes from Sandeep Tulsiyan with JM Financial. Please go ahead.

Sandeep Tulsiyan : First question is regarding all these acquisitions that you made in the last financial year, that's JDS, Mixel and Hydro Air. If you could give some sense, where are the capacity utilizations across these plants today, when we acquired? And over the next 2 to 3 years, what kind of additional revenue generation capacity these plants have? And out of that, how much you look to add within the INR 3,700 crores target that has been mentioned?

Tarak Patel : Right. Sandeep, so let's just go through quickly the acquisitions. So like I had mentioned earlier, we closed 3 acquisitions this year. Hydro Air was kind of done earlier during the year and that company currently does about \$7 million to \$8 million of revenue, has been performing quite well and we expect that company to at least double in the next 3 years.

This company, in terms of manufacturing capacity, is an engineering company. So it doesn't really have or need any kind of capacity or capacity utilization numbers, because they basically just order things from different vendors, put the entire thing together and then sell it to the customer. So no real factory that is linked to this acquisition.

We bought a small company in the south part of the United States, near Houston. This is a glass - lining spare parts and reglass facility. We wanted to be closer to the chemical zone in Texas and this puts us very near to that. That is currently under the start-up phase and we expect that, over the next few months, we will get that started up. And that we'll be able to cater to that local market as well and improve our spares and services business on that site.

Lastly, the Mixel acquisition was completed only in February this year. So we only had 2 months of revenue that we have accounted for. Having said that, the backlog in that business continues to remain strong. Mixel is an important opportunity for us because it fits into our overall global strategy of really growing our mixing business into something or something as big as glass line.

So that fits in quite well.

We are already seeing synergies between some of our units and Mixel as well. The idea is to now to kind of put it under one global brand umbrella and launch that brand as a mixing platform, for us. So that company currently does about, about EUR 15 million. Has a strong backlog. And

again, we expect that this business will at least double over the next 3 to 5 years. And that's the idea. And that's pretty much how these 3 acquisitions are going.

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What we are also doing is we are not adding a lot of capacity or new people. We want to use the same kind of factories across new geographies but have more throughput. And we have more material moving to these factories by moving some of the production either to India but also moving a lot of the engineering, documentation, calculations and stuff to India.

So one of the things that we are just starting and we have just recently launched within the company is the India engineering office, where we are going to now look at bringing in people to take off and do some of the non-value add; not really non-value add but non-critical maybe work that is done in some of these western countries, which will also help us improve our costs.

Sandeep Tulsiyan: Got it. Second question is on your related party transactions, which you disclosed, when you look at the scene, it's gone up materially in the last year, somewhere in excess of INR 500 crores is the sales we do to our other group entities. And of course, there is an overall plan to shift some of the manufacturing to India factories, which were underutilized at that point in time.

So if you could just give us a sense of how this ramp-up has happened? How should we reintroduce more, this whole like now that you're shifting manufacturing from China, Germany and U.S. to India and try to take advantage of the low-cost manufacturing. And from INR 500 crores, how should this number pan out over the next 1-2 years? If you could give us some broad outlook.

Tarak Patel: Yes. So the related party numbers do include a lot of intercompany sales that we do within the group as well. Obviously, our stock and sale program that we currently have with Germany, I think that's a key driver to that. We are also doing a lot of job work or orders for some of the other Pfaudler units. Only this year; in this financial year, in Q1, we received a large order from the U.S., a company called Cargill. This is for heavy engineering equipment that is going to be made here in India.

So, there is quite a bit of work that's being done. We also now do work for Mavag. About 80% of Mavag's manufacturing is done locally here in India. On top of that, we have also supplied quite a few; yes, but that was earlier, but we've also supplied to other units as well.

I'm not sure; I don't have the break up with all the related party transactions with me. But if you want an exact number in terms of what it used to be and where it's increasing, we can give that to you, just offline..

Maybe, Aseem, you want to just talk a little bit about the India sourcing program right now and some of the stuff that we are working on?

Aseem Joshi: Sure. Sandeep, as far as sourcing from India is concerned, I think Tarak talked about it. I'll just take a minute to explain how we're thinking about expanding that portfolio.

As we had discussed in the past, for our glass line equipment's we have, over the past 1.5 years, started exports from India. So two things, one is to cover underpenetrated geographies, especially Southern Europe, Eastern Europe, Southeast Asia, kind of locations. As well as have a stock and sale program, which Tarak had talked about in the past. So that has started, has gone

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off successfully with the number of equipment that have shipped and we have a standard cadence going of things manufactured in this past year.

In addition, for our other product lines that cover the systems and non-glass lined portfolios, we also find opportunity to manufacture in India and sell into other geographies. And a good example is oil and gas opportunity we had in China, fairly large, about 7

million, I believe in

sales value, where the relationship is in China, the manufacturing is in India but the engineering is in the U.S. in this instance. So, it's a good example of where we can leverage our global strengths wherever they exist to be able to serve our customers better and we continue to drive that.

Sandeep Tulsiyan: Got it. Just lastly, if you could quickly give some perspective on this debt capital allocation. Of

course, you've been very aggressive in acquiring companies as well as adding capacities here in India for last 3 years. How should we look at the capex number going forward for the next few years on an ongoing basis? Will it be more acquisitive? Or will it be more expanding the existing facilities?

Manish Poddar : Sure. So Sandeep, last 2 to 3 years , we have acquired capacity in Hyderabad and Vatva , as you know. And for our guidance period of FY '25, for achieving INR 3,700 crores, we have sufficient capex . And we generally believe that we can probably do closer to INR 4,000, INR 4,000 -plus crores of the turnover out of the existing capex infrastructure that we have.

Of course, maybe 2 %-2.5% of maintenance capex every year on a sustainment basis will definitely be needed. But no enhancement capex is planned for any deliveries up to FY '25.

Moderator : Our next question comes from Nitin Agarwal with DAM Capital Advisors. Please go ahead.

Nitin Agarwal : Just a couple of questions on the Q4 results, you have two line items. One is on the cost of goods and the other expenses. There is a meaningful change on a Q -o-Q basis. Is there a seasonality element to either both of these elements? If you can just help us explain those 2 elements? The COGS has gone up quite a bit and the other expense is also up quite a bit on a Q -o-Q basis.

Tarak Patel : Yes. So like I mentioned there is seasonality. There is always some margin reduction. If you look at the last year numbers as well, the Q4 numbers were lower by about 100 to 200 bps because of the seasonality. We have an increment cycle that kicks in on January 1 st. So that's something, we had a couple of one -off payments that we had to make.

Manish Poddar: And yes, basically, that's on the payroll side. And of course, the 3 new entities come up and their expenses do distort the picture on a comparative quarterly basis. And on the other expenses side, like we said, there are annual facilities catch -up expenses that happen. And therefore, probably the full year is a right reflection to see, on a consistent basis, how do we expect these numbers to go ahead.

Nitin Agarwal : And in our GPMs, how do we account , what is the impact of the metal price movement that typically gets passed through as a inventory loss, again, typically in our gross margin line through the quarter?

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Manish Poddar : So there's a concept called MAUC, moving average unit cost. So every time you purchase a inventory, the existing inventory gets re -rated to the new pricing. And therefore, you can see that last year, we had the price benefit in the first half in the price and that the reality struck in the H2, and therefore, you had a margin improvement increase in the H1 last year and H2 in the subsequent period. So , every time we buy a new material, the inventory gets impacted by the total COGS on the average basis.

Nitin Agarwal : Okay . And lastly, in terms of the recent acquisitions you've done, they're fully accounted for from Q4? Or there is some element, which is yet to be captured in the number?

Manish Poddar : Yes, they have been fully accounted for in this year. Of course, the PPA , as the accounting concept allow us for 1 -year period, to do the PPA revision. We don't expect any material numbers coming out of that from either of the 3 acquisitions. But otherwise, yes, they are now pretty much part and parcel of our revenues and asse

ts and JDS and Mixel and all, except the

revenue is only 2 months. Yes , Mixel is just 2 months. HARI started in the first week of August.

JDS, end of this November.

Tarak Patel : But it's not even started production, yes, we are not getting any kind of revenue. It's a cost with no revenue coming in.

Manish Poddar : Exactly. Exactly. And that is the reason that on a like -to-like basis, if you exclude these 3 entities, where the international margin is higher by 0.5%, maybe.

Nitin Agarwal : And lastly, what is our annualized interest costs now in the current environment?

Manish Poddar : Yes. So I think we have been , because of the healthy financials that we enjoy, the weighted average cost of capital is at 7.7% sub 8% on a global basis. And India also is at 8.3%.

Nitin Agarwal : So about 8%, 8.5% on average ?

Manish Poddar : Yes, on a global basis, we are at 7.7%. India, we are at 8.3%.

Moderator : Our next question comes from Rohit Ohri with Progressive Shares. Please go ahead.

Rohit Ohri : Tarak, two questions and two parts to that. The first one being, we have been speaking about bioplastic, bioproteins and certain mock meats which are currently small industries, have a lot of potential to grow. So what is GMM Pfaudler doing over there in that domain? And secondly, if you could share some more details on the EV space and GMM Pfaudler playing a role in that?

Tarak Patel : Yes, I think Aseem will have .

Aseem Joshi : This is Aseem. I'll take the question. So yes, we are closely watching these and other mega trends. You mentioned 2 of them, bioproteins and then lithium. We actually have opportunities in both those areas.

As far as bioproteins goes, the HARI acquisition that we made last year has some very interesting

a couple of leading players in that space in Europe. And we are very hopeful that we can expand in Europe.

As far as lithium is concerned, there, too, we have a play, we are actually exploring what else we can do. But we already have a large project. I think it was about \$10 million of acid recovery, which is already installed in our systems business. This was a project we won in Korea for the acid recovery for a lithium plant.

So, our acid recovery solutions traditionally have gone into chemicals, explosives kind of applications, minerals kind of applications. But thanks to lithium, thanks to some of the environmental norms that are coming in that apply to the power industry, we see additional segments where we can apply these technologies.

We have, for example, in India, an order that we are executing now for Hindalco for a power plant. This is a flue gas desulfurization application where sulphur is removed out of flue gases, and that neat sulphuric acid that comes out of it is then compensated up so that it can be reused or it could be used or sold into the market. So, it's an exciting area for us and we're keenly following the developments in this space.

Rohit Ohri : Okay. Tarak, GMM has become a global organization with 16 manufacturing units across the globe. Somehow, if you see the world map, we see GMM Pfaudler, everywhere, except for Japan and ANZ. So do you think that these markets are not lucrative for our portfolio since we don't have our presence over there?

Tarak Patel : So, okay. So firstly, let me just clarify that even though we have a lot of dots around the map, all of them are not manufacturing facilities. There are about 8 key manufacturing facilities. Some of the other sites are small, kind of engineering offices or kind of centers where we kind of bring in stuff and just kind of assemble and things like that.

So, yes, so 8 is really big ; that are big sites but very few manufacturing sites around the world, a few of which are in India and one of which is in

China. So, 4 really for the rest of the world.

Now in Japan, we already have a relationship and have had a very strong relationship with a Japanese manufacturer of glass line equipment, a company called Kobelco Eco -Solutions. In the past, we currently have also supplies that we supply to them, which we buy from India and we sell in the local Japanese market.

Keep in mind that Japan historically has been a very closed market. They usually buy only Japanese equipment and there are currently 3 manufacturers. So, there is no real need for us to penetrate and it's quite, it's kind of tough also to penetrate the Japanese market. Having said that, because of our relationships in Japan, some of our products are already being sold there. The Japanese company also buys the pharma glass, the glass that we actually spray onto the reactors, from us. It's the Pfaudler glass that we sell in Japan.

So the Pfaudler brand name is quite popular in Japan as well. So indirectly, we are there in Japan. Directly, it doesn't make really a lot of sense for us to kind of go in and try to take over or be a part of the Japanese market. Our real focus now in terms of glass line growth is going to be really GMM Pfaudler Limited

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the China market. The China market for us is something that we probably have a much lower market share than the rest of the world. The China factory was started about 1.5 years ago. It's fully operational now. They're fully up and running. The momentum is very strong. We have good people there, a good site director as well. So, China really can double or triple in the next few years and that's where we have a focus and hope.

Rohit Ohri : Okay. Okay. And my last question is, probably Manish can take it. You did touch up on the fact that with the current capacity, we can be around INR 4,000 crores or so. And your target is INR 3,700 crores. My question is, are you looking at INR 5,000 crores by '27, '28 growing at around 14%-15% CAGR?

Manish Poddar : Tarak, do you want to take that?

Tarak Patel : So unfortunately, since the guidance has already been given for 2025, I think the first order of business for us is to achieve that and then re-guide. We obviously have internal targets. We have built some kind of internal plans. It's right now, too early to share what those numbers are. But I believe that, as a company, we would like to obviously grow and continue to grow.

We would also like to improve margin and really look at both of these as opportunities, both through organic as well as inorganic growth. So that's really the idea. And we're keeping a close

eye on our markets. We also are looking to diversify.

So, if 1 or 2 industries were to slow down, we always have buffers in place. I think one of the things that you will also see now and this is a question that I used to get quite a bit about acquiring international businesses because most Indian companies who bought international businesses haven't done so well. But I think this year, you will also see that the international business is helping us significantly both in terms of revenue and the profitability.

So, let's say, for example, if India were to slow down for the next 6 -9 months, I'm still confident that the numbers will be met because the international business, with such a larger part of it coming from services and aftermarket, we will still continue to make those numbers.

So, we have a kind of buffers in place. We have de-risked only from our India focus to now having really a global refocus, which makes, you know a little bit more comfort around the fact that these numbers will be made either through some certain geographies or business lines if one or the other ones were to slow down.

Moderator : Our next question comes from Ashit Kothi with Investore . Please go ahead.

Ashit Kothi : Just 2 questions. One is Hydro Air, you said is more of an assembling uni

t. So isn't that, that

kind of activity would get transferred totally to India? That is one. And you have shown, I think, around INR 333 crores odd amount as a debt, which is majorly used towards increasing the stake of 46% buying out that 46%?

Tarak Patel : Yes. So let me first answer the Hydro Air question, and then you can take the debt question. The Hydro Air question, the idea so Hydro Air, well, it's a \$7 million to \$8 million company, is very localized. It caters to certain parts of Europe, Italy, Germany, Switzerland.

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The idea of this acquisition was obviously to bring Hydro Air into, so we increase our product portfolio. We add new businesses and new industry that we can cater to. However, the real benefit will come now because Hydro Air has access to the Pfaudler's global network. The European business will still continue to cater to the Europe and U.S. markets. However, for India and China, we will now do the manufacturing, both the technology and the engineering will be done by the Hydro Air in Italy . However, the local cost structure of manufacturing and assembly will be done in India and China so that we can obviously compete more with the kind of local competitors that we would have and bring our cost down significantly, right? So that's the idea. We have also quoted recently some of these Hydro Air kits to Biocon and other biotech industries as well. And that will all be manufactured locally. The engineering will be done in Italy. Manish, on the debt side.

Manish Poddar : On the debt, yes, there were 3 elements. One was, as you all know, the 46% acquisition led to a debt of something like INR 175 crores. And then in India, we had a short-term working capital debt of INR 50 crores. And the third piece was, for Mixel, we had taken some EUR 8.5 million of debt in the international business.

So collectively, these were the 3 elements, which led to the increase in the debt. And currently, our debt ratio .

Tarak Patel: Maybe you can just spend a minute .

Manish Poddar : Sure. So I think, as we mentioned, we continue to enjoy a healthy balance sheet from that perspective. On a consolidated basis, from net debt -to-EBITDA, we are at 1. And at India, we are at 1.7. Net debt -to-equity, we are at 0.5 only. So , it's absolutely healthy and comfortable from a debt perspective.

And I think maybe also for the benefit of the group, I think most of the acquisitions that we have planned have been completed, the larger acquisitions, right? I don't think there's any significant kind of major acquisition that we have a plan for the foreseeable future. So, the focus will obviously be now on reducing and repaying debt.

I mean, we have pretty much repaid quite a bit of it but then we had to take some more for the acquisition of the 100%, which we've now done. And we'll see over the next 2 to 3 years that the debt will be reduced.

Manish Poddar : And the interest coverage ratio is at 6.5x and the DSCR is at 1.7x on a consolidated basis.

Ashit Kohli: And maybe , you want to give the updated numbers on the pension plan as well as the debt -like item

Manish Poddar : Yes. So , the pension plans, when we started the year, we had something like INR 373 crores.

And now, what we have is at INR 280 crores, primarily because of the interest rate increase . The present value of the liabilities have gone down. So that has helped us in the OCI or other comprehensive income and that is where it stands.

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And these are the as we mentioned earlier, these are the closed pension plans. So, there's no new additions and we have closed quite a few years back. The average age is something like 79 -80 years. So, there's a natural progression to exit to these plans. And the U.S. funded plan was there and that the asset and liabilities

have been knocked off. And so that volatility in the P&L has been taken care of in this year.

Ashit Kothi : So, we assume that INR 283 crores, what is there over a period of say, 5, 7 years, would reduce by maybe 50% or odd percent?

Manish Poddar : INR 283 crores, probably will have a much longer period. But kindly appreciate, as the interest rate cycle turns and reverses, so then you'll have a reverse movement as well.

Tarak Patel : No, no, he is asking a different question. He is not asking about the pension liabilities. He is asking about the other debt, when will you, will you repay the other debts ?

Manish Poddar: The other debts. Okay.

Tarak Patel: He said 5 to 12 years or something like that.

Manish Poddar : So, debt of this INR 800 crores broadly yes, although we have INR 300 crores of cash but the gross debt of INR 800 crores. We have these original payments scheduled till FY '28. But we feel, in the next 2 to 3 years, we should generate enough cash. If we don't do any further acquisitions and all that, we should be able to pay off our debt in the next 3 years.

Moderator : Our next question comes from Sanjay Shah with KSA Securities Private Limited . Please go ahead.

Sanjay Shah : Sir, just to get some understanding about our vertical -wise business, then in India, majority is skewed towards the technology side. And when we see international, I understand this is because of Pfaudler but it's rarely equally divided among technology, services, systems and all.

So, Tarak sir, can you help me, how do you see that coming in the next 2, 3 years? How do you see that opportunity of improving our business on system side, services side in India too?

Aseem Joshi : Yes. Sanjay, this is Aseem. I'll take it. So , you're right. When you look at the pie, certainly in India, our, more the bulk of our revenue comes from the technology segment, both glass line and non -glass line.

Now we do recognize the benefit of having a more greater balance with more systems and more services and that's our focus. The services piece, we have increased our emphasis on that segment. That's currently less than 10% of our revenue and we are focused on growing that.

As you know, India is still a strongly growing market. So , the installed base is being built out.

In the next 5 to 8 years, when this installed base matures , there is definitely a need for service that will come. And we anticipate it will be looking for quality service and for that GMM

Pfautler will be ready.

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As far as systems is concerned, these 2, I think will follow the installed base. And so as the market starts maturing, we will be able to grow our systems. Yes, we are certainly improving our capacity in India as far as engineering is concerned and sale is concerned to drive those. So over time, we expect to improve this balance.

Sanjay Shah : Now, in technology side, how was the progress in our non -glass line segment? Could we do any good inroads into it?

Aseem Joshi : Yes, very much so. So , we have delivered very strong results in our mixing business. Actually our engineered systems the wiped film evaporators kind of business has done well. And also our Equilloy business, which also falls in technology, has grown really well as well. We are actually quite pleased with the kind of growth rates ; very high double -digit growth rates that we witnessed across our non -glass line technologies portfolio.

Tarak Patel: Yes. So let me just add to this. Our mixing business in India used to be close to INR 25 crores to INR 30 crores. This year, we already told that we were at INR 150-odd crores of revenue just from mixing itself, right?

Again, very technology -focused product range, quite high in terms of profitability. We had large orders for fermentation reactor from 3 main customers here in India, who are going to manufacture benzene. So that really

boosted our growth. For next year as well, we have a strong backlog in mixing.

The acquisition of Mixel, I think that mixing business is really going to be a nice growth area for us and also adds to our profitability, but also it's very complementary in nature to our glass line business.

Let me also step one step back. We talked a little bit about heavy engineering. So last year, keep

in mind, so this financial year that we just completed, our heavy engineering business was pretty much breakeven. We had some struggles there with higher input costs, materials rising and some of the large orders that we have, INR 100 crores worth of orders that we receive from one single vendor, were not lucrative in terms of margin.

So having said that, the backlog now for the next financial year is really more -- definitely more accretive in terms of margin. We've been very careful in terms of our strategy, what we're trying to book and how we book it. We have a good mix of export business as well as an heavy engineering business as well. So all in all, we're quite confident that the growth in heavy engineering will continue, while the margin improvement in heavy engineering will be significantly better than the previous year.

That's another kind of a positive aspect of the business. So that's something that we are watching quite carefully and we hope that, that will continue as well. And our ability to maintain and differentiate ourselves, we'll be able to improve margins as well.

Moderator : Our next question comes from the line of Nitin Agarwal with DAM Capital Advisors. Please go ahead.

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Nitin Agarwal : Just one housekeeping item. On the international business, what would be our organic growth this year, excluding the consolidation that we made for this year, the acquisition we made this year?

Tarak Patel: So it's pretty much all organic, except for about \$5 million or \$6 million of -- \$11 million is the revenue that we add. So you add, basically, Hydro Air for about 7 months, 8 months, and 2 months of Mixel, should be in the range of \$5 million to \$7 million. JDS hasn't already started.

So everything else is really organic coming from within the Pfaudler , portfolio. And obviously, next year, going forward, once these businesses -- the businesses start producing and growing, they would then have a bigger share than we have in terms of the growth rate.

Moderator : Our next question comes from the line of Rohit Ohri with Progressive Shares. Please go ahead.

Rohit Ohri : Tarak, I just wanted to know if there's any increase or decrease in the market share for GLE, non-GLE or mixing?

Tarak Patel: So mixing, definitely an improvement in market share is our range of INR 30 crores of revenue a few years ago to now INR 150 crores, definitely growth in market share .

In China, we've also probably grown market share in glass line. In India, with the two factories that we have now, I would say, our market share is stable. We had opened about a smarter sale strategy in glass line where we were really kind of going after high-margin business. And obviously, that is something that we continue to do.

However, we are also now being a little bit more aggressive in the market. But otherwise, generally, I think globally, if you see our market share would have remained around the same, keeping it -- everything equal, I think our market share would be pretty much around the same, except for China, where glass line market has increased.

Rohit Ohri : Is it possible to put a number there? As per your estimates, what is the market share may be that 45% or 50%? If you can put a number.

Tarak Patel: Yes. I would say in China, it's about 10%. India, more than 50%. Europe about 40%. U.S. anywhere between 30% to 35%, something like that.

Rohit Ohri : Okay. Last question is related to Hydro Air or HARI. Do you think that GMM has an o

ppportunity

open in the water treatment because it is rendering treatment at the end of the day. So , do you think that there are certain opportunities with the help of ion exchange and water treatment as such?

Aseem Joshi : Yes. So that technology, as you rightly pointed out, is certainly applicable to water treatment, both fresh, as well as waste. However, we will carefully evaluate the commercials of such deals because we have to make sure that they make sense for us. And sometimes in the water area, we are not perhaps as attractive as some of the other segments where HARI currently serves.

Thomas Kehl : This is Thomas Kehl. The HARI acquisition was mainly driven by adding companies that are now available that have technology and process on how that is somewhat superior and the water

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treatment basically is what we would call the commodity in this industry. We can serve it but it's not necessarily our major target. So , we look at a more -- highly more demanding s pecialized application.

Moderator : Our next question comes from Ashit Kothi with Investore. Please go ahead.

Ashit Kothi : Pfaudler Inc, still holding 14% share? And will there be any, again, disinvestments in next 1 year or so?

Tarak Patel: Yes. So DBAG, the private equity fund through Pfaudler Inc. continues to own 14%. Out of which we have disclosed, at the time we had disclosed that we would acquire 1%. We are waiting for the final clearances from FDI France for the clearance on that and then we will acquire 1% from DBAG through Pfaudler Inc., which will then put the family in excess of 25%.

The balance stake of DBAG of 13%, like you know, DBAG has been now around for about 9 years or so. And I think the time has come that they will eventually exit. The exact date and time of that exit and the way of the exit has also not been decided yet. And that's something that's still open. Keeping in mind ; do keep in mind that, again, they've been very strong supporter of the business. They have been part of the business and supported the business for now 9 to 10 years.

We have very strong relationship with them and they are responsible investors as well. So, as and when we find the right solution, they will consider selling their last little bit and then de-promoterizing themselves as well.

Ashit Kothi : And sir, as a promoter, you plan to not immediately but in the foreseeable future, again, go back to your the way you used to hold shares, I mean, say, more than 50% or so. So do you plan to do that ?

Tarak Patel: So I have officially and this is probably in the public domain, said that being in the at least possible future closer to the 30% mark is something that I would like to do. Again, there's a lot of dependence on a lot of things but that is a goal that I do have in mind.

Having said that, how long that takes? I really can't give you a time line. But of course and the most important thing for us as promoters, is to cross the 25% mark. That obviously kind of helps us in terms of hostile takeovers, gives us more rights as promoters and also allows us to buy from the market up to 5% every year without triggering open offer, right?

So we think that's something that we would like to do. This is a good opportunity for us to do it and that's what we will do. And then this is the time and if everything is great and then start down on the line, we would then look at increasing our stake even further.

Ashit Kothi : And then just last question. With regards to the market share, what earlier, responded by like U.S., we have got 25% and China, 10%. So, we would be more keen on increasing market share in China or in U.S?

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Tarak Patel: No. Sorry, just to clarify, again, in both Europe, in any Western market, which are basically the United States and Europe, we have somewhere bet

ween 35% to 40%. So that kind of fluctuates

but we are the number one market leaders in both these geographies. In India, we have a market share in excess of 50%. So we are definitely the market leader here.

In China, it's a slightly different situation. We have a new factory that just came online 1.5 years ago. The first idea is to stabilize and get it up and running, which we have done now. And now the focus is to really go after market share and build our market share in China, which we expect to do.

Market share in China is below 10%. So the ability to grow market share there is significantly better than the rest of the world, where we already have very high market share. So China is definitely the focus there.

Moderator : Thank you. Ladies and gentlemen, we have reached to the end of the question-and-answer session. I would now like to hand the conference over to Ms. Priyanka Daga for closing comments.

Priyanka Daga : Thank you. Thank you, everybody, for joining us today. It was a pleasure interacting with you and we look forward to many more such interactions. Thank you, take care and see you soon.

Tarak Patel: Thank you.

Manish Poddar : Thank you. Bye.

Moderator : Thank you. On behalf of GMM Pfaudler, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

GMM/SEC/202 3-24/40 August 14, 202 3

To,
BSE Limited NSE Limited
Scrip Code: 505255 Symbol: GMMPFADLR

Dear Sir / Ma'am ,

Sub.: Earnings Call Q 1 FY24- Transcript

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended June 30, 202 3 conducted on August 10, 2023, for your information and records.

The above information is also being made available on the website of the Company at www.gmmpfaudler.com .

Thanking you .

Yours faithfully,

For GMM Pfaudler Ltd

Mittal Mehta
Company Secretary & Compliance Officer
FCS No.: 7848

Encl.: As above

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"GMM Pfaudler Limited Q1 FY -24 Earnings
Conference Call"

August 10, 2023

MANAGEMENT : MR. TARAK PATEL – MANAGING DIRECTOR , GMM
PFAUDLER LIMITED
MR. THOMAS KEHL – CHIEF EXECUTIVE OFFICER
(INTERNATIONAL BUSINESS), GMM PFAUDLER
LIMITED
MR. ASEEM JOSHI – CHIEF EXECUTIVE OFFICER
(INDIA BUSINESS), GMM PFAUDLER LIMITED
MR. ALEXANDER PÖMPNER – CHIEF FINANCIAL
OFFICER (INTERNATIONAL BUSINESS), GMM
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MR. MANISH PODDAR – CHIEF FINANCIAL OFFICER
(INDIA BUSINESS), GMM PFAUDLER LIMITED
MS. MITTAL MEHTA – COMPLIANCE OFFICER , GMM
PFAUDLER LIMITED
MS. PRIYANKA DAGA – DGM STRATEGIC FINANCE ,

GMM PFAUDLER LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY 24 Earnings Conference Call for GMM Pfaudler Limited .

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded.

I now have the conference over to Ms . Priyanka Daga . Thank you and over to you, ma'am.

Priyanka Daga: Thank you Rayo . Good evening , ladies and gentlemen. A very warm welcome to all of you into the Q 1 FY 24 Earnings Call of GMM Pfaudler Limited .

The "Earnings Presentation " was uploaded on the Stock Exchanges today and is also available on our website. Hope all of you had a chance to go through it.

From the management, we have with us , our Managing Director – Mr. Tarak Patel; our CEO of International Business – Mr. Thomas Kehl; our CEO of India business – Mr. Aseem Joshi; our CFO of International Business – Mr. Alexander Pömpner; our CFO of India business – Mr. Manish Poddar and our Compliance Officer – Ms. Mittal Mehta .

We will give you a brief overview of the performance of the company, after which, we will get into the Q&A.

Before we begin with the overview, a brief disclaimer. The presentation which we uploaded on the stock exchange and also on our website, including of all discussions that will happen now, contains or may have certain forward -looking statements regarding our business prospects and profitability, which are subject to several certain risks and uncertainties. Actual results could materially differ from those in such forward -looking statements.

I will now hand over the call to Mr. Patel to provide an overview of the performance. Over to you, Tarak.

Tarak Patel: Thank you Priyanka . Good evening, everybody. We are happy to announce a strong start to the year and remain on track to meet our FY 25 guidance.

Our business today is much more diverse and resilient than ever before , and we cater to an increased number of geographies and a wider range of products in our portfolio. We will continue to leverage our strengths , i.e., our market share , technology, the position as well as a global sales and service network to grow our business across regions. There is clearly a slowdown in the chemical industry and because of this, our order intake remains subdued. However, our opportunity pipeline remains strong across all business platforms and geographies. And we expect some of this , the customer decision making, which has been quite delayed for a GMM Pfaudler Limited

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few months will come through in quarter two. We have also seen good traction in our technology and services business. However, our systems business is behind budget.

Further our new market segments that we have kind of now acquired through our acquisition will also help us to enter new market segments and will also help us in reducing our dependence on chemical and pharma segments in the long term. Our order backlog remains stable at INR 2000 crores which translates to about eight months of visibility in the international business and about six months of India business.

In terms of financial performance, our consolidated revenue for the quarter grew by 23% to INR 912 crores within an EBITDA of INR 132 crores, which is 35% higher than last year. Our current quarters improvement in profitability was driven by International Business largely due to strong execution, pricing improvement as well as lower raw material and energy costs. Having said that, cost reduction measures continue across geographies. Operational excellence projects have been initiated at Mavag , Switzerland and Mixel , France and on the manufactu

ring front , I'm also

pleased to announce that we have completed our first , the acid recovery the project here in India.

Our long-term growth strategy remains intact and as management we are continuously working on growing revenues and margins. Looking at the current performance, we will most likely surpass the FY 25 revenue guidance of INR 3700 crores and we are on track to meet our EBITDA guidance of INR 630 crores . As FY 25 is not too far away and many of you have asked about our growth plans beyond FY 25. What I can say , as a general rule of thumb , is that we as management are confident that we can achieve similar levels of growth going forward. As per our guidance document , which was from FY22 to FY 25, we had planned to deliver about 15% CAGR growth in revenue and 25% CAGR growth in EBITDA. Beyond FY 25 we expect the revenue growth to

continue in the range of 13 % to 15% and EBITDA growth in the range of 18 % to 20%. That growth in revenue will come from newer geographies that we will now cater to , our non -glass line portfolio is growing faster, as our market share is lower in these products and our services business continues to grow across geographies.

Our India business will grow faster than our international business. We expect the India business revenue to increase at CAGR of 17 % to 18% and the EBITDA to grow at a CAGR of about 20%.

I will now hand over the call to Manish , our CFO of the India business , and he will take you to the performance in more detail. Thank you.

Manish Poddar: Thank you, Tarak . Good evening , everyone. We are pleased to share our 1st Quarter results for FY24. As Tarak mentioned, at consolidated level our top line and EBITDA grew by 23% and 35% respectively on Y-o-Y basis.

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Our international business perform very well with significant improvement in EBITDA margin, driven mainly by strong execution , pricing improvements and lower raw material and energy costs. Also, a higher share of services has improved the margins .

Our India business continue to perform well. However, there is margin pressure due to increased competitive intensity and a general slowdown in Chemical segment. We also had lower shipment in Q1 which is the usual thing, for any year and a lower share of exports in this quarter also impacted margins. We have undertaken cost saving initiatives and operational excellence programs across the organization, we should have a positive impact on margins going forward. Further, some of you have inquired about the CAPEX plan. I would like to reiterate that for achieving FY 25 guidance, we do not need any enhancement CAPEX other than the regular maintenance CAPEX of around 2% to 3% of the total revenue . Beyond FY 25, to maintain growth trajectory we would need enhancement CAPEX ; we would ensure that the additions are value accretive with total CAPEX to be about 3% to 5% of the total revenue including the maintenance CAPEX .

With this back to you Priyanka.

Priyanka Daga: Thank you Manish. Rayo, you may now open the line for questions. Thank you.

Moderator: Thank you very much. We will now begin with the question -and-answer session. The first question is from the line of Venkatesh Balasubramaniam with Axis Capital. Please go ahead.

V. Balasubramaniam: Is it possible to repeat your guidance beyond FY 25, did I get this correctly , revenue growth of 13% to 15% and EBITDA growth of 18 % to 20% ?

Tarak Patel: Right. So, again, Venkatesh this is not guidance per se, it 's a general rule of thumb. We've been asked this question that 2025 is pretty much going to happen in the foreseeable future. And what kind of plans do we have after that? So, yes, like I rightly said, in terms of the consolidated revenue growth, it will be in the range of about 13 % to 15% CAGR and the EBITDA growth will be in the range of 18 % to 20%. If you compare it to the

vision document that we gave out

in last August, it is at similar levels. Obviously, we have grown significantly in the last few years and with the work that has happened in terms of the glass line business, the restructuring that we've done in Europe, we expect this growth to continue in terms of revenue, but on the EBITDA number we are a little bit more conservative because we 've already seen significant improvement in the international business. And we probably feel that kind of tapering off, the 20% growth rate CAGR in EBITDA growth is still possible.

V. Balasubramaniam: Okay , understood . So, this is like your internal target that, beyond FY 25 this is what you would like, aspire to do?

Tarak Patel: Yes, so as management this is what we would expect of ourselves. This is what we will aspire for, and this is what we will work towards. Obviously, the market should be conducive which

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we believe it will be. And it 's important for people to understand that some of these things are long term initiatives , we've planted the seeds , but we do expect over the next few years that some of these initiatives that we 're working on will start to take shape. And at the same time , we've also kind of said that, glass line is a very important part of the business, we already are the market leaders , having a high market share that business can only grow so much. So, we need to focus on new areas which we have been doing and hopefully now, we have planned and you have seen the acquisition that we made, especially in the state of the mixing, where we believe we can add significant growth as well.

V. Balasubramaniam: Okay , understood. The second question is on the standalone business margin , which were at around 14.4%. Last year margins were subdued because you were sitting on an inventory of

high-cost steel, what we remember is in the fourth quarter result it was mentioned that the high-cost inventory of steel has been exhausted. And hence 1st Quarter onwards, you should see a margin improvement. But that has actually not played out. So, I understand that revenue growth at around 12% on the standalone is slightly muted. So, you could have had negative operating leverage. But didn't you get any benefits of, what we call it lower raw material costs, because when your GP margins, that is your raw material margin has also contracted on a Y-o-Y basis, from 50% to like 48% odd?

Tarak Patel: Right. So, couple of things to kind of think about at an India margin level and I'll add and let Aseem also add to this. But generally speaking, India usually has a slower Q1. Obviously, Q4 is always the big month, the big quarter and then Q1 is a little bit subdued. Having said that, we could have had a little bit more, the shipment as well, which could have impacted the margin positively. And like Manish said, the ratio of exports in this quarter shipment was obviously lower than what we expect. Having said that, we are working on internal measures to improve margins, there is definitely some benefit that we will see in India, because of lower steel price and energy cost. We were hoping to see them this quarter, but at the same time do keep in mind that there is competitive intensity that has increased, there has been over the last maybe two quarters or so a lot more, I would say the competitive activity where we have seen a slight slowdown in terms of investments especially, in the chemical sector. So, that has probably made the pricing strategies a little bit more aggressive. Having said that, we do believe that we are in a good position, we had a good order intake in Q1, but we see that Q2 is slightly more encouraging as well. And we are being more aggressive and as you know, we are the market leaders, we are the choice when it comes to glass line equipment. And that's really where we have the right of first ref

usal. So, having said that, we expect the margins to kind of stabilize around 15% to 16%. That's what we are hoping for this year and that's what we can expect. And if there's further improvement in the market, and there's further improvements in our internal cost structure, maybe that will be a slightly higher number as well.

V. Balasubramaniam: Okay, understood. Now a different question on your international business, so growth in your international business is quite surprisingly strong because we were all believing that the international business is basically a mature economy. You should be growing at maybe single digit, at best double digit but growing at almost 18%, 20% kind of like what exactly is happening

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there, is it because you have offshored manufacturing to India, you are being able to offer better prices, and you are actually gaining market share outside India. Is that something which is playing off, or there is something else which is at play?

Tarak Patel: Yes. So, that's playing out. But I would not say it is significant in terms of the improvement.

The improvements have been years in the making, we have put in place a lot of initiatives, like I mentioned, especially in Germany, in Italy, in China, we build our service network across the world, we build our systems business as well. So, all in all, it's multiple different things that are fired at the same time. In spite of the slowdown even internationally we've been able to have a very strong Q1, we have about eight to nine months of backlog. And on top of that yes, we have been able to enter new markets, new geographies with product made in India, we've also started the stock and sale program, which obviously it's something that we expect to kind of gain some traction in the next few months. We also now look at supplying some of the stainless steel and filter drying components out of India. So, we are working on that, that is a slow process, there's a lot of acceptance issues. There's a mindset issue that we have to work around, but all in all we've had a very good start. Very positive start and we hope to build on that going forward.

Maybe, Thomas you want to step in?

Thomas Kehl: Yes, Thomas Kehl speaking. One thing to mention is that our overall strategy of growing into non-glass lined application technologies is playing out quite well. You remember, we made the acquisition last year with the company in Italy, company for filtration, liquidation, separation, HARI, we acquired and close the deal with our company in France, Mixel for the mixing industry. And we created the joint venture for re-glassing business in the US. So, this is playing out and helping us increase the order intake and diversifying all industries, really helping us in the performance this year as demonstrated.

V. Balasubramaniam: Okay. Tarak, I had a question for you, you were supposed to buy another 1% of the company. And this was supposed to happen by somewhere around April or so. Now it is almost August, but that 1% stake purchase which was supposed to happen at INR 1700 price, that has actually not happened. So, why is that, why is there a delay in that particular thing happening?

Tarak Patel: So, yes, Venkatesh good question. And I'm glad you asked it, because I'm sure everybody is waiting in line, will probably ask the same question. So, the only reason that has not happened is because of French FDI approval, I am still 100% committed to do the trade at INR 1700 for 1%, it will get done and most likely the timeline is sometime in September. I'm giving you the

higher end of the timeline ; if it will happen before that , this will get done. There is no change in mindset, there 's no change in agreement , this 1% will be bought by the Patel family at INR 1700.
V. Balasubramaniam: Okay . One last one from my side. Th e

re is still a residual , there will still be a 14% of stake with the private equity fund, which they want to exit. Now what is the thought process behind that particular exit , because the stock price obviously is stuck at levels below the previous levels where they sold shares. Now, are you open to they doing a sale below the INR 1700 level or is it like you would want it to go to above INR 1700 when that trade happens because it 's become
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like a chicken and egg kind of a problem, it's a catch 22 situation, because there is overhang of that block trade not happening the stock is not going up.

Tarak Patel: Right.

V. Balasubramaniam: And because it is below INR 1700 the block trade is not happening. So, what exactly can you throw some light on that?

Tarak Patel: So, firstly, I really can 't comment on stock price and stock movements. I would not say anything on that front. On the second part of the question obviously, let me start off by saying that DBAG, the private equity company is a responsible shareholder. They have supported us since 2014 , they've been part of the journey , they made significant returns for themselves, obviously, but they have also really enjoyed working with and building this company from, I was just telling somebody yesterday not so long ago, we had INR 500 crores of revenue. Today we are tracking INR 500 crores of EBITDA , this has happened in a matter of five to seven years . So, significant transformation and for an Indian company to have a global play like we do today it's not something not to be proud of. So , from that perspective everybody involved in the business over the last so many years is proud of the performance. Having said that, there will be at some point the solution for this, we do understand there could be an overhang as well. And again, like I said, they will sell to the right investor, long term marquee investor at the right time.

Moderator: Thank you. The next question is from the line of Jonas Bhutta from Birla Mutual Fund. Please go ahead.

Jonas Bhutta: So, the question was on the order intake and subsequent sort of flattish order book that we have, so this is the fifth straight quarter that we have seen index sort of trend downwards. So, we started Q1 of last year with INR 980 crores and we are now with INR 770 crores. So, but also this while we have maintained the opportunity pipeline remains strong. So, if you can throw some light on whether conversions are now taking longer, or competitive intensity is so high that we are losing market share , can you talk about that and then I'll follow up with some other questions .

Tarak Patel: So, if you see our numbers and compare them with any other company who is also giving numbers in the public space, you will see, not only have we grown market share this quarter, but we will continue to probably grow market share. So , I don 't think that's happening at all. We are being aggressive in the market, there is pricing pressure, but like I mentioned to you, we have a clear idea in terms of what we want to do and the idea across not only the Indian business, but the international business as well, is that the order intake has to increase and everybody in the company is working towards that. Having said that, you did make one more point comparing this quarter with some INR 900 odd crores or Q1 last year maybe , the only thing caveat to that point was the quarter before that it was about INR 400 odd crores. So, the average should be around 800 to 900 in my opinion, that 's something that we should aim for. Maybe this quarter you will see some improvement there as well. There have been good order intake here especially
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in the glass line business here in India, we do expect some big orders to materialize as well in the system

ms business, the services continue to do well. And maybe I'll have Aseem and Thomas also quickly jump in and tell you specifically what 's happening in their regions . Aseem.

Aseem Joshi: Hi Jonas. So, Tarak covered most of it, but looking India we recognize there is a slowdown in the chemicals industry. So, for us, it 's a matter of ensuring that the opportunities that do exist in chemicals we capitalize on which we are doing and then double our efforts in the sort of segments outside chemical and pharma. There, I 'm happy to report, we 've been able to do pretty well, in the 1st Quarter in our heavy engineering business and mixing business. We 've seen some good wins come through and I expect those will continue. So, based on this, the sort of the approach we 've taken which is to diversify we feel confident that we 'll be on track to meet our guidance numbers as Tarak said earlier .

Tarak Patel: And Thomas.

Thomas Kehl: I can second that for international business, yes, we have seen in the chemical industry a little bit cooling down the last two, three years were abnormally high and in a hot market, the quotations going out there and decision-making process at normal rate now, they have been very far in the last two years. Therefore, the order intake comes in slower, potential out there in quotations and the projects being open are still high, we are not losing more than in the past. So, our market share is stable, and we probably even increase it over time and again, we have made sure in our strategy that we work for diversification and some of the business segments are even above our expectation. One is our Edlon business PTFE lining, driven by demand from the semiconductor industry, although service business International is ahead of budget in order intake, providing extremely good mix for margin improvement and training. And in summary, yes we still believe in making up to our guidance.

Tarak Patel: And let me just add something here Jonas as well. Obviously as management, we are conservative with the market generally, we obviously want to kind of make sure that we have our initiatives in place in case the market would continue to slow down. But from what we've been hearing, what we've been speaking with owners, managing directors, promoters of chemical companies, even though there's some short-term pain, they all believe that we've already seen the bottom right, things are already cooling off in terms of the commodities as well. So, now you will see maybe an uptick in terms of investment and demand picking up. So, hopefully, it's not too long before we see some kind of turnaround and like I said a few large orders coming in in the systems business will definitely change the kind of outlook for us very, very quickly. But having said that, we all are working hard, quietly we are committed to take in as much orders as possible. And we will be on that till we are comfortable. So, from that perspective, this year is something that we are quite confident that we can hit the numbers and from an order perspective as well we will manage to do so.

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Jonas Bhutta: Appreciate the management efforts to be sort of more feet on ground on an evolving market scenario. My second question was, as Thomas did mention that there is some good traction on the non-GLE side. So, if you can highlight what has been the growth in the non-GLE business this quarter, and we've seen a very good margin traction on the international subsidiary side which is effectively a consolidated minus standalone. So, what would you attribute that to, is it a sales mix which has been more in terms of non-GLE, if you can just sort of, help us for that?

Tarak Patel: So, maybe Alex can take that, Alex the question was, that what has driven the improvement in margins internationally, is it a product mix, is it

a kind of a specific region and the first question was,

Aseem Joshi: Traction on the non-GLE.

Tarak Patel: Yes, the non-GLE.

Alexander Pommer: Let me start, Alex here, and so I would like to definitely mention through two aspects. First, the mix that you already mentioned, the service business is really strong, service business is by far the highest margin business in the international business. And secondly, please remember we were asked nine months ago last year August regarding the high energy costs, the raw material costs in Europe, and you did not really see a negative impact on the international markets. However, we of course increased the prices and now we have the benefits, in especially the glass line business that we have with reduced energy and raw material costs. We are now having invoiced orders, which we sold for the higher prices. So, we achieved a price increase and now benefit on top of this from a lower cost structure.

Tarak Patel: Okay. And in terms of other specific regions, or any other subsidiary businesses that have done extremely well over this quarter that was what he was asking about?

Alexander Pommer: Okay, the other question Thomas already mentioned that the Edlon business is a really strong unit now and it's linked to the semiconductor business in the US where you probably aware of it's a push, it's an additional investment into this market. So, Edlon is really outperforming our expectations and also causes a significant uplift in margins. But also, as already mentioned, in the European entities we see a margin improvement it's Germany, Italy as such we have good, priced orders shipped out of the door with a significant improved cost structure versus last year. So, it's everywhere where we see improvement.

Jonas Bhutta: So, sir how much has GLE sales versus the sales growth between GLE and non-GLE at a consolidated level for us?

Tarak Patel: At a consolidated level, I don't probably have the numbers offhand, but that's something maybe Manish will reach out to you after and just provide that information if you don't mind, Jonas?

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Jonas Bhutta: Sure. And my last question was to Manish. So, the interest expense is clocking about INR 20 crores a quarter for the last three quarters, if you can break up that up the impact of the pension liability if any and the normal interest and bank charges cost. Because, at a n INR 300-crore gross debt level, INR 20 crore of a quarter looks high, so I'm sure there's the pension liability sitting there, so if you can help us give us the breakup on that?

Manish Poddar: Sure. So, Jonas pension liabilities impact s are in OCI not in the finance cost, so that line is different altogether. So, that way, the finance cost does not include any impact positive or negative on account of pension liability. Broadly, we have got at consol level INR 800 crores of debt at broadly almost 7.7% or 7.8% interest cost. So, you can say broadly INR 64 crores or INR 62-64 crores of interest cost for this year, rest is all on account of bank charges. And related to forex expenses as well in case of some forex fluctuation. And of course, we get to mention that INR 800 crores of debt, we do have something like close to INR 300 crores of cash as well so net debt obviously remains in that INR 500 crore.

Jonas Bhutta: So, that is the point, so the INR 20crore rate on quarterly basis would add up to about INR 80 crore value guiding for more like a INR 60-65 crore interest expense. So, that doesn't seem to add up and also, if you have a n INR 300-crore cash balance that should also throw up some bit of other income, which is in a way very insignificant if I see the quarterly run rate, except for Q4 that sort of s piked. So, maybe I can take that offline, but this is something I want to leave you guys wit h.

Tarak Pa

tel: Sure, that's a good point and we look at that because Manish also said, you showed number of 65 so where is the gap between 80 and 65, so that's something maybe we can take offline.

Manish Poddar: Yes, that's primarily because of bank charges and the forex expenses so we are going to take offline. Jonas, I hope you have got the March 23 balance sheet, which will obviously have the much more details and we can discuss.

Tarak Patel: And maybe Manish good time now to just g ive them some idea in terms of repayment and when our debt levels will come down to.

Manish Poddar: So, we did INR 430 crores of EBITDA last year, that was INR 630 crores of EBITDA next year. Broadly, this whole three years we can say broadly will be at INR 1600 crores of EBITDA maybe at 50% we should be having free cash flows coming out to something like close to INR 800 crores, because something like INR 300 crores will go out of on the account of taxes, some INR 250 crores will g o out on the interest repayments, and another INR 250 crores broadly on the working capital requirement i n the business. So, probably INR 800 crores goes out, INR 800 crores is what remains so probably that 's where the cash flow generation is there. So, we should be comfortable maybe in 24 month s from now from a debt perspective. Of course, it will be up to the Board what they want to decide, whether they want to pay dividends or whatever they want to use the money for.

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Moderator: Thank you. The next question is from the line of Mudit Bhandari from IIFL Securities. Please go ahead.

Mudit Bhandari: Just one question from my side. You mentioned in the opening remarks that there is a slowdown in chemical sector in the industry. So, firstly, whether it was on the domestic part or international part. And secondly, what are the specific, particular thing s that has happened led to the slowdown and what are the things that we should look in future to see if it is gaining any other particular event or any other things. That's all from my side?

Tarak Patel: Okay, first and foremost it is important for people on this call to realize that yes, the chemicals segment is a cyclical segment, there are going to be cycles, we have obviously been in a cycle for the last maybe four to five years that has been on the up tick, that has been kind of improving every year. This was obviously something that had not happened many times in the past, but it 's been in the last five years have been very, very strong in terms of chemical investment, both internationally and in India. But again, do keep in mind, the chemical business, both agro chemicals and specialty chemicals, is cyclical in nature. And that 's one of the things as management we do realize and hence, we want to have diversification. That means if one year or two year s chemicals will slow down, we have something else that will make up for the shortfall. Today, the slowdown is generally across the industry, both in India and internationally. The reason for this slowdown are, from what I have read seem to be over stalkin g to this, these guys have all bought the specialty, agro chemicals, they stock them for many years, because coming out of the pandemic, they didn 't have line of sight but now they have overstocking that happened in Europe, in the US, so until those get ki nd of sold off, new ordering cycle won 't start, which also has led to Indian companies who were stocking inventory to dispose of their

inventory at much lower prices, which is obviously impacting margins. The third thing that has also happened is that China over the last couple of months last quarter, have also dumped chemicals in the global market at a much lower price line. So, again, that has caused weakness in demand. And then lastly, on the positive side at least on the commodity side perspective we see some kind of stabilization now.

So, the bottom has been hit, might be the same for maybe a few weeks, months or something but in the near term we should see some kind of revival.

Moderator: Thank you. The next question is from the line of Jasmine Surana from VT Capital. Please go ahead.

Jasmine Surana: So, I had a few questions. First one was on the raw material side, so last fall and some moments ago, so you did mention that raw materials is stabilizing for you. I wanted to just on the gas prices, the steel prices—methane carbon prices, currently?

Tarak Patel: Sure, let me then break it up into international and India businesses, maybe starting international this time, steel prices and gas prices. Thomas you can give your comments. And where do you see that panning out?

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Thomas Kehl: Yes. Steel prices have come back down to the levels that we have seen before was at peak at the 1st Quarter of last year, but it came down now. And we are enjoying a little bit of windfall over here, but we have orders at a higher steel price calculation and now pay a little less as an opportunity and it's not really impacting negatively our business right now. The gas price development in Germany of all the energy price, the gas prices directly did not impact us because in Europe or in Germany we are not using gas or firing up our furnaces, it is electrical power. The electric power is peaking at the 1st Quarter last year, but the excess that have been taken by the government and are taking now a shape in a positive way, so the energy level prices are significantly below the 1st Quarter of last year, they have more or less back to the times before the crisis. So, the negative impact has been absorbed. And in addition, we were able to put that through in our pricing to our customers and kept the margins at the levels where we wanted them.

Aseem Joshi: And as far as India is concerned, I'll address steel and power. So, steel similar to the international business, steel is down well, although not down to what it was say in late 21, early 22. So, it's come down and stabilized so I believe we are not seeing the volatility anymore. But it's not down to where it used to be a couple of years back. Energy is down as well and stable as well. So, in both those areas it's pretty comfortable that we have good line of sight into what those costs will be.

Jasmine Surana: All right. Thank you so much for that. Another question was on the stock and sales program. So, I wanted to understand whether you entered any new geographies, that are we getting any more revenues, or any higher the stock and sale program and basically a little overview from your side on how the business has done this quarter?

Tarak Patel: So, the one thing to say on profit sale, we've seen some good traction, they've been what 24 vessels that were ordered, out of which we've already sold eight. I was actually in Germany, we were in Germany last week, we saw the Indian vessels in the German factory. So, that program is ongoing. It's a new program for us, we obviously building stock basis our analysis of what kind of equipment will be required, there will be some trial and error here. But overall, the strategy makes sense. Our client today in Europe, when he has a breakdown, we'll have to wait eight, nine months to get new equipment, we have something available that can be given to him in maybe four weeks' time that's a huge benefit. And any customer in the right mind would prefer to have a factory up and running versus eight months of downtime. So, as a concept, this really makes a lot of sense, we have seen some traction can I say it's 100% of success not yet. But, over the next few years, I do believe that this can become an important cornerstone of our strategy.

Jasmine Surana: Thank you so much for that. My last question is on the services

and the systems segment. So,

we see on the order intake, we're seeing more services as compared to system. So, should we see this as a one-off where most of the components and having a repair or replacement value or do we see this change of higher services and systems to stabilize going forward?

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Tarak Patel: So, a couple of things to keep in mind here. One is that we as management and as a company have been focusing more of resources and money to our services business. We have over the last maybe year or so, made an acquisition in the US where we bought out a small competitor in the

Southern area of the US where we will start doing services like realigning and re-lapping . We just opened up last week, a new service center in Brazil, we also have a new service center in Houston, we are now opening up a new service center in Switzerland and in China, in India as well we continuously want to build and add more service capabilities. We also believe as an organization that there 's an opportunity, especially in India and China, where our service revenues are so small compared to the rest of the world , to really grow that part of our business. And we will push to make services maybe a 15 %-20% of our total revenues in India and in China. Also, keep in mind that India and China have a very large installed base nearly 40 ,000-50,000 reactors have been supplied over the last 10 odd years. Now, equipment are aging so at some point, these equipment will come in for servicing, for replacement, and so on and so forth. And then lastly, keep in mind also that the mindset of customers is changing. What was acceptable maybe five -seven years ago in terms of quality and services is not acceptable now. There's too many rules and regulations, regular audits, approvals required, so people are changing , and they will track by services and spare parts from the original equipment manufacturer. So, hopefully that means there are a service business that will continue to grow. We as management believe in this strategy 100% and we want this to be a big part of our total business and that is what we are aiming for.

Moderator: Thank you. The next question is from the line of Amar from Alfa accurate . Please go ahead .

Amar: Sir, wanted to understand, beyond 25, we are confident about 15% kind of a CAGR for international business and 17% kind of a CAGR for India business. But then, if I see your near-term guidance, we are pretty conservative even in 25 about our revenue growth. So, are we seeing some serious kind of slowdown in the overall business environment ?

Tarak Patel: No. So, when we gave the guidance of FY 25, this was last year in August, there was no specific slowdown, it is still a significant growth that we have planned for both in terms of revenue and margins. Obviously, maybe as management we might be a little bit more conservative than others , but we do feel that the strategy for us to obviously be conservative, but then out the performed the expectations right. And we did that already during our last guidance period when we actually met the guidance number , one year before what we had promised . So, obviously that time the outlook and the industry were really booming, today there is a bit of a slow slowdown and that 's why management sometimes we built the numbers more conservatively because there is something that obviously is not in our hands. And there could be maybe six months, eight months of volatility which obviously would impact growth for that specific year. But having said that, the outlook on the longer term, the next up to 2025 and then three to four years after

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that. We do believe that overall, we can maintain these growth rates. And again, just to clarify again, I 'm not sure what numbers you said but when I told you my numbers again

n, after FY 25,
13% to 15% growth in terms of revenue, CAGR growth in terms of revenue, and about an 18 % to 20% growth in terms of EBITDA at consolidated level. And like I said, India business will grow faster, and we expect the India business to maybe grow at 17 %-18% or so and then , the EBITDA, CAGR to be 20 % odd.

Amar: And internationally you are saying 13 %-14%?

Tarak Patel: No, 13 %-15% consol numbers we said .

Amar: Okay. And secondly, in terms of your order intake, like if I see order intake or even an order book as well as order intake has been muted, in this quarter and we are sounding for kind of muted kind of an environment even in the chemical as well as overall customer level. So, just wanted to understand, is that the deal closure is becoming delayed or there are deals which are becoming canceling or people are delaying their expenditures?

Aseem Joshi: Look, we see a lot of the funnel is strong. So, there 's a lot of stuff that we are in discussion with customers about, but it is taking longer often the decisions are being pushed out by a quarter or two. That 's what we 're seeing primarily in, for the glass line, chemical space .

Tarak Patel: Cancellations not so much , maybe you ask me one cancel, one big project was cancelled this year, but everything else is either pushed out or finalized and they have to finalize maybe a month or two later, I think the international business is pretty much the same for you, Thomas right .

Thomas Kehl: Picture is pretty much the same at the same chemicals the process of making decisions is a little bit slow down. So, we are waiting for the project to be decided, but no projects are taken out or taken back , we have no cancellations. So, the funnel is strong and good sales versus good project. And we are not losing the project more than we did in the past or the market share is not decreasing , it's rather stable or slightly increasing anyway.

Moderator: Thank you. The next question is from the line of Sarang Sanil from RW Investment Advisors.

Please go ahead.

Sarang Sanil: I have a couple of questions. My first question is, in the last few weeks a couple of German specialty chemical companies have been cutting down on their forecast for the year, high energy price and weak demand. So, has there been any delay in decision making, especially in the Europe region lately, in the ongoing quarter?

Tarak Patel: So, the question was Thomas, we've seen a lot of European and especially German chemical companies cutting guidance and things like that. Is that impacting business for you specifically in Germany, that was the question.

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Thomas Kehl: Again, the overall chemical industry is slowing down a little bit, we see that midterm, long term, we don't see any major impact on that. A couple of changes in some of the big chemical industries like the BASF making announcement moving towards China, some of the products or products that are not necessarily been guided by our company and our products. So, the impact that we see is not really foreseeable, not really there.

Sarang Sanil: Sure. Sir my second question will be, what would be the effective tax rate for the year, since you have mentioned in the previous call that it could be in the range of 26% to 27% for the year as this quarter we saw that to be a little elevated, are you still sticking to that, 26%, 27% range for the year?

Manish Poddar: Yes, overall for the year there's no change in the tax guidance. But quarterly fluctuations depending on the deferred tax impact will, continue to happen because of so many geographies, but overall we did maintain that.

Sarang Sanil: Sure. Sir my last question is regarding Mavag, is it possible to give the domestic market share of this technology?

Tarak Patel: Sorry, did you say Mavag?

Sarang Sanil: Yes

, sir.

Tarak Patel: So, Mavag generally kind of participate in a business that we call filtration and drying, this is where anywhere where you separate a solid from a liquid, and then you dry it. So, in this space, there are multiple different technologies that we have and Mavag is a brand name that has all the technology. So, in terms of market share it will be very difficult to say, having one of the two things that I can definitely make clear for you is, there is a big market here in India for a product called filter dryer or ANFD, where there's a lot of competitive intensity, there's four or five different players, and it's kind of very competitive. So, that's not where we participate. We do some stuff in ANFD, but only for very critical application. Well, we do focus in India as one, we supply components to our Swiss subsidiary. So, 80% of that manufacturing that happens within it happens actually in India. And then we also focus on specific drying equipment like VCD, vertical cone dryers, we do spherical dryers and other such equipment. So, the idea as a company is always to move towards highly technological advantage that you have where you solve customer's problem, either you're helping him reduce batch time or have been improved heat transfer, or power consumption. So, anytime you can make a difference for the customer, that's when you really move up in terms of value. And that's what the focus is on. We try and exit any business areas where there's too much competitive intensity and customers don't value technology.

Moderator: Thank you. We take the next question from the line of Shyam Maheshwari from Aditya Birla Mutual Fund. Please go ahead.

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Shyam Maheshwari: So, just wanted to understand the outlook on a Chinese entity. Looking at the annual report, the Chinese entity has been a significant contributor of growth for the last couple of years in the international segment. But with things now slowing down in China, what is the outlook that you're seeing?

Tarak Patel: Yes, I will start and maybe Thomas can jump in. So, again, on Chinese facility, our new facility getting it up to speed and ramping it up took some time, we started the move from the old factory to new factory during COVID so we lost some time, but definitely happy to report the momentum is there, the factory is completely now up and running. And it has performed very well. In fact, the largest vessels ever produced within our group, in all the years of history that we have actually was produced by the Chinese facility only last month, 140,000 litres, and three of them I believe. So, incredible improvement for the Chinese facility and their order backlog also remains quite strong. But again, like you rightly said, there is definitely a slowdown in China. And again, the competitive intensity there is going to kind of increase over time, maybe for the short term and then as the market turns maybe then decrease. But all in all, we're in a

strong position keep in mind our China business is very small about \$20 million of equipment that goes into China from the Chinese factory. So, it's not a huge number and China for that kind of market size we have very large market, the whole Chinese market could be about close to a billion dollars out of which our addressable market is about \$200 odd million, which would still mean that there's a lot of potential for growth. And I'll just hand it over to Thomas now, maybe he'll give you an update on China as well.

Thomas Kehl: Thank you Tarak, that summarizes quite well the story of the new plan that is up and running and gaining momentum, the COVID levels are at the level that we expected and planned for, the capabilities on the China plant are well set for the future with the new processes is that we have amended operation activities that we have implemented there, we are h

ighly competitive in the

segment that we are playing. We have a lot of projects going in the funnel that are not yet decided. And again, more or less the same story of the slowdown chemical industry is there. However, the plan is quite busy, because we have a strong backlog with good margins. And China is performing quite well. And we believe that this slip in the demand and China is going to be over very soon. Just the bottom has been reached already and momentum will come back on order intake.

Shyam Maheshwari: Understood. And my second question was on the lines of services. So, what are the steps that we are taking in order to increase this share of services in our overall revenue, because let's say even if the outlook is a little muted on the glass line side, if we can get some annuity side of revenue from services, that would be very helpful so what are some of the steps that we are taking to increase this share?

Tarak Patel: Yes, so as a starting point, keep in mind a very important relationship between new CAPEX and services. When you see the CAPEX cycle slowed down, you will see the spend on services go up. So, that's always something that has happened, it usually means that if I'm not buying new equipment, I will make sure that the equipment that I have in my factory runs well and doesn't GMM Pfaunder Limited
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break down. So, you see that relationship obviously, so if the CAPEX cycle were to slow down a little bit you would see the services revenues increase. Like I mentioned before, there's multiple things we've done in both international as well as the India business and maybe Thomas and Aseem can add a little bit more in terms of what specific actions have we taken to grow our services business.

Thomas Kehl: Any specific actions that we have taken started the journey a couple of years ago, we increase the number of service technicians engineers on the ground from a little over 20 to 40 in 2017. And today we are little bit over 60 service technician engineers in the field. We have increased the number of service centers over time significantly, we started off with less than six, now we have 12 and going to look for 14 and 16 service centers. With our M&A strategy being a new technology non-glass led technologies, all those technologies always provide service opportunities as well, we with our array of service products is becoming bigger, and therefore we believe that we could change to win more service business and increase of share at high margins and contribute to the overall performance quite significantly.

Aseem Joshi: Yes, and I will add for India, in India we are just starting off on the services journey, it's been a very small portion of our business. Thankfully, we have the international business template to follow as far as structuring and organization is concerned. So, we've done a lot of things that they've already done, which is first, we carved out a separate organization that's focused on service, which did not exist in the past. We've also worked with the factories to ensure that we have enough stock of parts, replacement parts that are required for our customers. And there's a lot of analytics one can do about your install base and figure out how to go after your installed base and with service offering so we are now engaged on that process. All in all, we are quite pleased with all that coming along. And we expect to continue that journey for the next probably two to three years and bring up the service share of our revenue in India.

Tarak Patel: And just to add to what both these gentlemen said, in terms of service personnel today, we are by far the biggest in number of people, both internationally and India. So, that gives us a significant advantage. The idea between management teams here today is also to kind of look at if there is other equipment within a chemical or a phar

maceutical plant that we could also cater

to. So, why talk only at equipment may or manufactured by us, why can't we not also service other equipment. So, that's the next step and overtime we will look at that and see if that is something that is possible as well.

Moderator: Thank you. The next question is from the line of Rohit Ohri from Progressive Shares. Please go ahead.

Rohit Ohri: Two or three questions, the first one being related to the services and the systems that we are

talking about. In terms of the large system orders which we had done in China somewhere around INR 50-52 odd crores and acid recovery orders of some INR 22-23 odd crores do we have any more of these orders, and our clients approaching us for these kinds of big orders in future.

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Tarak Patel: So, there are three acid recovery plants that are under the commissioning now, there 's one in China, there 's one in South Korea, and there 's one in India . These are the three that we 're working on. We just commissioned our first asset recovery plant here in India, we actually committed or the agreement that we said that we have to give them 80% concentration . And we actually crossed that and we are now giving the client 81.6% concentra tion. So, of course plant is up and running , gives us a great example of what we can do with a track record that we have created here in India. And hopefully over time we can build on that success and add more businesses. So, yes, we have multiple opportun ities again that we 're working on. And over time, some of these will kind of hopefully convert into actual orders.

Rohit Ohri: So, w hen we talk about the pie for services systems, do you think the pie will shift more towards systems or is it going to be on ly on the services that you are going to focus?

Tarak Patel: So, currently 60 % odd of our revenue is coming from glass line equipment, over time and I am not seeing a timeframe right now but in an ideal situation, 1/3 , 1/3, 1/3, would be an ideal because all these businesses have their own sets of pros and cons. Glass line is what we are known for so we still need to focus on that and maintain market share . Systems is obviously a much more, I'll say volati le business, you could g et five big orders in one month and then not have something for six months . So, every business has its own nuances. We have to work around that , over time we just want to stabilize the business, we want to make sure that we have a good amount of order intake, there always will be ups and downs. But by th is strategy of diversification, we kind of mitigate some of the risks associated with this. So. it's really a work in progress we really don 't have a specific number in terms of what the ratio should be, but we definitely want systems and services to be a much bigger part of the pie than they currently are .

Rohit Ohri: You're looking at setting up a dedicated engineering center somewhere in India, which will probably cater the global business needs. Can you share some more insights on that , some numbers on that and how much do you intend to spend on which geography are you looking at?

Tarak Patel: So, the concept of bringing engineering , documentation and the calculation kinds of resources to India is ong oing. It is something that 's going to be a game changer in the first year or two, I don't think so. But over time, as an organization we are very much clear that we will have to do this, we will have to do a lot of the heavy lifting to India . I don 't think you should really think of this as a short -term kind of a play, it 's going to be more long term. It 's not going to be a needle mover in terms of improving margins, significant margins today but yet three years, five years down the line, it could definitel y well be . Also keep in mind their mindset issues, when we move stuff from Europe or the US

to India, there 's always that difficulty it will take a bit of time. But, as management we are quite clear that we have to do this, and we are working on it.

Moderator: Thank you. The next question is from the line of Amrish, who is an Individual Investor . Please go ahead.

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Amrish: I have two questions for Manish one is, if you look at the profit before tax for June last year, it was around INR 83.4 versus June this year is around INR 85.8. So, that's roughly around 3% increase. But if the current tax charge ha ve increased from INR 22 crore to INR 36 crore, so if you can share some insight in terms of why the 70% increase in the current tax has happened. And my second last question is that if you look at the other expense line in the P&L, that 's the third largest spent in the P&L after employee payouts and cos t of raw material consumed. So, if you can share some insights in the top two or top three items which comprise of this other expense, and one suggestion probably you may want to think of calling it out separately in the P&L one of the top two or top three items in other expense on the face of the P&L rather than probably merging it as one line item.

Manish Poddar: Sure so Amrish, the first question on the tax part . So, there was some deferred tax adjustments in the international business because of which and that has been happening for if you notice past five or six quarters that is how it has been happening in international business because of so many geographies the re on. So, over a period of time , over a full year period is what probably it is more like -to-like comparison and that is where the effective tax rate in the early question of supply 27% comes into play. That 's part one, part two on the other expenses, this is more like a SEBI format so that's fair, if we can let see, explore if we can accommodate a few lines into this would be, but this all includes your repairs and maintenance, your consumables , your factory ,

travel , legal , professional, all those expenses in the world that the entire SG&A pack as well ,
Tarak Patel: but maybe we can look at that and see if there 's any other line item that are significant ly good,
we could look at that , and let's understand that.

Moderator: Thank you very much. That was the last question in the queue . I would now like to hand the
conference back to the management team for closing comments.

Tarak Patel: So, thank you everybody. I just have one more kind of point to speak about. I have spoken about
our mixing business as you know very clearly , we have a very large mixing business in India
today. INR 150 crores worth of mixing probably the number one mixing company here in India
called Mixion . We recently acquired Mixel in France , it's about \$12-\$13 million company and
has a facility also in China. So, now we have Mixion in India , Mixel in France and in China.
And the last piece of the puzzle is actually having something in North America. I have spoken
about this earlier as well just would like to reiterate that we are now in advanced stages of this
acquisition. It 's not a very large acquisition but will be perfect for us to complete the global
footprint. And then like I had mentioned in the past, we would launch a global brand and really
aim to grow this business significantly over the next three to five years. So, hopefully in the next
maybe a few months, we should have some kind of decision on this acquisition. And at that point
in time, we will come back and speak to you more about it and what it means from a growth
perspective as well as what we are trying to create. Having said that, thank you very much for
your time, and I look forward to interacting you again in the future. Thank you very much and
have a good evening.

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erator: Thank you very much. On behalf of GMM Pfaudler Limited that concludes the conference.
Thank you for joining us . Ladies and gentlemen , you may now disconnect your lines .

Call: Nov 2023

GMM Pfaudler Ltd.

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GMM/SEC/202 3-24/63 November 17, 202 3

To,
BSE Limited NSE Limited
Scrip Code: 505255 Symbol: GMMPFAUDLR

Sub.: Earnings Call Q 2 FY24 - Transcript

Dear Sir / Ma'am ,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended September 30, 202 3 conducted on November 9, 2023, for your information and records.

The above information is also being made available on the website of the Company at www.gmmpfaudler.com .

Thanking you .

Yours faithfully,

For GMM Pfaudler Ltd

Mittal Mehta
Company Secretary & Compliance Officer
FCS No.: 7848

Encl.: As above

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"GMM Pfaudler Limited Q2 FY24 Earnings
Conference Call"

November 9, 2023

MANAGEMENT : MR. TARAK PATEL – MANAGING DIRECTOR
MR. THOMAS KEHL – CEO (INTERNATIONAL
BUSINESS)
MR. ASEEM JOSHI – CEO (INDIA BUSINESS)

MR. ALEXANDER PÖMPNER – CFO (INTERNATIONAL BUSINESS)
MR. MANISH PODDAR – CFO (INDIA BUSINESS)
MS. MITTAL MEHTA – COMPLIANCE OFFICER
MS. PRIYANKA DAGA – DGM STRATEGIC FINANCE

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November 9, 2023

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Moderator : Ladies and gentlemen, good day and welcome to GMM Pfaudler Limited Q2 FY '24 Earnings Conference Call .

As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now ha nd the conference call over to Ms. Priyanka Daga from GMM Pfaudler Limited . Please, thank you and over to you, ma'am .

Priyanka Daga: Thank you, Sagar. Good evening , ladies and gentlemen. A very warm welcome to all of you into the Q2 FY24 Earnings Call of GMM Pfaudler Limited.

The Earnings Presentation was uploaded on the Stock Exchanges today and is also available on our website. Hope all of you had a chance to go through it.

From the management, we have with us, our Managing Director – Mr. Tarak Patel; our CEO of International Business – Mr. Thomas Kehl; our CEO of India Business – Mr. Aseem Joshi; our CFO of International Business – Mr. Alexander Pömpner; and our CFO of India Business – Mr. Manish Poddar and our Compliance Officer – Ms. Mittal Mehta.

We will give you a brief overview of the performance of the company, after which, we will get into the Q&A.

Before we begin with the overview, a brief disclaimer. The presentation which we uploaded on the stock exchange and on our website, including our c all discussions that will happen now, contains or may have certain forward -looking statements regarding our business prospects and profitability, which are subject to several risks and uncertainties. Actual results could materially differ from those in suc h forward -looking statements.

I will now hand over the call to Mr. Patel to provide an overview of the performance. Over to you, Tarak.

Tarak Patel: Thank you, Priyanka. Good evening, everybody .

We are happy to report a strong performance this quarter with both revenue and profitability in line with our FY25 guidance . Revenue growth was driven by strong execution across international and the India businesses , profitably improvement in the international business driven by operational excellence and pricing improvements . A good point to note today is that the international business has recorded the highest ever profitability in this quarter .

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Order intake , however , remains a bit subdued in technologies and systems due to a general weakness in the chemical sector . Services remains on track . However , our strategy of diversification and entering new industry segment has led to a strong opportunity pipeline across all business platforms , and we continue to focus our efforts on strengthening our market share in the next few quarters .

Having said that , our order backlog stands at about INR 1,705 crores , which translates to about 6 months of order visibility in India and about 7 to 8 months in the international business . Our order intake for the month of October has been quite strong , and it's around between the INR 250 to 270 crore mark . So, October has been a good month in terms of order intake .

Some of the other salient points about this quarter . We had a global strategy meet in Munich where 30 of our senior professionals from across geographies participated . This is in line with building a long -term strategic plan , and hopefully , by the end of this financial year , we should be able to host an Investor Day to update investors in terms of our long -term vision .

We also opened up two new service centers , one in Brazil and one in Italy . Both these service centers are for the mechanical seal – Interseal business – and will add to improved services in these regions .

In terms of

financial performance , our consolidated revenues for the quarter grew by 20% to INR 937 crores with an EBITDA of INR 142 crores , which translates to about 15% EBITDA margin , which is around 20% higher than last year . Our current quarter , like I mentioned , the

improvement in profitability was mainly driven by the international business , largely due to the strong execution and pricing improvements .

We are also continuing to look at internal cost efficiencies , and this is something that we will keep our eyes on , and this is something that over the next few quarters will be quite important in terms of improving and maintaining profitability .

In terms of corporate updates , DBAG Fund VI has sold 13.6% , out of which 9.9% was bought by ChrysCapital . 1% still remains with DBAG, which obviously the Patel family has promised to acquire .

Now that all the approvals have been received , the French approval actually came only yesterday . We plan to complete this transaction in the next week or so probably around November 20th. This transaction will happen at INR 1,700 per share , which was agreed at the time of the last sell down.

DBAG's nominee directors , Mr. Malte Woweries and Harsh Gupta have both resigned since then. And today our current board has 6 Directors out of which 4 are Independent .

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Lastly , I am also happy to inform you that we have signed an agreement to purchase 100% stake in MixPro . This is a mixing company based in Ontario , Canada for a consideration of about \$7 million . The transaction is expected to complete by November 3 0th . And like I have said in the past few quarterly updates , that mixing is an important business for us . We have a strategy in place . We are building on that strategy , and mixing will continue to be a growth driver both in terms of revenue and profitability .

I will now hand over the call to Manish Poddar, our CFO of the India business , and he will take you through the financial performance of the company . Thank you.

Manish Poddar: Thank you , Tarak . Good evening, all.

So, YTD , our revenue was at INR 1,850 crores, up 22% , and the EBITDA is at INR 274 crores, up 27% at an EBITDA margin of 14.8% for H1 .

Moving to the balance sheet , primarily , as an organization , we continue to focus on making the balance sheet stronger . With that intent , we have reduced our long -term debt by INR 77 crores in H1 which includes the INR 29 crores of prepayment . In H2, we have a plan ned repayments of INR 51 crores , but we think we should be able to prepay some more debt, a long -term de bt during H2. And so, therefore , overall in this financial year, we should be reducing our long -term debt by something like INR 140 crores .

Our interest costs have also reduced in H1 by approximately 20 basis points , primarily in India , and now at cons olidated , carries an interest rate of 7.5% and 8.1% in India . This reflects the confidence of our lenders in the business , and as a result , we continue to enjoy "AA-" credit rating at the peak of our debt versus when we were debt free.

Also on the other avenues , we continue to identify non -critical or non-core balance sheet items , and we will try to get a bit leaner . So, therefore , you see a small item on the asset held for sale for this year as well.

Moving on to , if you refer our slide number 9 on the working capital , our receivables are under control at 48 days . Inventories has also reduced in past 6 months by something like INR 70 crores .

However , if you see the customer advances , that have reduced from INR 406 crore s to INR 270 crores . That's the biggest item for us as an area of improvement for us . That reduction is primarily on account of two reasons . One, our backlog has reduced in September versus March . And customer advances as a percentage to backlog was 19

% in March has reduced to 16% in

September . So, these two factors have led to this reduction in the customer advances.

Now , moving on to the cash flow . If you see on slide number 10 , INR 251 crores of cash generation primarily got consumed within the business in H1. The biggest item of that is the working capital due to two reasons . One was the customer advances as we just discussed .

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And the other reason has been the PO C increase in Mavag for some thing like INR 50 crores for this half year , and as you know, Mavag , we have been running a huge Operational Excellence program , and as the manufacturing goes on and this POC reduces , we should be able to liquidate a lot in H2. With that, I will just trans fer the call back to Priyanka.

Priyanka Daga: Thank you , Manish. Sagar, you may now open the line for questions .

Moderator: Thank you very much . We will now begin the question and answer session . The first question is from the line of Sanjay Shah from KSA Securities Private Limited . Please go ahead.

Sanjay Shah: Good evening Gentlemen, and first of all, Wish you all a Happy Diwali and a great year ahead. Sir, my question was regarding the order intake, which is drifting towards the service side which you have mentioned in the presentation also. So, Tarak sir, can you highlight upon the services side in detail to make us understand what is this? And how do you see that panning ahead, the other business to o?

Tarak Patel: Sanjay, thank you so much and Happy Diwali to you as well. Just to understand the business, we break our businesses into three main verticals: technology, which includes Glass lined and non-Glass lined equipment. We have a systems business which is basically any of our equipment around which we build complete systems, automation etc. built into it. And then we have a services business, which is basically service mandates that we have internationally. And in India, we have spare parts. We have re-glass, pipes and fitting. So, these are things that are used to service our equipment. And as a company today at a consolidated level, about 35% to 40% of our revenues comes from services.

One important aspect to consider is the backlog that is currently available of INR 1,700 odd crores does not have a lot of service components because these are obviously fast moving. So, over the next few months and quarters, you will see service revenue kind of be something that comes, it's quite stable. It will continue to happen, and it will continue to be shipped out. This is not really long-term backlog that gets added onto the backlog. So, over the next few months and quarters, you will see that the service business will continue to add to the backlog.

The other difference in terms of the international business and the India business, the international business obviously has a much larger component of services. India is currently around 9%-10%. We have plans to improve that and bring that up to a double digit. So, that's something that we are working on.

Services, like you know, is very profitable, and something that we have a lot of focus on creating service centers, placing service centers in the right geographies, and making sure that services is something that we can be proactive about.

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Our future goals, you know, our strategic intent really is to not only stop at servicing our own equipment, but we should also be able to service other equipment as well in a chemical or pharmaceutical plant. So, as management, you know, we believe that service is going to continue to grow. It is very profitable, and we want to make sure that our service offerings increases over time.

You know, having said that, services again is something that gets kind of

related to capex. So,

when capex increases, services may decrease a little bit, but when capex slows down, people want to take better care of the equipment and make sure that they have much more uptime and hence their spend on services will increase. That's the general overview on services. Happy to answer any other questions that you may have.

Sanjay Shah: It's really helpful.

Moderator: Thank you so much. The next question is from the line of Shalin Choksey from Axis Capital. Please go ahead.

Shalin Choksey: I have a few questions. Firstly, on the order inflows which we know have been relatively weaker. Does this translate into any change in revenue or EBITDA guidance? And what sort of visibility on the domestic and international business does the current order backlog provide?

Tarak Patel: So, in terms of this year's outlook, I don't think anything changes. I think we are in a very strong position to finish the year as planned. As management, we are also very aligned in terms of what our strategic direction is in terms of order intake. We know that we have had a couple of quarters of slightly lower intake than what we would have liked, but having seen a strong October, we believe that over the next few months, quarters, we will be able to build the backlog.

There have been some large projects that we have won, and we still expect to win as well. These are projects that got pushed out just because of the slowdown in the chemical industry. We expect some of these projects to now materialize in November and in December. So, from that perspective, I think this year is completely sorted. We are at par as you would have known. Also, in terms of both revenue and profitability, we are perfectly on plan.

Our focus now really is changing to next year. As management we are aware, and we are ready for the fight. We are aggressive in the market. At the same time, we are also looking very, very strongly at our internal cost structure. Are there opportunities within the company to rationalize manufacturing footprint? Is there opportunity to reduce cost? All those things are being worked on.

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But all in all, I think the next 6-9 months could be slightly slower than expected, but I believe that the chemical industry will come back strongly. Pharma has already seen a bit of pickup, and I believe that we are in a strong footing to kind of take advantage of that. So, no change in revenue or profitability guidance, and I think for this year, I think we are quite strong, and we expect to complete the year just like what we started.

Shalin Choksey: And my other question was on the standalone business where revenue growth has been pretty slow at about 4% and EBITDA margins have been flat sequentially. Firstly, what slowed down the revenue growth in the standalone business? And you had earlier indicated that we can do about 15% to 16% EBITDA margins in the standalone business. How is that tracking? Because to achieve that, it means we will have to do about 17% in H2.

Manish Poddar: So, I think, Shalin, yes, on an EBITDA margin, we have been tracking at something like between 14%-14.5%, and as Tarak mentioned, next 6 to 9 months look not all that super exciting. So, better part of this year probably we should be in this range only, for rest of the year, in standalone numbers.

Aseem Joshi: I will just add. So, your line wasn't very clear, but I understood you are asking about top line growth in India in the standalone business, right? So, look, I think we all recognize that the market in India has been fairly challenging for the last 6-9 months, especially in the chemical and pharmaceutical segments. What we have done is been a lot more aggressive in the market in these segments and also focused on our exposures

or increasing our exposure in other segments.

So, for example, oil and gas, minerals and mining and a few others with our mixing business with our Equilloy business and things like that. So, while the growth has not been as high as it used to be in the past, we believe once these core industrial segments return to growth, combined with our increased focus on other segments, I think, you know, we are pretty confident that we will get back to our traditional growth rates, and therefore, also get our margin profiles back to where we normally are.

Shalin Choksey: And if I may just another question? If you could provide some color on how the raw materials prices are tracking now and whether any high-cost inventory that still remains with us?

Aseem Joshi: Raw materials now have thankfully cooled down. They are now back to where they were before the spike, but, you know, they have been sort of up, then down than we have seen; but has steadied. Most of the high-cost inventory has now flushed out, and we are buying inventory at market and using it.

Moderator: Thank you so much. The next question is from the line of Koushik Mohan from Ashika Institutional Equities. Please go ahead.

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Koushik Mohan: Sir, my major question is coming on the glasslined side, because our market share like if we talk about the entire TAM for this entire business is somewhere around \$1 billion. That comes out to be Indian rupee of 8,000 crores or let assume like INR 8,300 crores. And because currently we are in a run rate of revenue somewhere around INR 3,178 crores, which is we closed in the last year, and also by seeing that last two quarters, we are also very near to INR 2,000 crores. That comes up to INR 1,900 crores. So, because of this reason, we are entering into MixPro, that is \$3 billion market. I understand that. That means INR 25,000 crore market share is there. The market is there. We are getting into that, but how about this only the GMM Pfaudler core business that is glasslined? What are we looking out here? Are we going to take the market share of De Dietrich, which is the market leader in the world?

Aseem Joshi: I will start off and then perhaps Thomas or Tarak might want to add. Look, glasslined business is, as you rightly mentioned, our core business, and we have definitely focused on maintaining our share there.

While our share varies across different regions of the world, roughly speaking we are at 40% to 50% market share globally. You did mention correctly that the market globally is about \$1 billion, but obviously, as the cycle in this, the capex cycle in the chemical, pharmaceutical segments has slowed down, you know, for a temporary period that market also slows down a little bit, right?

So, we are very confident that we are, if not protecting, actually, we believe we have gained share in the last 6 months, because we have been a lot more aggressive in ensuring that we capture the orders that are out there, and we are confident certainly all the major project orders have come to GMM Pfaudler.

As far as MixPro is concerned or the mixing business is concerned, that's a separate segment. We have always had a mixing business. We believe it's a good business, and therefore, we are

expanding in it . But it's an independent separate business , you know, that gives us a little more diversification and breadth of exposure .

Thomas Kehl : From International point of view , the market shares also are quite high in all the regions that we serve . In major regions , we have a good position there , and our strategy always has been to maintain this market share .

However , during the last two -three years , we have been able to increase market share , especially in Europe , where we have been able to cater to some of the regions

that we haven't been able to

get a foothold in like Southern Europe , Eastern Europe , and this was due to the EPIQ program where we import vessels from India , Made in India , finishing them up in our sites in Europe and shipping to the customer . And this was incremental business for us and thus we have gained market share in the last few years . And our goal is still to maintain that.

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Tarak Patel: And just to add on the mixing business , more strategic rather than what our plan is , so, as you know, we have always had a mixing business in India . It's close to about what ? \$20 odd million .

That was the starting point .

We then acquired a company in France called Mixel around \$12 million - \$15 million of revenue , also having a facility in China . So, we are now present in India , in Europe , and in China . Recently we announced the acquisition of MixPro, which is in Canada . So, now we have access to North America and South America , right ?

So, as part of the global strategy , we wanted to be a global player when it came to mixing , which is now completed . We have also looked at resources and organization for mixing . We have also kind of we are in the process of bringing in somebody to run the mixing business . I think that's something that will really help our dedicated focus on the business with the go -to-market strategy .

Mixing is something that again makes a lot of difference for the customer . It's a technology play . It helps reduce batch time . It helps improve our power consumption . It helps reduce cost , right ?

So, many more companies are looking at mixing now . People are talking to us about mixing in a more technical manner as well . So, this is definitely an area that we want to focus on .

And like Aseem mentioned , mixing goes across many different industries , right ? So, metals and minerals , water treatment , paints. It goes into food and beverage . It goes into cosmetics . So, the list is really , really long. Obviously , we are not going to play in all the areas , but we are going to pick and choose areas where we have a strong footing . And our idea is to be in the top five mixing companies in the world . I mean, obviously , it's not going to happen overnight , but I think the progress that we have made so far both with the acquisition and both with the resources that we have added , I think over the next few years , you will see the mixing business really kind of grow at a much faster pace than our glasslined business .

The other thing just to kind of close out this question is that even though glasslined is what we are known for , glasslined at the start , maybe two or three years ago , accounted for nearly 70% of our revenue . Our idea of management is to bring that down to 50% , right ? 50% should be glasslined , and the rest of the 50% should come from non -glasslined , services and systems , right ? That is really the goal to mitigate the risk and the exposure that we have in glasslined .

We have kind of built a portfolio of non -glasslined products , right ? And these products are growing much faster , have much bigger markets that we can cater to . Their TAMs are much bigger , and hence , we believe that this is going to be the kind of structural change in the business over the next maybe two or three years . We will always be the market leader in glasslined , but the share of glasslined within our total revenues will probably come down to close to 50% .

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Koushik Mohan: So that means that our entire revenue of glasslined is currently around , if I assume on the broader terms in the last year, we have closed around INR 3178 crores. If I assume even, we'll do this year INR 3000 crores that means that in next coming five years we have another 50% market coming from only from

mixing line. That means our entire sales will somewhere around look

like to INR 6000 crores. Then what will be our margins, which line of margins will be taken?

Because currently if we look at margins , the glasslined India business is doing great than the Pfaudler business that we have it. How about mixing , in mixing business what kind of margins that we'll do ? If possible, can you give all the three segments which I'm talking about their EBITDA level margins if you have some guidance?

Tarak Patel: Yes. You went to the numbers quite fast and I'm not sure if I agree with all the numbers. I would just kind of give you an overview. Glasslined margins, yes, are quite strong, have been quite strong, but even our non-glasslined businesses today are generating similar levels of profitability, right. So, none of the business lines that we've added are going to be detrimental to margin. They're going to add and improve the margin profile. Our mixing business maybe in some cases is already higher than glasslined, right? So, there is definitely technology sale that we're doing in mixing, in systems where we're getting probably better margins than we are in glasslined. Again, the only business that we have today within the group that probably is slightly lower than glasslined would be the Heavy Engineering business. But again, there we have a clear strategy of picking and choosing the right metallurgy, export versus domestic and making sure that our margin profile is close to maybe 12%-15% there, right. But the rest of the product lines that we have, anything that goes into chemical processing should generate a 15%-20% margin profile, if not more, services and systems obviously will give you a lot more. And then our Interseal business again has a very high margin profile, right. So, I think that's the general overview. We don't expect a significant change in margin profile just because we are reducing the glasslined share. We're replacing that or we are adding new businesses that are also kind of margin accretive rather than dilutive.

Koushik Mohan: Sir, my repetitive question on this but little bit clarity in the glasslined business. India business currently is somewhere around (+16%). So, can we maintain this margins in India business and in non-India business that is international business somewhere around 12%, in mixing line what kind of percentage is that? In India business, what is our EBITDA margin, in non-India business that is international business Glasslined, what is our margin? In mixing line, what will be our margin?

Tarak Patel: I said that, those are the right numbers in terms of general guidelines. I think India margins can improve a little bit with operational efficiencies and things like that. If the market dynamics were to change and the market demand were to increase and automatically prices would increase and hence our margins would go up. Internationally also, glasslined margins will remain stable, and I didn't hear you clearly, but I think you said mixing line. I'm not sure what that meant but the mixing business is between the 15%-20% margin profile currently. The idea is obviously to grow that margin and improve that margin as we consolidate, as we have a clear strategy and as we have a clear go to market strategy, we want to improve margins definitely.

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Moderator: The next question is from the line of Mr. Pramod Dangi from Unifi Investment Management LLP. Please go ahead.

Pramod Dangi: Just the two questions, when you said that Pharma started seeing some momentum building up in India, but chemical is still sluggish. So, while our order book is still low, do you see any kind of announcement for the new capex building up in the pharma or the chemical where you can see that the customers are now planning for the new capex?

Tarak Patel: So, I think there's two

points here. One is, I don't think our order book is low. I think we're comfortable. The problem is that the market was super-hot. So, our order book, obviously a few quarters ago was incredible. It was much higher, but it's not the general tendency to have such a high order book. So, I think that's something to just keep in mind. We are still at a very comfortable position, maybe not at the highest level that we were, but that market was definitely inflated and superhot. Keeping that in mind, like I said, we are at a comfortable level and that we believe that with orderbook can continue to grow because some of these opportunities that we are working on which are delayed with only kind of materialized in the coming quarters. And I think we should be in a good position then. Coming back to your question about pharmaceutical investment specifically and I'll let Thomas answer for the international business. In India, we do believe that things are kind of improving. We have been seeing some traction on the ground, especially in Hyderabad. We've seen some stuff happening in Gujarat and in Mumbai as well. Pharma is coming back. I think the real play for pharma is going to be in the next financial year. FY25 is where pharma will invest. I think some of them have already started building capacity to cater to the demand in FY25. Some of the bigger guys like Divis has already announced Unit 3. They've already placed the first round of orders, Laurus has expanded. Neuland is expanding. We have expansion in MSN as well. So, those guys are expanding. We have Cipla and Sun Pharma looking at small expansions, Pfizer is looking at small expansion. So, yes, there is definitely more momentum in pharmaceuticals and maybe Thomas internationally you would like to say something on the pharma business or the pharma sector?

Thomas Kehl: Yes, the pharma sector is still strong going as well, in the Americas as well as in Europe. In Americas, our order intake that is driven by pharma, our projects is quite strong still. We also have increased basically our service above expectations in the Americas, Europe, we have to say that the pharma industry is still investing and the bottlenecking and repairing. So, what we are

seeing is in the tech market there. However, the overheated mode is somewhat over. Things are back to normal. Decision times are taking a bit longer or back to normal times and this is quite good news. Where we see some significant weakness at this point is in China and China pharmaceutical as well as chemical markets are very, very slow right now. Their capacity seems to be at the high level at this point, but both the opportunities is quite large in China, as you know from a global point of view and those investments will come back and when they come back really they come back strong.

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Pramod Dangi: And secondly on our stock and sales strategy where we are supposed to supply around 28 -30 reactors to the Germany or the European facility, how's that shaping up? What kind of transaction we are seeing over there in terms of the customer of tech, if you can give some update on that.

Alexander Pömpner: Yes, thanks, difficult to understand but I think you want the question about the stock and sale program that we have initiated and started. We consider this is still huge success, it's ongoing, it's still going. We are replenishing our stock the second or third time as we speak. Shipments are on the way to Europe and usually the vessels that we have in stock and sales don't remain longer than two to three months on stock before they go and this is something that our customers appreciate having the opportunity in an emergency case to get fast supply and for that reason, it's a success story.

Pramod Dangi: Is it helping to gain some market share or to serving the client more in a limited time how is it helping overall profitability side as well as gaining the momentum of the client.

Tarak Patel: Sorry, your line is not very clear to understand the question. You mind logging back into the queue?

Pramod Dangi: Sure.

Moderator: Thank you so much. The next question is from the line of Omkar Kamtekar from Bonanza Portfolio. Please go ahead.

Omkar Kamtekar: Thank you. First of all, with respect to the execution, our order intake has been slow, that's not the issue from my perspective. But the order backlog has fallen by approximately INR 300 crores on a quarter -on-quarter basis. So, we can say effectively on a positive side the execution had improved and we have done approximately INR 900 crores of revenue and every quarter there has been a fair bit of increase especially in the last three quarters on quarter -on-quarter basis. So, can we say that the execution is starting to ramp up and this execution level can sustain or maybe even improve for H2 and ahead?

Tarak Patel: Yes, the problem is that I think too much improvement in execution means that you eat into your backlog much faster. Like you rightly said, but execution both in India, especially in international business has been quite strong. Like many of you will know we have 3 new facilities in Germany, in Italy and in China, which obviously are executing the momentum is there, these factories were started maybe 2.5-3 years ago and it took us some time to ramp up. That's why you're seeing a significant improvement in revenue. You might remember that when we acquired the business, international was about \$175 million. Today they are close to \$250 million - \$300 million, right, so significant improvement in revenue and it's come from 2 main areas, one is operational excellence or improvement in execution and two pricing improvement, right. So, we used to have when we were moving factory or exchanging from the old factory to the new factory, a lot of delays in delivery but today customers are very confident. They're very

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comfortable that when Pfaudler says they are going to deliver in eight months, it's going to come in eight months. So, that's the benefit. We need to definitely continue with execution and that's what we are working on. There could be an opportunity to rationalize a little bit of manufacturing that we have and that's something that we're looking at as well. But otherwise, I think execution will continue. We need to focus on bringing in orders which we all are quite aligned. Order intake has been quite strong in October. We hope that November and December will also be quite strong when we are back at the decent level and like I said, our business is not only dependent today on glasslined, so we are not only dependent on chemical and pharma. We have other businesses that cater to other industries as well. So, in heavy engineering, for example, last month we got INR 75 crores order. We are currently working on a few other large projects, INR 50-60 crore. The two of them are going to materialize immediately. We are now at the INR 2000 crore backlog mark. So, again there is nothing has changed very quickly, and I believe that India will turn around much faster than the international business. India currently has a smaller

backlog, so India needs to kind of run faster. In international business like I mentioned, 30% also comes from spare parts and services that's always ongoing. So, that's not part of the backlog and that will add to the backlog every month. So, that's the general overview in terms of backlog and in terms of the execution capabilities as well.

Omkar Kamtekar: And with respect to the guidance, so the guidance I think would remain relatively unchanged because at the current run rate, we might just about fall maybe by a percent or two short of the FY24 estimate that was given in Q1 and we might we should be in line with

the FY25 guidance

just to confirm.

Tarak Patel: Yes. So, as management, we are clear that FY25 guidance and I think in the past as management what we've kind of given out in terms of guidance we have delivered on and our primary goal and every single day when we wake up, we make sure that we are working towards achieving that goal. I don't see a reason why we should not be able to meet that goal. We might have to look at certain deviations of strategy, certain changes in our strategy, a little bit more aggressive on pricing, but I think we all are in the same page when it comes to that, we need to meet these numbers and we will work towards meeting these numbers and making sure That we deliver on the guidance.

Omkar Kamtekar : Just a view on the mixing business, so the Mix Pro acquisition that we have done, although it is a small scale vertical now, but how do you see that scaling up and what percentage of the total revenue that it might go say maybe FY25 -FY26. What is the guide pathway for that? If you could help me with that?

Tarak Patel: When you add up a mixing business and both the Aseem and Thomas will jump in with their views as well. Today, India is around \$20 million, Mixel is around \$15 million, adds to the number \$35 million and let's say MixPro was another \$7-8 million, right. So, we have the \$ 41-42 million mark, which puts us into kind of already in one of the bigger or the top five kind of companies in the world. Our focus is to build that business into at least \$100 million business, double it in the near term, three-to-five-year period. And we believe that there are more

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acquisition opportunities here as well. So, that's something that we will always look at pursuing when something comes up. But even organically now that we have these three facilities we have PTR, we have access to new markets. We will then use our global sales network and our ability to kind of combine the three mixing platforms into one and offer the same product ranges to multiple customers across multiple regions, right? So, mixing is something that should grow quite fast. We've seen significant improvement in the mixing business here in India and we believe that internationally also over the next few quarters, you will see mixing becoming stronger and stronger. Thomas or Aseem do you want to say something here?

Thomas Kehl: Yes, thank you much. I think the mixing business again, market base is significantly bigger than the glasslined market base and this is one of the reasons why we have chosen the technology, the technology that we understand was very adjacent to what we already do. And at the same time, it opens for us market opportunities in the market segment that we haven't been serving with our other products so far. And therefore, a lot of opportunities are certainly there. We are making ourselves a stronger company by mixing, offering that and organizationally we are working right now diligently and setting up in our organization. And when we call it the mixing division with leading person coming from the industry, very experienced joining us beginning calendar year next year and putting all those things together. And as Tarak said, we are working on several acquisitions around mixing as we speak, and we have further potential to grow.

Aseem Joshi : Yes, I'll just add, I think Tarak and Thomas have covered most of the strategy things, I'll give you a couple of examples of how mixing makes a difference, right? So, in India recently we've had some nice wins in new segments. So, for example, in lithium processing, the specific agitators required, which we're working on. In biorefining, in gold beneficiation process as well. We're supplying our agitators. These are new areas from our traditional chemical and pharmaceutical space and it gives us the ability to really cover segments that

at we have

traditionally not covered. We've selected a few areas where we think we can make a difference and we'll continue to build our expertise, our PTRs, so that we make a more compelling offers to our customer base.

Omkar Kamtekar : It would be prudent to assume that the mixing business will be growing much, much faster and it will also already I think you mentioned 15 % to 20% EBITDA margin. So, that would be good to assume.

Aseem Joshi: I think that's a reasonable assumption to make.

Omkar Kamtekar : And just a final word on the working capital. So, in the current quarter, we've seen approximately INR 220 crore hit because of the working capital. So, how are we going to optimize that or is

this just a one-off thing or is this going to be maybe prolonged for some time?

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Manish Poddar : I think that has gone into the base now. So, I think as on 1st October, we start with a fresh base. So, H2 and H1 will be completely different part A. Part B, there are a few initiatives which we've already started working upon and you will see the results hopefully in 31st March results as and when we come up.

And to your previous question on maximizing couple of months back, we uploaded a mix ing presentation and there's that much more detail if there is and you can refer that as well and there is a 25% growth guidance has been given on for the next four -five years on the mixing business .

Moderator: Thank you so much. The next question is from the line of Raj Shah from Marcellus investment managers. Please go ahead.

Raj Shah: My question was relating to the unbilled revenues amount. In March '23, the amount was around INR 100 crores , I just want to know how that amount was moved as on 30th September ?

Manish Poddar : So, the Raj the unbilled revenue amount as I said with regard to Mavag primarily has increased by something INR 56-57 crore. So, to that extent that amount increases .

Raj Shah: How do you expect this amount to move by the year end ?

Manish Poddar: I think it should be more or less be stable and it's a smaller reduction because as you grow the base, the revenue rate increases, but I think at this stage we are a slightly on the higher side. So, you can say a marginal reduction as we go along .

Moderator: Thank you so much. The next question is from the line of Ritesh Shah, from Investec Capital. Please go ahead.

Ritesh Shah: This is Ritesh from Invest ec Capital. So, I just wanted to understand the business case for mixing technology that's one. So, you did indicate examples for lithium and gold. This is quite niche as far as the Indian markets are there. Do we supply to any other non -ferrous majors likes of Hindalcos, Vedantas of this world and if yes, so what is it substituting right now or is it something which is new that we are offering to these companies ?

Aseem Joshi : As far as minerals and mining are concerned, I gave those two examples. We do provide agitation solutions to a wider range of minerals and mining cases. While I can't take specific customer names for confidentiality reasons, certainly we do cover other areas. And as far as what we're replacing , There is usually an existing agitation solution but the way we design our agitator , it gives them better productivity or more efficiency in terms of power consumption and that is what actually enables our sales vis-à-vis their existing solution.

Tarak Patel: So, just to add to this, I think in the past when these plants were built, especially in metal and minerals in you know oil and gas, petrochemicals, a lot of PTR s was required. So, most of these PTRs were already expected, which would mean that these inquiries would only go to certain vendors, so in most cases we do compete with the global biggies when it comes to mixing.

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However, we've m

ade a name for ourselves here in India and now with the two acquisitions that we have done, we've also bought P TR, right. For example, Mixe I has a very strong PTR certain industry MixPro on the other hand a has a very strong on PTR in other industry segments. So, we don't really have a lot of overlap. So, when we combine the three businesses , we have really a much wider range of industry segment and PTR that we can use. The idea is to bring it all together and package it together under one u mbrella of mixing and then go out and then target the customer base saying , Hey! we can now cater to a much wider range of industry . Like I said earlier, mixing helps customers reduce batch time, which means they can produce more. You can reduce your power consumption, which means your cost goes down. You can improve the quality of your product s which means you get more money, so there's multiple benefits that the customer can touch and feel. And that's why mixing is very, very important. And that's why we have decided as our technology leader to go after mixing in a big way because it fits perfectly with the portfolio. It's complementary. The synergies mixing is something we speak about with our chemical and pharma customers, but now we can speak about it t o a much wider range of customers as well.

Ritesh Shah: Alright, Sir, I appreciate your comments. So, to my understanding glasslined equipment are far, far critical, right. So, you will have some pricing power and we can call out on margins what we want . How critical is the mixing as a technology when you look at any of the ferrous or non -ferrous majors because it will be a very small part of the value chain to my understanding, so will it fair the same level of margins , ROC E that we look at when we look at our traditional or core businesses?

Tarak Patel: Yes. So, the big project that we have done where we were competing with international players, we did a fermentation project where we were competing with the Chinese company and we must have made I think higher than 30% EBITDA margin in those specific agitators, right? So, these are all critical, especially when it's critical and you cannot take any kind of risk, the customer cannot take the risk then they have to make sure that they pay for and compared to manufacturing outside of India. So, let's say we're competing with the German, a French or a Chinese player, our cost of manufacturing in India is much lower. So, we are maybe 25 %-30% cheaper, but because of our lower cost, we make significant improvement in margins. So, mixing generally is a profitable business. It's changed a lot and, in most cases, the mixing business will probably give you better margins than a glasslined and that's the idea of really growing the mixing business.

Moderator: Thank you. The next question is from the line of Shyam Maheshwari from Aditya Birla Mutual Fund. Please go ahead.

Shyam Maheshwari: I just had a couple of questions. One on the international business, when I look at the gross margins this quarter, they are a little off, the numbers that we usually post around 3 % to 4%.

Wanted to understand why that is? Is there some competitive pricing that you're seeing there? Is it some acquisition related integration costs that are probably one-off the nature?

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Tarak Patel: Sorry, this is the international business you're talking about or the India business. I didn't get that, sorry.

Shyam Maheshwari: The international.

Tarak Patel: There is. It's slightly lower. What is lower, you said, sorry, gross margin.

Shyam Maheshwari: The gross margins.

Manish Poddar : In international business, the technology business in this quarter has been a bit on the higher side. And as you would imagine, technology would consume that much more raw material and that is the main reason for this higher increase in the material

cost line item .

Shyam Maheshwari: Right, so this is probably a mix related.

Manish Poddar : Exactly, that's exactly what it is .

Shyam Maheshwari: No competitive kind of pressure as such.

Tarak Patel: Competitive pressure is there now. I mean, if the market were to slow down, obviously there is more people buying for the same kind of order book. There is definitely more competitive pressure. I would say Europe and international US is not as intense as we've seen, at least here in India. But I think in India we've done quite well with maintaining or maybe even improving market share in glasslined, our order book in glasslined in the last couple of months has been quite strong. We expect some more large orders to finalize in the near future . From that perspective, I think both international and glasslined margins could probably see an improvement if the market were to kind of turn and the demand were to increase.

Thomas Kehl: The revenues that you see right now, they are not under competitive pressure because revenues from the last quarter were order intakes from 8 months ago.

Shyam Maheshwari: Second question was just on the outlook on the chemical industry as such . You have guided for growth beyond FY25 as well. Orders right now are muted so what gives you the confidence that the chemical industry will come back and maybe if you could give kind of a breakup between like agrochemical, specialty chemical, which sectors you are seeing, maybe some sort of pickup happening in the recent months?

Tarak Patel: So, I probably was hoping to ask you the same question in terms of what do you think about chemical because you probably are tracking and following more chemical companies than we are. But I think what gives us confidence is that 1) some of the projects that was supposed to be finalized maybe six months ago have finally started, kind of people are sending us enquiries, they finalize on their equipment, and they are now getting into the negotiation phase, that started to happen. And I think that gives us a little bit more confidence because earlier maybe a quarter ago or two, three months ago, we did not have that confidence, things have got pushed out and

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in terms of chemical industry and when I say chemical is really agrochemical, the bottom has been reached, I don't think there's any further kind of downside there. So, if anything, things are going to improve. Raw material prices have also stabilized like you must be knowing much of the overstocking is going to get consumed and then obviously US, Brazil will start ordering again. So, we will see a ramp-up of the chemical industry, mainly agrochemical. Specialty, pharma have been decent. They have been kind of doing okay. People building like CPVC, PVC, all these kind of specialty chemicals continue to do quite okay and then pharma is picking up. So, all in all I think the whole situation even though has – chemical is cyclical. We've always

known this obviously we've been in an up cycle for the last maybe five to six years so people didn't realize that there's also a down cycle. I think the idea is when there's a down cycle, we should be aware and we should make sure that we have control of our costs and make sure that we don't lose market share, which we are doing and as soon as the markets are to turn, I think we will be in a strong position to take this opportunity and make sure that we are again in a strong position.

Moderator: Thank you. The next question is from the line of Sarang Sanil from RW Investment Advisors. Please go ahead.

Sarang Sanil: My first question is, what is that you're doing differently in the international business now, which is clearly getting reflected on your margin. With the capacity utilization, headcount rationalization or had there been any revamps in the existing facilities, I mean what are t

he top

levers apart from the better pricing that you get?

Tarak Patel: So, maybe Alex, you can take this question. The question is what are you doing differently in the international business so that your profit margins have improved significantly from what 7.5% from 2.5 to 3 years ago to now nearly 15%.

Alexander Pömpner: There are several factors what Thomas mentioned before, a lot of the orders that you currently see in our P & L they were offered when we had the peak for energy prices for material last year, so we were able to increase our prices further. And in the meantime, the cost structure stabilized again and therefore we benefit from the higher for the better priced business with the lower cost structure now.

Tarak Patel: Right. And I think the other thing that maybe from the pricing improvement that we did, but also the execution in the facilities namely Germany, China, Italy, I think these are new facilities, they took some time to ramp up. But now the momentum is currently strong, and we are getting good absorption of the fixed cost. Having said that, we always also look at and maybe Thomas can talk a little bit about the employee costs generally and what we have done over the last few months to make sure that we're more efficient.

Thomas Kehl: Of course, we had increases due to the inflation of the regions. Again, we have been able to manage to increase our prices accordingly. That was not significantly difficult because all our customers have the same story, the same issues with that. But at the same time, we were able to

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increase productivity to operational excellence programs to combining better operational processes and the productivity increase. And this is what how we counter those cost increase.

Sarang Sanil: My second question is when I see your margins in the last two years, in Q4, there is a bump up in other expense as a percentage of revenue. So, is there any big expense that you incur in Q4 and is it something we can expect going forward?

Tarak Patel: In Q4, there is usually you pay your incentives, right international, but there's something in last Q4 that we have the new salary or January is the new calendar where they have the higher salary that you pay normally.

Manish Poddar: So, the appraisal cycle is 1st January, which happens to be Q4 for us. So, employee expenses generally go up.

Tarak Patel: Yes, in Q4 but I think generally for the year, you will see that we are around what we've guided towards. But yes, Q4 you will see a slight increase in employee expenses in the international business.

Sarang Sanil: I meant other expense line item.

Manish Poddar: I think exactly reference to last year Q4 probably we may not have something upfront immediately to our mind, but I think there would be legal expenses that would be there on account of acquisition and all.

Alexander Pömpner: I think you assume that you refer to the cost that we spend for the acquisitions and for the we say you remember that we also tried to dispose the Edlon business and for the year and in fact, we put all the costs for this. So, this is more or less considered as a one-time impact. So, please do not consider going forward that in the Q4, we always see a significant bump in the US operating expenses.

Sarang Sanil: My final question is, is the effective tax rate being the 26 %-27% range only for this year because first two quarters we saw a little on the higher side, right?

Alexander Pömpner: The international business we always had some changes in the tax rate. I think in general we gave the guidance to consider rate of 27 % to 28% there between the quarters some changes, but I would consider that for this quarter we are at the 25 %-27% weight again, so yes. For the full year you will see according to our published reconciliation where you see the impact due to defer red

taxes due to the units that we have globally. So, that's the general guidance remain s at 27%.

Moderator: Thank you. Ladies and gentlemen, we would take that as our last question for today. I would now like to hand the conference over to the management for closing comments.

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Tarak Patel: So, thank you everybody for joining us for this call. I think most of the comments that we've made today will kind of show to you that we have line of sight in terms of where we want to be.

We obviously have now also our shareholder who has come in recently and we will be engaging with them as well to kind of build strategies and achieve areas of improvement and that we will obviously maybe at some point look to give you guidance maybe more than FY25 which we are currently have guided towards. Having said that, we also have some specific strategies for acquisitions, M&A opportunities that we continue to look at. So, that's something that we will continue to do. And then lastly, like I said, we are making sure that our cost structure remains intact and that we can look at operational efficiency to help improve margins. And hopefully the market is starting to turn and there is some the uptick and if the market were to kind of turn around much faster than obviously the demand goes up, which means then everybody kind of increases prices. So, that would help also in terms of profitability but generally I think we performed quite well for the first half of the year. And we expect to continue with the momentum for the next half as well. And we look forward to speaking with you at the end of Q3. Thank you very much and have a good evening.

Moderator: Thank you. On behalf of GMM Pfaudler, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

GMM/SEC/202 3-24/86 February 7, 202 4

To,
BSE Limited National Stock Exchange of India Limited
Scrip Code: 505255 Symbol: GMMPFADLR

Sub.: Earnings Call Q 3 FY24 - Transcript

Dear Sir / Ma'am ,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and nine months ended December 31, 202 3 conducted on February 1, 2024, for your information and records.

The above information is also being made available on the website of the Company at www.gmmpfaudler.com .

Thanking you .

Yours faithfully,

For GMM Pfaudler Ltd

Mittal Mehta
Company Secretary & Compliance Officer
FCS No.: 7848

Encl.: As above

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"GMM Pfaudler Limited Q3-FY24 Earnings Conference Call"

February 01, 2024

MANAGEMENT : MR. TARAK PATEL – MANAGING DIRECTOR , GMM
PFAUDLER LIMITED
MR. THOMAS KEHL – CHIEF EXECUTIVE OFFICER
(INTERNATIONAL BUSINESS), GMM PFAUDLER
MR. ASEEM JOSHI -- CHIEF EXECUTIVE OFFICER
(INDIA BUSINESS), GMM PFAUDLER LIMITED
MR. ALEXANDER PÖMPNER – CHIEF FINANCIAL
OFFICER (INTERNATIONAL BUSINESS), GMM
PFAUDLER LIMITED
MR. MANISH PODDAR – CHIEF FINANCIAL OFFICER
(INDIA BUSINESS), GMM PFAUDLER LIMITED
MS. MITTAL MEHTA – COMPLIANCE OFFICER , GMM
PFAUDLER LIMITED

MS. PRIYANKA DAGA – DGM STRATEGIC FINANCE ,
GMM PFADLER LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY '24 Earnings Conference Call for GMM Pfadler Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Priyanka Daga. Thank you and over to you ma'am.

Priyanka Daga: Thank you, Sagar. Good evening, ladies and gentlemen. Welcome all of you into the Q3 FY'24 Earnings Call of GMM Pfadler Limited. The "Earnings Presentation" was uploaded on the stock exchanges today and is also available on our website. Hope all of you had a chance to go through it.

From the Management, we have with us, our Managing Director – Mr. Tarak Patel; our CEO of International Business – Mr. Thomas Kehl; our CEO of India business – Mr. Asim Joshi; CFO of International business – Mr. Alexander Pömpner; CFO of India business – Mr. Manish Poddar; and Compliance Officer – Ms. Mittal Mehta.

We will give you a brief overview of the performance of the company after which we will get into the Q&A.

Before we begin with the overview, a brief disclaimer:

The presentation which we uploaded on the stock exchange and our website including our call discussions that will happen now contains or may have certain forward-looking statements regarding our business prospects and profitability, which are subject to several risks and uncertainty. The actual results could materially differ from those in such forward-looking statements.

I will now hand over the call to Mr. Patel to provide an overview of the performance. Over to you, Sir.

Tarak Patel: Thanks, Priyanka. Good evening, everybody. We are happy to report a strong performance this quarter with stable revenue across the international and India business.

The business environment continues to remain challenging, driven primarily by a weakness in the chemicals sector. But we see an improvement in terms of order intake; in Q3, we had an order intake that grew by about 20% over the previous quarter. So, that's definitely a positive sign. And looking into Q4, which I'll speak about a little bit later, we also see that the order intake looks like it's going to pick up as well.

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Like I mentioned, the order intake was up 21% at Rs 756 crores. This is also partly driven by the fact that we have diversified and kind of increased the technology portfolio besides glass lined, we also have non-glass lined that adds a large chunk in terms of our order intake. And I think what has worked very well for us as well is that we have diversified away from chemical and pharma. And a lot of the new order intake that we have seen, some of the shortfall in glasslined that have been made up, has come from these adjacent industries, mainly oil and gas, metals and minerals and petrochemicals as well. Further, we currently have a strong opportunity pipeline, and we expect large deals to close in the next few months and we believe that the order intake for Q4 will also continue in a similar trend.

In terms of financial performance:

Our consolidated revenues for the quarter grew by about 8% at Rs 856 crores. We had an EBITDA of Rs 114 crores and a margin of 13.3%. Our nine months revenue was up 17% to Rs 2,706 crores, while our EBITDA increased 16% to Rs 388 crores during the same period. Profitability in international business remains stable. However, India margins have seen a bit of decline due to intense competition in the glasslined business. This is mainly driven by a slowdown in the chemicals industry, mainly

the agrochemicals industry. We continue to focus on costs and improving our efficiency.

In terms of corporate updates:

We completed the acquisition of MixPro, Canada. However, the MixPro numbers have not been consolidated this quarter and they will be consolidated from next quarter onwards.

I have also spoken about our mixing platform and MixPro is the third step in terms of our acquisition. This gives us access to of course the American market. With our last acquisition

Mixel , we had access to Europe and to China , and obviously, as you know, we have a very strong presence in the mixing business here in India. So , as part of our mixing platform growth, our acquisition has been completed and now the focus is on the business there and focus on the go - to-market strategies for this business line. On this specific platform as well, we have now a new head of platform that we have hired. That person has now joined us. He comes with a lot of experience in the mixing industry, and I believe he will be a welcome addition to the management team as well.

Lastly, just wanted to also add that the Patel family has completed the acquisition of the 1% stake from DB AG. DB AG has filed for de -promoteri zation and once those approvals have been received, they will no longer continue to be promoters of GMM Pfaudler Limited .

With that, I now open the call to questions. Thank you very much and I am happy to answer any questions that you may have.

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Moderator: We will now begin the question and answer session. The first question is from the line of Venkatesh Balasubramania m from A xis Capital. Please go ahead.

V. Balasubramania m: I had around three or four questions. Firstly, if I look at your international revenues, they have been consistently growing at 15 % to 20% for quite a few quarters now . Now, what we understand is the international markets which you're operating in, namely Europe and US are mature markets. So , how are you able to achieve this kind of growth? Are you gaining market share in glasslined equipment outside in Europe and US?

Tarak Patel : Thank you for the question and let me just kind of give you some more color. So , I think one of the things that we have seen in international business especially over the last couple of years is that we've seen a significant improvement in revenue. So , I think a couple of things have happened. Firstly, our new facilities, mainly our German , Italian facilities have obviously shown a lot of traction when it came to improving the revenues and output from these factories. I think that has been important pillar in terms of improving revenues . With these new factories coming online, we were able to deliver equipment in a very timely manner for our customers, right. So , the ability for customers to now trust and have comfort in the Pfaudler brand and the ability of order to complete the deliveries in that respected time-period has improved, which means we now have seen as somebody who will be able to deliver the equipment in the right time period . So, more customers are now coming to us for at least the glasslined business . The other growth has come from the non -glasslined business, and these have been mainly the acquisitions that we have made. I will talk a little bit more about that in a minute , but before that our services and systems revenue as well in the international business continue to grow ; services accounts for nearly 30 % to 35% of international revenues. We have added about 24 service personnel over the last maybe six to 12 months , we have also opened four service centers recently. So , service is a big push for us. Service is something that is very profitable for us and service i s an area that we definitely want to grow. So , really all the engines have been firing . From an order intake standpoint , the last couple of quarters have been

slow, not only for the international business but

also for the India business . I think what's important to highlight now like I mentioned, Q3 saw an improvement in order intake by about 20%. So, far, Q1 also looks very good . Just to kind of bring to the notice of the entire group, we received a very large order. Finally, a systems order that has come through from the US market for \$11.4 million. This was booked in the system yesterday. So , that's a very large new order that has come in, something that we have been trying for quite some time , and we will have the international team spe ak a little bit more about that. Also , looking into India, we see some resurgence now in the g lasslined business, we see some of the projects that have been held back for many, many months are now getting finalized , we did receive a couple of very large orders for the g lasslined business . And having said that, our other businesses here in India continue to do well ; so our heavy engineering business , because obviously it's not driven by the chemical s sector , is more focused towards let's say metal and minerals, oil and gas petrochemicals , has already seen a lot of traction. We have a very large backlog here a nd then even our proprietary business and systems business has seen a good amount of traction. So , all in all, it seems that the general market outlook looks a little bit better.

Again, we have to keep our heads down , focus internally on where we can save costs and be a

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little bit more aggressive in the market which we are doing. But , as I speak this evening, I think we have reached the bottom and things are starting to look a little bit better. And we need to focus on making sure that the order intake improves over the next few months as well . Just maybe for a second. Thomas, if you want to jump in and just talk a little bit about the growth of

the international business and where do you see growth coming from for the next few quarters ?

Thomas Kehl: Yes, I think Tarak made a lot of points that are correct in supporting the business growth that we have encountered. And one comment on the International business – it is not just reflecting only Europe as a region , but also reflecting North America, South America and a lot of parts of Asia as well , the situation is a little different from Europe in many cases. We also had inorganic growth through our acquisition as Tarak mentioned that are kicking in now and helping us diversifying from the glasslined and sustain and supporting the growth that we encountered. And we also believe that this good delivery also from our EPIQ program that we were able to acquire some market share.

Tarak Patel : Sorry, maybe I can just add here . I know we spoke about the international business, but I believe and maybe Aseem, you can just maybe jump in . In terms of market share in glasslined here in India , I think we've probably seen some improvement there as well, right?

Aseem Joshi : As Tarak did mention , the chemical s sector, especially the agrochemical sector had been not as active as last year, but we' re see ing a sign of resurgence . Through this , we have ensured that we've maintained and grown our mark et share . We're confident that in a tight market , this is the time to ensure that we have and continue to capture more than our fair share business, which we have done this year. So , we expect to come out of this next year with an even stronger position in the market.

V. Balasubramaniam: While answering my first question , you did give a flavor about the orders. Now , I have a couple of different questions on the orders. See , first of all , obviously this quarter was better than last quarter. There has been a slight rebound in orders on a quarter -on-quarter basis. But when do you think we can get to a run rate of closer to 1,000 crores kind of orders in a quarter --

does that

happen in the 4th Quarter, or this is something which might take a longer time going into the next year? That is the first part of the question . The second part of the question is, while we understand that there has been a slowdown in the India chemicals and pharma capex , why are orders not coming in the international side? See, because even if I take a metric like your outstanding backlog divided by your sales in that particular quarter , what we are observing is even on the international side, the coverage level seems to be coming down. Is there a slowdown outside India also when it comes to chemicals capex or is it just an India phenomenon? And why does each of those rebound , what will make it rebound?

Tarak Patel: Good question again. I think the chemical slowdown is a global slowdown. I think it's across the world. Maybe it's a little bit more, I would say significant here in India, but there's definitely slowdown across the world. We see a big slowdown in China. So, we've seen order intake in China, obviously slow ed down very, very significantly. Luckily for us, our China facility is

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obviously not that large. So , we can still find enough orders to kind of work on. But having said that, I think two or three things are happening which you need to be aware of . I think one, the India chemical s sector has been under some pressure for the last few quarters, but we do see some resurgence. Like I mentioned to you, there are large projects that have recently been finalized. PI Industries is one such example. I think there's a large Aarti project that's being kind of spoken about right now and mu ltiple other projects as well, right. So , we do see some decision - making . These projects have been spoken about for the last maybe six to eight months and things are now finally moving. So , I think as the market settles down , commodity prices also settle down , I think people will start looking at their investment cycles again. We've been seeing and following a lot of chemical companies this quarter as well. Many of them have announced long - term capex plans as well, right. So , people have allocated money to new facilities, and I think it's only a matter of time before they come in. Now , coming back to the international business, I think what we are seeing now and what we kind of know internally is both Germany or Western Europe and the US markets are doing better. We are seeing some significant order intake. They were a little slow maybe six months ago, but we've seen some improvements here in terms of order intake, but there's still a lot of work to be done. India as well this quarter has been okay in terms of glasslined , but again, not to the level that we would be very, very happy with. So , there is still a lot of work to be done and the focus now is to make sure that we build enough backlog for next year, right. So , we all know that on March 31st we need to make sure that at least sufficient backlog is there for us for the first two quarters and that would give us a good amount of visibility and that's what the focus is . Lastly, just to mention t hat there was one product line of ours, one platform which is called systems and we had kind of spoken this in the last two quarters as well . Systems was behind budget significantly and that's why you saw that little bit of order intake slowdown . In international business , it was mainly driven by one product line not p erforming up to the mark . This is the same product line that received a large \$11.4 million order just two days ago. So, now that product line has now come back to a level where that decent or der intake has come in, right. So , all in all, it's been a general slowdown across most of

the kind of products that we have. Obviously, some are not focused on chemicals and have seen significant improvement, but glasslined business has been

driven by the slowdown and now

we're seeing some kind of positivity coming back to that business line.

V Balasubramaniam: Now, a very pointed question to Manish. See, every quarter you share international numbers and standalone numbers. Now, when I take your international EBITDA, I take your standalone EBITDA. For the first two quarters of this year, when I added it up, it was lesser than the consolidated EBITDA. So, the consolidated EBITDA was slightly higher. So, for example, in the first quarter, the difference was 6 crores, second quarter was around 2.4 crores. Now, in the 3rd Quarter, it is a negative 2.7 crores. Now, is my understanding right that this is the EBITDA which is basically products which are made in India and then exported to Europe or US where they are finished and sold, and this is the value add for that. Now, if the understanding is correct, then secondly, how do I interpret a positive number and how do I interpret a negative number in a quarter?

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Manish Poddar: So, yes, it's a typical timing difference on a cut-off date. So, for example, India ships to the German entity in Q1. So, in the standalone you'll have the profit, but in consol you'll not have a profit because it's still lying within the group from an India warehouse to a German warehouse. Therefore, India profits will be higher, consol will be lower. However, in Q2, for example, that German entity ships out to the third-party. Entire profits of India and Germany will be there in consol, will not be there in standalone in Q2. So, in one quarter you'll have a positive, in next quarter you'll have a negative. Overall, it will knock off, because it's just inventory in, inventory out, sometimes you have an opening higher inventory, sometimes you have a closing higher inventory.

Moderator: The next question is from the line of Rajesh Kothari from AlfAccurate Advisors. Please go ahead.

Rajesh Kothari: My basic question is when we had a conference call, I think, maybe 20th November, you gave some guidance performance versus FY'25 guidance, and there of course there were some numbers on FY'24, but in this presentation I think that slide is probably missing. So, I just wanted to know how are we positioned for '24 and what is your view on '25?

Tarak Patel: Yes, so I think from that perspective, we had given guidance of Rs 3,700-odd crores for Revenue of FY25 and Rs 630 crores of EBITDA. This year we will probably close the year with revenue of Rs 3,600 crores. From a revenue perspective, we're definitely tracking well towards the guidance that we have given. From the EBITDA perspective, obviously, there seems to be a slight shortfall. I mean, if you kind of extrapolate 430-530-630 for FY23, 24 and 25, we should have been around the 530 mark this year. We will be around the 500 or so mark. There is some work to be done in terms of margin improvement. And that's something that we hope to kind of bring in with obviously better kind and quality of orders, but at the same time, we are looking at EBITDA improvement projects both here in India and internationally. We've also looked at reducing costs. We have taken already some action where we have kind of downside and hopefully some of these kind of cost improvements will show up next quarter. We'll show up from Q1 of next year. What we are also trying to work on is obviously our procurement strategies and to make sure that at least if there is some savings that we can kind of bring in due to better procurement policies and systems and we kind of procure a lot of steel and metal, right. So, that's something that we're working on where the project is ongoing. And generally, I think we have to kind of just keep our heads down, I mean it's not the greatest time for the chemicals industry, but I'm sure that India will remain a strong player in the chemicals, manufacturing space and it's

only a matter of time where things will kind of come back to normal, right? So, right now, the

focus is to make sure that we remain strong, and we remain cost in control, and then when things turn to improve, then we can really ride and extract all that benefit, right. And like I said, it's going to be a matter of time before we see the same kind of order intake that we've noticed in the last two or three years. That kind of level of activity will probably take another six to nine months in my personal opinion.

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Rajesh Kothari: So, just a follow up question on my side. It means you are saying you will stick to revenue despite the 3rd Quarter has not been that great. So, basically it means that correct me if I'm wrong, nine months revenue is 2,300 crores, it means you have visibility of 1,200 crores in the 4th Quarter?

Tarak Patel: No, no. So, let me just say again . What I was trying to tell you that if you look at the nine month s number -

Manish Poddar: Nine months just to clarify, we have clocked Rs 2,706 crores, Rs 3,600 crores would mean , we need to do just under Rs 900 crores for Q4 .

Rajesh Kothari: Basically 3,600 minus 2712. So, you are saying roughly about 900 crores. You are saying revenue is going to be in line , margins basically need to work upon. And then how do you see FY'25 based on the order intake and kind of margins what you would have assumed while taking these orders because the market will become more competitive , so how close you think you will be on both revenue and EBITDA for FY '25?

Tarak Patel: Let me put it this way. I think the order quality have not been the best, but we do see some amount of improvement there. With the product mix that we have in place, I think that we are okay, because our focus , and as a company we were close to maybe 80% glasslined which over the last maybe four or five years come down to now 60% glasslined , right. So , we have other industries , we have other products that we are now catering to. So , not everything is driven by chemicals and pharma, which gives us a lot of comfort that if glasslined were to slow down, something else will come in and make up for the shortfall . For example, let me tell you a little bit about the large orders that we have won in the heavy engineering space, right . So, heavy engineering today is a business that obviously is not as lucrative as glasslined , but we are now seeing that with the kind of strategies we have in place, the choice we are making in terms of either metal, the material of construction, the size, the thicknesses, the weight, we are able to differentiate and really improve our profitability, right. So , we have a very large order close to about 80 -odd crores where we believe we can very easily make about 15 % EBITDA margin, right? So , we are trying to compensate some of the erosion in the glasslined kind of the margin by our other product line. And like I mentioned to you, there are businesses such as engineered systems like the order that we just got in the US for \$ 7.4 million , currently they are very profitable, right? Our mixing business, our services business, again is very profitable, right? So , if there is a bit of a slowdown, we expect some of these other businesses to compensate. And then lastly, let me not also forget about exports , I think exports for the Indian business is something that we are focusing on , we have some large enquiries that we are working on and should materialize also in the next few months. And obviously , our programs are sourcing from India into the Europe and Western markets will also definitely add to profitability improvement. All in all, not the greatest environment, but all these internal things that we are working on should help us minimize the gap between what we have planned and what we finally achieve.

Moderator

: The next question is from the line of Rahul Misra from RTL Investments. Please go ahead.

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Rahul Misra: Just on the glasslined business, we get to hear that the number three player from Hyderabad have become aggressive with pricing. Could you share some color on that?

Tarak Patel: Yes, sure. So, I wouldn't point to one single vendor. I think pricing is something that most of our competitors have kind of been focusing on. There is definitely more competitive intensity today than there was maybe one year ago. Having said that for us being the market leader, being the quality leader, being the technology leader, we are able to at least kind of command some kind of premium or in the worst cases if we match prices, customers will want to give with us, right. So, all the large orders, all the large projects over the last maybe 12 months , we have been very aggressive , we've been very much active in terms of meeting customers, having people on the ground and I don't believe we have lost significant orders in the glasslined business, right. So , we have been aggressive, we have been more active , pricing is obviously under pressure, but we haven't lost business, right ? So, that's unfortunately the kind of market scenario that we have today. And as and when we see some improvement in order intake and demand , automatically, we will see some improvement in pricing as well . But that is unfortunately the realistic situation today and we are doing our best to kind of bring back pricing either through differentiation or selling something that gives the comfort to the customer either in terms of increasing the life of the equipment or making the process that he operates is much easier and more efficient for him, right? Maybe Aseem wants to jump in and just add something on India level pricing .

Aseem Joshi : I think Tarak really covered most of the points. We are focused on, first of all, ensuring we gain market share in this kind of environment, especially with the large customers. At the same time, we're very conscious of the need to maintain or continue to improve pricing . In order to do this , we have a number of projects underway where we are looking at smarter ways to price based on application , based on customer needs, etc ., So, all of those are starting to come in and we expect those will start having benefits from next quarter. From a margin perspective, we've also taken a look at our costs, and we have worked on reducing both our variable and fixed costs in our two glasslined factories. So , the benefit of that will also start to accrue to us again starting really from this quarter onwards, but really picking up in the next year.

Rahul Misra: I'm sorry to harp on this . Just I'm trying to understand in terms of the structure of the industry, because it also seems that a much smaller player can actually come in and take order, for example, without advances , etc., and then grow, I mean from what some numbers revealed to be almost as big as probably the number two player now . I'm just trying to think in terms of the structure or the entry barrier to the industry so to speak.

Tarak Patel: It's a very good question and it's obviously from an outside in view, you would wonder why somebody who is reputed in manufacturing pharma or chemicals, why would they risk taking an equipment which has not obviously had any prior kind of the performance or have that technology , right? But I think India is changing . Do keep in mind that more and more customers, when it comes to glasslined , especially customers in the chemical s sector, agrochemical s sector, they do obviously now look at quality more, more critically . It's no longer only price that especially the tier-1 customers have changed over time. For example, the PI Industries entire
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order was

received by us, right. So , that company because of its quality and safety kind of requirements will not compromise on glasslined quality. So , we will be the preferred supplier and they would like to buy most of their equipment from us . And this is probably the same for many of the other agrochemical s and chemical s players. Do keep in mind as well when the sizes of these reactors increase, there is more chance of something going wrong. So , as your reactor sizes increase, more and more people would want to go with reputed manufacturing . There is definitely let's say a value market in India. These are markets where these are smaller companies not as quality conscious , have two or three reactors , I think that's where they really make a lot of inroads. The third thing that has happened is many of these competitors have come in maybe three, four years ago , and now we are seeing that customers are realizing that some of these quality is not lasting as long as what they were promised, right? So , many of customers who had tried these players, maybe three, four years ago during their new orders and new projects, they are now definitely coming back to us because they tried something else , it's cheaper, but the quality was not in line of what they were requiring , and now they are coming back and we have seen this with maybe four or five other customers who were buying from our competitors but now have come back and started buying only from us, right? So , there is no structural fundamental change in the industry. We are still the market leaders with the highest market share. There has been growth. But if you really look at maybe the last six months and the next six months from now, you will see that a large amount of order intake in glasslined has been kind of catered to by GMM Pfaudler and when there is a slowdown, then the ability of us to take business is obviously something that we will definitely try and use because the order in the market itself are much lower, right ? So, there is no competition, but again, happy to say that we have been the preferred vendor and continue to remain the preferred vendor when it comes to glass-lined .

Moderator: The next question is from the line of Kaushik Mohan from Ashika Institutional Equities. Please go ahead.

Kaushik Mohan : Majorly , I have one question on this quarter. Why is that margin has been depressed , any little bit more clarity on this?

Tarak Patel: Manish and maybe Alex, you guys want to speak about your respective margin profiles? So, there's obviously seasonality with the business and I think what you should really look at both the businesses from a nine month period because looking at really from a quarter is not really the best way because there is some seasonality like we mentioned, obviously Q3 in Europe, has the Christmas period and then Q4 has the seasonality of the new payment and the salary cycle, right , like India has some amount of seasonality as well. But generally, the margins have seen depression because the environment driven by chemical softness has obviously reduced the glasslined order intake, which in turn has impacted margins. That's the overall situation.

Manish Poddar I can start off on the standalone basis and then maybe Alex can jump in for the international bit. So, yes, for the quarter-on-quarter, we have reduced by 2%-2.5% of EBITDA margins , primarily as we just discussed earlier in the call, the glass lining pricing pressure continues and as a result,
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the heavy engineering mix also increases , and also I think for this quarter specifically we had a lower export shipments , so all these combinations led to a relatively lower margin but as Tarak mentioned probably three months or 90 days of a relatively shorter period for all these calculations and understanding . So, maybe as mentioned if you refer it to on a YTD

basis we are

at like 13.5%-14% of EBIT DA margin. On the cost saving, as Tarak mentioned, we have been focusing primarily on the factory to reduce every bit of cost on account of material consumption, wastage, scrap and logistics, procurement, all the functions during the SG&A and the fixed cost.

That's where we are, and we continue to work on that. We hope that the full year impact has started keeping in, in Q3 and it should increase in Q4 and going forward in Q1 onwards as well.

Alexander Pömpner: I think Tarak already said something, Manish already said something in general, we have a fluctuation between the quarters. This is mainly driven by the mix of the businesses. So, the share of services in relation for example to glasslined, not to the systems. And especially what Manish mentioned, we look regarding margin development, more or less on an LTM basis through the last five months basis or the year-to-date basis, however, you would like to do it, and there we see a continuous improvement and this is for us the key KPI and therefore we are not really worried if there's a quarter where maybe the margin is a little bit lower than the previous quarter because on the 12-months basis, we see the upper trend.

Kaushik Mohan: My second question is on like when are we going to see a bigger kind of growth coming from our non-glasslined business and majorly from the mixing business that I'm talking about?

Tarak Patel: So, just to start off this answer, the non-glasslined business today accounts for maybe Priyanka, as of this quarter, how much of total revenues, is it 30%? I think there's a significant improvement and we were looking at the numbers today. So, compared to 2021, if you look at the contribution of the non-glasslined business that was maybe early or late teens, maybe today around the 30% mark in 2024 YTD, so about 10% improvement in terms of the share of non-glasslined business. Now with the acquisition that we have made, definitely we will see the non-glasslined picking up and growing faster because these products obviously are in the markets that are growing much faster, they're not as a mature product as glasslined and specifically within the non-glasslined platform we have mixing which we believe will be a high part growth market. I now invite Thomas maybe to speak a little bit more about our strategy in mixing and how we are doing in that platform as well.

Thomas Kehl: The mixing platform is one part of our strategy moving forward, diversifying away a little bit from glasslined and more technology is getting more independent. The mixing opportunity and platform give us also the capability to tap other markets and applications and that turns out to be true. The acquisitions are now being integrated into one platform and leading by a specialist that we just hired and came in and Tarak talked about this one as well in the introduction and the opportunity is still there and this is clearly our target that our overall goals should also provide us with a different mix of product lines, less glasslined, meaning not shrinking but growing the others at a faster pace.

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Tarak Patel: Correct the numbers, I have in front of me now, in FY '21, we had about 45% of our revenues coming in from glasslined business alone, that today has come down to 32% and non-glasslined technologies have grown from 12% to 29%. So, you see that about 25% improvement in terms of the pie, so the non-glasslined is nearly as big as our glasslined, right. So, the whole idea of diversification of product portfolio to shift the focus away from glasslined. The glasslined will remain an important part, but again glasslined doesn't grow as fast as these other product lines and non-glasslined we definitely see a good chance to improve our growth rate as well as maintaining our profit

ability. The last thing is also to maintain on this. I have to speak about is also the adjacent industries. If you look at the share that we have in terms of chemicals and pharma versus the adjacent industries, in FY '21, we had about 84% of our revenues coming from chemicals and pharma, today it's closer to about 60%, right? So, again, as part of our strategy over the last three to four years, we have completely changed the face of the company to be less glasslined focused and really provide a solution provider for the chemicals and pharmaceutical space and now we cater to a wider range of industry segments as well. So, as part of this journey, not only have we kind of grown our business in the glasslined business, but we've also added other opportunities that gives us a little bit more flexibility when it comes to one or two product lines not performing up to the mark.

Kaushik Mohan: Another thought process is on the glasslined. Any assumptions - by which year we can make our glasslined and non-glasslined revenues to be equal?

Tarak Patel: Sooner the better. I think by the way that it's looking, it's not too far away, right. We expect the 50-50 mark to happen in the next couple of years I would think. If the mixing platform and everything has picked up like we planned it, it could be even faster.

Manish Poddar: The way I would characterize it is, look, roughly speaking, we want 50-50, but the idea is not to nestle into 50-50 each year, it's really to give us that strategic diversification so that if one industry is going down, the other one allows us to continue our growth trajectory which was not the case four years back when we were very tightly tied to capex cycles in chemical and pharma, right. So, that strategic sort of diversification is what we've been aiming for and we believe to a

large extent we've achieved it.

Tarak Patel: And maybe one more thing that we've seen in India, because of the slowdown in this space, we've seen a couple of glasslined competitors also shut down, right. So, there has been some amount of consolidation in this period because of the lack of business and the lack of demand, you will see some competitors or smaller companies facing a lot more difficulties, right? So, from that there's also this aspect of a slowdown that you must consider. There is obviously pricing pressure, but on the flip side, there's also maybe lesser competition that survives something like this as well, right. So, that's one of the other outcomes that may be associated with the general market slowdown.

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Moderator: The next question is from the line of Jonas Bhutta from Birla Mutual Funds. Please go ahead.

Jonas Bhutta: Just a quick question on our backlog. So, our backlog is down almost 30% year-over-year. So, it's an indication of the next year sales potential. By when do you think that even if to a flat sales in FY'25 compared to FY'24, latest by when do you need to see those orders flow through so as to we can at least manage flattish top line or is it fair to say that next year top line is likely to remain lower than FY '24 and we may end up meeting our sales guidance for FY '25 nonetheless because we've done that in FY'24 as well. But in general, how should one think of next year sales?

Tarak Patel: Jonas, I think the way that I would look at it is one is obviously as management today we know how important a strong opening backlog is. So, the focus is definitely to build more back log. We are being aggressive like I mentioned in the market. We have seen a significant order intake improvement in Q3, and we expect Q4 to be around similar lines as well. Like I mentioned a large \$11.4 million order will add immediately Rs 100-120 crores, whatever it is into the backlog, right, which obviously goes into next year. Do also keep in mind that there will be spare parts

and services that get kind of built and booked over the next couple of months. Again, so that's always been coming. But we do expect the next couple of months to be active in terms of order intake, I think the people across the organization know how important it is. So, we do believe that we should be able to grow revenues next year, that's the idea, and we will try and be as kind of aggressive as we need to be to make sure at least that we kind of have enough of orders at the beginning of the year. So, from a business perspective, right now, I think the only area where we need to probably bring in a little bit more orders are currently in glassline d especially in India and that's where the focus is. And like I said, we are seeing some amount of improvement in order intake and finalization, right. But we've also taken calls internally to say if glasslined is not there, let's also make sure that the other product lines have maybe a little bit more higher order intake, maybe be a little bit more aggressive in heavy engineering or the proprietary or the mixing space, right. Similarly, we're looking here in India for re-glassing and refurbishing and spare parts. So, we're trying all avenues. The idea is to grow our backlog as soon as possible. And even though maybe let's say we are down definitely year-on-year, the backlog number where we were probably the highest backlog that we ever had was around Rs 2,200 crores. I know it was probably the highest and maybe it was a little bit abnormal I would say that maybe not the usual, it was the highest, but maybe the Rs 2,000 crores level is probably a better number to kind of have in terms of what our backlog should be like, right or what the backlog should be. So, I think that's what the focus is. We're not too far away from it. So, I think it's achievable. It really depends on how the market kind of plays out. But we do expect, and we do hope some very large projects are getting finalized.

Thomas Kehl: Yes, I think you said it rightly, that the focus is on order intake and we have seen in Q3 also the order intake to improve over the quarter that we have in a quarter before, just the order that from systems that came in on is US\$ 12 billion is showing us that the decision-making process is now coming on stream again, and that we expect better larger orders over the next few months and we believe that the backlog will be at a healthy stage at the beginning of the year.

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Aseem Joshi: I sort of echo what Tarak and Thomas said. I think in India as well, you would have noticed that Q3 was better than Q2 and we expect Q4 to be better than Q3. So, we certainly focused on driving that backlog number and again the benefit of diversification is very clear to see where we are seeing our heavy engineering, our mixing, our other non-chemical and pharmaceutical focused businesses really come in and help us get the additional set of orders. So, I think we're riding through a sort of a lull patch, but we should be out certainly in the next couple of quarters.

Moderator: The next question is from the line of Omkar Kama taker from Bonanza Portfolio. Please go

ahead.

Omkar Kamataker: The first question is with respect to the orders. I wanted to understand as to with respect to the pharma and the chemical industry, are the management so like for example, the P I Industries order that you mentioned has been received by us. So, how are the counter companies whom we are dependent on? Are they at the negotiation table or they are still away from the negotiation table, both in respect of the chemical and the pharma players at domestic and the international level, how is that playing out?

Tarak Patel: So, there are definitely more people on the table today discussing and closing than we had maybe last quarter or a quarter before that. Activity

has improved here in India. There are currently maybe 10 -12 large projects that we are now discussing with. So, these have been something that have been planned over the last maybe 12 months, 15 months, 16 months and now coming back online. So, again, people are coming back to the table. This is mainly in chemicals. Pharma has been decent in the last few quarters as well. So, I would say compared to chemicals, there's more positive activity in pharma. We are seeing some pharma activity as well, and what we hear from some of our main customers is that their new projects are being planned as well. So, pharma will continue to do quite well for us. Internationally, are you seeing Thomas some amount of resurgence in terms of orders being finalized now?

Thomas Kehl: Yes, as I just said to the other question that I think the bigger project was a good signal that decision-making is moving on and as Tarak said, we have much, much more activity now around decision-making and new projects coming in. The pipelines are remaining very strong in all our segments. And therefore, I think we have good momentum again.

Omkar Kamataker: So, the sense that I'm getting is, there are large orders in the line, and they are dominantly pharma facing and chemicals is looking much better, would that be correct?

Tarak Patel: I said chemicals is looking better, but again there are a few large projects in the chemicals sector that have been lined, but with the market as it is changing overnight, right? So, before you know it, you might have 30 people waiting for the reactors. So, we can't really time it perfectly, but I do see and from what I've been hearing that, most chemical companies have now said that they've kind of reached the bottom, I think things are looking better now; commodity prices have stabilized. They've finally figured out what they want to do, how they want to compete with China. Their customers are now telling them which products they need to manufacture. So,

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inspite of their factories running at 60 %-odd, they are still adding more capacity because 60% is for existing products and new capacities being built for new products that the customers are giving them, right. So, that's a whole different kind of investment that is going to come and then at some point, hopefully, we also see some amount of replacement and refurbishment business that comes through, right. So, now that we have been supplying reactors to the Indian market for the last 15, 20 years in that entire chemicals cycle, these reactors are aging, they will come back for replacement and they will come back for refurbishment, so that could be an additional business stream for us. But, I think generally the outlook today seems a little bit more positive, but again, the focus today is to reduce internal costs and make sure that we are ready and we are aggressive in the marketplace.

Omkar Kamataker: With respect to the position of the cash, so what is the cash on the books as on date? So, the question is with respect to pairing of debt. What is the timeline that we're looking at to pair whatever debt we have?

Manish Poddar: Yes, we have some like Rs 275-280 crores of cash in hand.

Omkar Kamataker: Sorry sir, I did not get that. What was that?

Manish Poddar: So, we have something like Rs 275-280 crores of cash in hand and net debt-to-equity we have something like 0.5 and a debt-to-EBITDA is at 1, and from a debt repayment schedule we have till FY '28 to be paid. But we are confident to repay much earlier. That is as per the agreements with the banks, but we are quite hopeful of the paying is even much better.

Moderator: The next question is from the line of Pramod Dangi from Unifi Investment Management. Please go ahead.

Pramod Dangi: My question is if you can give the like-to-like revenue figure for the international business?

believe there are some acquisitions which are done during the year. If I look at the year-on-year, what would be like-to-like sales?

Manish Poddar: So, maybe I can just give a broad sense. So, broadly, if you see international business has been growing at something like 20%, I think that's what Venkatesh was alluding to in the first question that he made. You can say half of it is going growing through inorganic growth and half of it is coming from the organic growth.

Tarak Patel: And like I mentioned, please keep in mind that the latest acquisition of Mix Pro has not been

consolidated yet. So, this only includes our certain acquisitions, mainly Mixel and HARI I would say a little bit more, maybe 12% coming broadly something like that.

Pramod Dangi: The 10% growth which you are having on the organic side, is it coming more from the mixing or is it coming from both glasslining and the mixing technology for the international business?

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Tarak Patel: Growth in international besides the M & A where it is really coming from.

Thomas Kehl: It's coming from non-glasslined technologies maybe. So, from the business that we already had earlier and glasslined was in revenue also working off the backlog.

Pramod Dangi: The order which we are getting in the international market also we are facing the pricing pressure or is it more confined to the Indian market?

Alexander Pömpner: I just would like to add also where we see really good growth is in the service business which should be considered, a higher margin business.

Tarak Patel: So, service business has done exceedingly well, both in America and Europe have been kind of outperforming the budget from a service perspective. Sorry, what was your last question? We missed that.

Pramod Dangi: My last question was like, as you said that there is a pricing pressure building up in India, prices are very competitive in Indian market, are you facing any kind of a price pressure in international market as well?

Tarak Patel: So, it's definitely not like India, there the competitors are a little bit more, I would say, understanding of the market and I think the pricing obviously is probably lower than what it was one year ago, but again it's not down to a level like we see here, it's a couple of percentage points of discount, nothing significant. And like I mentioned to you, because in Europe and the US, they don't buy material until they receive an order. So, for that order since I have already the pricing kind of priced in, right? So, versus in India where we kind of taken orders and new steel that has been pre-procured, here the procurement happens after the order is reached. So, that's a slightly different nuance. But pricing internationally has remained stable, and you will see that from the EBITDA margin level as well, they have been pretty stable and growing. So, that's a direct relation to the pricing strategy and the ability to keep pricing at a specific level.

Moderator: The next question is from the line of Venkatesh Balasubramaniam. Please go ahead.

V Balasubramaniam: I had a couple of follow up questions. Now, usually what happens is in your international business, in the 4th Quarter, what I remember is you pay out the bonuses and things like that and because of that in the 4th Quarter, your international business margins are lower than normal. So, are we expecting a similar thing to play out in this time 4th Quarter also because given that now the business is not in such a strong footing, will we have a similar level of impact in the international business in the 4th Quarter?

Thomas Kehl: It's definitely correct. In the 4th Quarter, there are also some specific impacts as you mentioned. However, as I said before, please compare that to the prior year quarter, and considering this, we are confident that we also are

on track with an improvement, or we see an improvement versus prior year quarter.

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V Balasubramaniam: On services, I remember that almost 40% of your international revenues were services at one point in time. I don't know what it is now. Do your clients go for annual maintenance contract or is it like they give you the services orders on an ad hoc basis?

Tarak Patel: I think, Venkatesh, both things happen. We do have AMC with certain large customers like BASF where we have people staying at the customer site and we provide these services with the AMC contract, but more often than not they are direct kind of request for service and spare parts that we deal with.

Thomas Kehl: In terms of share and structure of our revenue and order intake, we have seen for the last quarter that the revenue may have made up 36% out from services and the order intake even a bigger portion is 46% of service. And the key on service is response time and response time in terms of people at the customers place and having spare parts available that are needed badly.

V Balasubramaniam: On this 11.5 crores forex loss in this quarter, why was there a forex loss?

Alexander Pömpner: I think we also faced this before. We have on this accounting loan which we have an entire company loan between the euro-denominated entity and the USD-denominated entity and therefore we have a swing, just due to an intercompany loan which is its accounting, it's not really a cash impact, it's just a mark-to-market impact, we have sometimes some upside, sometimes some downside, but at the end, it does not really impact our cash position.

Manish Poddar: So, during the quarter euro appreciated by 2% and hence there is an impact.

V Balasubramaniam: But if this is a mark-to-market kind of a thing, it should come every quarter. So, why was this

not there in the 4th Quarter of FY '23, in first quarter of FY '24 and in second quarter of FY '24?

Suddenly this year it has come only in the 3rd Quarter .

Manish Poddar Venkatesh, that depend upon the forex fluctuations. If you don't have euro depreciation in a particular quarter, you will not have that loss.

Moderator: Ladies and gentlemen, we would take that as a last question for today. I would now like to hand the conference over to the management for closing comments.

Tarak Patel : Yes. So , Thank you everybody. Just maybe a couple of things that we probably didn't speak about . Besides the cost improvement and the sales and order intake that we are working on , we also are looking at some kind of improvements internationally, maybe some kind of footprint consolidation as well and here in India also as well, we're looking at ways in terms of improving our profitability when it comes to the glasslined business. So, that's something that we're working on. Like I mentioned , order intake this quarter has improved by about 20 %, and we expect that to continue. The focus is on building a strong backlog for next year and hopefully we will be able to perform better than this year when it comes to next year's performance as well. So , that's

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where the focus is , and we are quite confident that we should be in a strong position to do so .

Thank you very much and I look forward to speaking to you again.

Moderator: On behalf of GM M Pfaudler Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2024

GMM Pfaudler Ltd.

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To,
BSE Limited National Stock Exchange of India Limited
Scrip Code: 505255 Symbol: GMMPFADLER

Sub.: Earnings Call Q4 FY24 - Transcript

Dear Sir/ Ma'am,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended March 31, 2024 conducted on May 22, 2024, for your information and records.

The above information is also being made available on the website of the Company at www.gmmpfaudler.com.

Thanking you.

Yours faithfully,

For GMM Pfaudler Ltd

Mittal Mehta
Company Secretary & Compliance Officer
FCS No.: 7848

Encl.: As above

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"GMM Pfaudler Limited Q4-FY24 Earnings Conference Call"

May 22, 2024

MANAGEMENT :

- MR. TARAK PATEL – MANAGING DIRECTOR , GMM PFAUDLER LIMITED
- MR. THOMAS KEHL – CHIEF EXECUTIVE OFFICER (INTERNATIONAL BUSINESS), GMM PFAUDLER LIMITED
- MR. ASEEM JOSHI - CHIEF EXECUTIVE OFFICER (INDIA BUSINESS), GMM PFAUDLER LIMITED
- MR. ALEXANDER PÖMPNER – CHIEF FINANCIAL OFFICER (INTERNATIONAL BUSINESS), GMM PFAUDLER LIMITED
- MR. MANISH PODDAR – CHIEF FINANCIAL OFFICER (INDIA BUSINESS), GMM PFAUDLER LIMITED
- MS. PRIYANKA DAGA – DGM STRATEGIC FINANCE , GMM PFAUDLER LIMITED

Moderator: Ladies and Gentlemen, good Day and Welcome to Q4 FY'24 Conference Call of GMM Pfaudler Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need an assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded. I would now like to hand the conference over to Ms. Priyanka Daga. Thank you. And over to you, ma'am.

Priyanka Daga: Thank you, Manav. Good day, ladies and gentlemen. A very warm welcome to all of you into the Q4 FY'24 Earnings Call of GMM Pfaudler Limited.

The Earnings Presentation was uploaded on the stock exchanges this evening and is also available on our website. Hope all of you had a chance to go through it.

From the management we have with us our Managing Director, Mr. Tarak Patel, Our CEO of International Business, Mr. Thomas Kehl, our CEO of India business, Mr. Aseem Joshi, our CFO of International Business, Mr. Alexander Pomper and CFO of India business, Mr. Manish Poddar.

We will give you a brief overview of the performance of the company, after which we will get into the Q&A.

Before we begin with the overview, a brief disclaimer. The presentation that was uploaded on the stock exchanges as well as our website including our call discussions that will happen now contains or may have certain forward-looking statements regarding our business prospects and profitability which are subject to several risks and uncertainties. The actual results could materially differ from those in such forward-looking statements.

I would now hand over the call to Mr. Patel to provide an overview of the performance. Over to you, sir.

Tarak Patel: Thank you, Priyanka. Good evening, everybody. We are happy to report a strong finish to the financial year, where we were able to grow both revenue and profitability by 8% and 11% respectively. Despite challenging business environment driven by a weakness in the chemicals sector, we have seen sequential improvement again in Q4 order intake that grew by about 14% to about Rs. 861 crores, driven by the non-glass lined technologies and system platforms. This is partly a result of our business diversification strategy and has helped mitigate the slowdown in the chemicals sector by allowing us to focus on non-traditional industry segment.

Edlon also, one of the companies that is there within the group, has seen an improvement in terms of order intake and in terms of EBITDA. This is mainly coming from the semiconductor industry. So, like I mentioned, a lot of the new industries that we have diversified into is giving and making up some of the shortfall that has come from the slowdown in some of the key industries that we cater to. Further, we are currently having a strong opportunity pipeline as well and we believe that the order intake for Q1 will continue also in a similar trend.

In terms of financial performance, our consolidated revenues for the year grew by 8% to Rs. 3,446 crores, while EBITDA increased by 11% to Rs. 477 crores with an EBITDA margin

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of 13.8%. Q4 revenue was at Rs. 741 crores and EBITDA stood at 91 crores with margins at 12.3%. Profitability margins improved in the international business, while margins in India have been kind of stable for the last few quarters now. This is the result of the ongoing cost control measure and the focus on operational excellence.

Our balance sheet metrics have also seen improvement and CRISIL has upgraded our ratings to positive. There was a strong focus on improving our working capital during the year. This has resulted in significant cash inflows in H2,

leading to higher debt repayment and improved debt ratios. Manish will be talking about this in a minute.

In terms of "Corporate Updates," we have completed the consolidation of Mix Pro in Q4, Canada. The results have been published includes MixPro.

I also welcome a new member to the GMM family, Ms. Shilpa Nirula, who has been appointed as an Independent Director, effective May 22, 2024. With this appointment 70% of the board now comprises of independent directors.

I will now hand over the call to Manish, our CFO in the India business and he will take you through the Financial Performance of the Company. Thank you. Over to you, Manish.

Manish Poddar : Thank you, Tarak. Good evening, every body. We'll refer to the slide deck uploaded with respect to Q4 FY'24. Apart from the P&L, our focus has been to strengthen the balance sheet. You may recall earlier in the year; we had communicated that we target to repay Rs.1 40 crores of debt in financial year '24. Happy to report that we have repaid Rs.145 crores of long-term debt in this year. We have prepaid and closed the entire debt of Hyderabad and Vatva acquisition that we took in past 2-3 years. Overall, we have repaid Rs. 96 crores of long-term debt in India and Rs. 50 crores of long-term debt in the international business. This has helped us improve our financial covenant. Our net debt- to-Equity now is at 0.4 and net debt- to-EBITDA is at 0.8. In the upcoming years as well, we plan to continue the journey. We have marginally improved our working capital days for debtors and inventories in the FY'24, as referred in Slide 8.

Moving on to cash flow, we have significantly improved our cash generation in H2 as demonstrated in cash flow slide 9 of the deck. This is primarily on account of inventory optimization and cash collection focus, while in H1 due to operational reasons our working capital had expanded, we brought it back to decent levels in H2. Overall, through the year, we generated Rs.253 crores of free cash flows, which is a decent over 50% of EBITDA of Rs.477 crores that we did in this year. With that over to you Priyanka

Priyanka Daga : Thank you Manish, moderator you can open the line for questions.

Moderator: Thank you very much, we will now begin the question-and-answer session. We have our first question from the line of Anirudh Shetty from Solidarity Investments. Please go ahead.

Anirudh Shetty: I have two questions. I just wanted your update on the competitive environment in the domestic GLE space. You did mention that demand is still weak, but how has the competition intensity evolved since we last spoke, just wanted your views on that?

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Aseem Joshi : Yeah sure, So, yes, demand as you know continues to be a little sluggish. We have to compete vigorously. Having said that, we have taken efforts to make sure that we're competitive from a manufacturing efficiency standpoint, also reaching out to a broader set of customers. So, I think that is helping us in winning more orders and capturing share in what is right now a slow market for us.

Tarak Patel: I think maybe just to add a couple of points, the last two quarters have seen significant improvement in Indian Glass-line order intake. So, I think we were kind of in Q1, Q2 around the 70, 80, 90 crores mark which has doubled to 150, 160 crores in this quarter. So, I think the glass-lined business has seen some improvement. I think our market share probably has also increased, but as Aseem mentioned, the competitive intensity is still there, and hopefully once the market and industry kind of turn, you will see some of the pricing pressure cooling off.

Anirudh Shetty: Second question is on the international front. The revenues

seem to have grown, but the order intake is declining. So, just wanted your read of the situation there in terms of your conversations with the customers, are they pausing some of the projects that they intend to do, is there any delays happening there, like some color around the global environment would be helpful.

Tarak Patel: So, I will hand over the call to our international CEO in a second, but what I would like to just mention is that do keep in mind that the international business obviously has a large component which is Services and that keeps getting adding on as the year progresses which are short delivery items. We do obviously understand that the starting backlog is a bit lower than last year and that's definitely something that we are trying to improve and increase the order intake. We had received a large order in Q4 \$12 million order from the US. And we have further also this quarter seen another large order coming from the US market as well. So, in terms of order intake, pipeline still remains very strong, decision-making has been a bit slower than usual, but we are seeing now some positivity at least in US and Europe where we do see order intake also improving and we're seeing something similar here in India. Thomas, you want to add something as well?

Thomas Kehl: And I think there's not much to add to what you said. The order intake as you are rightly mentioning is lower than the revenue last year. That is because the markets have slowed down somewhat, but we are seeing recovery signals in Europe as well as in Americas. So, the projects are out there. Decision-making processes are slightly improving in speed, that is the good news.

We have been gaining a couple of large projects, especially in the Americas in the systems business that were due. So, we are above the expectations in that quarter, in that business. China is a different issue. China is still rather slow. The number of projects is not necessarily increasing, but we expect that China recovery also very, very soon.

Moderator: We have our next question from the line of Bhavik Shah from Emkay Ventures. Please go ahead.

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Bhavik Shah: So, my question is in the presentation we have shown the EBITDA for next year Rs.630 crores as against revenue of Rs.3,700 crores. which gets us to the margin of say, 17odd % But when we see historically our last say 10 years, we have only hit the 17% mark once in FY'20. So, what makes us so confident that we will be achieving those margins again this year?

Tarak Patel: This is you're talking about the guidance, right. The guidance was made, obviously what it was two years ago.

Manish Poddar : So, Bhavik, just to give you a background, 2.5 or 3 years back we had given a guidance for Rs.3,700 crores of top line and Rs.630 crores of EBITDA. This slide is basically just a reference to where we are versus what we had guided to.

Tarak Patel: So, it's clear that obviously since that time the industry has seen a kind of a down cycle, especially the agro chemicals industry, which is obviously a big chunk of our glass lined business and some of that you obviously see in terms of order intake and the current margin scenario. The idea obviously now is to use this time, this down cycle, to improve on internal cost efficiency measures which we are working on and we believe and we do see some signs of recovery and hopefully as the market recovers, some of the benefits that we will be working on today will kind of translate into much better margin as well. Going back to your question on historical margins, yes, from an industrial perspective, capital goods company, 13.8% EBITDA margin for the year in the peak of a down cycle, I think is a pretty decent performance

and I think we've kind of held our ground quite well. Going forward, obviously we want to improve on this number and that was the kind of idea is. It's been three years since we've acquired the Pfaudler business since the acquisition has happened three, three and a half, four years, we've seen significant change in size and scale, even the margins internationally have improved significantly nearly doubled, the Indian margins are now kind of stable. We have obviously clear strategies for our different product lines. We have higher growth product lines coming from newer acquisitions. We have the heavy engineering business in India, which is also doing exceedingly well. So, yes, some of the kind of risk associated with the down cycle in chemical and pharma is being kind of compensated by the other product lines. So, I think we today are in a position to kind of start looking at maybe a three-year plan again and hopefully in the next maybe few quarters we should be able to kind of come back to the market with some kind of recalibration in terms of where we are and where we want to go, and I think that's something that we've been working on internally, and I think very shortly we'll be able to share some kind of roadmap with you and the investor community.

Bhavik Shah: Sir, this number which is in the presentation is not the guidance for FY'25 if I understand correctly?

Tarak Patel: We are just giving you a comparative to say that yes, this is the guidance that we have put out and how we are tracking towards that guidance. This will show you that we are not changing the guidance mid way. So, that number is out there, and we are showing you where we are. Obviously, that guidance will probably get recalibrated when our new guidance comes in, in the next few quarters.

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Bhavik Shah: And just from your opening commentary, receiving good demand from your semiconductor industry, so, what exactly do we provide there and what kind of demand are we seeing and in which subsidiary?

Tarak Patel: So, we have a company in the US. It was historically part of the Pfaudler Group and we used to make PTFE-lined vessel. So, these are very kind of corrosion resistance vessels equipment for very high purity applications and there's a very specific kind of a low metal requirement for the semiconductor, zero metallizing part for trillion, it's like zero point something, something,

something and Edlon has capabilities and experience and technology that goes into this and that's driving some of this improvement in that business. And semiconductor also is an interesting area for us because not only do we cater to them through Edlon, but there are other product lines that could also go into some of these semiconductors downstream or upstream kind of chemical facilities, there are specific chemicals that go into. So, one of the areas that we're trying to see if there are other areas of adjacency is in the semiconductor space, where you could look at cross selling some of our other equipment's.

Bhavik Shah: What percentage of our order book will be coming from this?

Tarak Patel: I think the size of Edlon today is about \$25 million. \$25-\$30 million, which two years ago was about \$10 -- \$12 million. So, it's been a significant growth. Alex Thomas, you want to jump in?

Thomas Kehl: In terms of the number that you're mentioning is quite right that about US\$25 million business, we expect this business to grow significantly further due to the investments that are done in the semiconductor industry in the Americas, but also starting in Europe right now. We are very proud of the quality and the purity of our PTFE that we are lining the tanks with is outstanding and we are number one in quality performance in that industry. We have been investing in a new site, setting it up as we speak, having the capability

to also provide all sizes that are needed, tanks, larger tanks, smaller tanks and mid-sized tanks to the industry and this is how we actually support the growth that we have for.

Moderator: We have our next question from the line of Pramod Dangi from Unify Investment Management. Please go ahead.

Pramod Dangi: Tarak, just on the international market, while we're going through the presentation, we show that there's a note saying that re-stated for the final value for the Mixel acquisition. So, is there any one-off in the profit after tax we reported for the international business over there of the just Rs.2 crores?

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Manish Poddar: So, on Mixel this was acquired last financial year and as per the PPA allocation that has to be done, once the revaluation has to be done within 12 months, so then this quarter, we did that revaluation and accordingly there was intangible created and that's intangible as per the PPA has to be amortized in this quarter and therefore you have the one-time impact for the Mixel related transaction.

Pramod Dangi: So, how much would that be if you can quantify that.

Tarak Patel: Yes, about \$1 million, I think.

Manish Poddar: Mixel will come probably next year. Mixel goes approximately \$1 million.

Tarak Patel: But I think what you're asking, I think what Mr. Dangi is also asking is that there was a one-time charge for acquisition expenses. There has been a \$1 million charge for acquisition expenses in this quarter, because we were working on a couple of targets and we had spent the money, there is a \$1 million charge in this P&L as a one-time charge.

Manish Poddar: That is also there additionally.

Pramod Dangi: What we are comparing is the report on the slide Number 28, if I look at the like-to-like excluding the one-time charge, it will be more than 10 crores, right? We have not mentioned anywhere in the note.

Manish Poddar: You're talking about the distance from EBITDA to PAT, that's what you're talking about the international business?

Pramod Dangi: Yes.

Manish Poddar: So, one is the amortization of the Mixel intangible. That is what has happened. And the second

one is the additional deferred tax provision that we had created in this financial year.

Tarak Patel: Also, both of these are non-cash.

Manish Poddar: Yes, both of these are non-cash.

Pramod Dangi: So, if you can quantify Mixel amortization, you said \$1 million, what will be the amount?

Manish Poddar: We have given that as a note separately in the disclosure that we just filed for the financials; you have that number in that disclosure. Effective tax rate for the India and international business collectively stands at 27%. These are one-time adjustments on the count of new entity acquisition and related deferred tax creation.

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Pramod Dangi: Second is how the overall environment is looking into the international market now? We were saying that there was some slowdown because international market was doing very well till last quarter year-on-year. This is the one quarter where we have seen the quarter-on-quarter de-growth in the international market, so where is it coming?

Tarak Patel: We actually put it and maybe give you a little bit of what we expect. I think international business will probably trade around the same kind of margins for the next financial year. We are quite confident of that. There are a couple of areas that we need to call out. China is definitely an area where order intake has been slow and we probably will face some absorption issues in China, but we expect the China recovery to happen, and we are planning for that. We are also doing a couple of restructuring exercises in Europe, especially in our UK side where we have restructured that site to become a reglassing

facility. So, we've kind of reduced our cost structure there. In the meantime, we have also kind of started our journey of a low-cost source in Eastern Europe. So, that forced few orders have been placed to a local supplier there to cut down our cost in Europe. So, many of these strategies that we are building will hold and help us maintain margins if not improved. India also we are going to be working on transformation projects here. So, that's something that we are quite hopeful in terms of cost saving. But generally, in terms of environment, if you had to compare with 12-months ago, I would still say that we are probably looking at slightly a more positive outlook. However, are we out of the woods yet? I would say we still have maybe six or nine months before we see a complete turnaround. But the signs are positive and luckily for us, we've made-up some of the shortfall. We've been through the most difficult periods with a lot of help through other business lines like our heavy engineering business where we have catered to, let's say, the Adani group or the Reliance thing, which is completely different from our traditional markets of chemical and pharma, right. And then obviously, the services in the systems business internationally have also kept us and kind of made up for some of the shortfalls that has come because of the slowdown in the chemicals and the subsequent impact on the glass lining business. So, all in all, I think we've kind of made it through the toughest part. I think now that we have focused on internal cost control. I think we are going to be in a strong position to kind of get some of the benefits as and when the market was to turn. And starting the year today at with the Rs. 1,700 crores backlog is not a bad number, obviously, at the highest point in the last 2-3 years, if you check, it would have been around Rs. 2,200 crores, but that was a bit abnormal, the market was a fire, so somewhere between, let's say, Rs. 1,800 crores to 2,000 crores would be a good number to start with. So, the focus is definitely on internal cost efficiency, at the same time we are being aggressive in the market, and I think if the market were to turn a little bit more positive, which we expect it will, I think there will be a nice uptick in the business.

Pramod Dangi: We have given this guidance two years back. Obviously, today the margins are lower, the revenue is in line, but the margins are lower. So, is there any color which you can throw on those guidance which we had given two years back in terms of the ROCE, EBITDA and the revenue? Revenue you know is not an issue, but especially on the EBITDA and the ROCE.

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Manish Poddar: Of course, EBITDA Rs. 630 crores is a tough call at this stage for FY'25 for sure. We've done Rs. 477 crores. So, I think past two years we have been on track, but then of course with regard

to the new scenario in which we are operating now that Rs. 630 crores seems a bit difficult. As Tarak mentioned, we have been focusing on cost optimization and getting after the tail as he mentioned earlier in his enumeration. And of course, ROCE is just an outcome of what you earn, so therefore it will tag along with the EBITDA numbers.

Tarak Patel: But I think we are quite confident of growing the EBITDA number for the next financial year as well. I think we all are aligned. Obviously, it's been a tough year, but we have internal measures. We've already taken actions and we believe we are in a strong position to at least maintain or grow margins. So, the idea is to definitely grow. And the kind of, at least in terms of cutting down cost structures where we can and then make the improvements in terms of operational efficiencies, we will definitely work towards that.

Moderator: The next question is from the line of Pradyumna Choudhary from J M Financial. Please go ahead.

Pradyumna Choudhary: So, now that we are seeing growth in our order intake, like going forward, do we expect maybe another couple of quarters of YoY degrowth, or do we expect that from here on at least there will be some recovery in terms of YoY growth? And for FY'25 like I understand that you want to come back later with the guidance, but some initial idea on what can we expect in terms of revenue and like the hope would be more towards recovery in the second half of year, would that be the case?

Tarak Patel: Yes, do keep in mind that there is a minimum lead time associated with executing order and these lead times are different for both India and the international business. So, in India at least we can book order till maybe in November of this year that kind of gets shipped out in this financial year. In the international business I think it's a little bit shorter timeframe, so August would be the latest some of these orders to come in. Do keep in mind also the international business has 30% of services revenue coming in. These orders can come in as and when pretty much the end of the year. So, all in all, I think the international business is starting off with a pretty decent backlog. There are certainly areas where we have, I would say maybe shorter lead times and, in these facilities, we need to kind of be more aggressive and book those orders and that's what we are working on. But generally, in terms of guidance, I think it's better that you wait for the Investor Day. The strategic plan of the company is being worked upon. We had a board meeting today also where we have discussed this, and we will be coming to the external community with a presentation and a deck and our thought over the next three years and what we expect the company to be strategically three years down the line. So, I think just give us a couple of months here and we will come back to you. In the meantime, just in terms of general outlook, I think you can say that next year should see some amount of growth, both in terms of revenue and profitability and obviously that is a bit of a conservative and if things improve and improve rather quickly, then we could definitely outperform that. So, I think it's better to kind of be a little bit conservative at the same time and if the market turns then we will definitely take advantage of that.

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Pradyumna Choudhary: Just to follow up here, so you mentioned the minimum lead time for India to be in November and for international to be August, this is for the new orders which are coming, you're saying like that's when you start supplying these new models?

Tarak Patel: So, what I'm saying is, if I book an order in November, I can still ship it out by March 31st in India. If I book an order by August 31st in international, I can ship it out by March 31st, that's what I'm saying.

Moderator: We have our next question from the line of Rahul Agarwal from Himalaya Investment Advisors. Please go ahead.

Rahul Agarwal: My question is more on the end user industries that we serve. Do you think that there is significant overcapacity that has built in into the end user industries, which would imply that the order inflow slowdown that we have seen over the last few quarters is likely to be a prolonged one over the next three, five years as you look at it or what sort of a growth rate would you expect from our core end user industries over the next three to five years?

Tarak Patel: I can give you some kind of maybe an idea in terms of what we are seeing. Predicting how these industries will kind of react would be a little bit difficult. But generally, let's break it down first

into pharma. So, I think pharma we are already seeing a nice recovery. I think pharma looks good for the future and pharma has seen all the pricing pressure in the US also kind of reduced and I think people

are investing now, we have good large investments coming in pharma. Some of our key customers have outlined projects and large projects. I think the contract manufacturing in pharma is also picking up and some of the companies that we are talking to are saying that, "Hey, listen, we want to compete with China and we want to put up these kinds of facilities and take them head on" So, pharma is not looking that bad. I think what has really hit us is chemicals and each chemical, basically agrochemicals which has seen a lot of oversupplies. I would not say over capacity, but I think there's been dumping over stocking which has caused some of these kinds of slow down, but the things like this can change very quickly. So, we're already hearing that now in the next couple of quarters, overstocking problem is going to kind of reduce and some amount of the business is going to come back. But do keep in mind there's always going to be competition from China and there was a lot of pricing pressure from the Chinese competitors, that's something that I don't know how exactly it will play out, but probably it's not something that is very sustainable. But all in all, I think if you ask me, I would say about nine months before we really see a significant change. So, I think the next couple of quarters look somewhat similar. You will see some improvements, but I don't think it will be significant. I think significant reinvestment will probably start maybe early next year.

Rahul Agarwal: Typically, what are the replacement cycles for existing capacity that your customers have like do these equipment's last 10 years, 20 years, how do you think of replacement cycles? And second from a longer range three, five years perspective if you have to take a guess on where GMM Pfaudler Limited
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would the CAPEX will broadly end up, would you say high single digits, would you say double digits, where would you put that?

Tarak Patel: So, I think first thing I just want to add before we kind of get into the first question is that as a Company and we deliberately try to diversify and take the risk away from our glass-lined business. Glass-lined business was nearly accounting for 80%- 90% of our business not so long ago, today, it's down to 50%. And also, chemicals and pharma were counting for nearly 80%, 90% of our overall business, that's also down to maybe 50%. So, as a Company and as management, we've been very clear from day one that we need to diversify both the product portfolio and the industries that we serve because having all your eggs in one basket, catering to only one or two industries is going to be kind of detrimental and very risky if those markets going to slow down. So, today I think we've been able to mitigate some of these risks and maintain our margin at a decent level because we've had in other businesses that have performed well when our glass-lined business has slowed down. So, I think glass-lined for us really the way that you should think about it is bread and butter business, we are market leaders, but that's not a high growth market for us, we're going to consolidate this position, try and improve margin with that kind of technology and really build on what we already have. The growth and the margin improvement in the other platforms is going to be much more significant, much more faster. These are smaller kind of businesses with high growth potential, low market shares where we can grow market share and many of these new products also cater to some of these new tech and new age industries So, things like we spoke about semiconductor or things like let's say mock neat. These are the things that we serve now. But these could be very significant markets in the future. So, as a Company, obviously, chemicals and pharma are our traditional industry and over time we hope that our kind of exposure to this, which would

be reduced, and we have other industries that kind of make up some of the segments as well.

Aseem Joshi : To your specific question about replacements, it really truly does depend on the kind of application, the customers, maintenance cycles etc., But as a rule of thumb, in India typically you would see for our reactors anywhere between 7, 8, 9 years, some of the competition reactors of course need to be replaced much sooner. In Europe, they tend to be used more carefully, more sparingly, maintain much better. So, the life there tend to be a lot longer. But that's sort of how I would just say.

Tarak Patel: One more point here, Rahul, is also that do keep in mind that the Indian industry has seen significant growth, chemical industry has seen significant growth in the last maybe 10-12 years. This is when we started kind of supplying these reactors to the SRF's, PI's, Deccan's of the world. So, now we're reaching a point where these reactors are kind of aging to an age where

they would either need replacement, re-glassing or spare parts, So, we do expect that the installed base with base, which is now quite large and has been there for the last 10-12 years, we'll start providing some kind of services or reglass revenue, we hope to do that. And we've been kind of being proactive and pre-empting some of this by setting up, let's say, service centers close to our customers, putting more of a kind of focus on reglassing and hopefully like in the international GMM Pfaudler Limited
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business, which is a much more mature market, they already see 30% to 40% of the revenues coming in from reglass and services, So, India currently is less than 10%. So, hopefully, there'll be a nice service in reglass component that could also kind of bump up and hopefully that kind of comes in, in the next maybe few years or even earlier than that.

Rahul Agarwal: In GLE side, if you can diversify away from pharma as well, I couldn't get the numbers, can you repeat what would be the end user industry composition broadly between pharma, agrochem and others on the GLE side and also on the non-GLE side?

Tarak Patel: 60 is chemical and 40 is pharma generally only on GLE. There's a little bit of dyes and stuff like that. And these are the two industry segments that we only serve. There's a little bit of paints and dyes, but it's not significant.

Aseem Joshi: Just to be clear, the industry segment breakup that Tarak alluded to was for the Company, not only for GLE. The glass-line equipment primarily goes into chemical and pharma with very few other applications.

Tarak Patel: So, just to finish up this point, 3-4 years ago if you were like 500, 600 crores of Revenue, we were 80% glass-line and today we are now half and half, So, we've diversified and let's say out of the 1,000 crores whatever odd crores that we are doing, 500 crores come from glass-line, 500 crores comes from non-glass line.

Moderator: We have our next question from the line of Rohit Ohri from Progressive Shares. Please go ahead.

Rohit Ohri: A couple of questions. During the year, we saw Thomas was busy cutting ribbons and inaugurating quite a lot of service centers or maybe revitalizing some businesses in Europe and US. How many of such events are still pending or do you think how many of these restructuring or revitalizing processes are there?

Tarak Patel: Yes, service is the big component, and we have kind of created a couple of service centers in our existing facility. So, we don't really take new facilities like we built a new service center in Mavag in Switzerland where we had a facility and we're just adding this additional kind of workspace. Similarly, in Brazil as well and in America. But I think there's one more that we added also now in Italy. But Thomas, we are also having another unit that we acquired 51% shareholding in the South of the US where we will be in

inaugurating that factory in July.

Thomas Kehl: We are having in the middle of July in the South of USA & Georgia, where we ended in a joint venture, we have built up a new facility together with a partner there and it's specialized in reglassing and service stations and so yes we will have another service station there and we serve the southern part of the US and maybe Mexico much better than the future than in the past, and this will help us increase further our service footprint.

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Rohit Ohri: For the brand Mixion, by when do you think that it will be probably 50% of the total revenue?

Tarak Patel: It's very hard to say now. I think the target is we are currently around \$40, \$50 million of revenue in Mixing. I think the \$100 million target is what we would like to achieve in the next three years or four. That's the plan. I think how that kind of fits into the overall scheme of things would be kind of difficult to guess, but I think if you had to take a number of \$100 million numbers and like numbers to kind of make it a platform with enough scale and size to have a separate kind of focus for that platform.

Rohit Ohri: Do you think that it makes sense merging all the businesses, maybe IMSD, Mixel as well as

MixPro?

Tarak Patel: Launching or relaunching, sorry. what was the question?

Rohit Ohri: Do you think that it makes sense merging all the Mixing business?

Tarak Patel: So, we have merged the business internally. We now have head of Mixing business that we hired, so we are giving it the focus that it deserves. We're bringing in the relevant capabilities and expertise and Mixing is definitely something that we are focused on. We are now consolidating the designs, the brands between all three, four of them and then creating a new go-to-market strategy for the Mixing business, that's underway as we speak. And I think Mixing is what we all believe both Thomas and Aseem you can jump in here as well is going to be a very important part of our growth story.

Thomas Kehl: Mixing industry in total is a very large industry market that is bigger than the glass line. This is why we are so interested in participating in becoming a bigger player. And the acquisitions of the three companies over the years is giving us the critical mass to play the game. Technologies are in most cases adjacent, some are overlapping. So, there's a little bit of consolidation needed there. However, our main focus is on growing the business, growing the market share as fast as possible rather than consolidating.

Tarak Patel: There were two patents filed this quarter as well. I didn't mention that earlier in the Mixing space. So, we are also developing new technologies along with the Companies that we've acquired, to really be innovative in Mixing and differentiate ourselves from our competitors as well. So, everything is ongoing. It takes a bit of time, but Mixing is definitely a business line that is complementary. It's driven by technology and differentiate it and we're actually solving a problem for the customer, either you're bringing down in past time, its cost, its quality of its product. So, there's a lot of tangible benefits for the customers that you can touch, and Mixing is something that has been a strong, strong growth driver for us in India for the last few years and now internationally as well.

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Aseem Joshi : And just to clarify, these are two patents that have not been filed, but they've been issued, so they are now granted in the name of GMM Pfaudler. We had filed it quite a while back and it worked its way through.

Rohit Ohri: Tarak and team, if you can take us through Altilium and GMM Pfaudler joining forces to revolutionize the extractive industry and something related to acid recovery or something of that sort. If you can take us through that initiative?

Tarak Patel: Just I can, but it's basically working along with an engineering company to kind of prepare and kind of use our equipment and their kind of process technology to kind of go to the customer together and give them a combined offer, because sometimes as equipment manufacturers, we don't have the technical and process knowhow and these guys have it. So, they don't have all the glass line equipment and tangible stuff. So, we put it all together as one single package and we work towards in trying to of kind of extending our market outreach. So, it's a good position and a good place to be, but obviously we need to work together with them to go out and meet the requirements of the customers.

Moderator: We have our next question from the line of Jay Modi from EIML. Please go ahead.

Jay Modi: I had a similar question on Mixing technology. So, have we started approaching customers with the product and how are the underlying traction for us?

Tarak Patel: Sorry, we could not hear.

Jay Modi: So, I had a similar question on Mixing technology. So, how has been the traction for us, have we started approaching customers with the products, what is the kind of reception that we've received on ground?

Aseem Joshi: So, we've been selling Mixing in India certainly for a long time and Mixel and MixPro in international markets. After the acquisitions of Mixel and MixPro, we've been able to take

expertise, previous track records and sort of customer credentials from there and use them to sell it to each of those markets. So, there are flue gas desulfurization, compressed biogas, just two examples where we've been able to leverage our broader network and previous work done overseas and take them to customers. And that's just an example, there are several other areas.

Tarak Patel: So, we at Mixing were mainly focused again on our traditional markets of chemical and pharma with the acquisition of Mixel and MixPro we have had obviously significant opportunity and order intake in new industries, for example, metal and minerals in the area where we didn't have a lot of kind of business and now we do work with the precious metals companies, like Vedanta and companies like that. At the same time, we were not there in wastewater, but that now with Mixel we've done wastewater kind of projects here in India and now we are dealing with Shapoorji Pallonji for certain kind of infrastructure projects as well and all the other ways of

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stuff that has gone out from India as well. So, India has been kind of a curve ahead in terms of fermentation. So, we've done a lot of work here on fermentation with companies like Aurobindo and a Virchow group in turn, now the same technology is now being kind of given outside if people need fermentation technology within the group, that's something. So, it goes both ways. But having previous track records, having experience and the way that we look at acquisitions we try and buy companies or look at acquisition targets which has the relevant experience which we don't currently have within the group. So, that's a little bit of kind of area that we want to enter new markets and by some of these experiences and previous track records that these companies have we get automatic entry through these acquisitions.

Jay Modi: The incremental growth that you mentioned reaching around \$100 million of top line for Mixing is largely through international business or will be driven from domestic revenues as well?

Tarak Patel: Both. It's a global number. It will come on both. The manufacturing obviously can be pushed out to low-cost manufacturing. We don't need to have high-cost manufacturing, but yes, it's a global requirement that the market size that Thomas spoke about on the global market size and mixing goes into everything. So, you'll be supplying Mixing to Saudi

Aramco plants. You're going to be supplying Mixing to cement factories in Southeast Asia. You're going to be selling wastewater to Vietnam and Australia. So, it's really a global plate. You could sell food and beverage things to net play in Europe or in Netherlands. So, it's really a global play. Everybody needs Mixing. And with the relationship and the network we have, we can definitely leverage the global network to sell some of these products and technologies. That's the idea and the growth will really come all over the world.

Jay Modi: In standalone business, what is the kind of capacity utilization for this year or for the quarter?

Aseem Joshi : In our glass line business, right now we're at about 65% thereabouts. In some of the other product lines, it's a little higher 70%, 75% or thereabouts.

Jay Modi: Glass line can technically reach what kind of utilization, 80%, 90% ?

Aseem Joshi : So, there's a lot of things. Certainly, we can operate at 90% or so. Obviously, there's lead times become longer. However, there are a lot of times we can do to improve the throughput of our line, which is what we're currently doing. So, once the market comes back, we feel confident that we can certainly drive a lot more output from the existing assets that we have in Karamsad & Hyderabad.

Moderator: The next question is from the line Sarang Sanil from RW Investment Advisors. Please go ahead.

Sarang Sanil : Firstly, what was the reason for this gross margin expansion? Was higher services revenue contribution the sole reason or has the segment mix contributed to this?

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Manish Poddar: You mean material consumption reduction?

Sarang Sanil : Yes.

Manish Poddar: So, the top line has degrown quarter- on-quarter, so which is primarily on the product side and the services are more stable so as is a natural outcome, so material cost consumption is better as a percentage and therefore you see the improvement.

Sarang Sanil : So, we could expect it to revert back to the normal gross margins once things start picking up, correct?

Manish Poddar: This is an exceptionally better raw material consumption. Once the mix is back, we should be back to the numbers.

Sarang Sanil : My second question was what all went wrong in this quarter versus our expectation, because we were way off from the Rs. 2,000 crores order book and India business was not better than Q3 either as you had expected. Was there any large project that got postponed?

Tarak Patel: No, I think for year perspective, I think we are on target. So, Q4 has seasonality. I think we've talked about this obviously in our last few conference calls. There is obviously cycle that there's a kind of increment cycle that happened in the international business in Q4 and also, I guess there were a few one-time costs this quarter. So, generally I think we are pretty much in line with what we had planned. I don't think there's any significant kind of surprise here. I think obviously the year has been a kind of a flat year and obviously starting next year at a better way, we would obviously be a nicer thing. So, I mean, there was no real need to kind of have an exceptional quarter this year. And I think with the order intake being much lower, even our execution has slowed down a little bit because we don't need to carry lead into the backlog, right. So, I think starting for next year again with the backlog that we currently have, order intake obviously is a bit low, we would have liked to have definitely more, but again, like I mentioned in a piece of a downcycle now main traditional industries of chemicals, I think we've done very well. I think the market will turn and definitely I think that all the intake would definitely be an uptick. But generally, the outlook also remains kind of positive, saying that yes, we do expect to improve

both revenue and margin for next year. Obviously, it's not going to be exponentially better. I mean, the market still needs some time to correct and improve and we have to keep our head down and just make sure that we kind of keep the faith and keep working on the internal cost improvements that we've planned. We are being aggressive in the market. Some of these large orders have come in as well, which puts us in a stronger position. There are a few kind of areas which are going to be still tough for the long-term, like China will be rolled out, but generally I think it's okay, I think we are in a strong position today and I think if the market will return we will see some of those benefits flow through.

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Sarang Sanil : Just to cross check one figure. So, you said Mixing revenue contributed to \$40 million to \$50 million for the year, is it?

Aseem Joshi : Yes, mixing today some of the three entities or three brands is about \$45 million currently.

Sarang Sanil : Nearly 13% of the revenue.

Moderator: As there are no further questions, I would now like to hand the conference over to the management of GMM Pfaudler for closing comments. Over to you.

Priyanka Daga: Thank you, Manav. Thank you everyone for joining us today . It was a pleasure interacting with you and we look forward to many such interactions during the course of the quarter. Take care and see you soon.

Moderator: On behalf of GMM Pfaudler Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

GMM/SEC/2024-25/ 41 August 14, 2024

To,
BSE Limited National Stock Exchange of India Limited
Scrip Code: 505255 Symbol: GMMPFADLR

Sub.: Earnings Call Q1 FY25 - Transcript

Dear Sir / Ma'am ,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call for the quarter ended June 30, 2024 conducted on August 7, 2024, for your information and records.

The above information is also being made available on the website of the Company at www.gmmpfaudler.com.

Thanking you.

Yours faithfully,

For GMM Pfaudler Ltd

Mittal Mehta
Company Secretary & Compliance Officer
FCS No.: 7848

Encl.: As above

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"GMM Pfaudler Limited Q1-FY25 Earnings Conference
Call "

August 07, 2024

MANAGEMENT :

- MR. TARAK PATEL – MANAGING DIRECTOR , GMM PFAUDLER LIMITED
- MR. THOMAS KEHL – CHIEF EXECUTIVE OFFICER (INTERNATIONAL BUSINESS), GMM PFAUDLER LIMITED
- MR. ASEEM JOSHI - CHIEF EXECUTIVE OFFICER (INDIA BUSINESS), GMM PFAUDLER LIMITED
- MR. ALEXANDER PÖMPNER – CHIEF FINANCIAL OFFICER (INTERNATIONAL BUSINESS), GMM PFAUDLER LIMITED
- MR. MANISH PODDAR – CHIEF FINANCIAL OFFICER (INDIA BUSINESS), GMM PFAUDLER LIMITED
- MR. VINCENT LEROUX - EXECUTIVE VICE PRESIDENT SALES OF INTERNATIONAL BUSINESS
- MR. DHARV AL RAJPUT – GENERAL MANAGER FINANCE & ACCOUNTS , GMM PFAUDLER LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Q1 FY 25 Conference Call of GMM Pfaudler Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. I now hand the conference over to Mr. Dhaval Rajput. Thank you, and over to you sir.

Dhaval Rajput: Thank you. Good evening ladies and gentlemen, a very warm welcome to all of you into the Q1 FY25 Earnings Call of GMM Pfaudler Limited. The earnings presentation was uploaded on the Stock Exchanges today and is also available on our website. Hope all of you had a chance to go through it.

From the management we have with us our Managing Director – Mr. Tarak Patel, our CEO of International Business – Mr. Thomas Kehl, our CEO of India business – Mr. Aseem Joshi, our CFO of International Business – Mr. Alexander Pomphner, our CFO of India Business – Mr. Manish Poddar, our Executive Vice President Sales of International Business – Mr. Vincent Leroux and our Compliance Officer – Ms. Mittal Mehta.

We will give you a brief overview of the performance of the company, after which we will get into the Q&A.

Before we begin with the overview, a brief disclaimer. The presentation that was uploaded on the Stock Exchanges and also on our website including our call discussions that will happen now contains or may have certain forward-looking statements regarding our business prospects and profitability which are subject to several risks and uncertainties. The actual results could materially differ from those in such forward-looking statements.

I would now hand over the call to Mr. Tarak Patel to provide an overview of the performance.

Over to you, Tarak.

Tarak Patel: Thank you Dhaval. Good evening, everybody. We are happy to announce a good start to the financial year. Revenue and profitability remain stable with strong execution across geographies. The business environment remains challenging, mainly driven by a slowdown in the chemical and agrochemical sectors. Order intake improved significantly this quarter, mainly driven by Heavy Engineering, Mixing and Systems businesses. The last two quarters have now seen a strong order intake, and this quarter Rs.882 crores of order intake is the highest order intake in the last eight quarters. Our order backlog is also up by 5% to about Rs.1,777 crores. And our opportunity pipe remains stable, with key opportunities expected to close in Q2. Our diversification strategy has helped mitigate the slowdown in the chemical sector by allowing us to focus on new market and industry segments.

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In terms of financial performance, our consolidated revenue for the quarter was at Rs.785 crores, and EBITDA stood at Rs.89 crores, with a EBITDA margin of 11.3%. We also participated in AICHEM this year, in June. This is the biggest trade show for our industry segment as well. We also inaugurated the GMM Pfaudler JDS facility in America, Georgia, USA, which is a facility catering to the re-glass and services platform. In FY25 we are also planning to launch our three year strategic plan, which will highlight growth opportunities across our platforms and regions. I would also like to maybe spend a couple of minutes just to give you an overview in terms of what we are seeing both in India and internationally. In India, like I mentioned, the order intake this quarter was quite strong, mainly driven by our non-glass lined businesses. And we expect the glass lined business to also kind of have some strong order intake in Q2 and Q3. Having said that, the industry and the outlook remains slightly better than a few months ago. But again, the chemical and

especially agrochemical sector is still not so, I would say not so strong in terms of their investment. Internationally also as well, we have seen strong order intake, but this has been driven mainly by our non-glass lined technologies business and the Systems business has done really well. So, we expect the international business also to have strong order intake in the next few quarters. All in all, it is a challenging environment, but we expect that, the next few months and quarters should have some the positive outcome as well. With that, I will now hand over the call back to you Dhaval, and we can then open it up for question-and-answer.

Dhaval Rajput: Thank you Tarak. Moderator you may now open the line for questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Sagar Shah from Spark Capital. Please go ahead.

Sagar Shah: Thank you for the opportunity. I will go ahead with my question. First of all, I got your point that currently there is a very challenging environment. So, in this critical stage still we are seeing almost sluggishness in the margins actually, even the order pickup actually has significantly picked up here, the order intake is at all eight quarter high, but still the margins are coming

down. I understand we have implemented cost control measures, but still the margins are not being under control. Now the consolidated margins have slipped down to almost at 11% to 11.5%. So, what exactly is the reason behind here. So, is it the geopolitical tensions or the sluggishness in the glass lining market, are we booking orders still at a loss on a glass lining level because on the non-glass lining industrial mixing are higher, except for heavy engineering all are almost higher margin segments actually for you and on the standalone level, also we saw some, you can say, dip in the margin. So, what exactly is the reason behind this and going ahead, what are the steady state EBITDA margins, on the standalone level as well as on the consolidated levels can we see in this year FY25?

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Tarak Patel: Let me answer your question in two parts. One, you started off by saying order intake of this quarter at Rs. 882 crores, of course, is the highest in the last eight quarters. But of course keep in mind that these orders are yet to be executed. So, the new orders that have come in in Q4 of last year and Q1 of this year are yet to be executed, and that margin profile is yet to flow through in terms of the P&L. The last few quarters, yes we have had lower margins. Obviously, the main reason for this is obviously the volume that we kind of have right now in terms of backlog, is not as high as what we have had in the past. And there is definitely a volume issue in terms of cost. So, the cost absorption that we have across our factories is not completely utilized, and hence we have slightly lower margins. Plus also keep in mind, just because of the slowness in demand, the competitive intensity is much higher, and hence there is definitely pricing pressure as well. However, having said that, I could believe that coming through a down cycle where most of my customers are seeing a 20% reduction in revenue and margins. We have been able to maintain margins, and we are not showing any signs of de-growth as well. So, order intake is positive. It is a tough period for us definitely, because the market that we cater to are slowing down. However, we have also put in a lot of effort into diversifying our portfolio, and today, the reason that we are better off than many other people in this business is because we are diversified. So, right now, when our glass lined business has slowed down, and we have seen pricing pressures in glass lined, we have been able to make up for the shortfall in things like heavy engineering, in mi

xing and in Systems. So, across the board, the other businesses have kind of catered, but yes, generally there is a slowness in the market, and 60% to 70% of our revenue comes from chemical and pharma which is seeing a slowdown. However, having said that, in the future we would then kind of reduce that exposure to chemical and pharma, and we would expect the other industries to kind of cater and add to the revenue mix as well as the profitability mix.

In terms of cost control, there are numerous measures that we have taken internally as well, so some of the benefits of the implemented cost controls are already showing up, and many of them will show up in the ongoing quarters. The outlook for this year is going to be maybe a small amount of growth, both in revenue and profitability. We are expecting that, 5% to 10% growth is what we expect. We hope that the order intake will continue for the next few quarters. But this year is basically a year for consolidation to look internally. I have talked about this in the last few quarters, business has been slow, and until we bring the backlog up to a much bigger level, we will still face absorption issues. However, the last two quarters have been kind of positive in terms of order intake. We are not completely out of the woods, but definitely better off than what we were six to nine months ago. So, that's how I would like to answer that question. I hope that's clear for you.

Sagar Shah: Okay. So, basically, are you guiding for actually around the 5% to 7% growth in revenue sir for this particular year?

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Tarak Patel: So, that is what our expectation is. We have a strong order backlog so we have about Rs. 1,777 crores of backlog currently, executable backlog. We have already done about 785 crores already in Q1 so you can do the math. We still have order intake in Q2 and Q3 that will be shipped out in this year. We also have the services business that we will continuously add revenue and shipment as well. So, we are quite confident that we will be able to at least achieve, if not grow last year's number but we expect to grow over last year's numbers. That's the internal estimate that we have.

Sagar Shah: Okay. So, any broad level EBITDA margins that you are targeting for this year?

Tarak Patel: So, we spoke and we want to maintain the same level as last year. Last year, Manish, our margin consolidated was about 13%-13.5% odd.

Manish Poddar: Yes.

Tarak Patel: So, that's what we are expecting, we might improve on that slightly if the volumes pick up, then obviously we expect that number to probably be even a little bit better than that.

Sagar Shah: Okay. And sir, currently glass lining business out of our total technologies business would be how much percentage sir, right now as of Q1 FY25?

Tarak Patel: I don't have that numbers right now, because they are not the same for both India and internationally. So, I don't have consolidated numbers, but predominantly glass lined in India was a large percentage of our revenue, that has seen a significant reduction, but luckily for us, the heavy engineering business and the non-glass lined business in India has made up for the shortfall. Internationally, they had Services & the Systems are the big chunks of their overall business. So, for them that two areas have given good amount of growth, but in India we were definitely more glass lined focused. Over the last maybe four, five years we have kind of diversified and created other platforms that can also help us mitigate some of the risks associated with the glass lined business.

Sagar Shah: Okay. So, just last, this second question would be on the industrial mixing business, as you have guided that out of our Rs. 880 Crores of order intake mixing was also a big part actually. So, basically, can you lay out something like, can you explain on that front, can

you give us color

that what exactly has been done and now going ahead will you consolidate all three companies of mixing and how do you look at that business for the next three years and also for this current year? And how has it contributed to the revenues actually in this particular quarter?

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Tarak Patel: On the number front, maybe Manish can comment, but just let me give you and maybe Thomas and team can jump in as well. In terms of the mixing business, again you are absolutely right it is a very important part of our growth strategy. It opens up a much wider range of industries that we cater to. Over the last maybe this quarter and last quarter, we received large order in mixing where both India, Canada and France have kind of worked together to win this order. One, very large order from Australia has come through, a couple of orders in India have come through, so mixing is growing. Mixing is definitely an area we want to focus on and maybe I will hand it over to Thomas and Aseem to jump in and maybe talk a little bit about what they are seeing in their respective geographies. Thomas, maybe you can.

Thomas Kehl: Mixing seems to be a little more stable because the entire mixing industries are much more segmented and gives us more applications and markets to cater to as compared to in chemical and pharmaceuticals. So, we are a little bit less exposed as we see in the order intake. And as Tarak just mentioned a huge success in geographical expansion in Australia also just happened a large order to receive there. And there's a number two order from the same customer and other project that we have good chances also to get in the near future. So, you asked I think for the outlook in the next one to three years, we are very confident to grow the business in mixing globally even further. We are developing product technologies. We are also in the project where we are standardizing some of our products to be more competitive and increased margins, and we are rather optimistic in our mixing efforts, and we also look at further opportunities on M&A.

Aseem Joshi: Sagar, this is Aseem. I will just add to what Thomas said, to capitalize on the opportunity that the market upwards us, we are doing a lot of work internally to ensure that we are positioned well as a global company to address mixing needs wherever they are. So, we have announced, we shared earlier that we have a general manager of the mixing business, and he is working very hard to integrate these teams across geographies, ensure that the domain expertise that exists is available across the company, and that has already yielded results. So, some of the recent wins that Tarak and Thomas talked about in various geographies were only possible because expertise across the capabilities of GMM Pfaudler was shared seamlessly. So, we are working to institutionalize that and work on standard engineering approaches across the company, those kind of things in the background. So, we are very optimistic, and we will continue to focus on the mixing platform.

Manish Poddar: On the numbers front mixing for Q1 accounts for 8% of the total consolidated numbers. And of course, but of course being the focus area the growth trajectory will be faster in time.

Moderator: Thank you. Next question is from the line of Ashish an Individual Investor. Please go ahead.

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Ashish: Congratulations on a good set of Numbers, Sir, can you give some light on how the chemical, the whole space is looking from a GMM point of view, like the entire space?

Tarak Patel: Sure, that's a good question, because obviously we interact with a lot of chemical companies, both specialty as well as agrochemicals, and we also kind of interact a lot with pharmaceutical companies. So, in terms of the chemical outlook, the agrochemical

chemical outlook is not so positive,

the interactions that we have had with owners, CEOs and managers in agrochemical companies, it doesn't seem that there is really a lot of positive news in that is going to happen. I feel that there is going to be still about six to nine months of further, slow down in this sector mainly driven by the Chinese competition. So, the Chinese are still dumping and still competing at a cost structure that the Indian companies are not being able to kind of compete at, and that's going to obviously reduce volume and in turn, reduce margins as well for agrochemical companies here in India. So, for most of these companies, obviously, revenues and margins will be under pressure for this financial year as well. And hopefully, maybe by Q3, Q4 we start seeing some green shoots where some of the investments in agrochemical will come back. On the specialty chemicals front, we do see some investments. Investments are continuing so people who are not focused only on agrochemicals are continuing with cap ex, those decisions have been pushed out, but some of those decisions have been now kind of taken, and we see some amount of order intake coming from specialty chemicals. And like I mentioned earlier, we do expect some of them to close in Q2.

In the pharma space, we have seen a lot more positive kind of news. We believe that pharma will continue to add and again, Hyderabad pharma, there are three or four very big projects that are planned, and we expect again, and these are mainly for the glass lined business, and we expect some of these large projects to materialize in the coming weeks. So, that would put us again in a strong position when it comes to glass lined. As you know very well, glass lined we are the market leader, and we are the first choice. So, most companies will end up buying their glass lined equipment from us. Internationally, the chemical sector also is a bit soft obviously, a lot of the international companies are dependent on India and China for outsourcing. But the general weakness is not only in India, it is a global weakness and there is obviously overstocking and with the Chinese coming in and dumping at lower cost structures, that kind of makes it much harder for Indian companies. Having said that, the focus today is obviously in chemical Pharma since they are not growing as fast as you would like, we have kind of spread our wings, and we have entered into new markets with mixing we now cater to metals and minerals, rare earths, paints, dyes, food and beverage. We also are now doing fermentation with our Systems business as well. We have gone into new industry segments with heavy engineering. We have oil and gas, petrochemicals etc. So, there is a wide range of industries that we are targeting. But generally, the weakness in chemicals has accounted for a large slowdown in the glass lined business, which is obviously impacting both volume and margin in the glass lined business.

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Ashish: Yes, sir. And just a follow up question, like in case of mixing not two, three quarters, but from here on, from three years from now, what can be the revenue split of mixing in the entire revenue structure, like from three years from now?

Tarak Patel: So, we have actually spoken that, when we bought the two companies together, and are – together with our mixing business in India, we have got \$45Mn. and we expect that to be \$100 Mn plus business in a three year time period. And that's what we are sticking with.

Ashish: And sir, one more thing, there are some plans to go in the nuclear space as well, energy, nuclear space, reactor space, or that is not on the cards presently?

Aseem Joshi: This is Aseem, I will take this. We have some capability through our heavy engineering business to address some of the non-core parts of nuclear industry which we will look at. However

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you probably are aware that it's a long cycle opportunity, so we will continue to monitor it, but that's not clear core part of our strategy.

Moderator: Thank you. Next question is from the line of Bhavik Shah from Emkay Ventures. Please go ahead.

Bhavik Shah: My first question is, where does the mixing business sit in terms of classification, does it sit in the Systems or services?

Manish Poddar: It's part of technology.

Bhavik Shah: Okay, it's part of technology. So, what the Systems and Services constitute first, like what do we offer there?

Tarak Patel: So, services is obvious, anything that we have, spare parts, re-glassing, or we go and visit the customer to give them any kind of help with startup, breakdown, that's all considered services business. So, these are kind of very kind of sticky businesses, high margin business, recurring business, and the international business has about 35% of the revenue coming from services but in India and China it is a bit lower. But services is anything that we have to do to make sure

that our equipment is up and running. The Systems business is obviously a kind of complete Systems that we build together which has proprietary equipment manufactured by us, but we do all the piping, automation, P&I, designing and process know how as well. So, when you put it all together into a skid mounted System or a complete plant that comes into Systems business.

Bhavik Shah: So, sir what will be, how will be the margins for Technology, Systems and Services can you give a broad range of margin, whatever our order book is based on that what's the current margin in Technology, Systems and Services?

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Aseem Joshi: So, I'll take this one and then maybe Manish can add. Look when we diversified our business obviously our benchmark has been the core glass lined business, and our strategy always has been to add businesses that are at that level or high. And so with that, you can imagine sort of technologies business over the long term should be at the glass lining level. Systems, actually we are selling an outcome to our customer. So, again, while it varies across the different applications broadly, it's in line with our Technology business and Services is healthier margins because we are there solving a customer's immediate problem, often in terms of spare parts, etc. So, Technology, Systems, sort of typical product margins and services is better.

Bhavik Shah: Okay. So, what will be your timeline for execution of our order book and the capex for the current year?

Tarak Patel: Execution of order book, most of the order book that we have, the backlog that we have will be shipped out in this calendar year, there could be some kind of spillover depending on the length. So, generally, anything that booked in the first quarter or to the second quarter, or maybe even after November gets shipped out, at least from the India business, international business, has obviously slightly longer delivery timeline. And what was the second question sorry?

Manish Poddar: On the capex front, basically we don't have any expansion capex coming up this year, and most likely nothing in the next financial year as well. The maintenance capex we have alluded to towards some like 2%, 2.5% but will be much lower than that any which ways in this year.

Moderator: Thank you. Next question is from the line of Yash Goenka from Awriga Capital Advisors LLP.

Please go ahead.

Yash Goenka: So, when I look at your employee numbers from FY 2023 to FY 2024 it has come down, but the employee cost has gone up significantly, by around 14% so can you comment on it because we were of the view that we will bring down number of employees overseas to India, but which I cannot see it in the numbers. So, a color on that?

Manish Poddar: Which two number sets are you comparing can you please repeat?

Yash Goenka

ka: Employee count in the annual report, which was 809 in FY 2023 and 784 in FY 2024.

Manish Poddar: Right.

Yash Goenka: And when I look at employee cost, you can go ahead.

Manish Poddar: These are standalone numbers.

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Aseem Joshi: The employee count you are referring to is standalone in the annual report. And the employee cost you are referring to is consolidated.

Manish Poddar: I think yes, because if it is less than 1000, then of course these are India numbers.

Tarak Patel: So, consolidated numbers might not be the right yardstick in terms of measuring, but generally you want to comment on employee cost.

Manish Poddar: So, if you see actually, for the current quarter if you see we have actually lower number on the employee cost, and specifically in India, we can talk about that Q1 you would expect a up cycle on the count of increment, despite that, because of the some employee reduction, head count reduction, across all the functions, we have been able to manage the cost at the number lower than the Q4 closing numbers. And similarly in the international as well the numbers have been absolutely in line with the Q4 numbers, tagged lower only.

Tarak Patel: Yes, we have actually reduced head count across geographies, including India, internationally and in Europe as well. So, there is a reduction in employee and employee cost probably as well.

And if you look at the numbers carefully, you will see that.

Moderator: Thank you. Next follow up question is from the line of Sagar Shah from Spark Capital. Please go ahead.

Sagar Shah: So, just what Tarak sir said actually previously on my first question. So, can we assume that the orders that we have booked during the last six months, as far as the glass lining orders are concerned, they are of higher margins as compared to what we had seen in the last you can

say 12 months, or maybe 18 months actually. So, can we assume those are higher margin orders. So, that is the reason that we are guiding for higher margin and higher revenue growth, actually as compared to what we have achieved in this quarter?

Tarak Patel: No, I don't think that's the right way to look at it. Right now the market is still very highly competitive. Pricing is definitely under pressure. However, as a market leader, we do get premium, and we try to extract the premium as and when we can, but there is a lot of competitive intensity. Just because the volumes are not there, we all are now fighting for a much smaller bucket of orders, and hence there is definitely more competition. Having said that, there is definitely there are areas where we look to improve margin by selling and differentiating our product offering from our competitors. Either we look at export, we look at stuff that is different from our normal kind of stuff that we do, which could help in improving margin, but generally pricing in that is around the same as it was for the last nine, 12 months, until we see a significant change in volumes and investments going up, or the pricing is not going to significantly change.

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Aseem Joshi: On the margin side, some of the benefits of the cost position, improvements that we have done that should start flowing through. But on the pricing side, that has been quite clear on that.

Tarak Patel: But, however having said that, we are working hard to look internally to see where we can reduce costs all across our different functions as well. There are multiple initiatives that are ongoing, and hopefully some of these will kind of deliver and hopefully improve margin. So, the margin improvement that we talk about is really from internal work, and we hope that the market will support in terms of volume, and in terms of volume, the volumes improved and obviously pricing and margin will also improve.

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Sagar Shah: Okay. And my next question was related to our revenue growth, which was down almost 13% so is it related to any of the some forex impact, or is it just related to lower utilization?

Tarak Patel: There is no forex impact, Q1 of last year was a very strong quarter in terms of both order booking and in terms of shipment. So, it would not be a comparable quarter having said that, this year definitely our international has been strong in terms of execution. India has been decent. The India HE business, which is going to do quite well this year, did not have a good first quarter, and we expect HE to make up for some of the shortfall in Q2, Q3 and Q4. So, overall, we are quite confident that we can maintain or even grow over last year's revenue numbers.

Sagar Shah: Okay, sure. My last question would be that, can you state that as you had my previous participant had, you had answered to that question related to that, the mixing, the overall, the glass lining margins were related to almost our same as the System level. The technology margins are same as the glass lining level. So, what are the margins right now that you are actually enjoying at the glass lining level, mixing level, and Systems and services level. Can you at least suggest a ballpark numbers for all the segment?

Manish Poddar: We don't have product line, margins being shared in the public domain so sorry, I can't share those numbers. But broadly, like Aseem mentioned, mixing continues to be enjoying at a normal glass lining levels. So, of course glass lining margins are relatively down for past two, three quarters, as we have been observing, but apart from that, all other businesses have been doing decent.

Moderator: Thank you. Next follow up question is from the line of Ashish, who is an Individual Investor. Please go ahead.

Ashish: Just a follow question for Tarak, sir, as he said that the three year plan will be shared, sir at what point of time can we see that three year?

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Tarak Patel: So, Ashish, the plan is, it's coming along. We have had some, we have put in a lot of work over the last few months. We are now putting the final touches to the plan. I don't have a time frame, but as soon as it's ready, there's no reason for this to kind of be delayed and whole, we want to come back to the market and share the plan with you. We just need to make sure that everything that we are thinking about, everything that we want to articulate, our business strategy and our long term strategy is articulated and communicated well. So, at least in the next maybe three to six months we should have something out there for you all, if not earlier, but we spent the last maybe four or five months working on this. We have kind of aligned internally with the management team. We are now going across geographies as well and reaching out to our employees to get them kind of aligned and go into this plan as well. And it's a joint effort where everybody kind of it comes from bottom up. So, we are actually getting

numbers from every geography, from every business, every platform and every product line as well. And then obviously we are looking at opportunities into markets where we don't have a presence currently. So, are there areas where we as a company want to kind of explore, one of those areas is mixing that we have taken, is there anything else that kind of we are focused on chemical and pharma, and that's what we really need to build, and then focus on those new industries which will give us good and strong double-digit growth, plus strong margin profiles as well. And we have identified some areas where we believe we already have a strong footing, and we can even kind of use our brand, our capabilities and our customer loyalty to kind of build on that. So, a lot of stuff has to come together, but three to six months should be the

the

right time frame in terms of when you can expect some kind of communication from our side, if not earlier.

Moderator: Thank you. Next question is from the line of Srikanth KN an Individual Investor. Please go ahead.

Srikanth KN: So, I just want to know, if there is any specific impact of geopolitical situation, say in the Middle East and macro events such as the interest rate cuts that has been forecasted, say in the September rate cycle. Is there any specific impact on us because of these two events?

Tarak Patel: The geopolitical impact not so much. The only thing that we have heard is that, from some of our customers that shipping costs for some of the chemicals and stuff has increased. Now, what impact does it have to our customers, I really can't tell. But for us, there's no specific impact on geopolitical situation. We did have an impact few months, nine months, one year ago, when obviously there was a gas shortage in Germany which impacted energy cost. But, we are way ahead of that, and we manage that quite well. But otherwise, currently there are no other geopolitical issues that will impact our order intake or our business for that matter. Your second question was?

Manish Poddar: On the interest rate cycle, it only benefits us, because the international business, the debt is at SOFR linked. So, whatever interest rate, reduction happens obviously flows through in our interest cost savings.

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Moderator: Thank you. Next question is from the line of Miten Lathia from Fractal Capital Investments. Please go ahead.

Miten Lathia: Sir, earlier in the call you outlined the incremental sense that you are getting out of both the chemical and the pharma space in terms of the business outlook. Could we also get into slightly more detail and share if the kind of orders that are likely to come through would be more suited to the capabilities that we have, or it is likely to be more in the sort of standard type of order which most of our competitors also are able to supply?

Tarak Patel: In glass lined generally, if there is a large order, more often than not they would go with a company like ours, obviously because we have the capacity to cater to large volumes, when customers want to build large facilities, world class facilities, they would not really compromise on quality, and the life of the equipment is paramount when it comes to glass lined. So, hence, their kind of requirement for good quality product for glass lined and in chemical factory is quite clear. So, more often than not, we can differentiate ourselves. But again, like I said before, there is always competition maybe the customers would not buy from them, but at the end of the day, they will use their pricing to obviously negotiate. So, there is only so much that we can do, but generally the kind of orders that come from pharmaceutical are a little bit more sophisticated than a chemical in terms of what's required. So, maybe there's a slight preference there for GMM Pfaudler, but generally, I wouldn't say there's a significant difference in terms of what we can do versus competition. The only thing that I will point out here is our glass is obviously something that we have kind of developed over the last 50, 60, 70 years, it's a technology and a formula that has been developed over a long period of time, and maybe some of the competitors that kind of compete with us maybe don't have that level of sophistication in their technologies.

Miten Lathia: Get that, thank you. And just to sort of take that into context when we look at the financials filed by one of our competitors, who is likely to IPO, they seem to have done better over the last two, three years compared to the two listed players in the space, anything that you would like to call out in terms of the market itself, or in terms of course correction that we would have

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ad done post what has happened in the last two, three years?

Tarak Patel: I would not like to comment on somebody else's but, I know what the market is, and the two listed competitors you know what kind of numbers they have, so it's very unlikely that a third player would be significantly different than the rest of us, because he is catering to the same customers, he is dealing with the same people and the same pricing. So, obviously, everybody has their own agenda when it comes to their business outlook, I can't comment on that, but

the reality is, there is definitely a slowdown in the chemical market, which has impacted volume, and in terms impacted margins, we have been a little bit better off than most people because we have a diversified portfolio. We have two thirds of our businesses coming from the international market, which is a little bit more protected than the Indian market. And lastly, we

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have about 30% of our revenues coming from services, which is sticky and high margin. So, we are definitely in a better situation than the other companies that you might talk about. But, I really don't want to comment on anybody else's filing and stuff like that, but I would just recommend people to do their own homework and check the numbers, because most of the numbers are quite easily available, and you can check all these things in the public domain.

Moderator: Thank you. Next question is from the line of Shyam Maheshwari from Aditya Birla Mutual Fund. Please go ahead.

Shyam Maheshwari: Had a couple of questions, firstly on the systems business, this has seen quite a bit of upturn if you look at the order of inflows numbers, particularly in this quarter we got about Rs. 200 odd crores of inflows in systems versus Rs. 70 crores last year. So, is there any one off or big order that we have kind of booked in this quarter in the systems business?

Tarak Patel: Yes. So, let me give you some color on Systems business. Systems has really been a good business line for us in the last maybe two quarters. In Q4 of last year, we got about \$10 to \$12 million of a systems order in the US. We got a repeat or another US order again in the range of \$10 million, and we expect another \$10-\$15 million of more systems orders now from Europe as well. That is expected. So Systems has definitely been an area that we have done quite well. We also got another order here in India for about Rs. 23 odd crores again, a systems business from a company in Bangalore. So, yes, Systems has definitely helped us make up for some of the shortfalls that we saw in glass lining. Systems again keep in mind, it's a consolidation of many of our product line. But again, the customers gives us a Systems business because they believe that we have the capability to design and also help them with process engineering. So, hopefully, the margin profiles of a system business are little bit more than just equipment, and we expect the systems business over time to grow and again as we differentiate the technology that we have, an internal IP that we have around these processes will help us win some of these Systems business. One more point to add in Systems as many of the customers do their trials with us. So, we have test centers where we work with customers for six months, nine months, we kind of work with their process, and then you have the time. So, eventually, when they decide to go ahead with this ordering. They would then order it from us, because they have done that kind of work with us. So, Systems is definitely an area we want to continue to focus on, in India as well and maybe Aseem can jump in. We have now created a much larger organization for Systems. We have kind of brought in people who are more process oriented, maybe Aseem you want to just jump in and talk a little bit about Systems and what you are doing here for some of the

se new technologies, like green chemistry, flow, etc.

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Aseem Joshi: Yes Shyam hi. Look, Systems is an important platform for us. We have talked about it, I would like to first address the nature of the Systems business inherently is a little lumpy because the ticket sizes are bigger. And that's what you have seen in our numbers recently, these were in our pipeline. They just took a little longer to close and Tarak talked about the big orders that have come. Now, as we are continuing to focus on the Systems business, we recognize that we need to further enhance our capability to serve our customer's requirements. So, when you move from being a solely a equipment supplier to a solution provider, you need to have a much better understanding of the process. So, we have invested both in our people capability by hiring additional process experts in various domains as well as the physical capability with our test center in Karamsad, which is now fully operational, so people can actually come and do a whole range of tests in GMM, so that they get a lot more confidence in the outcome that they can get from the products and solutions that they buy from us. So, we will continue to develop this. And, in a similar fashion, I talked about India, but in a similar fashion, the international group also continue to invest in the Systems capability.

Shyam Maheshwari: Interesting, and could you just elaborate a little bit more on the kind of solutions you are providing, so I remember Acid Recovery was one such thing, which was getting captured in systems, but these recent orders, if you could give a little bit more color on to what exactly solution is this addressing?

Aseem Joshi: So, I will start first, and then maybe I will request Vince to give an explanation of what these recent orders are. So, in Systems, we are very particular that we have some domain expertise in the solutions we provide. So, we have talked about acid in the past, where the center of excellence is in Germany. We have liquid, liquid separation, sort of solutions that come out of our North American operations based on the evaporation capabilities we have there. And then we also have membrane separation systems that come out of an Italian subsidiary Hydro Air. In addition, there are a whole range of reaction systems that we do in Europe as well as in India, and actually in North America as well. Now maybe Vince, you could talk a little bit about the recent order.

Vincent Leroux: Yes. So, we got some orders in the US on the range of \$10 million in the Q1, it was in the pharma sector, medical device. But we are in different applications you will see or we will see some, we have a nice pipeline coming up for Q2, where we are in different industries, like energetics, like recovery, because we are in the recycling business of solvent recovery for example and with fermentation, so in many different sectors and industries, they need that kind of assistance, and the pipeline is quite strong at the moment, and we feel that system as a pipeline can compensate the shortfall of glass lined.

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Shyam Maheshwari: Understood, thanks Thomas. And just a follow up to this. So, does the design capability lie with us, or is it the customers and then we would just probably engineer possible solution?

Tarak Patel: No. So, in the case of what 90% of Systems we would design, the entire case for them, there are certain customers who wanted a certain way and will give you the kind of overarching design, but then you still have to do the PNIT, the piping, the instrumentation, the automation, and at the end of the day in some of the cases we also take process guarantee. So, we have to give you so much output of so much product at this kind of quality or percentage by volume or whatever it is. So, whenever we

do that, then obviously your entire margin profile changes, because you are moving up the value chain and you are giving a customer solution, and then that's where we want to be. And in most cases, I think, we have a situation where we are designing for the customers, and we have our own internal engineering team, as well as process team, who does this engineering in-house.

Moderator: Thank you. Next follow up question is from the line of Bhavik Shah from Emkay Ventures. Please go ahead.

Bhavik Shah: So, my question is, so what is our capacity in India and in the international operations. And how do we look at our capacity, what metric to use, and what will be our capacity utilization in Q1 versus Q4?

Tarak Patel: Good question. I don't think we have exact numbers, but for a manufacturing company of our size if you are at 80% utilization were pretty good. That's where we would like to be. Today, we would be around in India, maybe 55%, 60%, I would think maybe in Europe a little bit more, in the Europe and the US. China has been slow for us, so China would be a bit less. China doesn't seem to have too much expansion coming in the chemical space right now. So, China is a bit slow, but generally in India, we are probably about 55%-60% utilization. However, our heavy engineering plant is 100% utilized. So, we would be close to 90%-100% utilized there. But, that was the basic capacity is.

Bhavik Shah: So, we don't need any capacity say going ahead for next at least one or two years, if this is the understanding is correct?

Aseem Joshi: That's right. So, Manish clarified earlier, we don't anticipate any growth capex. We have no growth capex this year nor do we anticipate any significant growth capex in the near term after that.

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Tarak Patel: We could even be in a position where we could even look at, if we have let's say too much capacity in a specific platform or a product line, we can obviously use that capacity for something else as well. So, that's what we are always trying to do, to see if something else picks up can we kind of give that product line which is going faster, a little bit more realistic, which means then we have to kind of make sure that we have the right team and people to make sure that we can cater to that specific product, and we have done that already. Where we are seeing a slowdown in glass lined, we use some of the capacity there to cater to some of the

other product lines as well.

Bhavik Shah: Right sir. So, sir basically there is a possibility of say capacity utilization improving and operating leverage playing out and so margins improving?

Manish Poddar: Yes, that's exactly what we are alluding to, Yes.

Tarak Patel: And maybe here would be a good time to also mention that we are going through a cost efficiency improvement program in our India manufacturing setup, and that's ongoing, and that started maybe a few weeks ago. And hopefully that will also see saving both in terms of cost structure, procurement, value engineering and things like that at a manufacturing level as well. And that would be a nine to twelve months project that we are planning. So, hopefully that will also help us improve capacity, but also reduce cost and improve efficiency as well.

Bhavik Shah: So, do we aspire to be at 15% in say one or two years, that's where our aspirations are?

Tarak Patel: Sorry, what was the question again, I missed that sorry.

Bhavik Shah: Our margin aspirations are let's say 15% in coming 1-2 years, if the capacity utilization picks up, where do we aspire to be?

Manish Poddar: Capacity utilization should lead to something 2%-3% addition to the bottom line, that is something that we should be at.

Tarak Patel: So you see, you have somewhat ballpark figure and a good kind of idea in terms where we

should be. We as a management obviously feel that we should be a little bit more aggressive with targets, and like I mentioned in the next few months you will see document that comes from the company to the capital market in terms of what our strategies are. How do we de-risk our focus on chemical and pharma. How do we kind of diversify away from glass lined business. What are the new opportunities available to us, where is the growth going to come from because one of the things that we did learn from this down cycle is that obviously as a company we are focused only on an industry which obviously is very technical. So, as management, we do believe to put the company in a much better standing, much more comfortable situation, we would like the company to have a much wider industry range that it can cater to and that's GMM Pfaudler Limited
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what we are really working on and some of the other industries that we are looking at that are growing much faster than chemical pharma as well. So, all these things we are working on. We have to get through this tough period of one year, which I think we will. We are already in a good situation, order backlog looks good, order intake is a bit better than before. Glass lined a bit slow, but we all know what needs to be done. We are working internally, like I said and obviously you won't see a lot of crazy numbers from us for the next few quarters, but then we do expect, in a year or two years from now you will see a company that is much more, I would say, stable in terms of revenue and profitability and that's the idea what we are trying to do.

Moderator: Thank you. Next follow up question is from the line of Sagar Shah from Spark Capital. Please go ahead.

Sagar Shah: Sir, just a couple of questions. Thank you for the follow up. Just one point on debt actually, you have released a BSE notification that you have filed for an extension of pledge for one of your subsidiaries. And you have also, basically there is also modification of pledge to increase your LC facility by up to €5 million and also €40 million for avail new facility from the existing banker. So, basically, currently on the debt level, actually as we are not looking for any further capex also and as far as I know that, we are not looking for further acquisitions also. So, what is the reason behind the debt and initially we had guided for a reduction in debt, in fact in this year for around Rs. 100 crores on the long-term debt. So, any color on the debt outlook sir for this year?

Tarak Patel: Sure. So, let me give you some broad level cover. So, this is basically a refinancing, so our financing package is being rolled over. This financing package was ending in 2026 we have now rolled it up to 2028, the banks are very happy with the company's performance and hence have agreed to roll it over. Further, they have given us an additional line of €40 million for acquisitions as and when we need them. There are no current acquisitions that we have in mind, but as a company, and I need to correct you there, we do and we will look at acquisition opportunities as and when they arise, because for a company of our size and scale and the diversification that we are looking for, we will have to look at new opportunities and new industry segments, and that would only come through acquisitions. So, that is the thought process. This line will be available till August 2028 and it is part of the refinancing and the rollovers that we had inherited and that's pretty much business as usual.

Manish Poddar: So, a couple of things here just to add to what Tarak mentioned. Broadly, it ends at like August 2026. So, we have good 24 months from now, but 12 months from now, technically it will fall under a current liability. So, therefore from a qualification perspective, we need to be a bit more proactive to make sure that from

a qualification perspective, the non-current remains under the non-current bucket. So, therefore, we had to do that well in advance to make sure our balance sheets are in good shape from that perspective. The second one is one of the international bankers, out of his own issues they didn't want to have extended credit and GMM Pfaudler Limited
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we wanted to have relationships, the banking relationships starting initiating from India. So, therefore bank wherein, where we have good old relationships here in India has been nominated into this consortium so that it helps us into a better deal in future as well.

Sagar Shah: Okay. So, something FY25 the long term debt will remain stable, or will we see increase in debt in the next few months, the long term debt?

Manish Poddar: So, as I mentioned we do not have any aspirations to have growth capex in current financial year or in the upcoming next financial year as well. So, therefore, we do not need any debt for that. For the M&A part, Tarak already mentioned, so I need not repeat on that.

Tarak Patel: There is nothing lined up in the future, and I don't expect anything to close probably in this financial year, but the line that we have is already approved so tomorrow when we do find some, it's something that we can draw down at any given point in time. So, it gives us flexibility, and as a company like we mentioned obviously there is some things eventually that we might want to do, and we need to be ready for that.

Sagar Shah: Okay, sure sir. So, my last question was related to mixing. As you said, 8% of our revenues came in this quarter of mixing. So, that translates around 400 crores of revenue. So, basically, did we see a decline in revenues for even in mixing business in this particular quarter Y-o-Y, and in this year are we as compared to 42 million USD, can we see growth in the industrial mixing business even in FY 24 or will we see a decline in that business?

Manish Poddar: No, we may not have declined Y-o-Y, I will not have specific numbers there on ready with me at this point in time. But as I mentioned, long term we are looking for growth quarter-on-quarter may not exactly fall in line with that 25% growth aspiration that Tarak mentioned earlier.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to the management of GMM Pfaudler Limited for their closing comments.

Dhaval Rajput: Thank you everyone for joining us today. It was a pleasure interacting with you, and we look forward to many such interactions during the course of the year. Take care and see you soon.

Thank you.

Moderator: Thank you very much. On behalf of GMM Pfaudler Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Aug 2024

GMM/SEC/2024-25/ 41 August 14, 2024

To,
BSE Limited National Stock Exchange of India Limited
Scrip Code: 505255 Symbol: GMMPFADLR

Sub.: Earnings Call Q1 FY25 - Transcript

Dear Sir / Ma'am ,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the earnings conference call for the quarter ended June 30, 2024 conducted on August 7, 2024, for your information and records.

The above information is also being made available on the website of the Company at www.gmmpfaudler.com.

Thanking you.

Yours faithfully,

For GMM Pfaudler Ltd

Mittal Mehta
Company Secretary & Compliance Officer
FCS No.: 7848

Encl.: As above

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"GMM Pfaudler Limited Q1-FY25 Earnings Conference
Call "

August 07, 2024

MANAGEMENT :

- MR. TARAK PATEL – MANAGING DIRECTOR , GMM PFAUDLER LIMITED
- MR. THOMAS KEHL – CHIEF EXECUTIVE OFFICER (INTERNATIONAL BUSINESS), GMM PFAUDLER LIMITED
- MR. ASEEM JOSHI - CHIEF EXECUTIVE OFFICER (INDIA BUSINESS), GMM PFAUDLER LIMITED
- MR. ALEXANDER PÖMPNER – CHIEF FINANCIAL OFFICER (INTERNATIONAL BUSINESS), GMM PFAUDLER LIMITED
- MR. MANISH PODDAR – CHIEF FINANCIAL OFFICER (INDIA BUSINESS), GMM PFAUDLER LIMITED
- MR. VINCENT LEROUX - EXECUTIVE VICE PRESIDENT SALES OF INTERNATIONAL BUSINESS
- MR. DHARV AL RAJPUT – GENERAL MANAGER FINANCE & ACCOUNTS , GMM PFAUDLER LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Q1 FY 25 Conference Call of GMM Pfaudler Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. I now hand the conference over to Mr. Dhaval Rajput. Thank you, and over to you sir.

Dhaval Rajput: Thank you. Good evening ladies and gentlemen, a very warm welcome to all of you into the Q1 FY25 Earnings Call of GMM Pfaudler Limited. The earnings presentation was uploaded on the Stock Exchanges today and is also available on our website. Hope all of you had a chance to go through it.

From the management we have with us our Managing Director – Mr. Tarak Patel, our CEO of International Business – Mr. Thomas Kehl, our CEO of India business – Mr. Aseem Joshi, our CFO of International Business – Mr. Alexander Pomphner, our CFO of India Business – Mr. Manish Poddar, our Executive Vice President Sales of International Business – Mr. Vincent Leroux and our Compliance Officer – Ms. Mittal Mehta.

We will give you a brief overview of the performance of the company, after which we will get into the Q&A.

Before we begin with the overview, a brief disclaimer. The presentation that was uploaded on the Stock Exchanges and also on our website including our call discussions that will happen now contains or may have certain forward-looking statements regarding our business prospects and profitability which are subject to several risks and uncertainties. The actual results could materially differ from those in such forward-looking statements.

I would now hand over the call to Mr. Tarak Patel to provide an overview of the performance.

Over to you, Tarak.

Tarak Patel: Thank you Dhaval. Good evening, everybody. We are happy to announce a good start to the financial year. Revenue and profitability remain stable with strong execution across geographies. The business environment remains challenging, mainly driven by a slowdown in the chemical and agrochemical sectors. Order intake improved significantly this quarter, mainly driven by Heavy Engineering, Mixing and Systems businesses. The last two quarters have now seen a strong order intake, and this quarter Rs.882 crores of order intake is the highest order intake in the last eight quarters. Our order backlog is also up by 5% to about Rs.1,777 crores. And our opportunity pipe remains stable, with key opportunities expected to close in Q2. Our diversification strategy has helped mitigate the slowdown in the chemical sector by allowing us to focus on new market and industry segments.

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In terms of financial performance, our consolidated revenue for the quarter was at Rs.785 crores, and EBITDA stood at Rs.89 crores, with a EBITDA margin of 11.3%. We also participated in AICHEM this year, in June. This is the biggest trade show for our industry segment as well. We also inaugurated the GMM Pfaudler JDS facility in America, Georgia, USA, which is a facility catering to the re-glass and services platform. In FY25 we are also planning to launch our three year strategic plan, which will highlight growth opportunities across our platforms and regions. I would also like to maybe spend a couple of minutes just to give you an overview in terms of what we are seeing both in India and internationally. In India, like I mentioned, the order intake this quarter was quite strong, mainly driven by our non-glass lined businesses. And we expect the glass lined business to also kind of have some strong order intake in Q2 and Q3. Having said that, the industry and the outlook remains slightly better than a few months ago. But again, the chemical and

especially agrochemical sector is still not so strong in terms of their investment. Internationally also as well, we have seen strong order intake, but this has been driven mainly by our non-glass lined technologies business and the Systems business has done really well. So, we expect the international business also to have strong order intake in the next few quarters. All in all, it is a challenging environment, but we expect that, the next few months and quarters should have some the positive outcome as well. With that, I will now hand over the call back to you Dhaval, and we can then open it up for question-and-answer.

Dhaval Rajput: Thank you Tarak. Moderator you may now open the line for questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Sagar Shah from Spark Capital. Please go ahead.

Sagar Shah: Thank you for the opportunity. I will go ahead with my question. First of all, I got your point that currently there is a very challenging environment. So, in this critical stage still we are seeing almost sluggishness in the margins actually, even the order pickup actually has significantly picked up here, the order intake is at all eight quarter high, but still the margins are coming

down. I understand we have implemented cost control measures, but still the margins are not being under control. Now the consolidated margins have slipped down to almost at 11% to 11.5%. So, what exactly is the reason behind here. So, is it the geopolitical tensions or the sluggishness in the glass lining market, are we booking orders still at a loss on a glass lining level because on the non-glass lining industrial mixing are higher, except for heavy engineering all are almost higher margin segments actually for you and on the standalone level, also we saw some, you can say, dip in the margin. So, what exactly is the reason behind this and going ahead, what are the steady state EBITDA margins, on the standalone level as well as on the consolidated levels can we see in this year FY25?

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Tarak Patel: Let me answer your question in two parts. One, you started off by saying order intake of this quarter at Rs. 882 crores, of course, is the highest in the last eight quarters. But of course keep in mind that these orders are yet to be executed. So, the new orders that have come in in Q4 of last year and Q1 of this year are yet to be executed, and that margin profile is yet to flow through in terms of the P&L. The last few quarters, yes we have had lower margins. Obviously, the main reason for this is obviously the volume that we kind of have right now in terms of backlog, is not as high as what we have had in the past. And there is definitely a volume issue in terms of cost. So, the cost absorption that we have across our factories is not completely utilized, and hence we have slightly lower margins. Plus also keep in mind, just because of the slowness in demand, the competitive intensity is much higher, and hence there is definitely pricing pressure as well. However, having said that, I could believe that coming through a down cycle where most of my customers are seeing a 20% reduction in revenue and margins. We have been able to maintain margins, and we are not showing any signs of de-growth as well. So, order intake is positive. It is a tough period for us definitely, because the market that we cater to are slowing down. However, we have also put in a lot of effort into diversifying our portfolio, and today, the reason that we are better off than many other people in this business is because we are diversified. So, right now, when our glass lined business has slowed down, and we have seen pricing pressures in glass lined, we have been able to make up for the shortfall in things like heavy engineering, in mi

xing and in Systems. So, across the board, the other businesses have kind of catered, but yes, generally there is a slowness in the market, and 60% to 70% of our revenue comes from chemical and pharma which is seeing a slowdown. However, having said that, in the future we would then kind of reduce that exposure to chemical and pharma, and we would expect the other industries to kind of cater and add to the revenue mix as well as the profitability mix.

In terms of cost control, there are numerous measures that we have taken internally as well, so some of the benefits of the implemented cost controls are already showing up, and many of them will show up in the ongoing quarters. The outlook for this year is going to be maybe a small amount of growth, both in revenue and profitability. We are expecting that, 5% to 10% growth is what we expect. We hope that the order intake will continue for the next few quarters. But this year is basically a year for consolidation to look internally. I have talked about this in the last few quarters, business has been slow, and until we bring the backlog up to a much bigger level, we will still face absorption issues. However, the last two quarters have been kind of positive in terms of order intake. We are not completely out of the woods, but definitely better off than what we were six to nine months ago. So, that's how I would like to answer that question. I hope that's clear for you.

Sagar Shah: Okay. So, basically, are you guiding for actually around the 5% to 7% growth in revenue sir for this particular year?

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Tarak Patel: So, that is what our expectation is. We have a strong order backlog so we have about Rs. 1,777 crores of backlog currently, executable backlog. We have already done about 785 crores already in Q1 so you can do the math. We still have order intake in Q2 and Q3 that will be shipped out in this year. We also have the services business that we will continuously add revenue and shipment as well. So, we are quite confident that we will be able to at least achieve, if not grow last year's number but we expect to grow over last year's numbers. That's the internal estimate that we have.

Sagar Shah: Okay. So, any broad level EBITDA margins that you are targeting for this year?

Tarak Patel: So, we spoke and we want to maintain the same level as last year. Last year, Manish, our margin consolidated was about 13%-13.5% odd.

Manish Poddar: Yes.

Tarak Patel: So, that's what we are expecting, we might improve on that slightly if the volumes pick up, then obviously we expect that number to probably be even a little bit better than that.

Sagar Shah: Okay. And sir, currently glass lining business out of our total technologies business would be how much percentage sir, right now as of Q1 FY25?

Tarak Patel: I don't have that numbers right now, because they are not the same for both India and internationally. So, I don't have consolidated numbers, but predominantly glass lined in India was a large percentage of our revenue, that has seen a significant reduction, but luckily for us, the heavy engineering business and the non-glass lined business in India has made up for the shortfall. Internationally, they had Services & the Systems are the big chunks of their overall business. So, for them that two areas have given good amount of growth, but in India we were definitely more glass lined focused. Over the last maybe four, five years we have kind of diversified and created other platforms that can also help us mitigate some of the risks associated with the glass lined business.

Sagar Shah: Okay. So, just last, this second question would be on the industrial mixing business, as you have guided that out of our Rs. 880 Crores of order intake mixing was also a big part actually. So, basically, can you lay out something like, can you explain on that front, can

you give us color

that what exactly has been done and now going ahead will you consolidate all three companies of mixing and how do you look at that business for the next three years and also for this current year? And how has it contributed to the revenues actually in this particular quarter?

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Tarak Patel: On the number front, maybe Manish can comment, but just let me give you and maybe Thomas and team can jump in as well. In terms of the mixing business, again you are absolutely right it is a very important part of our growth strategy. It opens up a much wider range of industries that we cater to. Over the last maybe this quarter and last quarter, we received large order in mixing where both India, Canada and France have kind of worked together to win this order. One, very large order from Australia has come through, a couple of orders in India have come through, so mixing is growing. Mixing is definitely an area we want to focus on and maybe I will hand it over to Thomas and Aseem to jump in and maybe talk a little bit about what they are seeing in their respective geographies. Thomas, maybe you can.

Thomas Kehl: Mixing seems to be a little more stable because the entire mixing industries are much more segmented and gives us more applications and markets to cater to as compared to in chemical and pharmaceuticals. So, we are a little bit less exposed as we see in the order intake. And as Tarak just mentioned a huge success in geographical expansion in Australia also just happened a large order to receive there. And there's a number two order from the same customer and other project that we have good chances also to get in the near future. So, you asked I think for the outlook in the next one to three years, we are very confident to grow the business in mixing globally even further. We are developing product technologies. We are also in the project where we are standardizing some of our products to be more competitive and increased margins, and we are rather optimistic in our mixing efforts, and we also look at further opportunities on M&A.

Aseem Joshi: Sagar, this is Aseem. I will just add to what Thomas said, to capitalize on the opportunity that the market upwards us, we are doing a lot of work internally to ensure that we are positioned well as a global company to address mixing needs wherever they are. So, we have announced, we shared earlier that we have a general manager of the mixing business, and he is working very hard to integrate these teams across geographies, ensure that the domain expertise that exists is available across the company, and that has already yielded results. So, some of the recent wins that Tarak and Thomas talked about in various geographies were only possible because expertise across the capabilities of GMM Pfaudler was shared seamlessly. So, we are working to institutionalize that and work on standard engineering approaches across the company, those kind of things in the background. So, we are very optimistic, and we will continue to focus on the mixing platform.

Manish Poddar: On the numbers front mixing for Q1 accounts for 8% of the total consolidated numbers. And of course, but of course being the focus area the growth trajectory will be faster in time.

Moderator: Thank you. Next question is from the line of Ashish an Individual Investor. Please go ahead.

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Ashish: Congratulations on a good set of Numbers, Sir, can you give some light on how the chemical, the whole space is looking from a GMM point of view, like the entire space?

Tarak Patel: Sure, that's a good question, because obviously we interact with a lot of chemical companies, both specialty as well as agrochemicals, and we also kind of interact a lot with pharmaceutical companies. So, in terms of the chemical outlook, the agrochemical

chemical outlook is not so positive,

the interactions that we have had with owners, CEOs and managers in agrochemical companies, it doesn't seem that there is really a lot of positive news in that is going to happen. I feel that there is going to be still about six to nine months of further, slow down in this sector mainly driven by the Chinese competition. So, the Chinese are still dumping and still competing at a cost structure that the Indian companies are not being able to kind of compete at, and that's going to obviously reduce volume and in turn, reduce margins as well for agrochemical companies here in India. So, for most of these companies, obviously, revenues and margins will be under pressure for this financial year as well. And hopefully, maybe by Q3, Q4 we start seeing some green shoots where some of the investments in agrochemical will come back. On the specialty chemicals front, we do see some investments. Investments are continuing so people who are not focused only on agrochemicals are continuing with cap ex, those decisions have been pushed out, but some of those decisions have been now kind of taken, and we see some amount of order intake coming from specialty chemicals. And like I mentioned earlier, we do expect some of them to close in Q2.

In the pharma space, we have seen a lot more positive kind of news. We believe that pharma will continue to add and again, Hyderabad pharma, there are three or four very big projects that are planned, and we expect again, and these are mainly for the glass lined business, and we expect some of these large projects to materialize in the coming weeks. So, that would put us again in a strong position when it comes to glass lined. As you know very well, glass lined we are the market leader, and we are the first choice. So, most companies will end up buying their glass lined equipment from us. Internationally, the chemical sector also is a bit soft obviously, a lot of the international companies are dependent on India and China for outsourcing. But the general weakness is not only in India, it is a global weakness and there is obviously overstocking and with the Chinese coming in and dumping at lower cost structures, that kind of makes it much harder for Indian companies. Having said that, the focus today is obviously in chemical Pharma since they are not growing as fast as you would like, we have kind of spread our wings, and we have entered into new markets with mixing we now cater to metals and minerals, rare earths, paints, dyes, food and beverage. We also are now doing fermentation with our Systems business as well. We have gone into new industry segments with heavy engineering. We have oil and gas, petrochemicals etc. So, there is a wide range of industries that we are targeting. But generally, the weakness in chemicals has accounted for a large slowdown in the glass lined business, which is obviously impacting both volume and margin in the glass lined business.

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Ashish: Yes, sir. And just a follow up question, like in case of mixing not two, three quarters, but from here on, from three years from now, what can be the revenue split of mixing in the entire revenue structure, like from three years from now?

Tarak Patel: So, we have actually spoken that, when we bought the two companies together, and are – together with our mixing business in India, we have got \$45Mn. and we expect that to be \$100 Mn plus business in a three year time period. And that's what we are sticking with.

Ashish: And sir, one more thing, there are some plans to go in the nuclear space as well, energy, nuclear space, reactor space, or that is not on the cards presently?

Aseem Joshi: This is Aseem, I will take this. We have some capability through our heavy engineering business to address some of the non-core parts of nuclear industry which we will look at. However

, as

you probably are aware that it's a long cycle opportunity, so we will continue to monitor it, but that's not clear core part of our strategy.

Moderator: Thank you. Next question is from the line of Bhavik Shah from Emkay Ventures. Please go ahead.

Bhavik Shah: My first question is, where does the mixing business sit in terms of classification, does it sit in the Systems or services?

Manish Poddar: It's part of technology.

Bhavik Shah: Okay, it's part of technology. So, what the Systems and Services constitute first, like what do we offer there?

Tarak Patel: So, services is obvious, anything that we have, spare parts, re-glassing, or we go and visit the customer to give them any kind of help with startup, breakdown, that's all considered services business. So, these are kind of very kind of sticky businesses, high margin business, recurring business, and the international business has about 35% of the revenue coming from services but in India and China it is a bit lower. But services is anything that we have to do to make sure

that our equipment is up and running. The Systems business is obviously a kind of complete Systems that we build together which has proprietary equipment manufactured by us, but we do all the piping, automation, P&I, designing and process know how as well. So, when you put it all together into a skid mounted System or a complete plant that comes into Systems business.

Bhavik Shah: So, sir what will be, how will be the margins for Technology, Systems and Services can you give a broad range of margin, whatever our order book is based on that what's the current margin in Technology, Systems and Services?

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Aseem Joshi: So, I'll take this one and then maybe Manish can add. Look when we diversified our business obviously our benchmark has been the core glass lined business, and our strategy always has been to add businesses that are at that level or high. And so with that, you can imagine sort of technologies business over the long term should be at the glass lining level. Systems, actually we are selling an outcome to our customer. So, again, while it varies across the different applications broadly, it's in line with our Technology business and Services is healthier margins because we are there solving a customer's immediate problem, often in terms of spare parts, etc. So, Technology, Systems, sort of typical product margins and services is better.

Bhavik Shah: Okay. So, what will be your timeline for execution of our order book and the capex for the current year?

Tarak Patel: Execution of order book, most of the order book that we have, the backlog that we have will be shipped out in this calendar year, there could be some kind of spillover depending on the length. So, generally, anything that booked in the first quarter or to the second quarter, or maybe even after November gets shipped out, at least from the India business, international business, has obviously slightly longer delivery timeline. And what was the second question sorry?

Manish Poddar: On the capex front, basically we don't have any expansion capex coming up this year, and most likely nothing in the next financial year as well. The maintenance capex we have alluded to towards some like 2%, 2.5% but will be much lower than that any which ways in this year.

Moderator: Thank you. Next question is from the line of Yash Goenka from Awriga Capital Advisors LLP.

Please go ahead.

Yash Goenka: So, when I look at your employee numbers from FY 2023 to FY 2024 it has come down, but the employee cost has gone up significantly, by around 14% so can you comment on it because we were of the view that we will bring down number of employees overseas to India, but which I cannot see it in the numbers. So, a color on that?

Manish Poddar: Which two number sets are you comparing can you please repeat?

Yash Goenka

Yash Goenka: Employee count in the annual report, which was 809 in FY 2023 and 784 in FY 2024.

Manish Poddar: Right.

Yash Goenka: And when I look at employee cost, you can go ahead.

Manish Poddar: These are standalone numbers.

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Aseem Joshi: The employee count you are referring to is standalone in the annual report. And the employee cost you are referring to is consolidated.

Manish Poddar: I think yes, because if it is less than 1000, then of course these are India numbers.

Tarak Patel: So, consolidated numbers might not be the right yardstick in terms of measuring, but generally you want to comment on employee cost.

Manish Poddar: So, if you see actually, for the current quarter if you see we have actually lower number on the employee cost, and specifically in India, we can talk about that Q1 you would expect a up cycle on the count of increment, despite that, because of the some employee reduction, head count reduction, across all the functions, we have been able to manage the cost at the number lower than the Q4 closing numbers. And similarly in the international as well the numbers have been absolutely in line with the Q4 numbers, tagged lower only.

Tarak Patel: Yes, we have actually reduced head count across geographies, including India, internationally and in Europe as well. So, there is a reduction in employee and employee cost probably as well.

And if you look at the numbers carefully, you will see that.

Moderator: Thank you. Next follow up question is from the line of Sagar Shah from Spark Capital. Please go ahead.

Sagar Shah: So, just what Tarak sir said actually previously on my first question. So, can we assume that the orders that we have booked during the last six months, as far as the glass lining orders are concerned, they are of higher margins as compared to what we had seen in the last you can

say 12 months, or maybe 18 months actually. So, can we assume those are higher margin orders. So, that is the reason that we are guiding for higher margin and higher revenue growth, actually as compared to what we have achieved in this quarter?

Tarak Patel: No, I don't think that's the right way to look at it. Right now the market is still very highly competitive. Pricing is definitely under pressure. However, as a market leader, we do get premium, and we try to extract the premium as and when we can, but there is a lot of competitive intensity. Just because the volumes are not there, we all are now fighting for a much smaller bucket of orders, and hence there is definitely more competition. Having said that, there is definitely there are areas where we look to improve margin by selling and differentiating our product offering from our competitors. Either we look at export, we look at stuff that is different from our normal kind of stuff that we do, which could help in improving margin, but generally pricing in that is around the same as it was for the last nine, 12 months, until we see a significant change in volumes and investments going up, or the pricing is not going to significantly change.

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Aseem Joshi: On the margin side, some of the benefits of the cost position, improvements that we have done that should start flowing through. But on the pricing side, that has been quite clear on that.

Tarak Patel: But, however having said that, we are working hard to look internally to see where we can reduce costs all across our different functions as well. There are multiple initiatives that are ongoing, and hopefully some of these will kind of deliver and hopefully improve margin. So, the margin improvement that we talk about is really from internal work, and we hope that the market will support in terms of volume, and in terms of volume, the volumes improved and obviously pricing and margin will also improve.

e.

Sagar Shah: Okay. And my next question was related to our revenue growth, which was down almost 13% so is it related to any of the some forex impact, or is it just related to lower utilization?

Tarak Patel: There is no forex impact, Q1 of last year was a very strong quarter in terms of both order booking and in terms of shipment. So, it would not be a comparable quarter having said that, this year definitely our international has been strong in terms of execution. India has been decent. The India HE business, which is going to do quite well this year, did not have a good first quarter, and we expect HE to make up for some of the shortfall in Q2, Q3 and Q4. So, overall, we are quite confident that we can maintain or even grow over last year's revenue numbers.

Sagar Shah: Okay, sure. My last question would be that, can you state that as you had my previous participant had, you had answered to that question related to that, the mixing, the overall, the glass lining margins were related to almost our same as the System level. The technology margins are same as the glass lining level. So, what are the margins right now that you are actually enjoying at the glass lining level, mixing level, and Systems and services level. Can you at least suggest a ballpark numbers for all the segment?

Manish Poddar: We don't have product line, margins being shared in the public domain so sorry, I can't share those numbers. But broadly, like Aseem mentioned, mixing continues to be enjoying at a normal glass lining levels. So, of course glass lining margins are relatively down for past two, three quarters, as we have been observing, but apart from that, all other businesses have been doing decent.

Moderator: Thank you. Next follow up question is from the line of Ashish, who is an Individual Investor. Please go ahead.

Ashish: Just a follow question for Tarak, sir, as he said that the three year plan will be shared, sir at what point of time can we see that three year?

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Tarak Patel: So, Ashish, the plan is, it's coming along. We have had some, we have put in a lot of work over the last few months. We are now putting the final touches to the plan. I don't have a time frame, but as soon as it's ready, there's no reason for this to kind of be delayed and whole, we want to come back to the market and share the plan with you. We just need to make sure that everything that we are thinking about, everything that we want to articulate, our business strategy and our long term strategy is articulated and communicated well. So, at least in the next maybe three to six months we should have something out there for you all, if not earlier, but we spent the last maybe four or five months working on this. We have kind of aligned internally with the management team. We are now going across geographies as well and reaching out to our employees to get them kind of aligned and go into this plan as well. And it's a joint effort where everybody kind of it comes from bottom up. So, we are actually getting

numbers from every geography, from every business, every platform and every product line as well. And then obviously we are looking at opportunities into markets where we don't have a presence currently. So, are there areas where we as a company want to kind of explore, one of those areas is mixing that we have taken, is there anything else that kind of we are focused on chemical and pharma, and that's what we really need to build, and then focus on those new industries which will give us good and strong double-digit growth, plus strong margin profiles as well. And we have identified some areas where we believe we already have a strong footing, and we can even kind of use our brand, our capabilities and our customer loyalty to kind of build on that. So, a lot of stuff has to come together, but three to six months should be the

the

right time frame in terms of when you can expect some kind of communication from our side, if not earlier.

Moderator: Thank you. Next question is from the line of Srikanth KN an Individual Investor. Please go ahead.

Srikanth KN: So, I just want to know, if there is any specific impact of geopolitical situation, say in the Middle East and macro events such as the interest rate cuts that has been forecasted, say in the September rate cycle. Is there any specific impact on us because of these two events?

Tarak Patel: The geopolitical impact not so much. The only thing that we have heard is that, from some of our customers that shipping costs for some of the chemicals and stuff has increased. Now, what impact does it have to our customers, I really can't tell. But for us, there's no specific impact on geopolitical situation. We did have an impact few months, nine months, one year ago, when obviously there was a gas shortage in Germany which impacted energy cost. But, we are way ahead of that, and we manage that quite well. But otherwise, currently there are no other geopolitical issues that will impact our order intake or our business for that matter. Your second question was?

Manish Poddar: On the interest rate cycle, it only benefits us, because the international business, the debt is at SOFR linked. So, whatever interest rate, reduction happens obviously flows through in our interest cost savings.

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Moderator: Thank you. Next question is from the line of Miten Lathia from Fractal Capital Investments. Please go ahead.

Miten Lathia: Sir, earlier in the call you outlined the incremental sense that you are getting out of both the chemical and the pharma space in terms of the business outlook. Could we also get into slightly more detail and share if the kind of orders that are likely to come through would be more suited to the capabilities that we have, or it is likely to be more in the sort of standard type of order which most of our competitors also are able to supply?

Tarak Patel: In glass lined generally, if there is a large order, more often than not they would go with a company like ours, obviously because we have the capacity to cater to large volumes, when customers want to build large facilities, world class facilities, they would not really compromise on quality, and the life of the equipment is paramount when it comes to glass lined. So, hence, their kind of requirement for good quality product for glass lined and in chemical factory is quite clear. So, more often than not, we can differentiate ourselves. But again, like I said before, there is always competition maybe the customers would not buy from them, but at the end of the day, they will use their pricing to obviously negotiate. So, there is only so much that we can do, but generally the kind of orders that come from pharmaceutical are a little bit more sophisticated than a chemical in terms of what's required. So, maybe there's a slight preference there for GMM Pfaudler, but generally, I wouldn't say there's a significant difference in terms of what we can do versus competition. The only thing that I will point out here is our glass is obviously something that we have kind of developed over the last 50, 60, 70 years, it's a technology and a formula that has been developed over a long period of time, and maybe some of the competitors that kind of compete with us maybe don't have that level of sophistication in their technologies.

Miten Lathia: Get that, thank you. And just to sort of take that into context when we look at the financials filed by one of our competitors, who is likely to IPO, they seem to have done better over the last two, three years compared to the two listed players in the space, anything that you would like to call out in terms of the market itself, or in terms of course correction that we would have

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ad done post what has happened in the last two, three years?

Tarak Patel: I would not like to comment on somebody else's but, I know what the market is, and the two listed competitors you know what kind of numbers they have, so it's very unlikely that a third player would be significantly different than the rest of us, because he is catering to the same customers, he is dealing with the same people and the same pricing. So, obviously, everybody has their own agenda when it comes to their business outlook, I can't comment on that, but

the reality is, there is definitely a slowdown in the chemical market, which has impacted volume, and in terms impacted margins, we have been a little bit better off than most people because we have a diversified portfolio. We have two thirds of our businesses coming from the international market, which is a little bit more protected than the Indian market. And lastly, we

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have about 30% of our revenues coming from services, which is sticky and high margin. So, we are definitely in a better situation than the other companies that you might talk about. But, I really don't want to comment on anybody else's filing and stuff like that, but I would just recommend people to do their own homework and check the numbers, because most of the numbers are quite easily available, and you can check all these things in the public domain.

Moderator: Thank you. Next question is from the line of Shyam Maheshwari from Aditya Birla Mutual Fund. Please go ahead.

Shyam Maheshwari: Had a couple of questions, firstly on the systems business, this has seen quite a bit of upturn if you look at the order of inflows numbers, particularly in this quarter we got about Rs. 200 odd crores of inflows in systems versus Rs. 70 crores last year. So, is there any one off or big order that we have kind of booked in this quarter in the systems business?

Tarak Patel: Yes. So, let me give you some color on Systems business. Systems has really been a good business line for us in the last maybe two quarters. In Q4 of last year, we got about \$10 to \$12 million of a systems order in the US. We got a repeat or another US order again in the range of \$10 million, and we expect another \$10-\$15 million of more systems orders now from Europe as well. That is expected. So Systems has definitely been an area that we have done quite well. We also got another order here in India for about Rs. 23 odd crores again, a systems business from a company in Bangalore. So, yes, Systems has definitely helped us make up for some of the shortfalls that we saw in glass lining. Systems again keep in mind, it's a consolidation of many of our product line. But again, the customers gives us a Systems business because they believe that we have the capability to design and also help them with process engineering. So, hopefully, the margin profiles of a system business are little bit more than just equipment, and we expect the systems business over time to grow and again as we differentiate the technology that we have, an internal IP that we have around these processes will help us win some of these Systems business. One more point to add in Systems as many of the customers do their trials with us. So, we have test centers where we work with customers for six months, nine months, we kind of work with their process, and then you have the time. So, eventually, when they decide to go ahead with this ordering. They would then order it from us, because they have done that kind of work with us. So, Systems is definitely an area we want to continue to focus on, in India as well and maybe Aseem can jump in. We have now created a much larger organization for Systems. We have kind of brought in people who are more process oriented, maybe Aseem you want to just jump in and talk a little bit about Systems and what you are doing here for some of the

se new technologies, like green chemistry, flow, etc.

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Aseem Joshi: Yes Shyam hi. Look, Systems is an important platform for us. We have talked about it, I would like to first address the nature of the Systems business inherently is a little lumpy because the ticket sizes are bigger. And that's what you have seen in our numbers recently, these were in our pipeline. They just took a little longer to close and Tarak talked about the big orders that have come. Now, as we are continuing to focus on the Systems business, we recognize that we need to further enhance our capability to serve our customer's requirements. So, when you move from being a solely a equipment supplier to a solution provider, you need to have a much better understanding of the process. So, we have invested both in our people capability by hiring additional process experts in various domains as well as the physical capability with our test center in Karamsad, which is now fully operational, so people can actually come and do a whole range of tests in GMM, so that they get a lot more confidence in the outcome that they can get from the products and solutions that they buy from us. So, we will continue to develop this. And, in a similar fashion, I talked about India, but in a similar fashion, the international group also continue to invest in the Systems capability.

Shyam Maheshwari: Interesting, and could you just elaborate a little bit more on the kind of solutions you are providing, so I remember Acid Recovery was one such thing, which was getting captured in systems, but these recent orders, if you could give a little bit more color on to what exactly solution is this addressing?

Aseem Joshi: So, I will start first, and then maybe I will request Vince to give an explanation of what these recent orders are. So, in Systems, we are very particular that we have some domain expertise in the solutions we provide. So, we have talked about acid in the past, where the center of excellence is in Germany. We have liquid, liquid separation, sort of solutions that come out of our North American operations based on the evaporation capabilities we have there. And then we also have membrane separation systems that come out of an Italian subsidiary Hydro Air. In addition, there are a whole range of reaction systems that we do in Europe as well as in India, and actually in North America as well. Now maybe Vince, you could talk a little bit about the recent order.

Vincent Leroux: Yes. So, we got some orders in the US on the range of \$10 million in the Q1, it was in the pharma sector, medical device. But we are in different applications you will see or we will see some, we have a nice pipeline coming up for Q2, where we are in different industries, like energetics, like recovery, because we are in the recycling business of solvent recovery for example and with fermentation, so in many different sectors and industries, they need that kind of assistance, and the pipeline is quite strong at the moment, and we feel that system as a pipeline can compensate the shortfall of glass lined.

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Shyam Maheshwari: Understood, thanks Thomas. And just a follow up to this. So, does the design capability lie with us, or is it the customers and then we would just probably engineer possible solution?

Tarak Patel: No. So, in the case of what 90% of Systems we would design, the entire case for them, there are certain customers who wanted a certain way and will give you the kind of overarching design, but then you still have to do the PNIT, the piping, the instrumentation, the automation, and at the end of the day in some of the cases we also take process guarantee. So, we have to give you so much output of so much product at this kind of quality or percentage by volume or whatever it is. So, whenever we

do that, then obviously your entire margin profile changes, because you are moving up the value chain and you are giving a customer solution, and then that's where we want to be. And in most cases, I think, we have a situation where we are designing for the customers, and we have our own internal engineering team, as well as process team, who does this engineering in-house.

Moderator: Thank you. Next follow up question is from the line of Bhavik Shah from Emkay Ventures. Please go ahead.

Bhavik Shah: So, my question is, so what is our capacity in India and in the international operations. And how do we look at our capacity, what metric to use, and what will be our capacity utilization in Q1 versus Q4?

Tarak Patel: Good question. I don't think we have exact numbers, but for a manufacturing company of our size if you are at 80% utilization were pretty good. That's where we would like to be. Today, we would be around in India, maybe 55%, 60%, I would think maybe in Europe a little bit more, in the Europe and the US. China has been slow for us, so China would be a bit less. China doesn't seem to have too much expansion coming in the chemical space right now. So, China is a bit slow, but generally in India, we are probably about 55%-60% utilization. However, our heavy engineering plant is 100% utilized. So, we would be close to 90%-100% utilized there. But, that was the basic capacity is.

Bhavik Shah: So, we don't need any capacity say going ahead for next at least one or two years, if this is the understanding is correct?

Aseem Joshi: That's right. So, Manish clarified earlier, we don't anticipate any growth capex. We have no growth capex this year nor do we anticipate any significant growth capex in the near term after that.

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Tarak Patel: We could even be in a position where we could even look at, if we have let's say too much capacity in a specific platform or a product line, we can obviously use that capacity for something else as well. So, that's what we are always trying to do, to see if something else picks up can we kind of give that product line which is going faster, a little bit more realistic, which means then we have to kind of make sure that we have the right team and people to make sure that we can cater to that specific product, and we have done that already. Where we are seeing a slowdown in glass lined, we use some of the capacity there to cater to some of the

other product lines as well.

Bhavik Shah: Right sir. So, sir basically there is a possibility of say capacity utilization improving and operating leverage playing out and so margins improving?

Manish Poddar: Yes, that's exactly what we are alluding to, Yes.

Tarak Patel: And maybe here would be a good time to also mention that we are going through a cost efficiency improvement program in our India manufacturing setup, and that's ongoing, and that started maybe a few weeks ago. And hopefully that will also see saving both in terms of cost structure, procurement, value engineering and things like that at a manufacturing level as well. And that would be a nine to twelve months project that we are planning. So, hopefully that will also help us improve capacity, but also reduce cost and improve efficiency as well.

Bhavik Shah: So, do we aspire to be at 15% in say one or two years, that's where our aspirations are?

Tarak Patel: Sorry, what was the question again, I missed that sorry.

Bhavik Shah: Our margin aspirations are let's say 15% in coming 1-2 years, if the capacity utilization picks up, where do we aspire to be?

Manish Poddar: Capacity utilization should lead to something 2%-3% addition to the bottom line, that is something that we should be at.

Tarak Patel: So you see, you have somewhat ballpark figure and a good kind of idea in terms where we

should be. We as a management obviously feel that we should be a little bit more aggressive with targets, and like I mentioned in the next few months you will see document that comes from the company to the capital market in terms of what our strategies are. How do we de-risk our focus on chemical and pharma. How do we kind of diversify away from glass lined business. What are the new opportunities available to us, where is the growth going to come from because one of the things that we did learn from this down cycle is that obviously as a company we are focused only on an industry which obviously is very technical. So, as management, we do believe to put the company in a much better standing, much more comfortable situation, we would like the company to have a much wider industry range that it can cater to and that's GMM Pfaudler Limited
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what we are really working on and some of the other industries that we are looking at that are growing much faster than chemical pharma as well. So, all these things we are working on. We have to get through this tough period of one year, which I think we will. We are already in a good situation, order backlog looks good, order intake is a bit better than before. Glass lined a bit slow, but we all know what needs to be done. We are working internally, like I said and obviously you won't see a lot of crazy numbers from us for the next few quarters, but then we do expect, in a year or two years from now you will see a company that is much more, I would say, stable in terms of revenue and profitability and that's the idea what we are trying to do.

Moderator: Thank you. Next follow up question is from the line of Sagar Shah from Spark Capital. Please go ahead.

Sagar Shah: Sir, just a couple of questions. Thank you for the follow up. Just one point on debt actually, you have released a BSE notification that you have filed for an extension of pledge for one of your subsidiaries. And you have also, basically there is also modification of pledge to increase your LC facility by up to €5 million and also €40 million for avail new facility from the existing banker. So, basically, currently on the debt level, actually as we are not looking for any further capex also and as far as I know that, we are not looking for further acquisitions also. So, what is the reason behind the debt and initially we had guided for a reduction in debt, in fact in this year for around Rs. 100 crores on the long-term debt. So, any color on the debt outlook sir for this year?

Tarak Patel: Sure. So, let me give you some broad level cover. So, this is basically a refinancing, so our financing package is being rolled over. This financing package was ending in 2026 we have now rolled it up to 2028, the banks are very happy with the company's performance and hence have agreed to roll it over. Further, they have given us an additional line of €40 million for acquisitions as and when we need them. There are no current acquisitions that we have in mind, but as a company, and I need to correct you there, we do and we will look at acquisition opportunities as and when they arise, because for a company of our size and scale and the diversification that we are looking for, we will have to look at new opportunities and new industry segments, and that would only come through acquisitions. So, that is the thought process. This line will be available till August 2028 and it is part of the refinancing and the rollovers that we had inherited and that's pretty much business as usual.

Manish Poddar: So, a couple of things here just to add to what Tarak mentioned. Broadly, it ends at like August 2026. So, we have good 24 months from now, but 12 months from now, technically it will fall under a current liability. So, therefore from a qualification perspective, we need to be a bit more proactive to make sure that from

a qualification perspective, the non-current remains under the non-current bucket. So, therefore, we had to do that well in advance to make sure our balance sheets are in good shape from that perspective. The second one is one of the international bankers, out of his own issues they didn't want to have extended credit and GMM Pfaudler Limited
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we wanted to have relationships, the banking relationships starting initiating from India. So, therefore bank wherein, where we have good old relationships here in India has been nominated into this consortium so that it helps us into a better deal in future as well.

Sagar Shah: Okay. So, something FY25 the long term debt will remain stable, or will we see increase in debt in the next few months, the long term debt?

Manish Poddar: So, as I mentioned we do not have any aspirations to have growth capex in current financial year or in the upcoming next financial year as well. So, therefore, we do not need any debt for that. For the M&A part, Tarak already mentioned, so I need not repeat on that.

Tarak Patel: There is nothing lined up in the future, and I don't expect anything to close probably in this financial year, but the line that we have is already approved so tomorrow when we do find some, it's something that we can draw down at any given point in time. So, it gives us flexibility, and as a company like we mentioned obviously there is some things eventually that we might want to do, and we need to be ready for that.

Sagar Shah: Okay, sure sir. So, my last question was related to mixing. As you said, 8% of our revenues came in this quarter of mixing. So, that translates around 400 crores of revenue. So, basically, did we see a decline in revenues for even in mixing business in this particular quarter Y-o-Y, and in this year are we as compared to 42 million USD, can we see growth in the industrial mixing business even in FY 24 or will we see a decline in that business?

Manish Poddar: No, we may not have declined Y-o-Y, I will not have specific numbers there on ready with me at this point in time. But as I mentioned, long term we are looking for growth quarter-on-quarter may not exactly fall in line with that 25% growth aspiration that Tarak mentioned earlier.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to the management of GMM Pfaudler Limited for their closing comments.

Dhaval Rajput: Thank you everyone for joining us today. It was a pleasure interacting with you, and we look forward to many such interactions during the course of the year. Take care and see you soon.

Thank you.

Moderator: Thank you very much. On behalf of GMM Pfaudler Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Nov 2024

GMM/SEC/2024-25/63 November 14, 2024

To,
BSE Limited National Stock Exchange of India Limited
Scrip Code: 505255 Symbol: GMPFPAUDLR

Sub.: Earnings Call Q2 FY 25 – Transcript

Dear Sir/ Ma'am,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of earnings conference call for the quarter ended September 30, 2024 conducted on November 7, 2024 for your information and records.

The above information is also being made available on the website of the Company at www.gmmpfautler.com .

Thanking you.
Yours faithfully,

For GMM Pfautler Limited

Mittal Mehta
Company Secretary & Compliance Officer
FCS. No.: 7848

Encl.: As above

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"GMM Pfautler Limited Q2 & H1-FY25 Earnings
Conference Call"

NOVEMBER 07, 2024

MANAGEMENT :

- MR. TARAK PATEL – MANAGING DIRECTOR, GMM PFAUDLER LIMITED
- MR. THOMAS KEHL – CHIEF EXECUTIVE OFFICER (INTERNATIONAL BUSINESS), GMM PFAUDLER LIMITED
- MR. ASEEM JOSHI - CHIEF EXECUTIVE OFFICER (INDIA BUSINESS), GMM PFAUDLER LIMITED
- MR. ALEXANDER PÖMPNER – CHIEF FINANCIAL OFFICER (INTERNATIONAL BUSINESS), GMM PFAUDLER LIMITED
- MR. MANISH PODDAR – CHIEF FINANCIAL OFFICER (INDIA BUSINESS), GMM PFAUDLER LIMITED
- MR. DHAVAL RAJPUT – GENERAL MANAGER FINANCE & ACCOUNTS , GMM PFAUDLER LIMITED
- MRS. MITTAL MEHTA – COMPANY SECRETARY & COMPLIANCE OFFICER

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Moderator: Ladies and gentlemen, good day and welcome to Q2 & H1 FY25 Conference Call of GMM Pfautler Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Dhaval Rajput. Thank you, and over to you sir.

Dhaval Rajput: Thank you, Neha. Good evening ladies and gentlemen, a very warm welcome to all of you into the Q2 FY25 Earnings Call of GMM Pfaudler Limited. The earnings presentation was uploaded on the Stock Exchanges today and is also available on our website. Hope all of you had a chance to go through it.

From the management we have with us our Managing Director – Mr. Tarak Patel, our CEO of International Business – Mr. Thomas Kehl, our CEO of India business – Mr. Aseem Joshi, our CFO of International Business – Mr. Alexander Poempner, our CFO of India Business – Mr. Manish Poddar, and our Compliance Officer – Ms. Mittal Mehta. We will give you a brief overview of the performance of the company, after which we will get into the Q&A.

Before we begin with the overview, a brief disclaimer. The presentation that was uploaded on the Stock Exchanges and also available on our website including our call discussions that will happen now contains or may have certain forward-looking statements regarding our business prospects and profitability which are subject to several risks and uncertainties. The actual results could materially differ from those in such forward-looking statements. I would now hand over the call to Mr. Manish Poddar to provide an overview of the performance. Over to you, Manish.

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Manish Poddar: Thank you Dhaval. Good evening all, sharing with you some insights on the quarterly performance. On the consolidated basis, we recorded a revenue of ■ 805 crores within an EBITDA margin of 11.6% for Q2 of FY25. Our order intake stands at ■ 762 crores for the quarter, and backlog stands at ■ 1,773 crores. On a standalone basis, we have had a revenue of ■ 208 crores with an EBITDA margin of 10.8%. While the P&L is more steady and stable, we would like to highlight a few points on the balance sheet and the cash flow front. As you know, our backlog is at ■ 1,773 crores as of 30 September, versus ■ 1,689 crores as on 31st March, marginally high. While our H2 revenue at ■ 1,591 crores is marginally lower than the half yearly average of FY24 which clocked the revenue for the full year at ■ 3,446 crores.

Now a healthier backlog with a muted revenue direct towards a higher shipment in the upcoming quarter. This is also visible in our balance sheet as follows: when we compare 30th September versus 31st March balance sheet, we observe our unbilled revenue and inventory have gone up by ■ 28 and ■ 32 crores respectively. This highlights higher activity at the production floor. As a corollary, our customer advance receipts are also up by ■ 30 crores. On the other hand, our receivables are down by ■ 21 crores due to correction focus, which directs us to the cash flow statement. We have been steadily improving our cash flows. We have been steadily improving the FCF as a percentage to the business cash generation over past three years, however, you would have observed, for past three years, our H1 performance for the year has generally been lower on the FCF generation perspective. This year we have been able to generate 50% FCF as per slide #8 of the investor deck. We expect to remain on a healthier cash flow generation side for H2 as well. With th

at, we can open the call for the Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Sagar Shah from Spark Capital. Please go ahead.

Sagar Shah: I have couple of questions. So my first question was that sequentially we experienced a 3% growth in this quarter, but even though margins were steady but going ahead we guided for almost very healthier margins for this entire year 13% to 15%. So my first question was on the revenue front, that how are things shaping up at least on the global level right now, because we saw 3% sequential growth and going forward, H2 has always been the strongest for GMM Pfaudler so, the kind of order intake that we have seen in this Q1 and Q2 and the kind of order backlog of around ■ 1,773 crores of going ahead, can we expect a better H2, better sequential growth in the H2 and if yes, then it will be led by which segments amongst the technologies?

Tarak Patel: So, a couple of points that you brought up are very important. So, on a half yearly basis our order intake has improved by about 18%- 20%. That means we definitely have a strong few quarters of order intake which is definitely a good thing, and that's why we believe that the second half of the year can be a little bit stronger in terms of both revenue and margins. We have obviously, businesses that have a much stronger backlog especially businesses in India, like the HE business, has a backlog which probably will take us into Q2 or Q3 of next year. We

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have strong backlogs in mixing, we have strong backlogs obviously in some of the other non-glass lined technologies, where we have seen a shortfall and where we do see a little bit more stress in the glass lined business, especially when it comes to the chemical. And when I say chemical, mainly the agrochemical sector where the investments have really dried up and it does mean that there is probably a few more quarters of, I would say muted investment, I don't see that turning around very quickly. We have spoken to a lot of our clients, customers, a lot of experts, industry experts as well, where we do believe that chemicals will turn but, I don't think it's going to happen very soon. So we do need some time here, what's important for us is that while we are at the bottom of the cycle, we work on internal kind of cost optimization, we have done a lot of good work around that. We currently have a major project going on here in India. We have taken some actions internationally as well to reduce cost, so we are looking internally, and hopefully when the market turns we will be able to drive some of the growth and improvement in both the revenue and margin. Having said that, it's also important to keep in mind that, while we are being aggressive in the market to bring in orders, there is obviously going to be some pricing pressure as well. However, having said that being the market leader we are able to still get a little bit of premium over the competitors. So all in all, the numbers are stable, we expect these numbers to remain stable as well for the next few quarters. But we do believe the second half of the year will be a bit stronger than the first half.

Sagar Shah: Okay. In entire revenue mix, what percentage of technologies is particularly industrial mixing for H1 FY25?

Tarak Patel: The mixing number for H1 25, I don't think we have it on, the breakup has been, there is some breakup given we will check that number and come back to you. But in technology, if you want to kind of understand what's happened in technology, you will find that the glass lined business obviously has seen a bit of a slowdown, while the other product lines are making up for the shortfall. So Mixing, Heavy Engineering, Edlon, these are the three areas which have seen significant growth in order intake, and they are doing quite well. 10% i

s the number that we

have currently in terms of mixing. And mixing is an area where we want to grow. So there is a big push for us to kind of get into new industry segments, mixing opens up petrochemical, oil and gas, food and beverage, lots of other new industries which are not currently under in a down cycle. So the focus is to really try to maximize order intake and opportunities from these sectors.

Sagar Shah: Okay. So basically, around 10% of the total revenues has come from mixing?

Tarak Patel: Yes, approximately yes.

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Sagar Shah: Okay, sure. My second question was related to your non glass lining technologies. Non glass lining technologies, as you said your subsidiaries Edlon, Mavag have been doing very well. So, do you see at least in this year also these subsidiaries doing well. And can you specify what kind of growth rates can we expect among these businesses and which of the ones do you think will stand out either it will be Edlon or Mavag, or it will be Normag or Heavy Engineering?

Tarak Patel: So, the few areas that will stand out where we will see double digit growth, Mixing is definitely one of these areas where we believe there are opportunities. The HE business will grow also at double digit rate. It's profitable, we have a good backlog there, we won some large orders, and we have a lot of opportunities open that we expect to finalize in the coming months. So that gives us a lot of visibility. Edlon business has done increasingly well, they obviously like to know cater to the semiconductor industry. So they have booked out for the year. We have actually kind of relighted a little bit of capex for them to increase capacity, because the market is moving and the semiconductor space in the US is doing quite well. So Edlon is doing quite well. In terms of the glass lined business, the Italian glass lined business is doing extremely well. They are, ahead of their budget, US and China remain a little bit soft. China is definitely seeing some kind of slowdown in terms of new investment. And in India, we have seen the glass lined business actually pick up in the pharmaceutical sector, in the last couple of months, we have seen some large projects in pharma, and there is definitely more talk now in the pharma space for new investment coming in, so that should drive some more glass lined order intake as well.

Sagar Shah: Okay, sure. So just my last follow up question that, due to the revenue pickup that we will see in the H2 supporting by these businesses, so sequentially also in H2 you will see better margins, or if you can guide us that what are the margins that you are targeting for this year. And my last question was, post this year in the next two years, as you just highlighted in the initial commentary that we are few quarters away before we see pick up in the investments. So at least on FY26 and FY27 can we expect a better environment than the current year or still times are so uncertain that we cannot guide for that?

Tarak Patel: The chemical cycle will turn, it always happened, it's always been cyclical. This is not something

that's new. A couple of years, we have already been in a down cycle, we probably expect a few more quarters, but definitely there will be a turning point, a couple of things will happen, one is that, while we are in this down cycle, and we have already done a lot of work to make sure that one, we have diversification, so we don't only focus on chemical and pharma. So over the last few years, we have really started entering new industry segments, and a lot of these new industry segments are giving us or making up for the shortfall that has been caused by the slowdown in the chemical sector. So that's been a really good learning for management and for us, and as we look to the future, we do believe that diversification is going to be the pillar of our strategy, to say that listen, tom

orrow we don't want to have all our eggs in one basket,
even though chemical and pharma is a big industry segment for us, we need to find new areas
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where we can grow faster and where we can grow margins as well. From our outlook here, again I mentioned today that it is muted. This year, we expect to be flattish, we are in the peak of a down cycle so it is tough out there, all we can do as management is continue to be aggressive in the market, and the same time look internally to reduce cost. We have done and we are in the middle of a major EBITDA improvement kind of project that we are working on India, we have look at now starting our Poland operations as well. The first order of equipment has been made in Poland already. So we expect that some of these initiatives eventually will help us reduce cost. And then, if the market turns like you said in 2026 or 2027 we definitely will have a lot of legs to grow both revenue and margin.

Moderator: Thank you. The next question is from the line of Ganeshram from Unifi Capital. Please go ahead. Ganeshram: So, just to start with the International segment as we were discussing, could you give us a sense of what's happening in the major geography that you are present because we are just looking at half yearly revenues, first half 24-25 and there's a bit of a decline in the revenues there. And also, we look at the backlog on a quarterly basis there is a bit of a decline happening over there. So, if you could just tell us in the major geographies and the product lines that you are working in, what's happening because we have the India piece together now, and with the International piece, trying to get a sense of where we could go from here. And do you think this is the bottom of this cycle that you are experiencing, that's just the first question.

Tarak Patel: Good question. So, a lot of it is maybe crystal ball reading, but maybe I can ask Thomas to jump in. The question was Thomas on the different geographies, maybe you can talk for the US, Europe and maybe China, three major geographies and give them an idea in terms of what are you guys seeing and, when do we expect those markets to kind of start firing a little bit.

Thomas Kehl: Yes, happy to do so. Thank you. Start off with the Americas. In America, we do see consumption, we see projects coming in, we have quite a few quotations, the time of when a quotation becomes an order has been slowed down a little bit. This means that the market is somewhat hesitating, the capacities that were created over the last three years after the pandemic, kind of sufficient. And since the supply chain, and the chemicals and pharmaceutical industry in America, in Europe, but also in Asia, have been disturbed for quite a while. There was an activity going on that the inventories have to be backfilled, and a lot of companies have their inventory is not yet worked off what they do now, therefore they are slowing down their productions and the need for new projects. In total, pharmaceutical and chemical industries are still consuming, and there is still growth of the consumption over the years, and the capacity that seems to be a little bit on the high side right now is going to be exhaust over the next couple of quarters, and then the cycle will be over and turn into a positive and that would be true for all three major regions.

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Ganeshram: What gives you confidence, just continuing on that line of thought typically we see there is cyclicity, but what is sort of the sense that you look out for management to say, okay fine, this might just be the bottom, are you seeing it in terms of inquiries or how do you sort of decide that this is when the cycle is bottomed out and it's starting to inflect and you prepare accordingly for that, because you have kept your cost quite under control, but as that

optimism

starts to return, you will have to adapt to that as well. So just trying to get your perspective on that?

Tarak Patel: Yes, again a good question. I don't think we can time the cycle perfectly, there will be a bit of lag between when things change and when we will see results, because the first, people that the cycle should turn is our clients, and then they should get back into the mindset of

investment. So for chemical companies, for agro chemical companies, that mindset maybe is a few quarters away, right now people who have invested will still try and sweat their assets before new investments go in, and then they would need, visibility in terms of their client asking for more product. So once that kind of gets built into the system, then that excitement, that interest level will start increasing. We will start seeing it maybe a few months later, when the project gets sanctioned, and then obviously the opportunities will be sent to us in terms of how much investment and capex will come in for these. In the meantime, obviously I am saying that even though agrochemical might be a bit slow, there's still opportunities in chemicals, in pharma which has been positive, it is much better today than it was maybe six months, nine months ago. Especially here in India, we have seen pharma obviously be a little bit more active, which is good. But generally, there will be a lag between when the cycle turns for the chemical, agrochemical players, and then obviously a few months later for us, when the interest levels and inquiries will start improving.

Ganeshram: Understood sir. And the second question I would love to put this on and join back the queue, is given the context that we are in right now and looking at the guidance in Q1, that would imply we need to make about ₹ 3,600 crores in top line, even at the lower end, 5% top line growth and the 13.5% margins is about ₹ 290 crores, which means this, if I compare the first half and second half last year to this year, we need to grow by about 10% and on a sequential 30% top line. So do you still feel confident with that guidance or do you think, given how things are at the moment we need to probably take it down our expectations a bit?

Tarak Patel: So, the guidance was flattish guidance. So we said at the top line level, maybe 3% - 4% we are in kind of, we are okay on that, margins obviously there will be some margin made up in Q3 and Q4 but, obviously margins are under a bit of pressure. We hope to be at a similar level like last year, but probably there will be some amount of margin that will still have to be made.

Let's hope that the next couple of quarters we are able to kind of improve margin, maybe Manish, you want to add something.

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Manish Poddar: So, if you recall Ganesh. So, if you break the previous financial year into H1 and H2, out of the ₹ 477 crores of EBITDA we did ₹ 270 crores or ₹ 272 crores in H1 and we did ₹ 205 crores in H2.

So it was a sharp drop from H1 versus H2 and we have been continued in maintaining that almost the same number, similar numbers in the current half of the financial year. Now the challenge is, how well are we able to recoup the lost ground in H1, versus H2 last year into the second half of this year. So that is the something that we are absolutely seriously trying to get to that. The question is, how much can we recover?

Moderator: Thank you. The next question is from the line of Rushabh from Equirus PMS. Please go ahead.

Rushabh: Just wanted to know your sense on when you say that the chemical cycle will turn around. So what are the tangible quantitative parameters that you keep tracking. So, when I say that I want some quantitative parameters that you keep tracking when you say that the cycle will turn around.

Aseem Joshi: Okay. So, I will talk about how we look at the market. Not sure if I can give you tangible, specific quanti

tative parameters, but a lot of this is subjective. If you recognize that market, there is a lot of sentiment also attached to that. So we look at first of all the announcements that we hear from our customers, we look at, we of course are in the market every day so we are talking to a lot of decision makers in these companies. That's our first indicator of their plans and usually we get a sense of what's happening in the next three to six months. The second, of course there is a lot of databases that are available and I talk about pricing of various commodities, and that's also an indicator, as prices start to shore up, people start looking at more, they are more willing to put in capital. And of course, the third aspect also is sort of the margin profile of our customers, because as they start shoring up their confidence in putting more capital goes up. So, trading fairly obvious thing, so that are the three areas that we look at to assess how these markets are going to evolve. So based on that assessment, Tarak talked about agrochemicals being slow, that certainly is the case, and we anticipate that will remain the case for a couple more quarters at least. We will continue to monitor and then take action accordingly. In the meantime, just to reiterate, we are very heavily focused on ensuring that our cost position is appropriate for the market facility, and that I expect will start helping us from a marginal perspective.

Rushabh: Right, that's quite clear. Just a follow up on what you said, so you said about three things. One is announcements of the customers, one is the databases where you keep tracking the pricing of commodity, and one is about the margins. So, let's say from 10 customers so where are we actually seeing that the margins are coming back, or the announcements for the new capex that they are doing that is seeing some uptrend?

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Tarak Patel: Pharma is the only place we are seeing capex in a big way, there is a lot of investment happening in and around Hyderabad now, large projects, peptides, things like that. So pharma, and because of pricing pressure easing off in the US, pharma has been a little bit back on investment. So, API, bulk drug pharma is probably looking a bit stronger than they did maybe a year ago. And for us also, like I said before, that chemical and pharma is obviously, or was let's say maybe three, four years ago maybe 90% of our total revenue was coming, but over the last three, four years, we have diversified and brought that down to maybe 60%, where a lot of our non, where most of our growth and some of the shortfall has been made up is coming from new industries that we have started catering to. So it's important for us to continue on this journey, both from a product as well as an industry diversification, because at the end of the day, there will be cycles, some cycles will happen. So we just need to make sure that management that eventually when one or two industries are slowing down, something else makes up for the shortfall. So that's an important part of our strategy going forward. And this would also lead into M&A and stuff and looking at new industries which can give us three, four years of continuous growth, double digit growth with good margins. So that's something that we are thinking about.

Moderator: Thank you. The next question is from the line of Rohit Ohri from Progressive Shares PMS. Please go ahead.

Rohit Ohri: Couple of questions from my side. The first one being, do we have some sort of an index, or do we track a brand affinity as well as cross selling. And if we do so, then can you share the numbers which were probably last same time?

Tarak Patel: So, brand affinity, I am not sure, but good question. We have been cross selling and the numbers that we have kind of built into our models and our plans, where every salesperson will have some targets for cross

selling, and they will get incentivized on cross selling. So that's already kind of something that we work on quite well, but it's important that cross selling really happens within a specific industry. We don't go cross selling across industries, but within the chemical pharma, why can't we sell the same customers buying a glass lined, a filter dryer, a mechanical steel, acid recovery plant. So there are definitely opportunities there. Are we 100% kind of great and fantastic at cross selling probably not, there's a lot of work to be done, but it's something that's part of our strategy, and we do spend a lot of time trying to grow the cross selling aspect of our business.

Aseem Joshi: One quick point, as far as your first part of your question around brand affinity goes. We do not currently measure it quantitatively; we have considered using a measure like NPS as a possible way to look at it. We haven't gone down that path, but what we do have is regular feedback from customer on what's going on, and that fairly gives us the indication of loyalty, and we feel comfortable that we are in a good position on that, especially in the Pfaudler glass lined brand.

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Rohit Ohri: Okay. Tarak you did mention about pharma been picking up, and then there are some schemes which are coming up in India for some 50 new plants coming up over the next two, three years with PLI. My question was, can you share the behavioral changes of some of your clients, if at all, some sort of discussions that are happening or are there some new engagements or commitments since on the international level also we are almost near the year ending so they must be trying to create their own budgets for the next year. So any sort of discussions or behavioral changes that you have recently noticed from these guys?

Tarak Patel: A couple of things, one is that the need for more sophisticated equipment is definitely now something that people ask for, it's now because you are now getting into much higher value production, better production, better quality is required. So, that is something that people are more aware of now, can I reduce my batch times, can I reduce my cost, if I can make a product in, if I can try something in a 15 hours, instead of 25 hours immediately I have more capacity. So people are looking at a way to improve and become more efficient, and that obviously is something that helps us. There's also more critical products, so the quality of the product becomes more-and-more important especially when you are exporting, and that's why they need more sophisticated equipment. We also see a lot of work around these weight loss drugs. So Novo Nordisk and things like that, that is driving a lot of ancillary industries as well. And some of these drugs will go off patent in 2026, 2027 and we accept that also to probably fuel some growth. CDMO business is growing quite well in India, and then, like I said peptide is becoming really huge across the globe. So we see a lot of investment in peptide, some of it will

happen in India it's a tough process, it's been done mainly in the US and Europe right now, but India could become a kind of a hub for peptide manufacturing as well. So pharma generally is looking quite positive, and the need for highly sophisticated equipment is growing in pharma, that's where we play. We have had specific instances where we won large orders with Interseal we have had German specifications in terms of last time we also supplied in India, because the end product or the end, the customer was German, and he was kind of the defining what equipment was to be used. And he was using Pfaudler equipment in Germany and hence the Indian manufacturer had to use also GMM Pfaudler equipment. So that's happening and in the non-glass lined technology, there is where people are really starting to think creatively, systems businesses we have got some la

rge orders and systems over the last few quarters, close to \$30, \$40Mn or \$25Mn which is more process driven. So, how do we help improve the customers processes and make their life simpler, that's where we will also play an important role.
Rohit Ohri: Is this a part of the Living Lab initiative from UK de-carbonization for the pharma. Are you playing a role over there as well?
Tarak Patel: Sorry, what was that, living?
Rohit Ohri: Living Labs.
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Tarak Patel: No. So I am not sure what that is. No.
Rohit Ohri: One last question before I fall back in the queue. Any developments that you would like to share in terms of the F&D, filtration and drying businesses, maybe with the light and medium duty top entry and your recent association which you did allude a bit about the peptides recently, but your recent association with Gravner, which opens door to quite a lot of business related fermentation. If you could share some details on that?
Aseem Joshi: Sorry, could you repeat the last question. A recent association with who?
Tarak Patel: That was a wine story from the wine producing thing.
Rohit Ohri: Yes.
Tarak Patel: So we will talk a little bit about that. But, go ahead.
Aseem Joshi: Okay. So as far as filtration and drying is concerned, I can talk about a couple of areas. Our strategy here has been to differentiate by focusing on more value added products or more sophisticated products. Happy to say that it's working out quite well along the lines that we had expected. So, we have launched three new products in the last two years and those are getting good traction in the Indian market. In fact, Vertical conical dryer which is the first one to be launched is also looked at by European customers with two being sold there already. We will continue our innovation journey in filtration as well, we think that is the right way for us to grow. There is, of course, the low end of the market there which is served by others. There, is the low margin somewhat commoditized space, which would have been there for the most part. The other aspect of filtration and drying, I will talk about is our expansion in the US market, which was hitherto unserved. We had pointed this out as a part of our strategic initiatives a couple of years back, and we transferred the senior executive there to drive that business. We are happy to share that, that business is now well set, we have about \$4-\$5 million of annual revenue that we already expect from that market and will continue to grow there. We have also built up our team in the US to serve that market, both from sales as well as from operations perspective, and so it's a good new stream of revenue and margin for us from the US. As far as Gravner is concerned, which is the Italian win recently I will invite Thomas to share.

Thomas Kehl: Thank you Aseem. The Company Gravner is the winery that is quite old in the North of Italy, their wine philosophy is that they let their wine age 15-20 years before they even put it out to sell. And aging the wine in wooden barrels or other media is somewhat risky if you do it for 15-20 years. So they were looking for storage tanks that gives them the cleanliness and the no influences from outside from any wood or anything, to let their wine age for 15-20 years before they fill it up into bottles and sell it. And they have looked at a couple of technologies and found GMM Pfaudler Limited
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that the glass lined steel tank is the perfect fit for them, and they have ordered a couple of tanks that will be delivered in a couple of weeks, the first batch and the second batch in the end of first quarter. And we see this is a good opportunity to take our existing technologies and branch into new applications that we haven't seen before on this.
Moderator: Thank you. The next question is from the line of Ravi Mehta from Deep

Financial. Please go ahead.

Ravi Mehta: Just a question on the pricing. So when you said that, we are at the peak of the down cycle. Just wanted to understand how pricing has been in earlier down cycles vis-à-vis where it is now, is it more bad. Some anecdotal thumb rule?

Tarak Patel: Glass line has been, an area of concern definitely. We have seen prices now stabilize a little bit, and hopefully we can kind of reverse the trend and start kind of increasing prices slowly. It's always tough to increase price once you have already given the discount because, most customers will have history and data available to say, last order was written so why are you asking so. So we will definitely try, what we do try to do is obviously try and differentiate and say, okay if we are going to give something that's more, better or technology that somebody else doesn't have, then we can charge definitely a much higher price. But, in general case in glass lined, the pricing has taken a hit. However, now we have come to a point where it has stabilized, and I do see it probably improving over the next few quarters, a little bit.

Ravi Mehta: Maybe, just to understand in rough numbers say suppose a normalized pricing is 100, and during down cycles the prices hit 75 just an example. So is the current down cycle, seeing a price like 70, 65 like just.

Tarak Patel: So. I would say the discount levels have increased by about 10%-15% little bit more in some cases, it would probably been a little bit more than that but now we are at about a 10%-15%.

Ravi Mehta: Okay. And one more question was on the order intake, so we had seen a good sequential uptake for last couple of quarters, and this quarter, the order intake was kind of lower on a sequential basis. So has there some slippage happened, closing of an ordered didn't take place or anything which you would like to highlight?

Tarak Patel: No, so generally we were pretty happy with the order intake obviously there are things that get pushed out by a few weeks here and there, but there are large opportunities that we expect to finalize big ones, and we expect them to kind of maybe come in Q3. But no, generally it's in-line with our expectations. Maybe one or two orders got pushed out, but generally we were able to close the majority of the orders that we had targeted.

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Ravi Mehta: And any color on the mix of order intake vis-à-vis last couple of quarters, because I thought the non-GLE was adding a lot to the order intake and order book. So just some color around that?

Tarak Patel: It is definitely in India, GL order intake has actually improved this quarter significantly. So we have booked good glass lined orders which obviously means that for the next half of the year we will have a pretty strong backlog. The non-glass lined order intake especially heavy engineering, Mixing, Edlon have done exceedingly well. They have more than a year of backlog, I would think in most cases. So those are the areas definitely where some of the shortfall has been made up. So we expect that the HE business will grow double digit this year as well. They are completely full up, and we are now also trying to extend and see if there's any more kind of opportunities in that space that we can kind of work on.

Moderator: Thank you. The next follow up question is from the line of Sagar Shah from Spark Capital. Please go ahead.

Sagar Shah: My first question was related to the India business. Just a follow up from the earlier participants question. So, in this year also mean the growth that we are anticipating would be largely domestic based, as we just highlighted, the heavy engineering business will grow in double digits. The glass lining business is showing traction. So, as far as India business is concerned. So the contribution, can we see at least higher margins going forward in H2 as compared to we have clocked around

and 11.5% bill in this H1. So as a domestic business shows traction and the domestic business is a margin accretive business for GMM as far as you have guided before. So, can we expect higher margins in H2 because of the domestic business coming up and secondly, the next two years, what I wanted to ask, as far as the global business is concerned, you were about to hire an international mixing business head also. So going ahead, I wanted some sort of a more granular outlook on industrial mixing business, how do you perceive now when the actually the global economy recovers, when the likes of US, China actually, if they recover in FY26 and 27 so how do we see that business growing, because as far as your numbers say, it's not growing right now, but I wanted the outlook going there, so these are my two final questions.

Aseem Joshi: Okay, so I will take the domestic question. So, we have indicated that this is going to be a flattish year, and that's how we anticipate, we continue to anticipate this year will be. As far as the breakup is concerned, glass lined because it serves the agrochemical and Spec Chem and pharma industry it has been slow, we are happy to see a reasonably good order intake last quarter in glass lined. But of course, there is still some more time to go before this business returns to sort of a strong performance we saw a couple of years ago. That gap has been made up by a non-glass lined business and that was part of our strategy. The Equilloy i.e. Heavy

engineering business is growing double digit, as well as good growth in some of our other non-glass lined businesses like filtration, drying, mixing and as well as our systems business. So overall the net effect of this is a flattish year as far as margins are concerned, we focused on

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our costs and those will help us improve to some extent, but it will be a while before we return to the 17%- 18% numbers that we were performing a couple of years back. We are well on our way and as we mentioned, we have taken on a big EBITDA improvement project in India, and that should pay off for us next year. And as far as the global mixing is concerned, perhaps Thomas, would you like.

Tarak Patel: I will just maybe add something here on the mixing, so you are right we have hired a head of mixing who has been now with us for nearly six months. Last week, we had the entire mixing group from across geographies, the Canadians, the Indians and the French sitting in the room, 26 of them defining their strategy and building their plan for the next three years in terms of both their go to market strategy, their projections as well as the investments that are required. That's something that we will be discussing in the next few weeks and we should be able to have a clear idea in terms of growth, areas, geographies, industries that we will be catering to. And maybe during the next investor call and earnings presentation we can include maybe some kind of color or a slide on the mixing. So bear with us for a few more months and we will come back to you on that.

Moderator: Thank you. The next follow up question is from the line of Ganeshram from Unifi Capital. Please go ahead.

Ganeshram: A few questions on the near term and few on the longer term from here. So just on the near term, when we talk about the competitive pressures that you are facing, can you tell us, how does this sort of shape in the conversations you have with clients, because these are products, their safety and quality matters, so why is there a pricing pressure and what is our wallet share typically in our customers and are we seeing any protection or erosion in that sense, because of this competitive pressure, that's just the first part of it, please.

Tarak Patel: So, at the end of the day, the glass lined business, obviously there is technology, there is always glass lining is something that can kind of break

off or chip off very easily. So life of equipment becomes very, very important. Removing these large reactors from chemical plants is not so easy for repair or to send back to the vendors, so, that's a hassle as well, so quality is definitely important, but you do must keep in mind that Indian clients, or generally clients around the world, will usually have procurement departments who have the ability to get maybe multiple quotations, so there will always be competition. The internal view might be that, GMM Pfaudler is the preferred vendor, but there cannot be a very large price gap, they cannot be at 100 and somebody else is going to be at 75 or 50, the gap should be a little bit smaller. And, so that's something that is part and parcel of the Indian market, generally the global glass line market as well. So there's always going to be competitive pressure, but there are customers who clearly have defined that when it comes to glass lined, they will buy it from us because they have used it and they have seen the quality difference between us and the other vendors. In some other cases, for not so large customers, not so sophisticated customers, people might

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try other equipment one off, there could be somebody comes in and buy something, but they would realize after a few years that, yes, the equipment did not work as well, or did not have the same life as maybe a GMM Pfaudler. So then it takes a couple of years, but then those customers will come back to us. But pricing is important, and you know the mindset people want to save money today, but they don't really look at the total cost, because there is cost of service, there is a cost of replacement, there is a cost of removal. So, it's a little bit of short sightedness, but at the end of the day, we clearly communicate to our customers that if you buy our equipment, you are definitely getting a longer life versus a competitor's equipment. How much do they want to pay for it, that's something that keeps changing, and it changes between customer industry and regions as well. But that's normal, competitive landscape across most industries where there will always be a number two and a number three, and you can't be completely off. Unfortunately, we are not in a business like Nvidia is, and we can charge because we are the only suppliers, but there are other suppliers, and unfortunately there is competition and we have to deal with it. We have to get better in terms of convincing the customer that our equipment is better and why they should pay a little bit more for it, that is more important for us.

Ganeshram: Understood. That's very helpful. So internally if you have an internal estimate as to how much

your market share and wallet share has evolved over the last few years?

Tarak Patel: So, the wallet share in our key accounts has definitely grown. We are also currently working on rebooted key account management process where we will kind of have multiple touch points, but our key customers continue to buy, we continue to discuss, we talk about process, technology, all that kind of stuff so, wallet share in our key customers is growing. And like I spoke about earlier, cross selling has become an important part, because we have multiple products that go into the same customer, the same industry which obviously means that when a customer is sitting with one of our sales people, he should be spoken to about all our products, and not only one. So the idea to grow wallet share is a key strategy that we have had, and I am sure that over the last maybe five, six years if you look at our wallet share in a key customer account, it would have grown significantly.

Ganeshram: Understood, from where we are right now, are there any pockets that concern you, or where you think any incremental risk could build up, and then on the existing order book that we have, what's the timeline for execution, a ballpark timeline?

Tarak Patel: I would say that, we are in a situation where obviously it's tough out there, we are confident that the strategies and the work that we are putting in now will have a positive impact at a point when the market also turns. In the meantime, it's important that as management we realized that we had a lot of focus, one on glass lined, if you look at our numbers maybe ten years ago or eight years ago you would see 90% of our revenue coming from glass lined. That has reduced significantly now, and again like I said industry focus, we switched from chemical GMM Pfaudler Limited
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and pharma and we are now in a much wider industry range, and that's why today we can say that we will be flat, even though there's been a big slowdown in glass lined and in chemical and pharma, because these other industries are making up for the shortfall. At the bottom of the cycle, we probably are at the bottom of the cycle, how long is this bottom going to continue is probably a little bit longer, I don't see the green shoots yet, I do see some talk happening in terms of new investment coming in like I said in the pharmaceutical industry, we do see positivity, but chemical and agrochemical in particular seem to be a little bit more time before we see a complete turnaround, if you also, I am sure you follow a lot of the chemical and agrochemical companies, many of them are now also not clear in terms of their order intake, visibility and guidance as well. So from that perspective we are also kind of flying a little bit blind because we expect them to kind of know before it kind of translates into order for us, but we have to keep working on our internal cost structure, which we are doing and at the same time look at opportunities which are not in chemical and pharma, which we are trying to do. So, from that perspective we are kind of, I am confident that the work that has gone in will give results. Timing is obviously something that, I can't tell you exactly is it like six months, three months, nine months, that's something that obviously we will all have to take that journey. But it doesn't look like it's going to turn tomorrow. It's going to be at least a couple of quarters before we see some traction, especially in agro chem. But by then, hopefully we have also diversified and we bring in order from other sources, which is making up for some of the shortfalls.

Ganeshram: Understood and just a question on the order backlog, how long would it take us to execute this backlog?

Tarak Patel: So most of this stuff will go out this calendar year. There would be some spillover, but generally because we have capacity available today, we will definitely at least from an India perspective most of the stuff will go. Internationally there are some large projects in the systems business, which will obviously take a bit longer to execute, because that's the nature of that business. But in India, about 90% of the backlog will be shipped out this quarter, and we still have room to book more. So there's stuff that gets booked now up till maybe November, December, and that can still get shipped out this year. So there is that, and plus services. So keep in mind that services will always be on top of this, spare parts, mandate, services will be on top of this, and this comes in as last minute. So it's not something that gets built into the backlog.

Aseem Joshi: That is especially relevant for the international business, because it's a significant portion of their revenue .

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Tarak Patel: Maybe your better place to tell us about the chemical sector because one of the things that we always also kind of ask investors and analysts, what are we hearing from customers and your

investing companies, from the chemical sector, is there some light at the end of the tunnel or not and maybe you prob

ably would have a very similar view, like I did, so.

Ganeshram: We can try to connect with you offline and we can have a chat. And the last question I have and you touched upon it briefly in your last answer. The three year plan, we expecting to see in our next quarter as far as you said, how is it shaping up and how do you see the company positioned 26, 27 barred this cycle. We are diversifying as a business, getting it to different kinds of products within different geographies so, if this engine is running at full capacity, what is the potential that it could deliver, and how long do you think it's going to take us to get there, and what's being done to get us there?

Tarak Patel: So many questions in one, give us some time, we have been planning, we are working on a strategic plan. It's dynamic right now because, obviously things are changing quickly, we are also having some ideas in terms of diversification and things like that, from a numbers perspective we had built some numbers in up to 2027, we are reviewing those numbers, we have a strategy meeting that's planned early next year as well. So give us some time on this. Right now we are working the most important stuff for us today is to be aggressive in the market, to get orders in where we can, cut cost like Aseem mentioned, we are doing a transformation project here in India, like Thomas has mentioned we are looking at Poland and some kind of rationalization also internationally. So that work is ongoing, but on the numbers and the outlook, that will require some more time because it's a very dynamic situation, uncertain situation, we will need a little bit more time on that, maybe early next year is probably when we would probably have some more clarity on this.

Ganeshram: Understood. And the new management hires that you have done, I saw your press release briefly before I joined the call. So how does that sort of fit into this strategy, or is this more of an ongoing replacement?

Tarak Patel: No. So, there is definitely a new mindset, new perception that has been brought into our management team, we made a couple of important hires here in India, head of manufacturing and head of sales, the project that is being run right now has seen a lot of traction because of the new perspective that we brought in. We made some hires internationally as well. So that's ongoing, we are strengthening areas, we recently hired a process head as well. So we are, we are trying to build process as a technology that we will sell along with our equipment. So that's becoming a part of our strategy, we are also opening up an engineering, we have already opened up an engineering center here in India, where international colleagues have hired engineers as well to do work for them for the international business. So all these things are ongoing, and we expect them to kind of really help us, at least during uncertain times keep the GMM Pfaudler Limited
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cost under control, but at the same time if the market will return, the business are improving, then you will see significant and quicker improvement in terms of both revenue and margins.

Moderator: Thank you so much. The last follow up question is from the line of Rohit Ohri from Progressive Shares PMS. Please go ahead.

Rohit Ohri: So my last two questions, is there been any spillover, or is there any big order or some sort of thing that has not been shipped, and probably you see that happening in the second half?

Tarak Patel: No, not really most of the stuff that we have will be shipped out.

Manish Poddar: So, Rohit nothing something which is out of the blue and all that. So nothing concerning, it's absolutely routine business. So, you are their capital project so you would expect 15-20 days, one month here and there coming out from the customer requirements, as the case may be, because they may be needing the equipment earlier or later versus the original

plan. So that's

absolutely normal. So things are on track for that.

Rohit Ohri: Okay. So Manish, what gives us the confidence that we will probably try to reach the revenue turnover of last year. And, another thing is that, we see there is a provision for inventory in the consolidated cash flow of some ■ 13.7 crores, if you can share what exactly is that?

Manish Poddar: Sure. So the confidence that gives us on the H2 number is basically a higher backlog versus when we started the year. So from that perspective, we expect that deliveries to happen and as we see ourselves, the factories are more filled up from an action perspective, the shop floor is more filled up. So therefore, as we speak November, December, January, February, we should see that much more shipments going out. That would be in that much more realizations and cash collections and all that. So that's perfectly, it's an execution of the backlogs that comes into play. As regards the inventory provision so, it is basically a compliance of the SOP we have a very strict policy with regard to, if some product is not being used for a particular time slot, we have to make a provision, but it's a metal, so it does not really have a shelf life and all that. So as we use those metals, and specifically for those pieces coming up, most of that does

routinely come back into the P&L.

Rohit Ohri: Are they some strategic metals or something of high quality that we are making provisions for?

Manish Poddar: No, nothing like that. It's just as you buy a particular product and you left over with some inventory and get utilized over.

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Aseem Joshi: And Rohit, I just want to add touch on one point, you had asked a question about the Living Labs earlier. So, just want to add color to that. So internally, we call it as CPI NCL project, so apologies for not addressing it. Yes, we are involved in that project, NCL of India, of course National Chemical Lab, and CPI as a Center for Process Improvement from the UK. We have a collaboration with them, along with leading innovative companies from the chemical space. And the idea is to set up this lab in NCL with an emphasis on figuring out ways to decarbonize the industry. There's chemical companies, pharmaceutical companies, and amongst the equipment providers, we are the only one, because they wanted industry leaders to participate in that. So we are participating actively in that. And, as we develop new solutions of course we will bring them, the NCL will be announcing them as appropriate.

Rohit Ohri: That's great Aseem. Last question from my end, Manish if it is possible to kind of share the pyramid of the customer sizing in terms of the deals, in terms of rupees million and Tarak did mention some developments in Poland. Are you looking at consolidating some of the businesses and bringing everything in Poland, is that something that you are looking at?

Tarak Patel: Poland becomes an opportunity we already have India as a low cost sourcing hub. But we also wanted to have something in Europe, because some of the customers in Europe only accept European made equipment. So Poland is a nice option for us, like I mentioned to you, we made the first set of two equipment for Mavag our swiss subsidiary, and the FAT was actually done a couple of days ago, and the results were quite encouraging. So Poland becomes an important kind of strategic idea for us. And because it's in Eastern Europe, the cost structure there is significantly lower than Western Europe. So, it's good, plus they have young engineers, young welders, both English speaking and available. So getting people there is also not so difficult. And that area where we are focused, where we have our facility is already an area where there's a lot of multinational companies like Boeing and Aircraft manufacturing and stuff. So engineers are available quite easily, welders and the qu

ality welders there are also quite good.

So we don't have that learning curve that we did have in the past with India. So, Poland gives us an option, a very good option and Poland is a strategy that we would hope to kind of build on over the next few years.

Manish Poddar: And on your previous question, with regard to the previous part of the question, with regard to the customer mix, that would keep changing, as the capex plan, the company practically ends up changing every year for us, simply because of the capex cycle of the respective companies would have.

Tarak Patel: And this year, I would like to add that the ticket sizes for heavy engineering are very different from glass line. A glass lined project would be ■ 5-6 crores. A heavy engineering project could be ■ 60 crores or ■ 100 crores, so depends on what it is, the product mix also the size and the ticket size keeps changing. And like Manish said, if you look at the last three years, you would

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have a change in the top 10 customers, because projects and investments don't continue every year. So one guy will put it up and maybe stop for two years, so that keeps changing.

Rohit Ohri: Okay, thank you for answering my questions. The point on Poland was quite encouraging. Hopefully we get better margins going forward in next 2-3 years. Thank you for answering, thanks a lot.

Moderator: Thank you. Ladies and gentlemen, we will take this as a last question. I now hand the conference over to the management from GMM Pfaudler Limited for closing comments.

Dhaval Rajput: Thank you, Neha. Thank you everyone for joining us today. It was a pleasure interacting with you, and we look forward to many such interactions during the course of the year. Take care and see you soon.

Moderator: Thank you. On behalf of GMM Pfaudler Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2025

GMM/SEC/2024 -25/91 February 13, 2025

To,
BSE Limited National Stock Exchange of India Limited
Scrip Code: 505255 Symbol: GMPFPAUDLR

Sub.: Earnings Call Q 3 FY25 – Transcript

Dear Sir/ Ma'am,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of earnings conference call for the quarter and nine months ended December 31, 2024 conducted on February 6, 2025 for your information and records.

Kindly take the same on record .

Thanking you.

Yours faithfully,

For GMM Pfaudler Limited

Mittal Mehta
Company Secretary & Compliance Officer
FCS. No. 7848

Encl.: As above

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“GMM Pfaudler Limited Q3 & 9M-FY25 Earnings
Conference Call”

FEBRUARY 06, 2025

MANAGEMENT :

■ MR. TARAK PATEL – MANAGING DIRECTOR , GMM PFAUDLER
LIMITED

■ MR. THOMAS KEHL – CHIEF EXECUTIVE OFFICER
(INTERNATIONAL BUSINESS), GMM PFAUDLER LIMITED

■ MR. ASEEM JOSHI - CHIEF EXECUTIVE OFFICER (INDIA BUSINESS),
GMM PFAUDLER LIMITED

■ MR. ALEXANDER PÖMPNER – CHIEF FINANCIAL OFFICER
(INTERNATIONAL BUSINESS), GMM PFAUDLER LIMITED

■ MR. MANISH PODDAR – CHIEF FINANCIAL OFFICER (INDIA
BUSINESS), GMM PFAUDLER LIMITED

■ MR. DHAVAL RAJPUT – GENERAL MANAGER FINANCE &
ACCOUNTS , GMM PFAUDLER LIMITED

■ MRS . MITTAL MEHTA – COMPANY SECRETARY & COMPLIANCE
OFFICER

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Q3 FY25 Earnings Conference Call
February 06, 2025

Moderator: Ladies and gentlemen, good day and welcome to Q3 & 9M FY25 Conference Call of GMM Pfaudler Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the

conference over to Mr. Dhaval Rajput. Thank you, and over to you sir.

Dhaval Rajput: Thank you, Nirav. Good evening ladies and gentlemen, a very warm welcome to all of you in the Q3 FY25 Earnings Call of GMM Pfaudler Limited. The earnings presentation was uploaded on the Stock Exchanges today and is also available on our website. Hope all of you had a chance to go through it.

From the management we have with us our Managing Director – Mr. Tarak Patel, our CEO of International Business – Mr. Thomas Kehl, our CEO of India business – Mr. Aseem Joshi, our CFO of International Business – Mr. Alexander Poempner, our CFO of India Business – Mr. Manish Poddar, and our Compliance Officer – Ms. Mit tal Mehta. We will give you a brief overview of the performance of the company, after which we will get into the Q&A.

Before we begin with the overview, a brief disclaimer. The presentation that was uploaded on the Stock Exchanges and also on our website, including our call discussions that will happen now, contains or may have certain forward-looking statements regarding our business prospects and profitability which are subject to several risks and uncertainties. The actual results could materially differ from those in such forward-looking statements. I will now hand over the call to Mr. Tarak Patel to provide an overview of the performance. Over to you, Tarak.

Tarak Patel: Thank you Dhaval. Good evening, everybody. Let me just start with a quick recap of our financial performance. So, our revenue for this quarter was stable at about INR 801 crores, and EBITDA was up 3% compared to the previous quarter. EBITDA margins improved slightly to 12% compared to 11.6% for the previous quarter. What is happening is that our Q3 order intake was also quite strong at INR 798 crore, up 5% compared to the previous quarter. And on a nine-month basis, our order intake is up 13% compared to the previous nine months. Order backlog stands at INR 1740 crore, up 7% compared to December 31st, 2023. Our opportunity pipeline remains stable across geography, and the product mix continues to evolve.

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In terms of the general market outlook, we still believe that the chemical industry, which forms a major part of our order intake is a bit slow. This is driven mainly by the slowdown in the agrochemical industries. However, we do hear now that there is some volume that have returned, margins still remain under pressure, but the outlook remains a little bit more positive than it was six months ago. We do believe that over the next couple of quarters we would see some investment coming back in the agrochemical space.

In specialty chemicals, we do believe also that this will continue to grow and invest. We have seen good traction in this space, and we believe that this will also continue to have a good amount of investment which would then lead to investments that would turn into order intake for us.

For the pharmaceutical industry, generally it has been quite the positive, both in India and internationally we have seen some traction in South India pharma, mainly in Hyderabad, where people have added significant new capacity to cater to either CDMO or the exports markets. The future outlook, we still would like to be a little bit conservative.

We do believe that the

worst is behind us, but there is still a few more quarters before we see full turnaround in both the chemical and pharmaceutical industries that we cater to. As we look forward, one of the main learning for management over the last couple of years has been that maybe as a company we are too focused on chemicals and pharma. And, with the cyclicity that comes with these markets, diversification becomes an important part of our strategy. Diversification, not only from the point of view of new products, but also new industry segments that can bring double digit growth back to what we aspire to have.

We also have been working quite diligently on our cost structure. We have a couple of projects that we are working on here in India. Internationally also as well we have looked at rationalization of manufacturing footprint. You will see some updates in the earnings presentation where we have rationalized glass lined capacity in Europe and in India. And I will talk a little bit more about that as we go forward. With that, I would now like to hand it back to Dhaval and then Dhaval, please kind of open it up for Q&A.

Dhaval Rajput: Thank you Tarak. Nirav you may now open the line for question. Thank you.

Moderator: Thank you very much. We will now begin with the question-and-answer session. First question is from Jaiveer Shekhawat from Ambit Capital. Please go ahead.

Jaiveer Shekhawat: It's sort of heartening to see that your India business has seen an uptick in revenues and margins almost after like six quarters of consecutive decline. So, my first question is on that, what's leading to that and have you actually seen a nice pickup on the GLE side of things, or is it largely on non-GLE business, which is doing the heavy lifting?

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Aseem Joshi: So yes, we have been talking for the last couple of quarters about the slowdown in our chemical business, and which affected the core glass lined product line that we serve. Now, the reversal of the increase in backlog and increase in revenue margins has come on the back of two things. One is flattening of the decline in glass line so we have sort of stabilized and starting to grow both volumes and pricing in glass line, but also the actions we have taken to improve our cost position in our business. Furthermore, the backlog and our focus on diversification has resulted in an improved backlog in our non-glass line businesses, particularly in our mixing business which is the area of focus for us, but also in terms of heavy engineering and solid liquid separation product lines. So overall, we believe our strategy is working, and the worst is behind us, and we expect to continue to go from here.

Jaiveer Shekhawat: Sure. And could you highlight what has been the kind of decline that you have seen in this quarter versus say, last few quarters in the GLE side of things?

Aseem Joshi: No, I did not say there's a decline in GLE, I said GLE had declined in the past. It is now starting to recover, both from a volume and pricing standpoint.

Jaiveer Shekhawat: Sir, because my question is, if you see on a Y-o-Y basis, your standalone business is still down 8%, so I was just trying to see, because I am sure it must be the GLE which has been sort of struggling as compared to your other businesses, of mixing and then the other businesses as well?

Tarak Patel: Exactly, so couple of things have happened in GLE in India. One, like Aseem said, volumes have improved so last couple of quarters we have had improvement in order intake in glass line, you would have seen maybe a year ago, we had two bad quarters where business was very slow and that impacted the backlog, and then obviously Q1 and Q2 of this financial year. But having said that, our glass-lined order, the volumes have increased as well as pricing has also improved a little bit plus,

what we also have done and you must have seen is that we have now moved all production to our Gujarat facility. There was no point having two facilities running at 60%. We said let's move everything to one, and then you have better absorption of cost as well. So that's something that we will also see in the coming quarters, where our cost structure in the glass lined business is now a little bit more efficient than it was a few quarters ago.

Jaiveer Shekhawat: Sure. And on your order intake, if I see the quarterly trends on a Y-o-Y basis this quarter, there has only been a about a growth of 6% to 7% across both the India and international business versus about 18% to 20% that we saw during the first half. So, has there been moderation in your order intake because that sort of conflicts with your earlier opening commentary there or is it largely because of the GLE side which continues to struggle?

Tarak Patel: No, order intake has been pretty stable again it's not back to levels that we had maybe a couple of years ago, but from where we are and again keep in mind that we were a glass line focused

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company where most of resources and bandwidth was focused towards getting glass lined orders, and when that order dried up, we had to find new opportunities in non-glass lined and non-chemical and pharma industries to get these orders. Some of these will take a little bit longer, but we have seen good traction in heavy engineering where we made a lot of breakthrough in oil and gas, petrochemicals. We have seen a lot of improvement in mixing, where we made lot of breakthroughs in metals and minerals. In Edlon, our US business, we have seen a lot of improvement there through the semiconductor industry. So, some of the diversification strategies that we had kind of put in place are now kind of bearing fruit. And all in all, I would say that even though it might be a few crores or few points lower than previous order intake, it's still stable and it kind of adds to the backlog. But again, like you rightly said, order intake is something that we are being aggressive about to create backlog, and we are trying to create both glass lined as well as non-glass lined backlog. Now, the glass lined business would return and improve, those numbers will change quite quickly, but as of now, like I said, I still feel there is maybe a couple of quarters before we see some of the new investments, especially in agro chemicals that will come back.

Jaiveer Shekhawat: Sure. My last question is on international businesses. On a sequential basis we have seen a slight decline in revenues, and over the last year we have seen a lot of announcements, especially from chemical giants, about capacity shutdowns. So how is the situation currently, and how do we get confidence that the worst is behind us, especially for the international business which is largely dependent on Europe?

Tarak Patel: So, on international business, you obviously will see a little bit of slowdown. It will continue a little bit longer than what we expect in India. What we are trying to do is rationalize manufacturing to make sure that we take the cost out, we have certain initiatives that we believe will add a lot of value. One of those initiatives is our Poland strategy, which we have now executed the investment agreement. So we plan to move manufacturing, in fact we have

already moved, a few orders have already been manufactured in Poland, and the quality levels have been fantastic, and we expect that to kind of grow over the next two quarters, but there is a clear push for us to move manufacturing from high cost Western countries to lower cost European countries, and maybe come to India as well. We have also kind of rationalized our UK manufacturing footprint, and now we believe that having that no longer in the mix will also maybe improve efficiencies in

Germany and Italy, and we hope that the glass lined business again internationally also will improve over the next few quarters. Again, they are getting aggressive in the market, but there is a general slowdown, and we have to be aware of that. Moderator: Thank you very much. Next question is from the line of Yash Goenka, from Awriga Capital Advisors. Please go ahead.

Yash Goenka: Your standalone services revenue has shown a strong uptake. What is the impact of this uptick in the margins if you can quantify and how do you see this going forward?

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Aseem Joshi: So let me talk about services more broadly. You will recall from previous calls that growing the services business, is a priority for us in India, services are about 35%-40% of our international business, and in India we aspire to grow that from the single digit that it is currently. Now, to that end, we have made organizational changes and systematic changes within the business to improve our performance of services, and I believe that is beginning to yield results. Now, of course this will take some time, but last quarter's performance was heartening, and I expect we should only continue to grow from there.

Manish Poddar: Specific number will be difficult to aspire at this stage, but as we know, services generally has been having a much better margin versus the original equipment. So, this should help us on a sustainable basis as the mix improves towards the services the margin profile should improve.

Yash Goenka: Okay. And in your initial comments, you had commented about demand from the pharma segment in the Hyderabad region, but you have shut down the plant there. And you also said that you will throw some light about it in the call ahead. So, can you talk about it?

Aseem Joshi: Yes, let me add. So, we have a small factory in Hyderabad that we had acquired from De-Dietrich about three years ago. Now the current demand for total glass lined was such that it made sense to consolidate production in one factory and Gujarat is our larger factory. So, while pharma in Hyderabad is stable for us from our production, optimization, and fixed cost sort of leverage standpoint it made sense to consolidate in Gujarat and that's what we have done.

Moderator: Thank you. Next question is from line of Abhishek from Oaklane Capital. Please go ahead.

Abhishek: Thank you for taking my question. So, I wanted to ask one question about the market presence of the Chinese players in the domestic market. So how big is that presence in GLE and non-GLE, both markets?

Aseem Joshi: Look in the glass lined business we really don't see a whole lot of Chinese competition in India, glass lined equipment is critical to a customer's process. It requires service and support and therefore, all over the world people generally buy from local manufacturers. And therefore, GMM Pfaudler has a local presence in manufacturing in every major manufacturing zone so US, Europe, India and China. So, we don't anticipate that to change significantly. Yes, there's always a few examples if you pull the import data, you will get a few examples of people pulling and buying glass lined equipment, but generally this is very few and the experience of most people who have tried that has not been great. So glass lined, I will leave that story there. On other equipment, non-glass lined, you will occasionally see competition from China or other countries. For example, in mixing in specific applications, there are some Chinese competitors, but by and large, we are well positioned as GMM Pfaudler with India manufacturing for almost all our products, and with the benefit of application expertise and engineering expertise from GMM Pfaudler Limited

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the world over. So, we feel that we are well positioned to take on competition wherever it comes from.

Abhishek: Okay, thank you. And I have one more question about the company's product differentiation in non-GLE segment. So what differentiation company is providing in non-GLE segment products, and how does the company plan to gain the market share in non-GLE going forward?

Aseem Joshi: So that's a pretty broad it's a very long conversation to be honest, because we have a broad range of non-glass line products. So, I will give you the 20,000-foot view and of course, further conversation can be had. Look in every product line that we have entered, our expectation is to have some technical differentiation with regard to our competition. So that's true in our mixing business it's true, in our filtration drying business, through our membrane business in

Italy and it's true in our sealing business in Germany. We have differentiated products, and it's up to us to sell that value. Now there are some businesses where the differentiation may be a bit harder. So, for example, in heavy engineering on a product basis itself, the differentiation may be harder. However, we differentiate there in terms of quality and delivery. We have a near 100% on time delivery record in heavy engineering, which is something that customers put a lot of value on. So, we have given a lot of thoughts to where we can differentiate and while this product features in many cases there are other non-product features like quality, delivery and in some cases cost where we can excel. So we feel we are well positioned in the GLE segment.

Abhishek: So, what are your plans to gain market share going forward? So, are you planning to sell the products as a package?

Tarak Patel: No, so there are a couple of things that you should understand here. Some of the products go into completely different industries. So, there is no synergy between chemical and pharma and oil and gas and petrochemical. So, for example, in oil and gas we are talking to maybe Reliance or Adani, while in chemical we are talking to Gharda, SRF, Deccan. And then pharma, we are talking to Divis right. So, each customer, each industry each vertical has its own set of requirements. Yes, there are some kinds of requirements that are cross, or can be kind of cross between these different verticals. But generally, for each vertical that we operate in, the selling and the USP is kind of different. So for example, in heavy engineering, we are selling that listen, we can handle 120 mm thick material or we can do titanium, or we can lift 200 tons of weight. So those are the differentiation. In glass lined in chemicals it could be the life of the equipment, the corrosion of the glass, and things like that, right. So, for every product that we have, and then maybe in filtration and drying, it could be the drying time versus somebody else's drying time. So, if your batch time is 12 hours, I can make it 8 hours. So, there are very different requirements for each industry segment, and we have to kind of cater to the specific needs. And that's why the focus for every industry is different.

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Moderator: Thank you. Next question is from the line of Sagar Shah from Spark. Please go ahead.

Sagar Shah: Good evening everyone and first of all congratulations for at least a better set of earnings actually, that's what we have seen in the last almost like more than five, six quarters. Now, I had a couple of questions. My first question was actually on global international business, on international business my question was, on the stand alone we have done very well almost 14% of growth that we have clocked sequentially. But on global business, still we are falling back actually and so what I wanted to know that, are we seeing a decline as far as the global glass lining business is concerned, and that is being held by the non-GLE businesses. Is that a fair understanding, even right now?

Alexander Poempner: We have stated before, there are some markets where in fact we have some headwinds especially China. And China, we have a strong glass lined business therefore we see it has an impact. However, we also have other units which are performing well, and this is especially the non-glass lined business. We expect, as Tarak mentioned in the beginning that the next quarter remains more or less as the last one. So there are some ups and downs, but the long trend, at least we see a positive signal and going upwards again.

Sagar Shah: Because what the real concern was, in spite of having a very robust order book, order inflow of almost INR 1600 crores in the first two quarters, still on the consolidated front, our revenues were very flatish sequentially. So that is why I wanted to know that, what went wrong exactly?

Tarak Patel: So, I don't think anything went wrong, because some of these orders do take more than two months, three months or one quarter to get shipped out. Some of the large orders that came in are systems orders, and those systems orders take about a year's time to be shipped out. So again, like I have mentioned in my opening statement, the product mix continues to change. And when you think about orders don't only think about glass lined, because it's not only glass lined that drives this company, glass lined used to be a major part of this. But going forward, glass lining the stable business, it is a market size that will not grow significantly more so, and our market share in glass lined is 50%, to grow market share also is tough. You need to consider now that a lot of the growth is going to come from the non-glass lined businesses and the new verticals that we are entering into. Glass lined remains important, both from an OE perspective, but also from a service perspective. And services continue to be an area where we continue to focus and grow. So coming back to your question, we had large order intake of big system jobs in the US especially, maybe close to \$60-\$70 million and that's something that will take time for it to kind of be executed and shipped out, because these are long gestation periods. There's a lot of engineering, there's a lot of manufacturing and a lot of support and service that goes into the startup of these large systems. So that's something that will come. And again, like I said this year, the focus is to have a stable year and build the backlog so that next year is a

strong foundation to start and then start from Q1 and have good execution throughout the year.

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Sagar Shah: Okay. Sir, my second question was regarding the margins. Then this quarter, our sequentially, our margins improved actually by 300 bps on the consolidated level and even on the standalone we did very well on the margins, this is obviously because of the cost rationalization efforts that we have taken and maybe the better product mix, but going ahead, going by the order backlog that we have, going by the improved outlook, as what Thomas sir said that by Q1 our investments from the agrochemicals will also see some sort of traction. So, our margin improvement journey will still continue in FY26 and our FY27 or you see these kinds of margins are also the same in the next two years?

Tarak Patel: So, I hope our margin improvement story continues for really a longer, longer period of time. But again, I would just caution you to think about as I said, things are looking better. Things are looking more positive. Some volumes are coming back, prices are improving. But again, if you ask me are we out of the woods, yet I would still be a little bit more conservative, it's a little bit of a wait and watch approach. We are hearing positive signs, but really going to translate into actual order intake may take a little bit longer than expected, you know very well and I am sure

you also kind of look into a lot of chemical companies and pharma companies, and I am sure their promoters are not announcing large capex plans now. Indian promoters like to see visibility when it comes to order intake or having client's kind of give them that assurance before they really invest in the next round, right. And what we have been hearing from the big chemical companies and agrochemical companies is that they do believe that in May, June of this year, they would start looking at new investment again. Now, if that gets pushed back by two quarters or a few months, I don't know, but all in all there is more positivity. And that's really, I just hope that the market improves, because this cycle has been a tough cycle for everybody, and all companies are now looking to kind of reinvest and start their growth story again.

Sagar Shah: What is out of our total revenues, how much is it from industrial mixing in this quarter and for nine months FY25?

Manish Poddar: Mixing 10% - 12% is the numbers that we are trending towards, and because it's a focus area, so definitely the percentage should improve over the period at the consolidated level.

Moderator: Thank you. Next question is from the line of Rupesh from Intel Sense Capital. Please go ahead.

Rupesh Tatiya: Hello, sir. My question sir is, can you give end industry wise, maybe our top three or top five industries and the percentage in the revenue?

Tarak Patel: So, I would say right now, about 70% to 80% of our revenue comes from chemical and pharma. Maybe 70%, I would think now, those are the two key ones and between our chemical and
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pharma it keep switching. There was a time when, pharma was higher but in the last couple of years we have seen chemicals, because of the agrochemical boom and the specialty chemical boom, overtake pharma. So those are the two key industries we cater to. The next big one would be oil and gas/petrochemicals, here in India and that's a growth trajectory for us. And then with the mixing play that we have brought in. We have a much wider range of industry that we cater to. And in there we have, let's say, metals and minerals as a key industry. We have wastewater, we also have paints, and the light also as well there. And then lastly, with Edlon, we have semiconductor as well. So quite a few range, but these are the big ones that you could kind of say that this is really where the growth is going to come from and like I mentioned, chemical and pharma a bit slow, and it's reducing, our exposure to these segments is reducing, and I would say maybe the next couple of years, it would be down to 50%, because the real growth is going to come from these other industries for two reasons. One, if they are much bigger industry, and two, our market share in those industries is very, very small. So the ability to grow quickly and the ability to grow profitably is much, much higher in the new industry.

Rupesh Tatiya: Okay. So, sir the reason to ask that question is, whatever CDMO boom, whatever GLP boom, whatever you are seeing in Hyderabad, and maybe it will spread to other parts of India. But is that now kind of, to offset whatever toughness is there in agri market and can we still, grow a healthy 20% kind at least in domestic market?

Tarak Patel: On glass lined?

Rupesh Tatiya: Overall.

Tarak Patel: So, chemical and pharma alone will not give you 20 % growth, I don't think so. There is definitely products that we have that go into chemical and pharma and we need to improve market shares, but I don't think 20% growth is going to come from chemical and pharma alone. We will have to look at new avenues such as oil and gas, petrochemical, and that's why this year also if you see a lot of the shortfall coming from pharma and chemical, especially agrochemical, when you have three customers that account for nearly INR 300

- 400 crores of business that

kind of just vanishes overnight. You need to replace that INR 300- 400 crores with something else, and we managed to do that. So in spite of the slowdown, we are still maintaining the same levels of revenue where other countries might not have been able to do so, and this new revenue has come from new areas such as oil and gas, petrochemical and the like, right. So we have been kind of lucky, and as management we are quite clear that over time, we need to reduce our exposure to chemical and pharma, and at the same time, maybe put our resources and people and funds also to these kind of new growth areas.

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Rupesh Tatiya: Okay. And another question sir is, do you have technology, or are you looking at biological space. The capex there are much larger and that part of the industry, pharma industry, is going to change a lot in next five years. So are we looking at biological reactors?

Aseem Joshi: Yes, there's a lot of things that are always over the horizon in the industries, biological is one of them. We are certainly keeping the rest of the development there. We are engaged with a number of our customers in things like peptides and providing equipment for that, we have done that globally in the past and now this comes in India. We are working with them on that as well. So, the short answer is yes, we are in tune with what our customers are asking for, and we would continue to expand our product portfolio where gaps may exist. We acknowledge that there would be some areas where new types of equipment will be required, and we will work to fill those gaps. Also, I would like to add we have inaugurated a test center in Karamsad which is our Gujarat facility. This is a pretty significant investment for us, it mirrors a test center that we have in Europe and in North America, and it allows customers to come in and run trials of various sorts of reaction, concentration drying, of acid management things like that, of the wiped film evaporation, various products that they have they can run trials, and that helps customers gain confidence in their ability to get the outputs that they expect before they make a significant investment. So that test center is now live. We have customer trials center that have already started, and we expect to help us in continuing to grow our business in India and actually overseas as well.

Rupesh: Okay. And my final question is, if I look at September balance sheet, our net debt is around INR 450 crore, INR 950 crore debt and INR 400 crore cash. But the net finance cost looks really high at around INR 70, 80, crore kind of, so is it I don't know is it due to Forex, or is there something else there?

Manish Poddar: Yes. So, our net debt cost is less than 8% India and international combined, so rest is all about the forex fluctuations positive and negative coming in.

Moderator: Thank you. Next question is from line of Shreya Banthia from Oaklane Capital. Please go ahead.

Shreya Banthia: You had mentioned that you would be increasing the share, you are focusing on increasing the share of the services business. So, what kind of steady state margin going forward can we expect?

Tarak Patel: In the services business or generally?

Shreya Banthia: The entire business, the overall EBITDA margins if you could give some color on that?

Tarak Patel: So, again I would just maybe kind of put it slightly differently. The margin so far for this year is about 11% to 12% and we would finish the year around there. We do want to improve margins

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for the next financial year, to put a number on it right now would be a bit difficult again. Like I said, the market need to start turning a little bit, volumes are increasing, but I would be, it will be premature for me to give you a number, the idea

and the hope is to definitely improve

EBITDA margin, and EBITDA the whole, and also the volume of EBITDA for next year.

Aseem Joshi: And maybe I'll just add, look as management we are focused on managing our cost better and product mix, etc. And we have made through this conversation you would have realized or recognized that quite a few initiatives were taken that has positioned us well, that when the market come back, we are actually in a much stronger position to take advantage of that.

Tarak Patel: Yes, and just maybe, just to reiterate for the group some of the initiatives that will help us in

manage cost in India obviously, to clear one could be the closure of the Hyderabad facility, and obviously the change of product mix between glass lined and heavy engineering. Glass lined volumes coming back with a little bit of price improvement will also help. Internationally, we have Poland and we have now rationalized the UK manufacturing facility as well. So those are some of the initiatives that will obviously help us in terms of improving costs. We also have a McKinsey project that's ongoing here and at the final stage where, obviously there will be some help also there operationally to reduce costs there.

Shreya Banthia: Thank you. Just a little clarity I needed, your voice was not clear, since we are not having, we are using a manufacturing facility at Hyderabad. So are we considering divesting that facility, or it's just on hold as of now?

Tarak Patel: No, so as of now it's on hold. There is no decision on what we will do with this facility. As of right now it just made a lot of sense to consolidate everything into one, so all your cost is in one facility, and your better utilization as well. So it was driven only by a financial decision. If we find that there is more volume coming in, or we find another product line that can be used or manufactured in Hyderabad, we will be happy to do so.

Aseem Joshi: I will just add one last point to what Tarak said. We continue to maintain a robust presence in the South market. We have a sales office, we have had it for years. There's a service presence both in Hyderabad and in Vizag, and we have a warehouse that stocks a bunch of spare parts and systems that our customers need.

Tarak Patel: And we are the market leader by a significant distance in glass lined in Hyderabad, so that will be something that we will definitely maintain.

Moderator: Thank you Shreya. Next question is from the line of Mihir Damania from Fident Asset Management. Please go ahead.

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Mihir Damania: I would like to kind of understand your thought process about consolidating manufacturing entity. So we have seen that you shut down the plant in Hyderabad. I would assume that, since you have a lot of international plants. You may have in the next couple of years, plans to consolidate the same. So, what's your views on consolidating international operations, trying to see if you can get a much better manufacturing footprint, much better cost control over other categories. What's your thought and I would like a one to two year longer kind of view, because I was also seen that, you released a press release about signing manufacturing facility in Poland, which seems to be one of the lower cost manufacturing countries in Europe. So what's your entire thought process about consolidating international manufacturing operations?

Tarak Patel: The vision is definitely to reduce manufacturing in high-cost countries, not only manufacturing, but even things like engineering and support and things like that. So, we can definitely, and we are looking at lower cost options. Do keep in mind for certain geographies, we still need to have a presence in those geographies, especially when it comes to glass lined, because these glass lined vessels will need relining, they will need refurbishment,

they will need support and

service. So, we need to have local services. Maybe we don't need to have as many as we do currently, and over time we will definitely look to ramp up India so that India can start supplying to the rest of the world. We also have Brazil and China low-cost manufacturing for glass lined, and we continue to use and grow those businesses. So, the real focus is to reduce manufacturing presence in high-cost countries like the US and Western Europe. Having said that, we will still continue to have local teams in these geographies for support and service as well as for sales. Because front ending the customer who is local, still needs to have a local contact that we can deal with. But at the end of the day, the vision of management at least the way that we would like it to work is that, when you buy a GMM Pfaudler reactor anywhere in the world, you should not really worry where it is made. At the end of the day, you get the right quality, you get the right price, and you get the right timeframe in terms of delivery. You should not really worry about where this reactor is made, and that would be the eventual goal. Are we there yet, not quite yet but we are working towards that, and that's something that we will try to implement. Poland is the first start of this, like I mentioned to you, we have already had two very successful orders been executed in Poland. We are now planning a third order also in Poland, which obviously is creating a lot of promise. And things like this once you have one or two good orders in the executed in good quality and good time frame, people themselves will kind of be more favorable to this, and they will start outsourcing automatically. And that's what we are seeing. Maybe, Alex, you want to jump in and add something.

Alexander Poempner: I could just add, and what Tarak said, that in fact our operational footprint we will improve. So, this is a clear focus of us as a management and there will be some, let me say, more focused on center of excellence, will there be a new newer manufacturing in India. Yes, this is a target. Do we have to keep some sites in Europe and the US just to ensure proper services and

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therefore, especially the focus on service business, maybe a little bit less on the new manufacturing. Yes, this is a target, and we are working there on the strategy, and are confident that we will achieve improvements there.

Mihir Damania: Got it. Thank you very clear. Just one more question. Earlier, you used to have like a three, four-year plan laid out with what the clear vision earlier. I have not seen that happen over the past at least a year, year and a half also. So is that something which is still in the process, there is something which you are kind of throwing it out to the investor community where you want to see GMM maybe two, three years down the line. Is there any timeline to that, if you can touch a bit on it?

Tarak Patel: Yes. So, we were hoping to have something ready this year, but again this year has been flattish. So, we hope to have something for you in the next financial year. We are working on something we believe that we are nearly 60%-70% there in terms of just long term strategies that we all have agreed upon. The smaller pieces of how we get it done over the next few quarters is something that we are still working on, there is a meeting planned among the top management group next month. So yes, we are definitely working on something. As you know, the Board, our investors, they obviously would like to have a clear idea in terms of what we are going to do. We would love to articulate our vision to the capital market as well, and then kind of execute that vision. Unfortunately, the market didn't turn as early as we would have liked. We would have liked to do it this year, but we need to kind of, the idea today is really

focus on

business, make sure that the year is stable. We are not losing market share, we are not losing money. And then obviously, at the same time, we need to work on the strategic plan which is in process, and hopefully again, I don't want to give you a time frame, but I am confident that in the next financial year we should definitely be able to articulate our vision to the outside world.

Moderator: Thank you. Next question is from line of Deepak from Svan Investments. Please go ahead.

Deepak Purswani: Hi, good evening. Just wanted to check it out if you can give some sense on the heavy engineering business. Specifically, if I were to look from the order intake and order book perspective, currently the order intake in the nine months is up 13% at INR 2,442, what would have been order inflow in the heavy engineering business and in the other businesses. And if you can also throw some light in terms of the revenues, what has been a nine month revenue in businesses, and how is in a margin profile, and also how is the bid pipeline is looking up at the current juncture, and from the export point of time, we were also looking to explore export market and where we stand there currently, could you give us some sense about the heavy engineering business?

Tarak Patel: So heavy engineering before Aseem talks about the business, and what we are trying to do and what we cater to, I think heavy engineering has grown significantly it will grow again this year.

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It was a much smaller part of our total revenue this year, it will be a bigger part of it. We don't share numbers right now, nine months. But even if you look at the nine months number, heavy engineering portion is definitely much more than it was in the previous nine months. And the growth that we are getting from heavy engineering would probably be double digit in any case. So that's the focus area for us, and maybe Aseem, can speak a little bit more about the heavy engineering business and what our strategy is there.

Aseem Joshi: Yes. So first to your point, in the materials that we have released to the stock exchanges, you will see the segmental overview, which gives you a sense for how the breakup is around technology, systems and services and heavy engineering is part of the technology. Now, our strategy in heavy engineering is quite clear. We want to focus on getting the right MOCs, which is the right material of construction, focus on export orders, and focus on the right kind of equipment. So, I am pretty pleased with the direction in which we are going. This is a business that will run for about three years now, little over three years and it's grown very well. And it's a significant part of the India business. The next phase of our strategy will be to focus on exports for heavy engineering, using the Pfaudler network already, we have considerable exposure to the US, to some extent in the Middle East as well, but we are going to work to accelerate that, to see how we can drive exports further in geographies close to India and also potentially to the US, given the likelihood of investment and manufacturing returning to the US. So heavy engineering will continue to be a focus area for us, and a big growth driver in the next two, three years at least.

Deepak Purswani: Okay. And then just one bookkeeping question on the other income front in this quarter, that

appears to be INR 25 crores, if you can share the details about it, that will be really helpful.

Manish Poddar: Other income is primarily on account of FX gain. So you have a Euro dollar, so the Euro is depreciated and within the inter-company there was a mark to market. So, these are typical fluctuations, which you see in the debit side of the finance cost and other income on the other side.

Moderator: Thank you. Next question is from the line of Gopinadha Reddy from PNR Investments. Please go ahead.

Gopinadha Reddy: Sir, we have competitive advantage our own niche when it comes to glass lined business. What kind of a know how or advantage that we have in the new businesses that we are entering, is it just our execution capabilities or anything else that we have already?

Assem Joshi: So, I addressed this to some extent in prior questions, but let me just summarize. Any new product line or business area that we have entered, we believe we have some differentiation, typically it's in product features or some aspect of a manufacturing capability that allows us to differentiate in the market. For instance, in filtration and drying we have proprietary designs

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and local innovation that's happening that is helping us differentiate and offer more advanced equipment to our customers and the standards that they get from other players in the market. In mixing, again we have prior track record of serving various applications across the world, be it water, food, mining, minerals, chemicals, pharma, paint the list is very, very long, and that's an advantage we have gained because of the presence of Mixel and MixPro, these are acquired companies in our portfolio. We see the benefit of that in India already, and similarly in the international business we are seeing the benefit of having India manufacturing. So again, it really depends on each product, but we as management are certainly focused on ensuring that there is differentiation in each of our businesses.

Tarak Patel: Just maybe to add to that, what the question that you are asking, GMM Pfaudler the brand name that is associated with the company, people do come to us for solving problems that they have, they look up to us in terms of completing the project in a timely manner, and also the financial stability that we have today. If we take a large project, it's not that we are going to run out of funds halfway through. So, the large heavy engineering project, with the Reliance and the Adani of the world, they would obviously go after and go with respected professional companies, right. So, we stand by our products, and we make sure that we deliver what we promised, that is something that also will help a lot of customers to kind of try some of the newer products that we are now entering into.

Moderator: Thank you. The next question is from the line of Shreya Banthia from Oaklane Capital. Please go ahead.

Shreya Banthia: My next question was, I am aware that we are not giving the breakup of our EBITDA margin segment wise, but if you could give me a sense of our non-glass lining and glass lining margins comparable, and whether heavy engineering margins are a little on the higher side, any sense on the margins. How should we look at it?

Tarak Patel: So it fluctuates, but I would say as a group, our aim is to have a 15% margin profile across the businesses that we operate. Some cases in down cycles, it will be lower. Some case it will be higher, but that would be the general trend for you to kind of go in with. I don't think we get into any product line in lower margin. There could be some products within the portfolio that have higher margin profile, especially the services part of it. But for our technology's product, which is basically thing that we manufacture, equipment that we manufacture, I would say a 15% margin would be the average or high.

Shreya Banthia: So, is it fair to assume that the heavy engineering margins are somewhere near the glass lining or the other equipment?

Tarak Patel: Yes, they all are kind of similar. So, you can do the math at 12, if we are at the 12% margin, I would say margins across the board will be similar. Glass line just today, because of the

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slowdown in the market and the competitive pressure that we have had seen a reduction.

on. But,

if you look at the good times, I would say all these businesses have a pretty strong margin profile.

Moderator: Thank you very much. As there are no further questions, I will now hand the conference over to the management for closing comments.

Dhaval Rajput: Thank you Nirav. Thank you everyone for joining us today. It was pleasure interacting with you,

and we look forward to many such interactions withi n the course of the year. Take care and see you soon.

Moderator: Thank you very much. On behalf of GMM Pfaudler Li mited that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: May 2025

GMM/SEC/2025 -26/14 May 27, 2025

To,
BSE Limited National Stock Exchange of India Limited
Scrip Code: 505255 Symbol: GMPFPAUDLR

Sub.: Earnings Call Q 4 FY25 – Transcript

Dear Sir/ Ma'am,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of earnings conference call for the year ended March 31, 2025 conducted on May 21, 2025 for your information and records.

The above information is also being made available on the website of the Company at www.gmmpfaudler.com.

Thanking you.

Yours faithfully,

For GMM Pfaudler Limited

Mittal Mehta
Company Secretary & Compliance Officer
FCS. No. 7848

Encl.: As above

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MAY 21, 2025

MANAGEMENT :

- MR. TARAK PATEL – MANAGING DIRECTOR , GMM PFAUDLER LIMITED
- MR. THOMAS KEHL – CHIEF EXECUTIVE OFFICER (INTERNATIONAL BUSINESS), GMM PFAUDLER LIMITED
- MR. GREGORY GELHAUS – CHIEF TRANSFORMATION OFFICER , GMM PFAUDLER GROUP
- MR. ASEEM JOSHI - CHIEF EXECUTIVE OFFICER (INDIA BUSINESS), GMM PFAUDLER LIMITED
- MR. ALEXANDER POEMPNER – GROUP CHIEF FINANCIAL OFFICER , GMM PFAUDLER LIMITED
- MR. DHANV AL RAJPUT – GENERAL MANAGER FINANCE & ACCOUNTS , GMM PFAUDLER LIMITED
- MRS. MITTAL MEHTA – COMPANY SECRETARY & COMPLIANCE OFFICER

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Moderator: Ladies and gentlemen, good day and welcome to Q 4 and FY'25 Conference Call of GMM

Pfautler Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.

I now hand the conference over to Mr. Dhaval Rajput. Thank you, and over to you sir.

Dhaval Rajput: Thank you. Good evening, ladies and gentlemen, a very warm welcome to all of you in the Q 4 FY'25 Earnings Call of GMM Pfautler Limited. The Earnings Presentation was uploaded on Stock Exchanges today and is also available on our website. Hope all of you had a chance to go through it.

From the Management we have with us our Managing Director – Mr. Tarak Patel, our Chief Executive Officer of International Business – Mr. Thomas Kehl, our Chief Executive Officer of India business – Mr. Aseem Joshi, our Chief Financial Officer – Mr. Alexander Poempner, and our Compliance Officer – Ms. Mittal Mehta.

We will give you a brief overview of the performance of the Company, after which we will get into the Q&A.

Before we begin with the overview, a brief disclaimer. The presentation that was uploaded on Stock Exchanges and also on our website, including our call discussions that will happen now, contains or may have certain forward-looking statements regarding our business prospects and profitability which are subject to several risks and uncertainties. The actual results could materially differ from those in such forward-looking statements.

I will now hand over the call to Mr. Tarak Patel to provide an overview of the performance.

Over to you, Tarak.

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Tarak Patel: Good evening, Dhaval. Good evening, everyone and thank you for joining us today. As we conclude the financial year, I am pleased to share our performance highlights. For FY '25 GMM Pfautler achieved consolidated revenues of INR 3199 crores, and EBITDA of INR 381 crores, which is an 11.9% of EBITDA margin. Our order intake for FY '25 was INR 3102 crores, up 3% from the previous year. Our current backlog on April 1st, 2025, stands at INR 1636 crores. We also generated strong cash flows of INR 318 crores in FY '25 and improvement of nearly Rs.100 crores over the previous year. In Q4 FY'25 our revenue stood at INR 807 crores, with an EBITDA of INR 93 crores at 11.5% margin, with a 9% growth in revenue and a 4% growth in EBITDA margin on a year-on-year basis.

Order intake for the quarter stood at INR 660 crores. Our India business has a strong performance in Q4 with revenues of INR 252 crores and EBITDA of INR 44 crores, with an EBITDA margin of 17.4%. The India business has also seen significant improvement in H2 FY' 25 due to increase in volume, favorable product mix and an ongoing EBITDA transformation program, the benefits of which will continue into FY '26. All costs for this program have been taken in this financial year. Our India backlog stands at INR 549 crores, which is higher by 20% on a year-on-year basis. Our global manufacturing footprint optimization continues. Our UK facility in Leven is on track for closure in Q2 FY '26. As you will see, in this quarter all costs accounted for this closure have already been taken in this financial year. We also shut down our Hyderabad facility this year, and the cost of this closure was taken in Q3 of this financial year as well. The production from this facility has now moved to our facility in Gujarat. Our low-cost manufacturing site in Poland has been established, and we now plan to shift production and increase production at that site as

well.

I would also like to welcome Gregory Gelhaus as Chief Transformation Officer. Our CTO, Greg, will lead the group's transformation efforts and key strategic initiatives to drive business expansion, improve operational efficiencies and enhance collaboration and integration amongst the geographies and our locations.

Looking ahead, we are optimistic however, the India business continues to do quite well, and we are in a strong position to deliver growth in both revenues and margins. Our international business has a good starting backlog. However, the current situation with the US, the tariffs, also the uncertainty surrounding investment that may have some impact on our international business. In conclusion, this year has been a transition year for us, we are focused on improvement programs internally as I mentioned two sites have been shut down. We have run a transformation program here in India, and as the market seems to be turning a little bit, we hope that some of the new kind of volume will help us also achieve some of the improvements for the next financial year.

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With that, I would like to hand over the call to Alex – our CFO, who will take you more through the balance sheet and some of the other financials, and we will then after open this to questions as well.

Thank you very much. Over to you, Alex.

Alexander Poempner: Thanks a lot Tarak . Good evening, everyone also from my side. As I do not want to say too much about the profit and loss, just to reiterate or say again that we have considered all the one-time impacts due to the closure of Hyderabad as well as Leven already in this financial year. So we consider that we have done the homework to see the positive benefits in the next financial year. With regard to the balance sheet, the balance sheet we show a strong improvement. We have a really solid good balance sheet, especially from the cash flow side, you see that the working capital and free cash flow generation have improved significantly in the fiscal year 25 as compared to the previous year . We have repaid long -term debt of around INR 116 crores, resulting in an improved net debt to EBITDA matrix of 0.5 times versus 0.8 times in the last financial year .

The net debt to equity also improved to 0.2 times versus 0.4 times last year. As mentioned, this is especially driven by a good working capital improvement and therefore, on the cash flow front, we have generated a free cash flow of around INR 318 crores during the year, as compared to around INR 221 crores in the previous year. This results in an 80% conversion of the reported EBITDA of INR 381 crores. This is again an improvement over previous years where the free cash flow to EBITDA ratio was around 50% .

This is so far everything from my side, and I would like to hand over to Dhaval again.

Dhaval Rajput: Thank you. Alex. You may now open the lines for questions.

Moderator: Thank you. We will now begin the question -and-answer session. The first question is from the line of Jaiveer Shekhawat from Ambit Capital. Please go ahead.

Jaiveer Shekhawat: My first question is on India business ; it's encouraging to see the adjusted EBITDA margin trajectory there.

Moderator: The current participant has been disconnected. We move on to the next question . The next question is from the line Praveen Kumar from Aquatis Capital Advisors. Please go ahead.

Praveen Kumar: I had a question on international business. So, in particular, I was trying to compare the order intake in the international business in FY '25 and I was comparing it to the previous three years .

So, while doing that, I noticed that the order intake for FY '25 in the international business was almost not very different from what it was back in FY '22. So, almost at the same level even

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after three years have passed

number one . And within that , if I further look at the services part of the order intake, there is a drastic decrease in the services order intake in FY '25 when I compare it to FY '22 level . So wanted to get an understanding of this, that no. A, at an overall level for the international business, order intake being stagnant on a three -year basis . I wanted to understand the causes for that, and how do we see this going forward. And also, in particular wanted to understand the services order intake of the international business. The fall compared to the levels of FY '22 and again, how do we see that going forward . Thank you.

Tarak Patel: Sure, so 2022 obviously was the time after COVID, where things were booming. Our focus to grow our service revenue continues , this year the service order intake has probably been below our expectations, but currently in terms of the pipeline and the focus in terms of growing our services business is on track. We do feel at this point, and especially last year, because of the slowdown, general slowdown in the industry, both capital equipment in terms of new capex as well as services across our client base did reduce . We now have some kind of hope that maybe in the coming years, these services revenues will increase. The idea is to continue to be close to the customers and make sure that we don't lose service business. And that's something that across all our locations we are trying to obviously grow . The services business especially was lower in the US, but we do expect some recovery to come at some point. But in India, we have also seen a slight slowdown in services, which is a general trend now across the world.

However, product service is a very important portion of our overall order intake, and it continues to be a focus area for us to come back to the levels that we had in 2022 . Thomas , if you would like to add or say as well .

Thomas Kehl: I think you said it is right that the overall market is slowed down after FY'22 in the makeup time after the pandemic, and that is true also for the service jobs. Some of the bigger service jobs were listed on hold by customers looking at the current situation in the development. But those jobs are not going away , they are delayed , they will come to us later.

Praveen Kumar: So again, just to understand, to improve my understanding of the services part of the business . Our perception was that , that is linked to the base of installed base of your clients . And one reason for drastic deduction compared to three years ago could be that, is it that lot of those

installed base there have been significant shutdowns in particular geographies, which has impacted . Otherwise, one would expect that if those facilities are running, they would continue to require your services and there should be some service inflation in terms of the order intake / and revenue . So that's the aspect I wanted to understand better.

Tarak Patel: No, despite that logic our India installed base is probably the highest in the world, and we still have 7%, 8% of service revenue . It's just a mindset, and it's the uncertainty surrounding the current situation has that, kind of driven some of these decisions, maybe at a budget level for spare parts as well within companies maybe that is something that companies have kind of tried to cut back on, but at some point in time when these equipment need to produce, you

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will have the service revenue picking up right now . We haven't seen any major shutdowns in the US or Europe it's just a kind of a trend where people did not want to spend money on services if they did not have to, but that at some point these equipment, like you said, are old equipment , they have been installed for quite a period of time, the services at some point should come back and we expect it to come back in the next financial year as well.

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raveen Kumar: Understood . And the assumption is also that since you have spread your service base further in terms of geographies during this time, that should also probably help you in terms of getting these revenues ?

Tarak Patel: Yes, correct. So , service is again, is a key focus area for us, and by the last couple of years, we have kind of created a smaller workshops and service centers across the globe just to better serve our customers . We have three or four service centers now here in India, we have created like two or three service centers in the US, a few in Europe as well. So services are definitely a push. At some point it will come back , we went through a lean period, both in terms of capex for new equipment as well as service. We thought that during a cycle, a down cycle where capex closed down, the services would increase. However, that was not the case. But , as some of these capex 's are coming back as well, and some of the margins and volumes are increasing at our client site, we will see now some of these services also coming back.

Moderator: Thank you. The next question is from the line of Jaiveer Shekhawat from Ambit Capital. Please go ahead.

Jaiveer Shekhawat: My first question was, on your EBITDA margin trajectory for your stand alone business. So apart from these one off cost in relation with transformation, what further benefit do you expect , after the exercise is already done on your margins that will be my first question ?

Tarak Patel: Yes, so the India transformation program which has run now for the nine months of the last previous year, that has given us improvement both in terms of our cost structure, but also in terms of operational excellence, and areas in which we had not probably paid a tention to. So that has put us in a very strong position at least here in India, at our factory here in Gujarat. What has also happened in India is the closure of Hyderabad. So having that facility no longer available, the load of Hyde rabad now moves into Gujarat, which now obviously has much better utilization as well. We are now in a position where we will now even think of starting a third shift to address the volumes. We have a large glass lined backlog as well. So , India margins will continue in this range as well 15 %-16% should be achievable for next financial year, and maybe Aseem can jump in now to talk a little bit more specifics about this transformation program and the other cost controls that we have worked on here in India.

Aseem Joshi: Sure. So, while Tarak talks about the cost controls, I will cover a few other elements that were part of this program and that should help us on this in FY '26 and beyond . We really focused on

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our capacity improvement obviously when you close down the factory you need to consolidate as well, you have to be able to absorb the capacity especially when the demand comes back, and we are very confident we are in a position to do that in our current factory now . We hav e also enhanced the flexibility of our factory in that as we have additional product lines that are made in Karamsad, they have the ability to flex as demand varies . We feel we are in a lot better position now, not just purely from a fina ncial and margin standpoint, but also from a flexibility standpoint, and those benefits w ill persist for incoming years.

Tarak Patel: Yes, and maybe just to add in terms of outlook we feel that there is more positivity today. The customers that we speak to in India have shown a lot more interest of investing now, volumes have come back. Margins might still be under pressure, but a t the first positive sign is at least volumes are coming back . So, we see that in terms of even the opportunity pipeline here in India has improved significantly. We also believe that some of the agrochemical players will start investing in maybe August -Septembe

r, time frame as well. So, all in all, we have a positive view on India starting this year already with a smart , a much bigger backlog than previous year, plus the first month especially April has been very strong in terms of order intake as well. So, we are in a strong position in India for the financial year . Internationally as well we have had a pretty good April in terms of order intake. We need more orders as well, which we are working on but generally , we are today in a much better position than we were 12 months ago. And the hard work like Aseem and Alex mentioned has already gone in during the down cycle and hopefully as volumes pick up and the market improves, we will be able to extract as much as possible from this increased volume as well . So that's the overall picture here for India.

Jaiveer Shekhawat: Sure , that's very helpful. The other question also was in relation to this. So what we have seen is, your competitor has been able to recover back to their FY'23 revenues from the GLE division in FY'25 so what's your estimate, both for your standalone business and international business, as to when they reach back to your peak level revenues, which you might have also done in FY'23 on the GLE side, specifically ?

Tarak Patel: So on the GLE side, we are now at pretty much the similar levels as previously slightly lower than that. Obviously, if you see our quarterly performance, it has been pretty stable , we like to kind of make sure that obviously even going forward we have stable quarters and we plan and we perform as per expectations. Obviously the volume this quarter, even if you see the total revenue, it's still not a significant improvement over the previous quarter, or even previous year. But in spite of the incremental volume not being there, we were still able to increase the margin significantly. So do keep in mind, if the volumes increase over the next few quarters, you will definitely see even better kind of flow through, because at the same revenue levels, we are still now at a 500 bps improvement here in India, if you compare that to Q4 of the previous year . So, which is positive for us and as volumes increase, and if they will increase, you will maybe see some better flow through as well.

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Jaiveer Shekhawat: Sure. My last question is just on the order intake. So , while I understand that you have healthy backlog for the India business, is it by choice that you are limiting the order intake there and also in the international business we have not really seen order in flows there. Ideally, every quarter it's sort of reducing and when you think that should bottom out in your expectation, both India and the international business ?

Tarak Patel: So, on the order intake run India, like I said, strong backlog, 20% higher , April has been a good month, and for the international business also April has been a very strong month, and that will reflect in obviously our backlog at the end of Q1. We will be in a better position to talk a little bit more about that when those orders are , some of them already in and some more expected and we are quite confident that we will be in a much stronger position at the end of Q1.

Moderator: Thank you. The next question is from the line of Sagar Shah from Spark PWM . Please go ahead.

Sagar Shah: My first question was related to our global business, especially related to Glass -Lining and some non-Glass -Lining technologies. So, what we had perceived at the start of the year, obviously, things didn't turn out because of macro-economic factors which are not in our hands, but specifically speaking on the industrial mixing and especially on the Glass -Lining side. So globally, looking at the order intake that the Company is actually getting, the order intake is actually reducing and as almost has reduced as compared to even last year. So, is it something

like, are

we losing some market share, specifically on the Glass -Lining and the non -glass lined technologies or maybe specifically, can you highlight what exactly is going on outside?

Tarak Patel: Sure, I'll pass it on to Thomas.

Thomas Kehl: Well, as you all know that the market conditions are not perfect, and not as it has been two, three years ago. We know all the uncertainties in the industry, and that shows the order intake.

We have a lot of projects, and pipeline is still robust and big, but the decision making processes are slow and hesitated, and therefore we are 100% sure that we are not losing market share.

The projects that are on hold will come sooner or later, or it started a little bit already in April.

April is a better month, and we are very confident that the first quarter will show us the increased backlog and order intake again.

Sagar Shah: Okay, fine sir.

Tarak Patel: I will just add one comment here. Over the last few years, there were a few units that we have been working on, and because of the large backlog and the large order intake that they had, they struggled to also ship out some of these equipment. So, some of that restructuring has also happened this year. These units are now much better placed in terms of receiving new orders and also shipping out these orders as well . So, there is a bit of capacity available. So, we

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are aggressive when it comes to delivery and pricing. So hopefully, in the next couple of months, including what we booked in April already, plus the next two months, we should be in a much stronger position by the end of Q1 as a Company in terms of both order intake and backlog as well.

Sagar Shah: Got your point sir. My second question was related to the Poland acquisition, actually. So, we are closing the UK operations as well as the Hyderabad operations in India and starting with the new acquisition at Poland. So, can you highlight about the cost benefits that are likely to accrue by manufacturing there and specifically, can you highlight about how the cost structure will be different as compared to manufacturing in UK vis-à-vis manufacturing in Poland, vis-à-vis India?

Tarak Patel: Okay, so there is a slight misunderstanding here. UK was a glass lined facility, and Poland is not a glass lined facility. Poland is really a facility that will support our non-glass lined business. So, it supports our Swiss entity Mavag, and it supports our mixing business so Mixel in France. Both Mixel and Mavag are in a higher cost Western European region, while Poland is in Eastern Europe and much cheaper from both engineering as well as manufacturing. Poland is a joint venture we have already completed the first order from Mavag, our Swiss subsidiary, there were absolutely no quality issues, and those equipment were supplied on time at a much lower cost structure than if they had to manufacture that in Switzerland as well. In terms of the new orders going into Poland, there's a large order that Mixel won recently. That entire order will be made in Poland and not in France. And if you had to ask me, you would see at least a 30% cost benefit between Western Europe and Poland, and that's something that we could expect that between India, Poland and the other value sourcing sites that we have, we will find the right kind of situation to make sure that the customer gets the right product at the right price point and we will improve our margin because of this low cost structure that is available in the group.

Sagar Shah: Okay, fine. I had just a data keeping question, within technologies that, can you highlight that how much was Glass-Lining the revenue, the non-Glass-Lining revenue, and the rest is industrial mixing. Can you highlight the constituents between these three, amongst the technologies revenue?

Tarak Patel: Are you talking on a global

basis or an individual?

Sagar Shah: On a consolidated basis, sir?

Tarak Patel: So, I don't think I have the data in front of me, but generally.

Alexander Poempner: Currently, we review our reporting, and we will come back during this year. But thanks for your advice, for your comment.

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Sagar Shah: Okay, fine. So just a last one from me. We had incurred other income loss actually in this quarter due to the foreign exchange fluctuations actually you highlighted in the document. So, are we not hedging our exposures in the foreign exchange business, you have a lot of inter-foreign currency exposures. So, are we not hedging our operations over there?

Tarak Patel: So, we have a natural hedge, because we have Euro, USD as well as Swiss franc and then Alex.

Alexander Poempner: Let me say, unfortunately some of that exposure you could not really hedge. And we had once a few years ago, already discussed, we have inter-company loans in place within the group, which are between Euro and USD denominated entities, and there we face a book loss. However, this is something which you could not avoid if you have loans between entities in two different currencies.

Tarak Patel: But this could go both ways as well.

Alexander Poempner: This could go both ways, we also face a positive impact in prior quarters, and you see, especially, I would say one half years ago we had also a big positive impact there.

Moderator: Thank you. The next question is from the line of Meet Katrodiya from Niveshaay. Please go ahead.

Meet Katrodiya: So, sir, you have given your view on the order for the backlog for the April month. So, I was asking from the point of view of what are you seeing in terms of demand which can come in the next month, so what are your forecasts for the demand, are we seeing any bottoming out in any chemical or Pharma?

Tarak Patel: Yes, so I can talk a little bit. I will talk about two different regions. In India, the conversations that we are having with our clients and these are owners, CEOs they are positive, like I mentioned all of them have said a similar statement that volumes have come back, their plants, which are running now at 45%, 60% are now running closer to 80% so firstly, that's a positive sign. However, pricing is still under pressure, which means that margins will continue to be under pressure, but I do believe that there will be some amount of investment in both chemicals and when I say chemicals, agrochemicals, as well as specialty chemicals, specialty

chemicals has continued and has been quite strong. Agrochemicals has been weak, and we do expect agrochemicals to return sometime later this year. Pharmaceuticals has continued to be very, very strong, especially Hyderabad based pharmaceutical companies, the month of April saw to win a very large order, not only glass line d, but glass line d as well as non-glass line d here for Hyderabad, and that has been a big kind of positive for us as well. So pharma continues to be quite strong, especially companies that are now working with, the GLP-2 kind of manufacturers, peptides, etc. things like that, are really driving a lot of investments as well. So pharma remains quite strong, the inquiry levels in pharma also continue but what we are seeing

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that this is from the past, is some of these agrochemical players are now thinking of investments, some of our big customers, like PI, SRF, Deccan, are now started talking in terms of when the next level or the next building or the next unit will be kind of green lighted, and then the inquiries will start, and then, obviously the shipment would continue. So, I do expect a recovery somewhere in the middle of this quarter. The good thing is that, we have enough of glass line d backlog for the first half of the year, and then we

really need to worry about glass

lined coming into the 3rd or 4th Quarter, and really helping us. So if that agrochemical cycle turns in the middle of the year, that would go very well for us for the second half of the year as well.

In terms of global, chemical and pharma still continues to be below expectations. The uncertainty surrounding the tariff situation is obviously holding investment. However, some of these investments are being kind of discussed now. Some of these which have been pushed out are now kind of moving towards closure, but there are new areas which have emerged. If, pharma and chemical slows down, we have seen investments in other European countries, US in other areas as well, which has made up for some of the shortfalls that we have seen in chemical and pharma. So the diversification strategy and our product going into some of the new segments has also kind of helped us make sure that the loss because of chemical pharma is not that intense.

Meet Katrodiya: Thank you so much for the detail answer. The last question is like, if you can throw some highlight on, if any new player has come in, or existing player facing problem in the market. So, how we are positioned as compared to existing players and even newcomers?

Tarak Patel: So, we have a global manufacturing footprint. So even with a tariff situation that is currently being discussed, we have local manufacturing. So for example, if the US tariff situation would create more investment in the US, we have a US unit that can supply into the US. We also have Brazil, where the tariff situation is not so bad, and that can be used to supply into the US market. From a European perspective as well, we are strong, we have shut down one facility, so now we have two facilities. So better utilization as well, from a glass line d perspective, and with Poland coming online, much better cost structure as well. India today is not only focused on India. But as India has also grown, we are now looking at the surrounding areas around Middle East, Southeast Asia, to also go and sell some of our products into. Our heavy engineering business in India has done incredibly well this year, and will continue to do very well next year as well. And the idea is to grow that business, because that kind of caters into oil and gas, petrochemical, power, nuclear, etc., etc., where obviously they are not constrained by the same kind of growth issues that currently chemical and pharmaceuticals are facing. So diversification and having multiple product lines emerges in areas that we don't normally participate in will help us kind of make up for some of the shortfall.

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Moderator: Thank you. The next question is from the line of Samayank from Mariculous Investment Managers. Please go ahead.

Samayank: My first question is, so you did mention that you are closing the UK facility, so you intend to supply the resultant demand from India or from the other two European location that you have presently?

Thomas Kehl: No, we have closed down this site because of the last few years we have improved the process and the operations in the German plant significantly so that we can absorb the capacity that was in the UK. So we took the advantage of the slowdown time to consolidate there and improve our cost position and be more competitive. And we also bring in products from India. This has been established three years ago very successfully, so that we can serve the market, even if the market increase significantly, we have all enough capacity to do so.

Tarak Patel: It's not a very large market, so I don't think that we are going to expect significant growth in that market. But yes, if the market were to need equipment, we are well placed to serve that

market through two of our European sites, and even with India. And if the trade agreement with India and the UK could be

also beneficial, where the duties and taxation between India and the UK would also help us become more competitive as well.

Samayank: Got it . So are you still looking to rationalize your manufacturing facilities or it's largely done ?

Tarak Patel: So, that we are always looking to rationalize and to improve our manufacturing footprint . Our Poland facility is a start in the right direction, but we do need to add capacity and look at moving cost from expensive locations and high cost locations to Poland. We also feel that the availability of engineers , welders are easier in some of these locations, so we will continue to invest in areas that will help us support our growth and the cost structure that we are looking forward to . And then obviously, in India currently we have already a strong footprint , China and Brazil are also well taken care of, so there's no real kind of additional investment that we need as a group, but if there is an opportunity to rationalize, we will continue to do so .

Samayank: Understood. And last question is on the India transformation program that for which we have incurred around Rs.9.8 crore in this quarter. So is all the expenditure related to this program largely done, or we should expect some expenses to be incurred in next financial year as well ?

Alexander Poempner : No, no. You could consider that everything is spent.

Tarak Patel: So the total number for the year is around INR 15 crores , that's the full amount that was paid to the advisors who are running this transformation program. And on top of that, the INR 5 crores we spent on closure of Hyderabad that has all been taken in this financial year INR 20 crores in total, none of those costs will carry forward into the next financial year.

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Moderator: Thank you. The next question is from the line of Ronak Oswal from Arisht Capital Market.

Please go ahead.

Ronak Oswal : Sir my first question is , while going through the financial statement , in segment wise revenue technology segment reported lowest quarter, the revenue in last 12 months and the order intake is also not looking that great. So what are your plans to improve that ?

Tarak Patel: Sorry, we could not hear you , could you repeat the question please ?

Ronak Oswal : Sir in technology segment Company reported the lowest revenue in last 12 Quarters, and the order intake is also not looking that great, so what all you have to plans into that?

Tarak Patel: Yes, so order intake in technologies was obviously the result of a slowdown in the glass line d business, which was driven by a slowdown in the chemical and pharmaceutical sectors around the world, in India especially the agrochemical sectors, like I mentioned to you, India starts the year with a 20% higher backlog. So that is a favorable mix between heavy engineering , glass lined and proprietary products. So obviously, as you can see, some of the glass line d business has come back . Internationally as well, the services business has taken a hit in the last financial year. Again, service is something that comes and fast moving, so can be converted quite quick . As Thomas mentioned that we have a very strong pipeline. Some of these orders have already come, in this financial year in the first quarter and we expect again in the month of May and June, to have a strong order intake. The focus is on order intake to make sure that we have neutralization and absorption for the next few quarters as well. So some of this has already come back, and some of this is expected, but we are aggressive in the market, and we are trying our best to win as much as possible, and where we can't win in market which are constrained by growth, we are trying to win in other areas as well. So heavy engineering, mixing, even in India, we have broken into new markets like food and beverage, where we usually did not play. So a lot of

things going on and then we have certain businesses which are completely outside chemical and pharma like Edison in the US, which has done quite well and continue to do quite well. So, we are just trying to see where is the growth going to come from and where exactly can we compensate for the loss of the glass-lined business that has happened over the last couple of years because of the slowdown in the chemical sector.

Ronak Oswal : Okay . Sir, what amount of growth are we seeing in the next four, five years?

Tarak Patel: So, we have to dig in more numbers as well , But in terms of the backlog here in India, it's higher, and India will grow and internationally also, we expect a small amount of growth, but we do expect to have a much better financial performance for the next financial year than we did this year .

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Ronak Oswal : Okay, sir got it. And sir on international margin , we have seen margin pressure in this quarter as well, so when are we looking to get back the margins and in the next two years what can

your targeted margins will?

Tarak Patel: So, margin pressure this quarter of course, because of the lower utilization, if utilization comes back and the volumes come back, those margins will look a lot better. India margins, as you have seen in Q4 are already quite strong. We expect that to continue in that kind of range, which is significantly higher than previous year due to all the homework that has gone in. So margins will improve, I am not here to give a kind of guidance right now, because it's still a lot of uncertainty, especially in the international business. And as time progresses, as the backlog improves, as we see order intake improve which we think it will and some of it is already coming. By the end of Q1 we would be in a better position but, I can say today that, like I said compared to 12 months ago, we are in a better position, and things are looking more positive.

Moderator: Thank you. The next question is from the line of Hardik Gandhi from HPMG shares and securities. Please go ahead.

Hardik Gandhi: Just wanted to know on the Poland site, what kind of revenue are we expecting from that site, and how fast we can ramp up, and what's your plan looking for that site for now?

Thomas Kehl: Poland is a small entity that was a couple of years of startup, where we had 51% share acquired. Just recently the current revenue will be got tripled within the very first year due to the orders we are giving in there. The growth plan is to complete further buildings and increase capacity, and in just a few years it will double again and come close to the USD 10Mn within two to three years easy.

Hardik Gandhi: Okay. So you are saying we are expecting to quadruple the revenue at least in this year. So what is the number we are looking at this year?

Alexander Poempner: We will be close to USD 5 Mn.

Tarak Patel: So just to give you an idea, they were as a stand alone Company for the one and a half odd million. And the recent order that we placed on them for our site in France is close to USD 4 Mn. So that's already a significant increase, plus over the year we will add more. We need to ramp them up as soon as possible, because again it's a great source for our two units in Europe, and the momentum there and need of those two units, and the quality levels that have come out of Poland have really been very good. So, as time progresses you will see more and more requirements being given to Poland, if we could ramp up faster, we will but of course some of these things take time and we will try and ramp up as soon as possible.

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Alexander Poempner: Just to be clear, Poland the revenue it's in fact considered as an internal cost improvement play, so it will not be a full top line revenue improvement and story. So as said, we will u

se it as

a manufacturing cup, especially for the Mavag and the French entity, which then have or keep the external revenues, but with significantly higher margins.

Hardik Gandhi: And what kind of margins are we expecting on a ballpark basis?

Alexander Poempner: As Tarak said already before that, we expect an improvement of 30% on the cost base. So, I would keep it there so that you could do some calculations. We do not want to further comment as of now.

Moderator: Thank you. The next question is from the line of Vibhav from Laburnum Capital. Please go ahead.

Vibhav: Tarak you mentioned that in pharma, India volumes have been an outlook has been strong, and international has been relatively weak. With increasing talk about global supply chain diversification out of China. Are you seeing any early benefits of it in India or outside India, that's my first question. Secondly, related to that is, do you think it's like sort of early days of impact for that trend happening, and current volume trends in India pharma are largely being driven by the GLP-1 tail wind?

Tarak Patel: The way I look at it, I know six months ago, I would not say no to certain glass lined orders. Today, I pick and choose what I want. So from that perspective, volumes have increased if I am starting a third shift now as well, the factory is also buzzing with these additional volumes. So the situation at a factory level is definitely much better. From what I speak with people that we have very strong relationship with owners and stuff. Many of them have said that, guys hang in there things are looking a lot better. Investment will come but this is more of a general India story and that is being driven by some of the uncertainties with China, some of the production of China moving to India as well, India will be well placed to capture some of that production as well. And keep in mind, the last couple of years, similar to us many of the chemical players have also not invested. So at some point, something will turn and then you will see volumes pick up. The signs are very positive, the start of the year for India looks very, very good. The inquiries in glass lined are quite strong, not only in glass lined, but across the other two verticals that we have in India, proprietary products and our heavy engineering business. Glass lined probably was the weakest one, but glass lined has recovered in a nice way, and all three product lines have a very strong backlog and a very strong outlook as well.

Moderator: Thank you. The next question is from the line of Rajiv Kalra, an Individual Investor. Please go ahead.

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Rajiv Kalra: With the recent geopolitical development, it seems like a significant amount of capex is being planned by European countries, especially Germany. Now this will mainly be in the area of defense, infrastructure, energy, etc. Do we see any opportunities related to our businesses to capitalize on this capex growth in the Eurozone, especially given our strong presence in Europe and particularly in Germany. And the related question to that is, what percent of our revenues currently are attributed to Europe?

Tarak Patel: Yes, so defense is definitely an area where we do participate, we have seen traction, we have seen recent order intake in this space, and that is definitely something new that has not happened in the past. How does it play out and pan out, I am not sure, but it seems that for European countries and the European Union Defense is one area that they do want to spend money in, and we definitely have a place there, because we are quite capable with our glass lined equipment, our acid recovery systems, quite capable of participating in that story as well. So that is definitely an area that we are seeing traction in, and we hope many of these orders in those spaces will start to materialize, if they have

haven't already. In terms of European side, you could just maybe look at the US or the Americas as 1/3rd of revenue, Europe as 1/3 and Asia as 1/3 that's really a ballpark figure. It might have fine-tuned a little bit, but generally that's a rule of thumb that we are currently working on.

Moderator: Thank you. The next question is from the line of Ravi Mehta from One-up Financial. Please go ahead.

Ravi Mehta: So there was a regulation on FGD which got pushed to 2025 from 2022 earlier. So, should this benefit your systems vertical, because I am not able to see that in the order book or revenue so far, so some color on FGD opportunity?

Aseem Joshi: Yes, so I will take this one. So, FGD, Flue Gas Desulfurization the regulation has been pushed out. Obviously that doesn't help those projects to come forth. There are, we are still engaged with a number of customers who are still deploying their FGD projects. So those are going forward, but with the regulation being pushed out, I expect new projects may slow down until the regulations are closed, until the deadline is closed.

Ravi Mehta: So, the older projects won't want a FGD unit, so you can help with your systems unit for the older ones as a retrofit?

Aseem Joshi: So there are projects for FGD that we are executing those obviously will continue. As far as new FGD projects for existing units, our conversations with customers that are advanced stages those are continuing, but I do expect new conversations may get pushed out as customers potentially delay the capex that would go into these Flue Gas Desulfurization units, because regulation pushed out. I will just add quickly, related point FGD, or various other technologies, GMM Pfaudler has realized that customers often would like to test their product, to a proof of

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concept before they go into a large investment. And to that kind, they have now established a test center in our Gujarat facility, it was inaugurated last quarter by our Managing Director, and here we have the ability to offer customers the ability to try before they buy. They can do a lot of test around the acid concentration, various other solutions, including FGD kind of application. So, we are ready for and able to solve these requirements in India, that's a big step forward for many of us.

Moderator: Thank you. The next question is from the line of Rohit Ojha from Progressive Shares. Please go ahead.

Rohit Ojha: Three questions. First one, do you think that the cleanup of the balance sheet which is going on to manufacturing a footprint optimization process which is ongoing, has that been completed or do you think there are some more subsidiaries or step down subsidiaries that you might want to close in near future?

Tarak Patel: So we have completed two of these site closures this year. On top of that, we have restructured our Swiss unit as well, so that was also a top unit that we had to clean up. And we have, that production, the capacity there, the flow of the product, has improved significantly. We brought in the right people to run the supply chain, and the project and the engineering team has also been kind of increased. So, three units have been kind of, two have been closed and one has been restructured. We will continue to kind of move production into Poland over the next month and quarters as well. In India, we are well suited and well placed, China we have to be there, and we will continue to play in China. And obviously the US and Brazilian units work

hand-in-hand to cater to the American market as well. There is an opportunity, probably somewhere in South America as well, where we haven't really had too much of success, but that could be an area especially for our mixing business, where there's a lot of mining, and mining companies that would have requirement and mining for us as mixing has become a very

important part of our mixing program. We have had large orders coming in from Australia, even here in India, and we will look at targeting some of these big mining companies where lithium extraction, or heavy metals, all that kind of stuff that is coming out. We can probably participate in that growth story as well.

Rohit Ori: Greg is appointed a CTO. What are the key short term and long-term goals which he is assigned ?

Tarak Patel: So, you will hear more about this global transformation program that we are working on. We have had already a great amount of alignment between the management team and maybe from a softer aspect, over the last year or 18 months, we really kind of come together as a group. Before that, when business was great, we were running India and international as two separate companies. But during this down cycle, we were really able to sit down and really agree and align on what the Company should look at, look like 5, 7, 10, years from now. So a lot of work has gone into how we want to organize, what our strategies are going to be, what
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do we want to be known as, in terms of our Company and how are we going to bring growth back, because you know that glass line d is a mature business. You know that we are already a market leader with 50% market share. The focus, obviously in glass line d, is to improve margins and rationalize manufacturing footprint to a point where the salesperson or the customer should have no say where this product is made. It should be a supply chain kind of a decision depending on what capacity is available within the group. So that is the end state that we would like to be in. The focus should really be on the other verticals, especially the non-glass line d verticals, the heavy engineering verticals and the systems verticals, where growth is really unlimited, because those market sizes, those addressable markets, are much, much bigger than what glass line d is. So that is really the theme of the strategy that we are trying to put together. How do we organize to capture this opportunity, how do we organize to make sure that the people involved in these verticals make the right decision and drive the right behaviors. All those things are going to be something that we have discussed, and we will now start implementing. And Greg's role is going to run this formal transformation program, because as a Company, we can't lose sight of the business, because business and financial performance is very important. But at the same time, we need to transition what has worked for us for the last 20 years may not work for us for the next 20 years. So, we have to kind of diversify, we have to be creative, we have to organize better, and we all need to be aligned with the same kind of thought process across the organization so that we create the right behavior amongst our people as well. So that's really the kind of transformation it's really a large transformation program that we are going to do, but as the market turns we will see a lot of these benefits flowing through, and we are prepared to put in the hard work to make sure that over the next year or so, we have the program in place. We are motivated, the momentum is there, the expectation within the group is also there. The management team is completely aligned, and we are ready to hit the ground running. And that's pretty much what Greg is going to run over the next 12 months. And Greg is here, maybe I will invite him to say a few words in his first conference call as well and introduce himself.

Gregory Gelhaus: Yes, hi everyone this is Gregory Gelhaus. Rohit, thanks for your question. As Tarak said, there is a tremendous opportunity within the group. It's obviously been extremely successful over the past many, many years. The diversification program has already borne a lot of fruit, but there are opportunities

to continue to improve, and this is where a formal transformation program, as Tarak has highlighted well, will really benefit the group. The senior management team is 100% aligned to drive that program, and we are looking forward to working together to achieve those aims. It is really forward looking, so we are looking to really make some significant improvements and help to drive that growth and bring that forward for the future. Thank you.

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Rohit Ori: Thank you, Greg. Tarak, my last question, you mentioned that you are looking at starting the third shift at Karamsad, how much or what percent is attributed to the shift in from Hyderabad,

and how much percent is attributed to probably the new orders, or the green shoots that is seen in the order book right now ?

Tarak Patel: Yes. So, by the time we decided to shut Hyderabad, we didn't have too much backlog there that came in there was some, but not significant. The real new backlog that is coming in glass lined is really new orders that has come in, the new investment, the new capex that is going in. It's not the Hyderabad goal that is driving this new kind of, starting of the third shift, etc., etc. It is real new volume that is being generated from the Indian market. And this is without agrochemicals coming back . So, this is still specialty and pharma and if agro chemicals were to come back at some point, that would even kind of add to those volumes.

Moderator: Thank you. We have a follow up question ; it's from the line of Samayank . Please go ahead.

Samayank: Sir just wanted to understand that we are hearing a lot of traction from , for the flow reactors from the chemical companies. Just wanted to understand, how is GMM placed in the flow reactors, and are we seeing any traction in that ?

Aseem Joshi : Just want to make sure you are asking about flow reactors, correct ?

Samayank: Correct.

Aseem Joshi : So yes, continuous chemistry is something that's been sort of on the horizon for a long time in the chemical space, as GMM Pfaudler we have been equipment manufacturers for batch chemistry, also for a very long time and we have been looking at continuous along the way . As we have studied it, we recognize the potential of continuous chemistry and flow chemistry . We also know where the limitations thereof. So based on the studies we have done, we have embarked on a few initiatives at GMM Pfaudler to make sure that as flow or continuous chemistry picks up, we are positioned to capture that, and I will just touch on some of those. First, we have an active collaboration with NCL (National Chemical Laboratory) , along with other industry leaders, chemical companies, pharmaceutical companies. We are really the only capital good Company in that alliance, and that is at the forefront of development of flow chemistry in India, and that's in partnership with a UK agency as well. At the same time, within our teams we have strengthened our capability in flow chemistry. We have already a couple of products that are available in flow chemistry, and we will continue to expand that. So , you can rest assured that when flow chemistry really picks up and it is fine GMM Pfaudler is ready to give solutions for the customers for the same .

Moderator: Thank you .

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Moderator: There is a follow up question from the line of Rohit Ori from Progressive Shares. Please go ahead.

Rohit Ori: My question is related to the heavy engineering business. If you can take us through that, what sort of capacity is there at Vatva, and do you think that there should be phase two of Vatva coming soon?

Tarak Patel: So, we believe we have plenty of room for growth in Vatva itself, certainly for the next couple of years. However, we do anticipate outgrowing that facility out in the future. So, we are actively working

king on those plans. Demand is very strong , we believe we have very strong systems in place now. In the past three years, as we have been running the factory, we have seen very good ramp up, as well as a very good margin expansion over the past three years. So, we are looking to expand this , in new calls we will share expansion plan , right now we have adequate space in Vatva for probably the next two years .

Rohit Ori: And this allocated platform for the bullet train, it runs very close to our plant in Vatva . Do you think that we can play some role , via HE, for the bullet train project if any?

Tarak Patel: No, not really. I wish I could , if we could have a station next to our plant it would be very convenient, but the station would be in the city of Ahmedabad. But you are right, it runs very close to us, but unfortunately, most of the work with that railway has been completed. So, it's not an HE play for us.

Moderator: Thank you . Ladies and gentlemen, that was the last question for today's conference call . I now hand the conference over to the management for their closing comments.

Dhaval Rajput : Thank you, team . Thank you everyone for joining us today. It was a pleasure interacting with you, and we look forward to many such interactions during the course of the year. Take care and see you soon.

Tarak Patel: Thank you.

Moderator: Thank you . On behalf of GMM Pfaudler Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you .

Call: Aug 2025

GMM/SEC/2025 -26/46 August 14, 2025

To,
BSE Limited National Stock Exchange of India Limited
Scrip Code: 505255 Symbol: GMPFPAUDLR

Sub.: Earnings Call Q 1 FY26 – Transcript

Dear Sir/ Ma'am,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of earnings conference call for the quarter ended June 30, 2025, conducted on August 7, 2025, for your information and records.

The above information is also being made available on the website of the Company at www.gmmpfaudler.com.

Thanking you.

Yours faithfully,

For GMM Pfaudler Limited

Mittal Mehta
Company Secretary & Compliance Officer
FCS. No. 7848

Encl.: As above

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AUGUST 07, 2025

MANAGEMENT :

- MR. TARAK PATEL – MANAGING DIRECTOR , GMM PFAUDLER LIMITED
- MR. THOMAS KEHL – CHIEF EXECUTIVE OFFICER (INTERNATIONAL BUSINESS), GMM PFAUDLER LIMITED
- MR. GREGORY GELHAUS – CHIEF TRANSFORMATION OFFICER , GMM PFAUDLER GROUP
- MR. ALEXANDER POEMPNER – GROUP CHIEF FINANCIAL OFFICER , GMM PFAUDLER LIMITED
- MR. DHANANJAY BAJPEYEE – HEAD OF OPERATIONS - (INDIA BUSINESS), GMM PFAUDLER LIMITED
- MR. DHANANJAY RAJPUT – GENERAL MANAGER FINANCE & ACCOUNTS , GMM PFAUDLER LIMITED
- MS. MITTAL MEHTA – COMPANY SECRETARY & COMPLIANCE OFFICER , GMM PFAUDLER LIMITED

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Q1 FY'26 Earnings Conference Call
August 07, 2025

Moderator: Ladies and gentlemen, good day and welcome to Q 1 FY'26 Conference Call of GMM Pfaudler Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal the operator by pressing "*" then "0" on

your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Dhaval Rajput. Thank you, and over to you sir.

Dhaval Rajput: Thank you. Good evening, ladies and gentlemen, a very warm welcome to all of you in to the Q1 FY'26 Earnings Call of GMM Pfaudler Limited. The earnings presentation was uploaded on the Stock Exchanges today and is also available on our website. Hope all of you had a chance to go through it.

From the Management we have with us our Managing Director – Mr. Tarak Patel, our Chief Executive Officer of International Business – Mr. Thomas Kehl, our Group Chief Financial Officer – Mr. Alexander Poempner, our India Head of Operations – Mr. Dhananjay Bajpayee and our Compliance Officer – Ms. Mittal Mehta.

We will give you a brief overview of the performance of the Company, after which we will get into the Q&A.

Before we begin with the overview, a brief disclaimer :

The presentation that was uploaded on Stock Exchanges and also on our website, including our call discussions that will happen now, contains or may have certain forward -looking statements regarding our business prospects and profitability which are subject to several risks and uncertainties. The actual results could materially differ from those in such forward -looking statements.

I will now hand over the call to Mr. Tarak Patel to provide an overview of the performance.

Over to you, Tarak.

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Tarak Patel: Thank you. Dhaval. Just one clarification we also have with us today, Gregory Gelhaus , our Chief Transformation Officer, joining the call. Let me start off with a brief overview of our quarterly performance. We have delivered a stable revenue this quarter with a strong improvement in the profitability, largely driven by our India business. Our consolidated EBITDA is up 14% year -on-year and our India EBITDA has grown by a strong 45% year -on-year . EBITDA margins have also improved , today we are at 12.7% at a consolidated level and 15.7% on a standalone basis . Order intake this quarter has been quite strong , we stand at about 1 ,004 crores of order intake, primarily driven by our system and our services business. This is 14% higher year -on-year, and 52% higher quarter -on-quarter which impacts our backlog. Our current backlog stands at INR 1,906 crores, which is an increase of 7% year -on-year and 17% quarter -on-quarter. This provides healthy visibility for the upcoming quarters.

We are in the process of completing the acquisition of SEMCO . SEMCO is expected to close next week. We had mentioned during our last disclosures regarding SEMCO, that this is our foothold into the South American and Brazilian markets, where we believe that there is going to be significant investments in metals and minerals, wastewater, sewage treatments, where SEMCO already has a very large and established brand name as well as a strong customer base. With SEMCO's acquisition our global mixing platform includes Mixion in India, Mixel in France and China, Mixpro in Canada and now SEMCO in South America, and we now have a strong global mixing business. The idea is really grow this business and make sure that it comes under one roof and under one brand going forward .

In terms of the market, the market here in India seems a little bit stronger Investment has come

back in pharma and in the chemicals, and we do expect agrochemicals also to start investing in the next few quarters. We have already seen inquiries and opportunities from these sectors, and our opportunity pipeline has also grown over the last few months. Having said that, we must keep in mind that there is obviously global uncertainty. Some of these decisions of large projects may be put on hold considering what's going on in terms of global tariffs. However, having said that, we do believe that the India business is definitely stronger today than it was about a year ago. With that, I would like to now open this call up for question -and-answers. Before I do that, I would like to pass on this to Alexander Poempner , our CFO to take you through the numbers briefly.

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Alexander Poempner: Thank you, Tarak . And good evening everyone, also from my side and thanks for joining today. And I do not want to say so much as Tarak already said , we have started Q1 with a consolidated

revenue of INR 795 crores and an EBITDA of INR 101 crores. Therefore, now I just would like to mention two important topics, more accounting driven:

First, Foreign exchange change impact: During the quarter, Euro appreciated by approximately 8% against the US dollar, and this resulted in a notable foreign exchange impact across our financial results. This is due to the fact that we have intra-corporate fund currency borrowings within our international operations and due to this currency movement, we faced an exchange loss of INR 20 crores in the P & L statement, as disclosed in note iv) in the financial results. This is an unrealized impact with no cash impact.

The second one is also what you have probably recognized is that we have a really high tax rate. The tax rate at up to 68%, this is also influenced by our international group structure and for example, a large portion is just due to the fact that some of our corporate expenses including this foreign exchange impact, is in the entity which has no income. As a result, we do not show a tax credit for these losses. So this is again coming from the accounting side with not really a big cash impact. This was it so far from my side, and now we would like to open the call for questions and comments.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Mihir Manohar from Carnelian Asset Management. Please go ahead.

Mihir Manohar: Sir, largely wanted to understand the US business exposure. So, what is the US business exposure, US exports, India to US, and Europe to US. What would be that number?

Tarak Patel: No, so we have no significant exports from either India or Europe into the US. US, we have a large manufacturing facility which is local and pertaining to the US market. We also have Brazil as a low cost source for the US market. And as we understand today, there is no significant tariff on glass lined equipment that is exported from Brazil to the US. But as you know, every day there is a new situation, and it's changing and it's dynamic. But as of now, we don't see any significant issues with the US tariff situation in the way that we are structured.

Mihir Manohar: Understood. With reference to the material procurement, so through manufacturing which is happening in US, roughly 1/3rd of the business is America's. So, is it that the cost of manufacturing for our companies based out of US is increasing, or even that is on the challenge?

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Tarak Patel: No, the US manufacturing facility sources locally, we are one of the two other suppliers who have local manufacturing in the US so we do have a strong position. The US market is a large market for us and a profitable market as well and being local and having Brazil as a low cost

source has worked well for us. We hope that maybe some of these tariffs impacts will maybe energized or increase investment in the US market. We have seen over the past maybe a few months, that there has been more inquiries for US made product for the US market, which in the past we were not seeing, especially in pharmaceuticals where we believe people might invest and make sure that at least some manufacturing is done in the US. So, if that were to happen, then it would mean that obviously our US business would benefit from this tariff situation.

Mihir Manohar: Okay, understood sir. Just one clarification as of now, Brazil to US GLE as well as non-GLE exports that is not under tariff?

Tarak Patel: Yes, so we basically use Brazil as GLE exports to the US. US also has a small manufacturing for systems and some stainless steel and non-glass lined equipment as well, but generally it's mainly glass lined. And as of right now, the glass lined exports from Brazil to US seem to be not notified under this tariff regime.

Mihir Manohar: Okay, understood sure. My second question was on the interactions with clients. Last time we were expecting pickup to happen in India from end of the year or specifically Q3 onwards, if you can provide some color as to what is the interaction that you are having with clients across all the three geographies, from a business pickup perspective, that will be helpful.

Tarak Patel: Sure. So, let me start here with India. India, like I said chemical, pharma, good amount of investment. Recently, we have seen a lot of investment in this GLE to and peptide manufacturing here in India, that is something that is going to continue. We have also participated in that investment and have secured a large number of orders in that space. The glass lined business also in India is picking up. We have now a full factory in Gujarat. If you remember last year, we had two factories and both factories were running at 50%, 60%. Today, we have in this quarter over absorption in the Gujarat facility in our glass lined business, because the volumes have increased, and we believe that glass lined will continue to improve. We have now received also inquiries from large agrochemical players, which is a positive definitely, because we haven't seen that really happen over the last 12 to 18 months. So that's a change, and we expect some investment to come into Q3 and Q4.

So from an India perspective, India backlog and India business, we do expect a good amount of growth this year. We are in a strong position as well in terms of the India order book, and we are expecting to grow quite nicely this year as compared to previous year.

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Internationally, there are different themes across the world, Europe we are seeing a little bit lower investment in terms of the chemical and pharmaceutical however, we see some other industries which are kind of making up for this shortfall. During the quarter, we received a very large order from European company in the range of about EUR 33.7 odd million, about USD 37 million, this is more into a Covid recovery, and kind of spend there and we are seeing that level of investment coming back to industries that are involved in the defense manufacturing, arms and ammunition and so on and so forth. The US again, as of right now it has shown some amount of recovery in terms of the services business, but to say that it is back to its original investment levels, I think we will still have to wait and watch a little bit. Generally the international business, the outlook is still a little bit more cautious, because obviously with the global uncertainties, it might be because some of these investment the decisions might be postponed. Having said that, India will remain strong, and hopeful

lly we see some amount of

reversal of this trend in the international business in the coming months.

Mihir Manohar: Sure, understood. My last question was on the cost control measures. What is the status of the cost control measures that we were looking to implement for the European geography, and what at the consol level, both for India, now the consolidation of plants, as well as the consolidation plants in Europe at the consol level what kind of margin improvement can we expect over the next few years?

Tarak Patel: So there are multiple different cost control measures that are ongoing. I will speak a little bit about maybe one or two, and then Thomas and Alex can jump in and talk you through a little bit more in terms of what's going on the ground. So in India currently we are running and we ran last year a very kind of robust and it was an EBITDA improvement transformation project that we ran, it lasted about nine odd months, and we expect those benefits to accrue in this Financial Year. You would have seen some improvement in Q4 of last year, and that continues in Q1 as well, with a lower revenue base we have significantly improved the margins. And over the next few quarters when our revenue increases you will see some of that flow through also, flowing into the P & L as well. So that's something quite a bit here in India, but we also continue to make sure that our cost structure remains quite lean, and that's something that's ongoing. You would have known also that we have now launched our Poland project that is up and running as well. We have now started sending orders from Western Europe, high cost geographies like Switzerland and France to Poland, the quality and the delivery from those sites have been very good, and as time progresses you will see more and more material and orders moving into lower cost geographies. With that maybe I will pass it over to Thomas, who will speak a little bit more in terms of the restructuring that we are doing internationally.

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Thomas Kehl: Well, on the glass line technologies we have started the journey of restructuring a couple of months ago where we had closed our facility for glass line in Scotland, UK Leven. That has been completed and the benefits of the cost savings are seen in the next quarters. Most likely however, the market is very difficult and the demand is low. We have increased our productivities and speed in reglazing, where we can take orders and process them much faster, at the same time we are now considering, have started a project to look at the cost structure of our German plant, and have started to implement and discuss several training program there with the same goal to have the capacity more flexibilized and more valuable in future, but have the capacity available when it's needed. So, this will help us in the future also very nicely. On Poland, our joint venture that we have bought, couple of months, Tarak already touched base on that, we have firm plans and we are waiting for the building permit to increase our footprint in Poland over the next couple of quarters. And this is going quite well, and more orders from locations in France, Switzerland will be manufactured in this plant in the future.

Moderator: Thank you. The next question is from the line of Jaiveer Shekhawat from Ambit Capital. Please go ahead.

Jaiveer Shekhawat: My first question is, when I saw your gross margins for your India business, there has been a considerable improvement that has happened over the quarters, but if I see the order intake for the last few quarters it has been declining. So, I am just trying to marry the two, how are

gross margin increasing when the order intake for the India business has been falling and also alluding to your commentary, we have been hearing that there is a pickup that's happening in the market the volume

lumes are increasing. So why is that still not reflecting in terms of the order intake and then when do you expect that to happen that will be my first question.

Tarak Patel: Sure. So, order intake in Q1 was obviously a little bit lower, but there is some amount of the seasonality, Q1 is usually not quite strong. And do keep in mind that a large part of our order intake in India is also the heavy engineering business. This obviously is something that we already have a strong backlog in, but you will see over the next few quarters that order intake and the opportunity pipeline is quite robust, and we expect order intake, and we have already seen good order intake in this quarter as well. So from an order intake perspective for this Financial Year, we are pretty much in a very comfortable position here in India. We do need some orders by September, October, which we will get quite easily. So I am not so stressed. And now the focus is really shifting into building backlog for next year. And as you know, with heavy engineering these are large long term projects so we are currently working with very large project that can go on between somewhere between 12 to 18 to 24 months, and hopefully we will have that in our backlog in the next few months.

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Jaiveer Shekhawat: Sure. Also on the heavy engineering piece, we have heard that over the last few quarters, the pickup especially from a lot of these oil PSUs, private oil companies, have been quite sluggish. Off late, are you seeing more pickup happening, more refineries coming up, and then you also participating in some of those tenders?

Tarak Patel: Yes. So, I will have Dhananjay, who the Head of Operations and has been in this heavy engineering space for quite some time. Maybe Dhananjay if you could just share some words.

Dhananjay Bajpeyee: So in India, the refinery oil and gas business is expected to grow over next five to six years around 6%. So that will reflect in order inflow and there are few active inquiries for the refinery projects which are stated to come up. So the answer to your question will be yes, this order inflow will keep improving over the next few quarters.

Tarak Patel: Yes. So we are working on heavy engineering as the same for us is a clear, clear growth area for us, not only here in India, but also internationally, Southeast Asia, Middle East, are large markets. We have already started, we have been kind of approved at on quite a few vendor lists now, we have agents now set up that network is ready. And we do expect the Middle East to also contribute to our order backlog. But having said that, there are large projects here in India that we are currently bidding for that should be finalized shortly. And like I said again, this is really for next year, this year heavy engineering is already pretty much booked out, so we really need to kind of build backlog for next year. And we are in a strong position to do that.

Jaiveer Shekhawat: Sure. On your international business, I understand you highlighted there was a large a/cid recovery order that you received. But even if I were to remove that from your order intake, it means that considerable pickup has happened over again last few quarters comparing that, anything that's happening, are there any more large one off orders that have come in the quarter, or is there a general pickup because again, it sort of conflicts with your commentary when you said it's more stabilized at the moment, we are not really seeing a lot of pickup. So, what is really driven that apart from the large order that you highlighted?

Tarak Patel: Yes, two areas where we have seen good amount of traction is obviously the systems business and the acid recovery business that we received. So that's been a strong vertical for us. We also have seen last quarter

that services has come back in a strong manner. However, our glass lined business is behind budget in Germany and in China. So those are the two areas. Glasslined is still slow in Europe and also in the US. So that's definitely something that we would need to work around, and we need to be a little bit more aggressive. But that's just a general market condition where investment in chemicals and pharmaceuticals in Europe and the US has not been significant over the last few quarters. But things can change quickly. There is definitely localization, there is also this tariff situation, and we now find that our opportunity pipeline has grown. The other metric that we use is how much of the opportunity pipeline has grown, and across our businesses it has grown significantly.

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Now we would just wait for these to now turn into actual orders. But the trend, internationally also in terms of the pipeline is the positive. However, it's not still converted into orders. Having

said that, we do expect large orders in the non-glass lined business in mixing and in the other areas over the next few quarters, glass lined still remain a little bit slow.

Jaiveer Shekhawat: Sure. My last question is with respect to US business. So over there, are you looking to ramp up production, possibly onshore as well as via Brazil and could you give a sense in terms of the imports of glass lined equipment that happens from any other players apart from you into the US market. So, I am just trying to understand, because of these tariffs if these get finalized, what could be the incremental benefit that can come to you as you become more competitive in that market?

Tarak Patel: So, I don't think there is significant import into the US. US is a closed market, they normally buy from US manufacturers themselves, and plus shipping, glass lined equipment around the world is not very, unless if it comes from India or China, but shipping stuff from Europe to the US, I don't think it makes too much sense in terms of cost. So, the US will buy local or will buy from maybe Brazil. We have supplied from India in the past, but of course now India supplying to the US with the current tariff situation doesn't seem like a strong possibility, but we have multiple different options. The ideal situation would be that our US unit will probably if this investment comes in, then they could serve that market quite easily. We have the capacity available, we are well known, we are the market leader in the US, so we just have to now make sure that we can execute these orders as and when they come in, if they do come in.

Moderator: Thank you. The next question is from the line of Sagar Shah from Spark Capital. Please go ahead.

Sagar Shah: My first question was regarding the demand environment, you have already explained about the kind of dullness and at least in the demand for glass lining equipment as far as global markets are concerned. What I wanted to understand that you are guiding for at least a better H2 and regards to non-glass lining technologies, especially regarding to Edlon, and especially regarding to industrial mixing as far as global cues is concerned. So as far as the diversification path which we took around three years back. So, how is the demand environment as far as the non-glass lining is concerned in the global markets, because still, your technologies, your segment hasn't shown actually that sort of meaningful growth which you actually envisaged even a year ago. That's my first question.

Tarak Patel: Yes, so the non-glass lined business also like our glass lined business mainly caters to chemical and pharma, at least our erstwhile non-glass lined business, and the idea of the diversification strategy is to open up more industries and industry segments for us. SEMCO

does that because

SEMCO caters into the fast growing metals and minerals and wastewater and rare earths markets in South America. So that would be a stream for growth as well. Our Mixing in Canada also caters to non-legacy segments, so they cater also to metals and minerals and oil and gas

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and petrochemicals in the Canadian market. The idea is to build different industry segments, and that takes a bit of time, but we are well positioned today to kind of take some of these orders. And, just to give you a few examples, we have currently orders on hand which have come from our non-core markets. So even with the slowdown in the chemical market, a lot of the shortfall was made up with orders coming in from things like food and beverage, oil and gas, petrochemical, we are doing work for the battery technology. I said, arms and ammunition and the defense is something that we are working on. And then with Edlon now, we cater to two different markets. We cater to the semiconductor market in the US and also the nuclear market in the US. So, again there is diversification place across all our industries. We are using our current portfolio to try and enter into as many new market as we can, even with a heavy engineering play here in India, we are now looking at doing work for the nuclear sector. We are doing work for oil and gas, petrochemicals. We are going into Southeast Asia, Middle East as well. So these are markets that are opening up and then obviously there are new industries like battery technology and stuff, where we have also done some good work, and that could be they are small markets, but they could turn out to be quite a big market in the future.

Sagar Shah: Right sir. My second question was related to the standalone operations, the company posted very healthy operating performance as far as the EBITDA margins are concerned. What I wanted to understand now since the glass lining demand is actually improving in India as per your commentary, as per we are hearing from the industry. And secondly, also your heavy engineering business has already taken off. And considering you are also there is a lean cost structure that you are operating in as far as the standalone operations are concerned. So is it safe to assume the margins are sustainable as far as the standalone operations are concerned or maybe even we can see further improvement from here on. That is the second question.

Tarak Patel: So, as per our current estimate, 15%-16% is sustainable. I do believe that when you have incremental revenue flowing through these factories, when we have better absorptions, maybe those numbers might look a little bit better. The focus this year is to make sure that we execute well and we grow here in India, there could be obviously, some market share, some

orders that we take for strategic reasons, which might impact . But generally, the region that we are currently in, plus a little bit of upside is possible. The focus should be on execution now, and that's what we are focusing on. And like you rightly said, our factories are now at a good capacity utilization, across the board, both the factories are full now, and you did not mention that a large chunk here in India is our non -glass lined business as well, which includes mixing, filtration and drying that has done increasingly well. Like I mentioned a few questions ago, a large order for peptide manufacturing in Hastelloy , stainless steel, that's all that is going into our filtration and drying, our mixing portfolio as well . So both our non -glass lined businesses are doing quite well , they are full . A very strong and healthy backlog . Glass lined , decent backlog but I believe that with the new CAPEX that comes in over the next few quarters, we could really be back to a very strong backlog in one factory while last year we had obviously GMM

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two factories to fill. So we are definitely in a better position. And to answer your question , the margin profile of the standalone should be something that is sustainable.

Sagar Shah: Sure, sir. My last question was related to heavy engineering, to follow up just what you said . In the heavy engineering segment, and also in the non -glass lining segment, are we looking for any CAPEX , since the capacities are full, so are we looking at CAPEX as far as the India business is concerned ?

Tarak Patel: Yes, so currently we have not gone to the board for approvals yet, but I believe that we will add some capacity in non -glass lined , in mixing and filtration and drying that is what's growing and we have a limited area there . The CAPEX would be in the range of INR 7-10 crores , is not significant CAPEX , but we do want to create a world class facility for this product line, not only for the Indian market and export market, but also for low cost sourcing for our group companies as well. So that's something that we will want to build here and use in the next few quarters. But yes, we do believe that we will need some CAPEX to grow that and heavy engineering we have capacity available. We are okay for at least the next year and a half. But, after INR 600-700 crores, we might need more the capacity there .

Moderator: Thank you. The next question is from the line of Praveen Kumar from Acuitas Capital Advisors. Please go ahead.

Praveen Kumar: I had a couple of questions. The first one was on the domestic side. In your comments, you have alluded to the glass lined , GLE part of the business and India doing well. But , if I look at the breakup of your domestic revenues into services, systems and technologies, if I compare the technologies part on a Y-o-Y basis, the revenue of Q 1 FY'26 compared to Q 1 FY'25 on the technology side and domestic seems to actually have fallen by 8% . So, can you throw some light on this?

Tarak Patel: No, it's just a product mix issue. It's just, a one off. I don't think that you should read too much into that. Like I said, the backlog across all three business lines are quite strong. One quarter, you will see glass lined doing better and growing one quarter , HE will have big shipments. One quarter, it would be the non -glass lined . So technologies today has all these product lines in it, but like I said, we do have plans to obviously ship out over the next few quarters. We know what backlog is there, but I don't think there is any specific kind of reason why one is more or less, across the backlog in our standalone business we have a strong backlog across all three verticals.

Praveen Kumar: Okay . And just on this note, earlier the company used to provide order intake breakup of domestic versus International, you have discontinued doing that, any particular reason for that?

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Tarak Patel: So, here we would like to just mention that today obviously the company is going through a transformation process, the International versus India, the division was something that obviously was there. But, as a global company we do look at probably having more of a kind of a global kind of view on this . Sharing backlog data , this is just a way that we have been doing it in the past. And, backlog is at a group level , there are different geographies, there are different businesses. So at the end of the day, the backlog really is for the whole company. There is no specific reasons why we did it or didn't do it. But, in the future when we do go through this global transformation program, the way we organize, our strategic plan, our financial numbers, we will come back to the market with some kind of thought in terms of where we are and where we want to go. So just bear with us, maybe for a few more quarters, and then maybe we will have some be

ter way of sharing data, and you will have better ways of analyzing that data. So no specific reason really, the backlog today is strong, it is much higher than what it was 12 months, 18 months ago. So we are in a better position, but again, like I said it's still cautious. We are still hopeful and optimistic, but we do have to really take into account that there is a lot of global uncertainty. So that's really not in our control, the only thing we can try and control is to make sure that we have multiple different opportunities across various industries, to make sure that order intake remains strong.

Praveen Kumar: Understood. My other question was on, there was an exchange notification about Aseem's exit. So just wanted to understand that, again on international side, the multiple lines of business, even in India with more focus on heavy engineering as well as GLE. With exit of Aseem and others, is there some kind of organizational restructuring you are doing on the domestic side because, how do you plan to devote the organizational bandwidth required for Indian operations?

Tarak Patel: Yes, so first thing to say is that, obviously Aseem has been with us now for four years. We have enjoyed working with him and we thank him for all the good work that he has done. Obviously, it's a professional decision to move on. He had an opportunity which came along, which he could not say no to. So that's something that's part of life, and we move on. Having said that, we obviously have a global transformation program ongoing, like we mentioned in our disclosure, that the India CEO role is something that we are thinking about considering, and as we reorganize, we restructure the business to give the kind of focus, independence and flexibility, we will then kind of figure out what is the right global organization structure.

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Whatever structure we choose, the structure will obviously help us to be more focused, to be more proactive, and to be able to be a better company for the long term. This is something that we have inherited. Unfortunately there is obviously with legacy businesses like ours, which are more regional in nature. There is obviously less alignment between the regions. We want to bring some more alignment into this business. And, have people think about not only their region, but really more about how the business is doing at a global level. So some of the decisions related to cost structure, in terms of innovation, in terms of automation, in terms of people and organization, we need to relook at that, it's a good opportunity for us to do that. And the excitement levels, the motivation levels within the organization, kind of we are doing something that is going to help us in the long term.

Praveen Kumar: Understood. Just one quick last question, in response to one of the other participants, questions on the domestic margins and whether there was room for improvement, you mentioned that, while there could be improvement on the execution side to win some orders, you might not want to give up a little on that side. So just wanted to understand that response in more detail, because earlier, I thought a few years back the company's strategy used to be to focus more on margins. Sometimes maybe, so is there a rethink at an organizational level in the domestic business to focus, to shift the margin versus growth focus slightly more on the growth side. Is that something we should read into?

Tarak Patel: No, I don't think so, we want to grow but we also want to improve margins. So at the end of the day, we want to grow profitability. We have worked very hard over the last few quarters in India, especially to raise and improve pricing in glass line d. We are seeing some of that also have an impact now, we are also more be picky and choosy when it

comes to certain orders.

But in heavy engineering, there are sometimes large orders which might not be as lucrative as a smaller order. But at the same time, the 15% odd EBITDA level margin is something that we strive for as a group, and in heavy engineering as well, we would probably strive for that. Something might come in at 12% -13% something will come in at 20% but it will average out. So, I don't think there is any compromise on any kind of outlook in terms of growing and improving our margins. Maybe, Alex you want to add something here on margins?

Alexander Poempner: No, whereas I just would echo what Tarak just said.

Tarak Patel: So we have always been a company that is not only kind of after growth, we want to grow, but we want to grow also profitability right. So, a lot of the work that we are doing today will help us improve profitability as well.

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Moderator: Thank you . The next question is from the line of Kunal Mehta from Sunidh i Securities . Please go ahead.

Kunal Mehta: Sir, I have a question with respect to the international business. Are we sitting on high fixed cost, are we not operating at optimal levels . Because , the international business is leading to a little drag on the overall consol margins and I also wanted to know what is the total capacity that we have, or what is the peak revenue that we can achieve in terms of all the three segments, if going ahead what guidance can you give on that?

Tarak Patel: So, I will start off and then maybe Alex can jump in. So international businesses inherently come with a higher cost structure , manpower cost in Europe and the US is much higher than low cost countries like India and China. That's something that we are quite aware of, but you would have appreciated that we pushed hard to make sure that at least some of this offshoring of production, setting up a new facility in Poland, sourcing from India, sourcing from Brazil. So there is already a thought process that we do feel that we need to reduce our footprint in high cost geographies and move them to low cost geographies. That's part of our strategy, and that's something that we are working on quite hard. Thomas did mention a few questions ago that we shut down the UK facility last year. We have also shut down our Hyderabad facility last year. So there is always a push on making our cost structure just more and more the efficient. Unfortunately, the down cycle came along the same time. If the market was booming, it would have been a very different situation. But it's always good to do some of these, put these cost structures and cost efficiency in now so that when the market improves, hopefully some of that will kind of have a positive impact as well. What was your second question on margin, sorry what did you ask?

Kunal Mehta: On capacity , let's say how much capacity that we have, because it is difficult for me to assess. If let's say there are multiple orders like this quarter you all had good order inflow, one of the highest in the last 8 Quarters. So going ahead, if the market sees an up cycle here, how much capacity we have if we can cater to all the orders ?

Tarak Patel: So, it's again very difficult to say , we have capacity available in the international business for sure, because business is slow there, order intake is low. So we have capacity available there India, right now in terms of capacity we are definitely a little bit less flexible , our factories both in Karamsad and in Vatva, 80% -90% if not more. But we do have plans of increasing through operational efficiencies, better kind of workflows, improvement in terms of the flow of equipment and stuff like that. So , we are trying to improve but like I said, at least for our non - glass lined business in Gujarat, in our Karamsad facility, we do expect to add some capacity, because now we have come to a point where

we will need some more .

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Alexander Poempner: Let me say , in fact Tarak is fully right we know there are higher fixed costs in Europe and the US. We attacked this , we already mentioned the closure of one site in Leven . Therefore, in fact we only have two remaining glass lined sites in Europe before it was three. So you already saw that it's a significant reduction, which should bring some improvements on our fixed cost base. However, we still depend on orders, and this is currently the customers hold back some orders due to the general uncertainty. So , if the orders come back of course we definitely see a directly an improvement in margin and a ramp up of the European as well as US organization. And the other part , we only partly discussed is China. China, we have our site there , we have the fixed cost there , we have planned operations there. However, the order intake is really, really low and nevertheless we have to keep some part of the cost, because we just would like to be present in China. You currently see this in our margin. However, going forward, when China will come back, what we expect, we will directly see a positive impact on our margin development.

Tarak Patel: Yes, just to add maybe one more point is that , we also did restructuring in our Swiss subsidiary as well. And last year was not a good year for that Swiss subsidiary . This quarter has been a decent quarter for them. Obviously, these things take time and as order intake improves, we hope that the Swiss subsidiary will also do quite well . So the work is going on, hopefully some of these orders and opportunities will materialize, and then we would be in a good position. But International is still a bit slow , India is quite strong this year. But like I said, because of the global uncertainties and investment decisions in US and Europe will take some time.

Kunal Mehta: And sir what is the update on the Poland , the JV that we have at what capacity it is operating, and how will the uptake be ?

Thomas Kehl : In Poland , as we already said, the joint venture there was far reactive for couple of months ago. In the first phase, they had one building and the second building under construction that has been finished. So manufacturing place is doubling , we already have asked for permits to build building number three and four. So we will increase the capacity and the manufacturing

footprint there significantly over the next couple of quarters, and then when we are finished physically constructing, we are tripled in size and then get the capacity. We are super pleased with the capacities and the on time deliveries, that the qualities that they deliver so far with the products, and this is going to help our overall footprint optimization significantly in Europe, and also lower cost.

Kunal Mehta: Okay. And sir, in the presentation, I also saw that, just one follow up only. It says the SEMCO outsources the manufacturing. So is that also a benefit to the fixed cost because, since it is outsourced, is it managed in a better way?

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Thomas Kehl: SEMCO was very attractive for us for a couple of reasons. One reason is, of course access to this adjusting market and there is a lot of growth opportunities, technologies that in this way we did not have. And the business model of SEMCO is engineering, assembly, and service, and they have outsourced their manufacturing. And with our global footprint, we can help them with outsourcing and giving even lower cost sources over time.

Tarak Patel: So just to maybe speak a little bit more about SEMCO, because of their size and scale, they didn't have access to large orders because of their financial kind of, just being in Brazil like bank guarantees and things like that. Now, there's a whole new market that opens up, because obviously

as a bigger company, as a Pfaudler group, we can kind of support them with bank guarantees and finances. So that's something that will open up larger orders. The backlog in SEMCO is quite strong. The opportunity pipeline also remains quite strong. We expect large orders this quarter as well. So SEMCO is definitely a growth story for us, the margin profile is around 15%, we need to look at low cost sourcing also to maybe try and see if we can improve that. The other benefit of SEMCO, that SEMCO will get with our group is one is that some of the SEMCO products can be taken to the rest of the world, but SEMCO also has access to all of Pfaudler products for the Brazilian and the South American markets. The other thing that SEMCO also needs is low cost engineering, project management capabilities which they don't get very easily in Brazil, and we can definitely support them out of the Indian facility. So a lot of things around SEMCO that are quite interesting, and as it kind of as time continues, I believe that SEMCO will play an important part in our growth story.

Moderator: Thank you. The next question is from the line of Jay Modi from Emkay Investment Managers Limited. Please go ahead.

Jay Modi: Sir, could you just broadly help us understand, how has the mixing business grown for the quarter?

Tarak Patel: How much has the mixing business grown for the quarter. I don't have the exact numbers. I would say high single digit, but let me also give you some color on basically today, with the addition of SEMCO, we should be about USD 65 odd million, that puts us into a very kind of a strong position when it comes to mixing companies globally. We have a strong footprint, we are well situated to take as much advantage of our low cost manufacturing, our low cost engineering capabilities. And within the four companies that we have in mixing, we have a lot of different technologies available. So it does not only cater to one market, there is multiple markets we cater to, and we would like to bring that under one umbrella and make sure that we can sell all these technologies around the world. So really the push in mixing is to go out and get market share, go out and compete in newer industries, go into areas where we currently don't have a strong footprint. So that's really the mixing strategy, and mixing is a growth area for us, and we believe that mixing will continue to grow quite well.

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Alexander Poempner: Maybe one additional comment regarding mixing, because it shows also sometimes the impact of global business. The highest single digit growth rate that Tarak mentioned is driven by our operations mainly in Europe and France and Canada, because the operations of the entity in China, it faces the same problem that we also face with our glass lined business. The Chinese market is quiet also for the mixing business. So in other jurisdictions, the growth rates are higher. In China, it's more or less, it's close to negative growth rate.

Jay Modi: Got it. Sir, adjusting for China would we be growing in double digits in the mixing business?

Tarak Patel: The expectation is to grow at double digit levels.

Alexander Poempner: This is exactly, to make it clear yes, definitely it is and if you carve out the Chinese demand-growth that we currently face, yes we are in the double digit range. But China is unfortunately currently not only mixing, but also glass lined, and I assume also significantly other industries, they do not see the growth, and therefore we face their negative impacts. But France and Canada are

doing well and as stated before also with the latest acquisition, SEMCO in Brazil, we are also really positive to see the two digit growth rate.

Tarak Patel: Yes, so one more thing to add is just keep in mind that five years ago, our mixing business in India was about INR 25-30 odd crores .

Today, we are close to INR150 crores . So we have tripled or quadruple the size of that business over the short term. The focus is to continue growing that business. There is more and more need for mixing, industrial mixing across various industries. So we see that as a growth opportunity for sure.

Jay Modi: Got it . And sir, in your international business given the macro situation, although we have strong order book, but do you think that the execution could be pushed to the next year and this year would likely see a decline , any of your thoughts on that?

Tarak Patel: No. So if the orders are on hand, then we will execute them immediately , there is no way that we can push them out, but new orders coming in , that time frame is something that we expect and we see already some positivity there. But again, like I said that it is not as, I would say hot as maybe the Indian market right now, but investments will come back eventually. They have started to come back already but in terms of executions, we can't push anything out. Whatever orders are on hand will have to be shipped out in this Financial Year, mainly in this Financial Year. And do keep in mind , then we still have the services business, which is an ongoing business, and those have much shorter delivery. So that is something that will continue to come in and will continue to get shipped this year as well.

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Moderator: Thank you. The next question is from the line of Kaushik Mohan from Ashika Group. Please go ahead.

Kaushik Mohan: I just wanted to understand on one single part, what is our current utilization in Indian business in a factory ?

Tarak Patel: At glass line d, we would be probably at 80% utilization , in our non -glass line d business maybe 90% and maybe heavy engineering about 80% .

Kaushik Mohan: Okay. What about our international business?

Tarak Patel: I would say, depends again on geographies, but I would say anywhere between 50 %-70% something like that , maybe a little bit lower also in some cases in China especially.

Kaushik Mohan: So, is there any differentiations that , can we make it that if we are producing only in India, and if we are producing only in outside India, what's the cost benefit that we are getting it here?

Tarak Patel: So the material cost across the world is pretty much the same. So steel will cost you the same anywhere you go. The big arbitrage is really in terms of labor cost, and India, and other low cost countries are significantly lower in terms of labor costs when you compare that with the US and Europe. So there is an arbitrage for sure and that as a company we should take advantage of not only India, but we have low cost sites like I said in Brazil, in Poland. So we have a combination of different opportunities that are available for us. Sometimes the customers might want it made fully in Europe, for which we will use Poland. Sometimes they would be happy with the hybrid situation where we manufacture some of the components in India, but finish the equipment in Europe. Sometimes they are fine with having a full equipment made in Brazil as well. So as a company, we have multiple options that we can offer to our clients. So , we are quite well positioned on that front.

Kaushik Mohan: Got it. Sir does it actually matters when we are producing from India or when we are producing from any other country , does it actually matters for a client?

Tarak Patel: It could matter for a client. There are some clients who probably want European quality. There are some European customers who are quite picky , they have been buying this for the last 50 years and they want to buy it from the same people to a point they might even come and check sometimes if the sprayer or the welder is the same sprayer or welder . So it just depends , but the world is changing. People are looking at controlling cost , if the

quality levels out of India,

Brazil, China are good enough, then I don't see any reason why people should complain about the quality.

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Kaushik Mohan: Okay . So as we are producing in both the places, what is the quality difference that we assure them that, if it is coming from Europe, what is the quality levels that we are assuring and when it comes from India, what is the quality levels that we are assuring?

Tarak Patel: Good question, from a quality perspective from a glass lining quality it's quite similar. However,

I feel that India can still improve on esthetics, on finishing. Those are the small areas that we can definitely look at. But we have multiple supplies across the world, from India, from Brazil. So it's always, it's already been tried and tested. We also currently have a system by which we stock and sell glass line d reactors in Europe. So we make for stock, these equipment are kept in Germany. We have sold more than 100 vessels in Italy. We have sold equipment from India into the US. So there's always an opportunity, but like I said, not always is the customer wanting an Indian made product. So as and when we can we definitely make sure that we can find a nice solution for the customer.

Thomas Kehl: And all vessels that we have supplied from India into European customers and markets, we have not a single functional complaint yet.

Tarak Patel: So it's also mindset. There is obviously some kind of mindset, or that is associated with procuring from India low cost countries. Chemical pharma are pretty conservative industries. It takes a bit of time, but over the last few years we have made some nice inroads into selling products made in India into the European and US market.

Moderator: Thank you. The next question is from the line of Kumar Saurabh from Scientific Investing. Please go ahead.

Kumar Saurabh: Sir, I have two questions. First question is, what is our current year plan in terms of maintenance CAPEX, growth CAPEX and acquisition and also reduction on debt. That is question number one. And second question is, if we see the total EBITDA of all our subsidiaries in FY '25 and correct me if I am wrong, we have made INR 140 crore losses at EBITDA level. And I know lot of initiatives have been taken in terms of moving the equipment's from high cost nation to low cost nation, lot of that. But let's take next one to three years, what is our plan to bring down this EBITDA loss to zero and do we have a concrete plan with timelines that when this can be achieved, or this is something which is a function of demand, which is beyond our control, what is your view? These are two questions I have.

Tarak Patel: I am not sure if I understand correctly. Last year we had an EBITDA of close to about INR 380 crores. So, I am not sure what EBITDA loss you are speaking of. Having said that, obviously this year looks definitely stronger. We do expect to improve both in terms of revenue and EBITDA at a console level and also at an India level.

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Kumar Saurabh: No, there were subsidiaries which are showing EBITDA level losses. So, if we sum up those subsidiaries with EBITDA level losses, then this number sums up to some minus INR 40 crore though our overall console EBITDA as you said is INR 340 and correct me, if it is wrong.

Alexander Poempner: You are right, you refer to one entity where we had a negative EBITDA.

Kumar Saurabh: Yes.

Alexander Poempner: The one in Switzerland and as said before we focused on the restructuring, and we already see now an improvement. And Tarak, he mentioned it even before that it has a good start into the year. So, it will further improve, however it will not be so fast that you directly have the turnaround within six or nine months, but we definitely see a better result than last year.

Kumar Sa

urabh: Sure. And regarding the CAPEX plan and the useful uses of cash flows?

Tarak Patel: So CAPEX at the maintenance level for a group, we are about 2% that's what our normal CAPEX is. We do plan some CAPEX in India in the range of about INR 10 odd crores, not significant, that's growth CAPEX to increase capacity. And on the debt.

Alexander Poempner: I said on the debt we currently, we have a net debt to EBITDA ratio of 0.7. And in our last latest guidance we said that we would like to be below 1, and we will remain below 1, although of course, we add now with another acquisition, it adds some debt. However, of course will also use some of our cash on the balance sheet to finance this acquisition. Just to remind you, the SEMCO will cost us USD 18.5 million on a cash and debt free basis.

Moderator: Thank you. Ladies and gentlemen in interest of time, this would be our last question. I would now like to hand the conference over to the management for closing comments.

Dhaval Rajput: Thank you. Thank you everyone for joining us today. It was pleasure interacting with you, and we look forward to many such interactions during the course of the year. Take care and see you soon.

Moderator: Thank you. On behalf of GMM Pfaudler Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

GMM/SEC/2025 -26/61 November 13, 2025

To,
BSE Limited National Stock Exchange of India Limited
Scrip Code: 505255 Symbol: GMMPFADLR

Sub.: Earnings Call Q 2 FY26 – Transcript

Dear Sir/ Ma'am,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of earnings conference call for the quarter and half year ended September 30, 2025, conducted on November 6, 2025, for your information and records.

The above information is also being made available on the website of the Company at www.gmmpfautler.com.

Thanking you.

Yours faithfully,

For GMM Pfautler Limited

Mittal Mehta
Company Secretary & Compliance Officer
FCS. No. 7848

Encl.: As above

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"GMM Pfautler Limited Q2/H1 FY26 Earnings Conference Call"

NOVEMBER 06, 2025

MANAGEMENT :

- MR. TARAK PATEL – MANAGING DIRECTOR , GMM PFAUDLER LIMITED
- MR. THOMAS KEHL – CHIEF EXECUTIVE OFFICER (INTERNATIONAL BUSINESS), GMM PFAUDLER LIMITED
- MR. GREGORY GELHAUS – CHIEF TRANSFORMATION OFFICER , (INTERNATIONAL BUSINESS), GMM PFAUDLER LIMITED
- MR. ALEXANDER POEMPNER – GROUP CHIEF FINANCIAL OFFICER , GMM PFAUDLER LIMITED
- MR. DHANANJAY BAJPEYEE – CEO, HEAVY ENGINEERING TECHNOLOGIES
- MR. DHAVAL RAJPUT – SR. GENERAL MANAGER FINANCE & ACCOUNTS , GMM PFAUDLER LIMITED
- MS. MITTAL MEHTA – COMPANY SECRETARY & COMPLIANCE OFFICER

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GMM Pfautler Limited
Q2 and H1 FY'26 Earnings Conference Call
November 06, 2025

Moderator: Ladies and gentlemen, good day, and welcome to GMM Pfautler Limited Q2 and H1 FY'26 Earnings Conference Call. As a reminder, all participants' lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Dhaval Rajput from GMM Pfautler Limited. Thank you and over to you sir.

Dhaval Rajput: Thank you . Good evening, ladies and gentlemen. A very warm welcome to all of you in the Q2 and H1 FY'26 earnings call of GMM Pfaudler Limited. The Earnings Presentation was uploaded on Stock Exchanges today and is also available on our website. Hope all of you have a chance to go through it.

From the management, we have with us our Managing Director – Mr. Tarak Patel, our CEO of International Business – Mr. Thomas Kehl, our CFO – Mr. Alexander Poempner, our CTO – Mr. Gregory Gelhaus, and our Compliance Officer – Ms. Mittal Mehta.

We will give you a brief overview of the performance of the company after which we will get into the Q&A. Before we begin with the overview, a brief disclaimer :

The presentation that was uploaded on the stock exchanges and also on our website, including all our call discussions that will happen now, contains certain forward -looking statements regarding our business prospects and profitability, which are subject to several risks and uncertainties. The actual result could materially differ from those in such forward -looking statements.

I will now hand over the call to Mr. Tarak Patel to provide an overview of the performance. Over to you, Tarak.

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Tarak Patel: Thank you, Dhaval. Good evening, everybody.

Let me start off by giving you a quick update on the performance highlights of the quarter :

Our revenue stood at INR 902 crores, up 14% quarter -on-quarter and 12% year -on-year. Our EBITDA for this quarter is up 20% quarter -on-quarter and 27% year -on-year and stands at INR 122 crores. Our EBITDA margin currently is at 13.5%. The revenue for H1 FY'26 is up 7% year -on-year and EBITDA is up 21% year -on-year. Order intake was strong this quarter with INR 878 crores of order intake and the order backlog currently stands at INR 2,146 crores. The acquisition of SEMCO has also been completed this year and we have consolidated SEMCO for this quarter as well as consolidated the backlog that SEMCO brings along with it.

Overall, just to give you a little bit more flavor in terms of what is going on, our India business has performed quite well both in terms of revenue and in terms of order intake. Like I mentioned to you in the last call, we expect India to have a good year this year and with the order backlog that we currently have, which is well diversified across our three business lines, which is glass -lined, non -glass -lined and heavy engineering, we do see the India business doing quite well for this financial year.

In the international business, Europe is still slow when we talk about our traditional industries of chemical and pharma. However, we are seeing some kind of uptick when it comes to newer industry segments, especially for our systems business, where we did receive a very large order last quarter in a new sector that goes into a cid recovery as well. That is a play that we see that is growing more and more and we are currently negotiating a few large contracts in the similar space where we use our a cid recovery systems to produce nitri

c acid. In terms of the mixing business with SEMCO coming on board, that opens up a new growth area for us in South America. There are industries there that are currently growing quite rapidly, namely metals and minerals, mining and water treatment. SEMCO has a strong order book and a strong brand name in the local market and we expect SEMCO to have a nice growth going forward over the next few quarters. The American market, the U.S. market has seen a little bit of improvement. Obviously, there is a Make in U.S. initiative. There are a lot of contracts that have been signed recently, that plan of investment in the U.S. If some of these investments in chemical and pharma materialize, that should help our U.S. business as well.

All in all, I think that we are in a good situation as of right now. It gives us good visibility for the year. However, there is obviously a lot of work to be done. We are working on internal improvements, operational improvements, and financial improvements. We are thinking about strategy and long -term strategy, especially when it comes to our focus on diversification. All in all, it is part of a journey. We are obviously on our way and the market does seem to support it. Hopefully, over the next few quarters, we

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can see additional order intake and growth for some of the markets, which we have not been growing as quickly as we would like.

I would now like to hand over the call to Alex, our global CFO, who will take you through the numbers in more detail.

Alexander Poempner: Thanks a lot, Tarak. Hello, everyone. In addition to the financial highlights that Tarak already presented, I

would like to touch on three key areas.

First is on the consolidation side. We have completed the two acquisitions and considered first-time consolidation of SEMCO, the latest acquisition in Brazil, as well as the JV in Poland. You will see it in the books. We acquired SEMCO for a total purchase price of USD 18.5 million, which corresponds to INR 162 crore s. And the investment in Poland was 11 million Polish zloty, which is roughly INR 25 crore s. You see in the accounting that both acquisitions have been accounted for as Goodwill only, and we will conduct, as usual, the PPA in the next 12-month period and will adjust the goodwill accordingly. The acquisition of SEMCO, due to the size, was funded partly by external debt. We draw down an acquisition facility of 10 million euros. The rest of the purchase price was financed by internal cash.

Another point is the working capital. As you have seen, it increased in H1 versus the end of the last financial year. This is especially driven by higher inventory, especially higher inventory in India. This is the basis for our expected growth, and therefore we see this increase in this number. However, in the next half year, the remainder of this financial year, we expect an improvement again. The other increase in working capital you see on the receivable side, where we also work on and we are positive regarding the outlook till March 2026.

Finally, compared to last quarter on the FX front, in the last quarter we faced this significant depreciation of the USD versus the EURO, which caused a big financial loss and therefore also increased our tax rate. In this quarter, the euro-USD FX rate did not really change significantly and it directly has a positive impact on our results, and therefore you also see a significant improved tax rate on the international business. This is so far from my side.

Thanks a lot. We are now open up for questions.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Jaiveer Shekhawat from Ambit Capital. Please go ahead.

Jaiveer Shekhawat: Sure. Hi Tarak, good evening. Tarak, first question. Could you call out how much is SEMCO's order backlog in the overall

backlog that you reported?

Alexander Pömpner: We have 20 million in the Backlog, 20 million USD.

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Jaiveer Shekhawat: Understood. So, when I look at your overall international order intake, I mean, is recovery still expected to be possibly later down the year? Are you seeing any green shoots there? Because we have seen a considerable recovery on the India business. How is the situation on the international side? I understand on the chemical side it is not still picking up, but possibly the rest of the industry?

Tarak Patel: So, maybe I will add and then I will jump in here and then Thomas can add a little bit about what he has seen in Europe and the US. But as I mentioned, the defense play that we have been kind of participating in over the last maybe six months or so seems to be gaining further traction. We currently have an opportunity close to about 10 million currently in Eastern Europe as well. Very similar to what we are currently supplying, the large acid recovery plant that we got. We have another very large contract that we are currently discussing with. We also have some opportunities in the US where the client has signed engineering contracts, which makes you know, that gives us visibility of the order intake coming in shortly as well. So, all in all, the systems business and the non-glass lined business has done quite well. Europe, as I mentioned, has been slow and glass lined particularly has been a bit slow. We are seeing some improvement in the US. But Europe, from a pharmaceutical and chemical perspective, investment is still being delayed. Decisions are still taking time. I think there is still a lot of uncertainty surrounding global trade and geopolitical issues. But on the flip side, on the bright side for us, luckily, there is a whole different market that we can currently cater to. These are long contracts. These include a lot of internal as well as external kind of equipment. But again, it is the process technology that we have in-house that gives us the ability to kind of cater to this. Right. So, these are quite critical in nature. Quite, you know, it is not that anybody can come in and supply an acid recovery plant for such a large contract. Right. So, we have that capability and hopefully we will be able to build that. And as we continue to do so, we hope that some of the other decisions which have been held back for a few months will also materialize. So, we are being aggressive in the market. We are trying very hard. But the market also needs to support. Thomas?

Thomas Kehl: I mean, there is not much to add to this. This really describes the situation in America as well as in Europe. And as Tarak already said, we are very glad that we started diversification and process engineering a couple of years ago as part of our strategy. And seeing the successes now in those times. However, we are seeing a little bit of uptake in service activities as well as in America as Europe. This is surely a sign that our customers are getting more busy than they have been the last quarter. And that takes us to believe that the increase in order of decisions will come.

Jaiveer Shekhawat: Sure. On the international business again, just more on the pharma side, given the amount of investments

that are being put in on the GLP-1 or the Semaglutide side. And we have also seen some of the other pharma index players also do well, especially in the international geographies. How is that portion of your

business doing for you?

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Tarak Patel: Semaglutide, GLP -1, very interesting business for us right now. We did see some investments a few years ago in Europe for these products. We are seeing more traction here in India for Semaglutide and peptide manufacturing. So, that has really become the buzzword here in India. We are currently e

xecuting a very

large contract for a peptide manufacturer in the south of India. And with that, we have a lot of opportunities, open opportunities, where we are seeing that a lot of these pharma companies are looking at peptides in a very large manner. So, that is definitely an interesting play for us. And we have technology available for this play because of our association with Mavag, our Swiss subsidiary. And that really helps us kind of be slightly different from competition. So, that has been a nice story for us in India.

Internationally, yes, of course, there is Semaglutide's play. There could definitely be more investment. Where this investment happens, I know currently for sure there are large global players like Ba chem and stuff who are looking to add investments. We are currently talking to them. I am sure Lilly as well. Lilly, we received some orders recently from the U.S. for this. Is it specifically for Semaglutide or not, I do not know. But Lilly, probably it will be something to do with Mounjaro or one of the new generation GLP drugs, right? So, yes, I think this is going to be a big business for the future. I think a lot of people, and I have done a lot of research on this, I think that it is definitely going to be something that in the future a lot of people will be consuming for better health and longevity. So, yes, I think that is the play. And we have the technology tap into this play as it kind of grows and progresses.

Jaiveer Shekhawat: So, just a clarification. So, your reactors, glass -line d reactors will still be used wherever there is Semaglutide manufacturing that is happening. Is that a fair understanding?

Tarak Patel: It is not glass -line d. It is a filtration equipment. It is called an HPPS reactor. It is a technology that we had in-house and we have been having for quite a few many years now. And that is the technology that we are selling here in India now and also internationally.

Jaiveer Shekhawat: Understood. Thanks for the clarification. On the India business, it is interesting to see the share of systems and services that seems to be increasing in the order intake. Could you call out what is happening here? Is it, again, here in India as well, the share of systems is increasing? And why is that?

Tarak Patel: So, I think systems in India has, has kind of been working on quite a few things over the last few years. You know, we have been kind of building a test center very close to our facility in Gujarat. We have been actively pursuing new product development, right? So, over the last few years, we have launched some new products that have actually been quite popular in the Indian market. We have replaced some existing products that could only be procured from Europe. So, that has been a nice kind of an opportunity for us. And I think more and more people today, they do not want standalone equipment. So, when you have equipment, like in the peptide case as well, they want you to kind of put instrumentation, automation, glove boxes, and really give them the whole complete system, right? And we have that capability in -house. We have a strong engineering team here. We have a global engineering center as well. But we can really add these kinds of technologies very quickly along as part of our equipment and really give them a complete solution rather than just the equipment. And then they need to worry about stuff later on, right?

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That has been kind of strong. What we also did quite well last quarter was started building a backlog for our heavy engineering business. So, there were some large orders received in heavy engineering. And currently, we have very large opportunities that we believe that we are very, very strongly placed for in the nuclear kind of industry here in India. So, that has been one of the strategic kind of diversification plays where we want to

kind of enter in and we have been working quite hard to get our names registered. And because of our association with HDO, the company that we bought in Vatva we got some of these qualifications along with that acquisition, right? So, that has been a nice growth area. And we do expect order intake from this industry at least in this quarter as well. So, we are quite bullish there. So, India looks strong across the three business lines really. But I think what is also nice is that this quarter we saw agrochemicals coming back in a large way, right? So, two of our big agrochemical clients after really an 18-month, 24 -month sabbatical have now started investing again. So, it is not back to the original Hey days when they were adding plants every six months. But there is definitely some amount of investment that is coming back. Hopefully, that can sustain and help us kind of build the glass -lined business and grow the glass -line d business.

Jaiveer Shekhawat: So, last question on your balance sheet side.

Moderator: Mr. Jaiveer I would request you to rejoin for a follow-up.

Jaiveer Shekhawat: Sure. Thank you so much.

Moderator: Thank you. Next question is from Koushik Mohan from Ashika Group. Please go ahead.

Koushik Mohan: I just wanted to understand, from last year to this year, our goodwill has grown by INR 200 crores. Can I get the clarity, what is this exactly? How much for this acquisition, recent acquisition, and what is this accounting, like INR 200 crores accounting?

Alexander Pempner: This is Alex. If I understood correctly, you asked regarding the INR 200 crore increase in goodwill. This is

mainly due to the SEMCO acquisition. So, as of now, we have considered everything in goodwill. We will conduct the PPA now in the following, or in up to 12 months, and then the goodwill will be reduced. But the increase is just coming from SEMCO, and a little bit from the Polish acquisition.

Koushik Mohan: Okay. And this will be depreciated over the next five years? This is my understanding.

Alexander Pempner: No. What we do with all the previous acquisitions as well, we conduct a purchase price allocation, and then we will allocate part of the value to, for example, customers or technologies, and the remainder will be the goodwill. And for the goodwill, we do on a yearly basis, as already done now, a goodwill impairment test. The goodwill number will reduce in the coming 12 months.

Koushik Mohan: Okay, in the next coming 12 months. Got it, sir. Thanks for that.

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Moderator: Thank you very much. Next question is from Kunal from Sunidhi Securities. Please go ahead.

Kunal: Hi. Very good evening, sir. My question is that just recently your U.S. Biosecure Act was passed in both the houses, and it is due to this being become a law. So, what traction do we see in the next, let us say, two to three years, and then the next five years in terms of reshoring by the U.S. pharma companies for this?

Tarak Patel: So, you are talking about the Biosecure Act. So, yes, it has been passed. Like I said, and I wrote that in our press release as well, that we mentioned that the U.S. could see some investments coming in from the Make in U.S. initiatives, the Biosecure, the tariff situation. Currently are we seeing a lot of movement on the ground? Probably not. I think we probably will have to wait a few months for probably some of this to materialize. We have had requests once maybe in the last couple of months, once or twice, for U.S. made equipment to be supplied quickly for a U.S. site, where they clearly mentioned that only U.S. equipment would do. And if that were to materialize, that would definitely help our U.S. entity, because we are one of the only manufacturers of glass-line d equipment in the U.S. in terms of a large scale and size. So, that would definitely be beneficial. We have another busi-

ness in the U.S., which is obviously the Edlon

business, but that is more semiconductor, so I do not think it has too much of a play in pharma. But for our glass-line d business and our filtration and drying and mixing business, yes, there could be an opportunity if investment were to increase over the next few quarters in the U.S.

Kunal: Okay, and my second question is that the unfunded pension liabilities increased by about INR 30 crores over FY'25. So, what is the reason for that? I think when we acquired, I think about INR 430 crores around was the pension liabilities, which reduced to INR 285 crores. Now it has increased to about INR 312 crores. So, what is this and how do we forecast this going ahead?

Alexander Pempner: So, if I understood correctly, you discussed about the pension liability that we have on the balance sheet.

We have usually only two impacts because the plan itself is closed. So, we have an impact due to changes in the assumption in the actuarial report and also some FX impacts. But these are the only two impacts. It will vary just with mainly the FX and the interest rates, but nothing more. So, there will be no additions coming in the future.

Kunal: Okay, and my final question is what is the percentage of services in the order backlog on the consolidated level, services segment?

Tarak Patel: So, services will not be a very large number because services are very fast moving and you get stuff and you kind of execute that within the quarter. But I would say at any given time may be 10% of the order backlog would be around services.

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Alexander Pempner: Yes, I would agree. Services is really a fast-moving business. Therefore, really in the backlog, it is only a

limited period. It is fully different for the technologies as well as especially for the systems. Systems business, long running project, therefore it makes a big chunk out of the backlog for services, it is not, no.

Kunal: And the average order execution cycle would be about eight to nine months?

Tarak Patel: Sorry, which execution cycle?

Kunal: Average order backlog execution would be about eight to nine months?

Tarak Patel: It depends. So, a system order like the one that we received in Eastern Europe is going to go on for three years. Glass-lined equipment in India goes in about 14 weeks. In the international business, glass-lined goes in maybe six to eight months. So, everything is different. Agitators go much faster. So, it changes. It is not one number for all product lines. So, it kind of changes. But services generally would be shipped out within a six-week period. Services need quick replacement. The people are waiting for that. So, I would say even faster.

Kunal: And have we hired any new person for the India business because the employee costs have increased?

Tarak Patel: We have not employed new people, but as part of our tax optimization strategy, we are doing internal kind of recharges and stuff like that. So, that is part of our optimization strategy.

Alexander Pömpner: In fact, what we are doing, we are working more on the integration. And in line with the integration, there

are also some costs which we now see in India. And this, of course, from a group perspective, it will help us. Especially from the profit. But as Tarak said, we did not hire any new people. So, this is normal.

Tarak Patel: Not like any new people. I do not think we can say that. Any new senior people in the management team.

Alexander Pömpner: Agreed.

Kunal: Okay. Thank you. I will join back in the queue.

Moderator: Thank you. Next question is from Sagar Shah from Spark Private Wealth Management. Go ahead, please.

Sagar Shah: Yes. Thank you so much for the opportunity. And first of all, congratulations to the team of GMM Pfaudler for delivering better results, actually. So, my first question, sir

, was related to our, especially performance

on the international foray. The global situation is still under uncertainty because of the U.S. tariffs, actually. So, going forward in H2, is the uncertainty looks to prolong? Or do you think that there will be some sort of improvement, which we saw in Q2, in terms of new order intakes as well as in non-glass-lining technologies, especially? So, what do you think of H2, especially under such uncertainty?

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Tarak Patel: So, I will start and maybe we will look at each market separately. But again, we cannot paint the same brush for the whole international business. There are definitely segments which are growing. Our Edlon business in the U.S., driven by semiconductors, is growing. Our SEMCO business in Brazil, now driven by metals and minerals, water treatment is growing. In Europe, we have businesses in acid recovery and systems that are growing. So, it is different, right? So, I think chemical and pharma in Europe is slow. Maybe, Thomas, you might want to add in terms of Germany, the Western Europe countries, what are you seeing there?

Thomas Kehl: We are seeing a few differences in Europe. If you look at Southern Europe, Italy, Eastern Europe, we see a better demand, higher demand than in other regions. Germany is rather slow in demand and the economy is rather slow. There are still some uncertainties. And if you look to China, China is a totally different ballgame. China is still one of the largest chemical industry markets. The demand has been slow for a while. There have been build-over capacities that are being used up and we expect the market to come back by next year.

Tarak Patel: So, I think what has helped us over the last maybe few quarters also, like why we have seen a slowdown in our core business of glass-lined and our core industries of chemical and pharma, I think our diversification strategy, our ability to cater to newer markets and new industries has helped us make up some of the shortfalls. And I think that has been an interesting learning for management as well. And I think as we go and move forward, you will see obviously new verticals that will add obviously a lot more kind of growth to the current portfolio that we have.

Sagar Shah: Okay. Got your point, sir. Now my next question was related to our two acquisitions actually. One was in Poland and second one recent with SEMCO for industrial mixing business. First was in Poland. So, now on the Poland acquisition is completed with joint venture is signed. So, what have you thought of especially on the stainless steel reactors to produce there? What is your thought process regarding to expand in Poland?

And second was on the SEMCO. Now on the SEMCO, you have got the South American business over there. So, basically we have another three companies also in industrial mixing business. Now this is the fourth one. So, first of all, any color on how do we integrate all these four companies? As we already know, that, what is the thought process. But now going forward for the fourth acquisition also. So, what kind of, is there any new product introduction in the mixing business that you are thinking of? What is the thought process regarding these two acquisitions now?

Tarak Patel: Yes. So, good question. I think Poland has been a strategy for quite some time. Eastern Europe has been our strategy in terms of improving operational Europe, operational efficiencies in Europe, especially Western Europe where we have two sites in high-cost geographies. We have MAVAG obviously in Switzerland and MIXEL obviously in France. So, Poland is a kind of supplier or a kind of dedicated workshop for these two companies and over time we would look to move more and more production to

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Poland. We are already full up in Poland with orders f

rom both Mavag and Switzerland. The first few orders that were executed at a very high quality level. And both the Swiss and French counterparts were very happy with that additional kind of facility and footprint that they now have. So, I think over time you will see that more and more fabrication work will move to lower -cost geographies, and that is the clear direction that we are working towards. At the same time, we do want to maintain our ability to be local. So, we will have some amount of testing, services, engineering locally that is still going to be required. But from a production and manufacturing set -up, we definitely want to look at better cost structure. India also kind of supports our Swiss and our French subsidiary. We do export directly for Mavag into the U.S. as well because we have the ability and the stamp for U.S. ASME stamps, which obviously is more difficult from Europe. So, that is something that is already we are doing. And I think we have enough of work within the group where we have different options when it comes to where equipment can be manufactured. SEMCO, again, a very good, strong company in South America. The focus is really growth. I think today we have a very comforting business in South America where the order backlog is basically a year worth of order backlog that they have. I know that currently they are negotiating large opportunities which will add to this backlog as well. And I think the investment in both metals and minerals, water treatment and mining over the next few years will continue to grow. So, that is a nice option. But coming back to your point about how do we combine this, so during our recent visit to SEMCO, we did realize that they have a few equipment which we can actually bring back to Europe and to India. They have these new dryer systems and stuff like that. From a strategy perspective, there is an entire strategy being built around these four mixing platforms. We definitely want to combine them under one umbrella. There is a rebranding strategy going on. We want to bring the product portfolio under one group. We want to kind of have these portfolios divided by industry segments that can be sold across the world so we can replicate some of this. So, the idea was when we bought these four companies to not buy the same technology, each one has their own area of expertise. So, let us say SEMCO is metals and minerals and mining. MixPro has more chemicals while India does more pharma and then MIXEL is kind of biotech and things like that. So, they kind of complement each other quite well and the idea is to really grow this business. I think from a global perspective, I think we are now from an acquisition and global perspective , the world is now completely covered. Now we need to just go out and get market share and win orders under our new kind of created umbrella, this mixing umbrella.

Sagar Shah: Okay, so if I just can squeeze one more.

Moderator: Mr. Sagar, you may rejoin the queue now.

Moderator: Thank you. Next question is from Bharat Sheth from Quest Investment Advisors. Please go ahead.

Bharat Sheth: Hi, sir. Good evening and thanks for the opportunity. Sir, my first question, like what Semaglutide we are talking a lot. About a couple of years back, process flow industry, process were also, a lot of talks were

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going on. So, can you give a bit color to how that process flow, which saves a lot of energy, so how we are placed and what is happening and do we have old technology like including glass -line d reactor that we have for chemical business?

Tarak Patel: So, okay, so there are two different things. One is semaglutide is a real story because there is consumption here. There is more and more people using. I think last quarter, last month, Ozempic was the best -selling drug in India. So, it is picking up. So, that is going to grow for

sure, 100%. Okay. Coming

back to process flow technologies, there is a lot of talk. There has been a lot of talk. But first it became a buzzword. But there is definitely movement. We have actually created an entire flow chemistry set up in our facility in Karamsad where customers can come and do trials with us. So, we made a complete chain of equipment that has multiple different applications, reactions, filtration, drying that can be tried out. So, we are definitely getting ready. Has it taken up in a big way? Probably not. But there will definitely be specific chemical reactions within chemical plants that can move to flow chemistry. Will all of it move? Probably not. But there could be specific areas where they could definitely use flow chemistry. And this is something we are working along with NCL and a UK firm as well to see what are the kind of new technologies we can develop. And part of this consortium, we also have other chemical companies. So, we are kind of working together with industry, with customers, with experts as well, and scientists to try and see how much these things will grow. So, it is growing. But there are specific applications. But otherwise, I think the batch will still continue. And flow is obviously something for the future.

Bharat Sheth: Second question, sir. Now a lot of are coming from generic pharma, the way it is happening, moving to the biotech side. So, how is we are placed with whole thing if you can give more color?

Tarak Patel: Yes, I think it is different. I think biotech is a specific area, bio -similar and stuff like that. Chemical and pharma, I think pharma, the big generic pharma, will still need large plants, large capacity. You look at the generic players in India, they are adding capacity. So, that is going to continue. Volume, generic, API that will continue.

Bharat Sheth: Okay. Thank you and all the best, sir.

Tarak Patel: Thank you.

Moderator: Thank you. Next question is from Mayank Bhandari from Asian Market Securities. Please go ahead.

Mayank Bhandari: Yes, thanks for the opportunity. Sir, I just wanted to understand, as you are talking about revival in the domestic market, how much of your order book pipeline would have grown in the last six months? Or is there a number that you anticipate?

Tarak Patel: So, I think last quarter, India order book number, I think we were about INR 90 crores or INR 100 crores higher in order book this quarter versus previous quarter. If you look at the India order book trends, they

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are definitely on an upward trajectory. Glass lining has still been slow. HE and obviously the other businesses have done quite well. But some amount of glass lining, like I mentioned, has come back in chemicals, and specifically agrochemicals. So, we are seeing some investment. Is it back to putting up three plants in a year? Not yet, but it is coming back slowly.

Mayank Bhandari: So, how much of the growth do you anticipate next year, this year, or maybe this year in the order book overall?

Tarak Patel: I mean, I do n't. So, right now, I think we have order book on hand. I think we already, in terms of order booking for this financial year, our internal targets have already been met. So, we are really building order book. We would definitely like to start the year with a much stronger order book. Because for us, order book is critical. If we start April 1st with a strong order book, then we can have visibility for the year. So, I think India will do well. We are quite confident of bringing in that order book. I think we have enough of opportunities. We have enough of diversification to kind of start that and I would hope that at least a 15% to 20% improvement over previous years we would like to start with in terms of order backlog.

Mayank Bhandari: This includes the large order finalization as well.

Tarak Patel: It incl

udes everything. We are spread across multiple industries. So, there could be large orders, small orders. The backlog could finally also kind of improve significantly. So, yes, Order book is across all our businesses. But when we take India business, it is stuff that we manufacture in India only.

Moderator: Mr. Mayank, please rejoin for any follow -up.

Mayank Bhandari: Okay.

Moderator: Thank you. Next question is from Piyush from Motilal Oswal. Please go ahead.

Piyush: Hi. Thanks for the opportunity. Sir, I just wanted to understand our growth profile. Let us say if I look at GMM over two, three year horizon, if you can help me understand what is the top -line growth that GMM can do over two, three year? And if you can dissect that growth between, let us say, an Indian operation and rest of Indian operations.

Tarak Patel: You are talking about, sorry, future growth ?

Piyush: Yes, because all the opportunities that you have highlighted, let us say, semaglutide, nuclear.

Tarak Patel: So, I really cannot put a number because we are living in a very uncertain time, right? So, we are building the building blocks. I think the foundation is strong. We are diversifying. You know, when you look at GMM Pfaudler for 10 years, you will probably see a very different company. Today, if you go and ask 90% of the people who know GMM for that, they will say glass -line d, right? In 10 years from now, I do not think people

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should know us for glass -line d, but they should know us for being this engineering, technology, process, equipment provider that kind of has a wide range of equipment and systems that go into many, many different industries, right? So, it is all part of our journey. The chemical and pharma market for us still remains the most important market. It is never going to be something that we are going to let go. We need to maintain market share, be aggressive. But is it going to drive significant growth? Probably not because in glass -line d, you already know we have a market share of 40%, -50%. In glass -line d, additional market share will come at a cost. So, we are not building our next three -year, five -year plan around the glass -line d business. The glass -line d business does have opportunities in terms of cost optimization, improvement in margins, cost synergies, all that work we will definitely do. The growth is really something that we want to bring from new industry segments, new areas, and that is what we are working on. And the foundation and the blocks are in place and if we have the organization to support this, I think we should be in a good situation. Again, you know, we are in an industrial business. It is a manufacturing business, very labor - intensive. You know, it is not as easy as it is to add like blocks or sites and stuff like that. So, we do plan

to grow. I think things are definitely better today than they were 12 months ago. But we are still optimistic. But at the same time, we want to also be clear that there are areas where we do still have concerns. We do hope those markets turn. But in all in all, I think, you know, we are happy with the performance today and we hope to build on it over the next few quarters.

Piyush: So, just a follow-up on that, with all the new verticals that are building at the moment, let us say from the glass-line d, I mean, there might be some internal targets that we might be keeping. So, let us say if I look at GMM five years down the line, well, let us say a high teens kind of a growth will make you happy. A mid-teens kind of a growth will make you happy. Just wanted to understand that direction.

Tarak Patel: I do not know. I mean, I do not even have a number. Yes, I think double-digit growth in India should be kind of something that we should aspire for. I think international may be a little bit lower than that. But I think

as management, we always aspire for, I mean, we do not want to have crazy growth and crazy change every quarter. We want a sustainable business that makes sense, and it should keep improving over time.

Alexander Pempner: But also, let me say, for international, I think there is a big difference regarding the kind of business. Let

me say, if you look at Edlon, which is linked to the semiconductor investments in the U.S., it is, of course, a different growth play than, for example, the glass-line d business, where we are market leader in most of the markets and which are closely linked to chemicals and pharma. However, then the latest acquisitions where we also should benefit from synergistic integrations like the mixing and where we still have a small piece of the cake, of course, it should also grow significantly better and as we said at the beginning of the call, this, in fact, improved our results this quarter. So, in fact, the strategy to also invest outside of our standard glass-line d business, is it mixing, is it inter seal, is it Edlon? There, I am also a little bit more optimistic regarding the top-line growth.

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Tarak Patel: And maybe here is a good opportunity to talk a little bit about our heavy engineering business that we have not spoken. And we have Dhananjay here with us who handles our heavy engineering business. Currently, he is head of operations, but he will also run our heavy engineering business. Maybe, Dhananjay, you want to talk about what are we trying to do? What is the strategy as a heavy engineering growth strategy?

Dhananjay Bajpeyee: Yes. So, for heavy engineering, we are looking at expanding our presence in different sectors. So, as Tarak

shared earlier, we are looking at nuclear as one of our areas of focus in addition to refinery, oil and gas, what we are doing currently. The other areas of interest will be fertilizer and green hydrogen. These are the areas we are looking at. Today, our business is more focused on domestic market. We are looking at expanding our presence in export, which will be focusing on Middle East, presence in US and Europe. So, this is what we are looking at. So, the growth as Tarak shared, we are looking at a very good growth because the base is very strong. The approvals are in place. We are getting global approvals also and that will help us grow in near future to a very good number. Exact number, if you are asking, we are not putting any number to it. But the assurance is yes, we are set for a very good number.

Piyush: Got it. Thanks a lot.

Moderator: Thank you. Next question is from Praveen Kumar from Acuitas Capital Advisors.

Praveen Kumar: Hi, thanks for the opportunity. I had a couple of questions. The first one was on the international technologies revenue. So, that came in at about 9.2% growth on a Y-O-Y basis. So, could you give us some flavor on this in terms of, was it mainly driven by US or was there contribution from Europe as well? Some geographical favor within the international business on the technologies part of the revenue.

Tarak Patel: Sorry Alex, you want to go ahead?

Alexander Pempner: We also, what we have there in the revenues growth is, it includes the mixing business. And please consider that we also have the first time consolidation of SEMCO included. However, as said, we also have our Edlon business included in the technologies and also, Edlon is doing well or doing okay, put it this way. So, it has several aspects. I do not want to explicitly focus on the market. Because, as said before, China remains weak. So, the growth in technologies is not coming from China and also, Europe, we already said before, there is a little bit behind. It is still quiet. And therefore, we also do not see the growth coming from there. So, it is more or less coming from one, two areas which are outside of our standard gl

ass-line d business.

Praveen Kumar: So, what would the growth be ex-SEMCO on the international technologies part of the revenue?

Tarak Patel: I think ex-SEMCO, I think the technologies growth would be pretty flat. Yes, I think so.

Praveen Kumar: This is despite including the mixing part of the business and everything combined. Right?

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Tarak Patel: So, the mixing before that was already part of the business. So, everything international was already there. SEMCO is the new addition.

Praveen Kumar: Alright, I understood. And the second question was on the international services side. There, again, if I compare on a Y-O-Y basis or to the previous quarter, growth has been pretty flattish, one odd percent. So, just again, I wanted to understand the flavor of that. Within, again, if I look at whether I look at Europe or U.S., is there a geographical flavor to this services revenue being somewhat flattish again? Or is it that, for example, that you are facing challenges from competition in geographies like the U.S.?

Thomas Kehl: The service area as well as in America and Europe, of course, the demand for this usually the service is slower also because utilization of the equipment in our customer spaces goes down. However, the good news is that we are seeing an uptake in service right now. We are seeing more activities in service. So, the service business will recover sooner than the original equipment business.

Praveen Kumar: Okay. And in the U.S., part of the business?

Tarak Patel: This is more in the U.S., I think. It is more in the U.S. I think chemical and pharma, and you would know this better than us, the big chemical pharma companies in Europe, I mean the BAYER, BASF, etcetera of the world, they are not on the best kind of outlook and expenditure. So, Europe is weak. Maybe there is also, you know, we need to be a little bit more aggressive in the market. Maybe there has been a slight market share loss that we probably had in Europe in services. We are aware of that, and that is something that we are working on. But the U.S. market itself, we are quite strong in because it is kind of, you know, we are the only manufacturer locally who can do this. So, I think that is a good market, and that looks a little bit better today than it did six months ago.

Praveen Kumar: I understood. Thanks for the response.

Moderator: Thank you. Next question is from Saif Saurabh from ICICI Prudential AMC. Please go ahead.

Saif Saurabh: Thanks for the opportunity. So, first question on the FOREX part. So, for the first half of the year, we have around unrealized FOREX loss, right? of INR 56 crores, which we explained in last quarter also is because of the Euro appreciation against USD. So, given where Euro is, right, and if it is stable, would this be, this non-cash item stay as it is? There is a chance it gets reversed.

Alexander Pömpner: Sorry, I think I apologize if I am not fully understood. You refer to the FX loss that we especially faced in

the first quarter, and if there is another impact due to the potential FX changes. So, we more or less, we faced the loss in the first quarter. And in the first quarter, there was a change of roughly 10% in the USD - Euro FX rate and therefore, we had the loss, which also more or less triggered this high tax rate. In the second quarter, if you compare it, the FX change was not so material. Therefore, we did not have this loss again. Now, looking into the future, we do not really see how it develops.

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Saif Saurabh: Okay, sure. And secondly, just on the balance sheet part, debt has increased, right with the acquisition you had. How do you think about borrowings, at what level you are comfortable to maintain it at? And going at, say, next one year, how do you see borrowings, both current and non

-current, evolving?

Alexander Pömpner: The debt ratio, I think we do not want to go. We said we would like to keep our leverage below one. And

this is also our long-term guidance that we would like to give.

Saif Saurabh: Okay. Thanks.

Moderator: Thank you. Next question is from Yug Jhaveri from Molecule Ventures. Please go ahead.

Yug Jhaveri: Hi, sir. Very good afternoon. So, I had just a couple of questions. First, on the domestic market side, so there has been 31% growth this quarter and the margins have been quite sustainable from past two quarters, if you see, versus what it has been a year ago. So, the price undercutting scenario, which we were facing last year, has it slowed down? And order revival, you mentioned agrochemical. However, on the specialty chemical side, is there new orders coming or conversion happening? And on the same, order book has not grown much this H1 FY'26. So, are you anticipating any growth in H2 or it should be in the similar range with you?

Tarak Patel: So, yes. So, I think, one, I think I will talk about the order book in H1 first. I think overall, it is slightly, I mean, it was made up in H2 because we had a good quarter in Q2. Q1 was slow and Q2 was much better, which puts us in a good position now. Do keep in mind that we had large opportunities in heavy engineering, which were not finalized in Q1 and in Q2. One was, but because of the capacity utilization, we have now been able to add to that. So, you will see order intake, I think, increase, with HE coming in, you will see large orders from that vertical also increasing. Glass-line d, coming back to glass-line d, I think it is important to mention that we had two factories last year. We had Karamsad and Hyderabad. So, we had both factories kind of utilized at 50, 60, 70 odd percent at best. And then today, we have everything flowing through just the Karamsad facility. The Karamsad facility is full. We have nearly a five to six month backlog in glass-line d. We are running three shifts. The furnaces are obviously now all kind of being used up to capacity. I think on a pricing front, I think there has been some kind of rationalization of pricing. I think

there has been some stability there, and I think that will continue. And as the market improves and as the number of inquiries and opportunities increase, then maybe there is a further opportunity to also look at increasing prices. And last and not least is the Shikhar program that we are currently working on. That was something that last year we paid and we had somebody working with us. That should add a good amount of cost benefit going forward as well. So, India, I think I am quite confident. It should do quite well. And I believe that we will have a good starting point for next year as well. So, yes.

Yug Jhaveri: Okay. So, follow up on the same. So, besides the Shikhar program and heavy engineering segment, the price undercutting slowdown has led to this margin expansion, or basically those two were the only main reasons for margin. And any plan to expand capacity in GL E India side?

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Tarak Patel: No, nothing right now. I think there is plenty of capacity that we have. We can very quickly add furnaces if we need. But I do not think that glass-line d is something that I think we have enough of capacity. I do not want to be in a situation where to fill capacity we have to start again kind of going into a price war. So, I think from that perspective, not right now. But if we do see a lot of movement of, let us say, manufacturing or new investment coming in, we can very quickly add a furnace. That is not a big problem. And in terms of pricing again, I think it is stable now. I think it is at a level where the market is sustainable. I think over time it should improve. We have steel prices going up. We have gas prices going up. So, all those

things

get passed on over time.

Moderator: Mr. Yug Jhaveri. Please rejoin for a follow-up question.

Yug Jhaveri: Sure, ma'am.

Moderator: Next question is from Bhavik Shah from Invexa Capital. Please go ahead.

Bhavik Shah: Yes. Hello, sir. Sir, can you throw some light on the heavy engineering business? What exactly we are doing on the nuclear side or on the green hydrogen side? What is our market opportunity there? What kind of revenues we currently do and what kind of revenues we aspire to do there? And, sir, when you talk about approvals, what kind of approvals are these?

Tarak Patel: So, without giving away too much competitive advantage, I will ask Dhananjay because he is an expert in this field to maybe say a few words.

Dhananjay Bajpeyee: So, as you are asking for nuclear, there is split order from NPCIL which is going on. So, we are going to supply equipment for India's nuclear program for NPCIL and the EPCs which will be selected by NPCIL.

So, this will be a continuous opportunity over the next five years. And we will keep supplying. Approvals you are talking about. So, there are EPC companies in the U.S. and Europe which we are getting approvals. And the approvals which our acquisition of HDO we had, so those approvals are being passed on to GMM and those will be useful for our future business.

Bhavik Shah: So, what kind of order are we doing for NPCIL? What exactly we are supplying here? What is the size of the order here?

Dhananjay Bajpeyee: We are going to supply heat exchangers for primary circuit and secondary circuit in the nuclear power plant.

Bhavik Shah: What is the size and, sir, what are we doing in the green hydrogen side?

Dhananjay Bajpeyee: Yes, also the similar equipment will be supplied for thermal power plant which will be in balance of plant.

And as far as green hydrogen is concerned, we have already executed one order for one of the German EPCs for an Indian end customer. We will be supplying heat exchangers for those hydrogen plants.

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Bhavik Shah: Can you just quantify the opportunity here?

Tarak Patel: It is a very large opportunity. It is too early right now to say too much right now. And again, you know, this is something that is also strategic in nature. So, I think the opportunity is there. The play can be a wide range of industry segments. At the same time, oil and gas and like Dhananjay mentioned, you know, the Qatar, Abu Dhabi, Saudi Arabia, those are opportunities as well. We worked quite a bit to get registered and create agency networks and, you know, sales networks in these areas as well. So, hopefully some of the export business will also materialise.

Bhavik Shah: What kind of revenues do we currently do from heavy engineering side?

Tarak Patel: Sorry, I will just answer that question. I think last year we were at INR 260 crores in heavy engineering. Yes. And from this half year, we are at what? Yes, I think that there is already like 15% growth or something like that. So, it is growing. We expect HE to do quite well this year also.

Bhavik Shah: Okay. So, all the best.

Tarak Patel: Thank you.

Moderator: Thank you very much. Ladies and gentlemen, due to time constraints, we will take that as the last question

for the day. I would like to hand over the conference to management for closing comments.

Dhaval Shah: Thank you. Thank you everyone for joining us today. It was a pleasure interacting with you and we look forward to many such interactions during the course of the year. Take care and see you soon.

Moderator: On behalf of GMM Pfaudler Limited, that concludes this conference call. Thank you for joining us. You may now disconnect your line.

Call: Feb 2026

GMM/SEC/2025-26/75 February 13, 2026

To,
BSE Limited National Stock Exchange of India Limited
Scrip Code: 505255 Symbol: GMMPFADLR

Sub.: Earnings Call Q3 FY26 – Transcript

Dear Sir/ Ma'am,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of earnings conference call for the quarter and nine months ended December 31, 2025, conducted on February 6, 2026, for your information and records.

The above information is also being made available on the website of the Company at www.gmmpfaudler.com.

Thanking you.

Yours faithfully,

For GMM Pfaudler Limited

Mittal Mehta
Company Secretary & Compliance Officer
FCS. No. 7848

Encl.: As above

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FEBRUARY 06, 2026

MANAGEMENT :

■ MR. TARAK PATEL – MANAGING DIRECTOR , GMM PFAUDLER LIMITED
■ MR. ALEXANDER POEMPNER – GROUP CHIEF FINANCIAL OFFICER , GMM PFAUDLER LIMITED
■ MR. RAVEEN KANABAR – MANAGER FINANCE & ACCOUNTS , GMM PFAUDLER LIMITED

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Moderator: Ladies and Gentlemen, Good Day and Welcome to the Q3 and Nine months FY26 Conference Call of GMM Pfaudler Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.

I now hand the conference over to Mr. Raveen Kanabar. Thank you and over to you, sir.

Raveen Kanabar: Thank you. Good evening, ladies and gentlemen. A very warm welcome to all of you in the Q3 and Nine months FY26 Earnings Call of GMM Pfaudler Limited.

The Earnings Presentation was uploaded on the stock exchanges today and is also available on our website. Hope, all of you had a chance to go through it.

From the management, today we have with us our Managing Director, Mr. Tarak Patel and our Group CFO, Mr. Alexander Poempner.

We will give you a "Brief Overview of the Performance of the Company," after which we will

get into the "Q&A."

Before we begin, with the overview, a brief disclaimer. The presentation was uploaded on the stock exchanges and also on our website, including our call discussions that will happen now, contain or may have certain forward-looking statements regarding our business prospects and profitability, which we are subject to several risks and uncertainties. The actual results could materially differ from those in such forward-looking statements. I would now hand over the call to Mr. Tarak Patel to Provide You with an Overview of the Performance. Over to you, Tarak.

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Tarak Patel: Thank you, Raveen, and good evening, everybody.

As you can see, we are continuing with the momentum a gain. This quarter has been a stable quarter in terms of revenue and profitability. However, it has been a good quarter in terms of order intake.

If you look at our last three quarters of this financial year, Q1, Q2 and Q3, you will see that of course order intake has been significantly higher and that obviously puts us in a much stronger position for the next financial year.

In terms of revenue, our nine-months revenue is up 8% year-on-year and our EBITDA grew by 14% on nine-months basis. Our margins have also been stable or slightly improved over the previous same period.

Order intake, like I mentioned to you, INR 961 crores, which was 9% up this quarter, but 20% year-on-year and subsequently, our nine-months order period also saw a growth of about 16%.

What is also very comforting is that today, our backlog stands at INR 2,205 crores, the highest it has ever been, which is 27% higher than previous year. We expect Q4 to be a strong quarter in India in terms of revenue and shipment and we also expect Q4 momentum to continue with order intake, which then hopefully will put us in a very strong position for next year. With a 30% higher backlog for the next financial year, of course, there would be both improvement and growth in revenue and profitability as well.

Having said that, global environment continues to remain challenging. As many of you will know and would have investments in chemical companies, the chemical outlook still remains quite tough. And the worrying areas or the geographies for management today is Europe, which is, of course, slow.

India continues to improve, driven by investments in pharma, oil and gas, nuclear, so we have diversified there. Chemicals remain weak due to over capacity and uncertainties in global trade.

Europe, like I said, remains slow and uncertain, especially in our traditional markets of chemicals and pharma. However,

our systems business has seen significant order intake driven by increased defense spending in Europe.

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American markets are recovering and seeing improvements. And also with South America, Brazil, SEMCO and MixPro in Brazil, we are seeing growth driven by metals and minerals and rare earths and oil and gas.

China continues to be challenging for us and we are now implementing cost-saving measures and strategic investments to make sure that China recovery is on track.

I would also like to mention here that you will see in one of the slides in our presentation that what is also very encouraging is that now 50% of our order intake over the last nine months and the corresponding backlog comes from non-traditional industries. So, when I say non-traditional industries, I mean these are orders not from chemical and pharma. So, as a company, you can see that our diversification strategy is now gaining momentum.

It is something that we have been speaking on for a long time, and today we are in a stronger position, we are able to show growth even in spite of the challenging conditions only because we have this diversification strategy.

Lastly, I would also like to talk a little bit about two exceptional items in this quarter -- One, I think most of you will be very aware of. This is regarding the new labor code. There are some provisions to be made as the new labor code got implemented in Q3. The other one-

time expenditure is for our facility in Germany. As you would have known over the last few quarters, we have been consolidating our cost structure across the globe in our glass-lined business, our manufacturing footprint. This started with our shutdown of our Hyderabad facility and the land, which was subsequently sold off, and we will receive the proceeds this month, INR 55 crores and then we also shut down our UK facility in Q4 of the last financial year. This continues and our glass-lined capacity today, as what we have across the world, needs to be consolidated and the next initiative in this front is to reduce about 30-people in Germany. We have signed an agreement with the works Council there that 14 of them have already left this quarter and the balance 16 will leave over year's time, and the provision for that has also been taken entirely in this quarter.

I would now like to hand over the call to Alex. Alex will give you a little bit of background about the Financial Numbers and maybe a little bit more details about these two one-time impacts. Over to you, Alex.

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Alexander Poempner: Thanks a lot, Tarak. Hello, everyone. As already started by Tarak, I would like to say our focus especially on the two exceptional items -- the first one, as Tarak mentioned, due to the consolidation of our global footprint, of our global glass-line setup, we started a further cost-reduction improvement program at our site of Pfaudler GmbH in Germany and this resulted in an exceptional impact this quarter of INR 44 crores. This covers mainly severance payments for staff already left and staff which has agreed to leave now in the coming financial year. So, this is a full downsizing staff reduction program to really adjust our footprint to the future requirements.

The other one-time exceptional impact is coming from the new labor code in India. I assume everybody already is aware of this. Also, several other companies face this. It resulted in an impact of INR 13 crores this quarter and this was also fully provisioned for and you see it in our income statement that as said both together classified as exceptional and therefore have a one-time impact on our result.

I think these are the two key areas from my side. I now would like to hand over back, but yes, probably for the further questions.

Moderator: Thank you very much. We will now begin the

question-and-answer session. The first

question is from the line of Sameer Thakur from Ambient Capital. Please go ahead.

Sameer Thakur: So, my first question is how should we think about the margins and return on capital employed for the non-traditional end markets - is it comparable to your traditional end markets or is it lower or higher, anything on that?

Tarak Patel: So when I say non-traditional markets, you must keep in mind that these are markets that we have been serving for quite some time. So, they are not new brand, new markets. Our heavy engineering business serves definitely non-traditional markets because their markets are oil and gas, petrochemicals, fertilizer, and now nuclear as well. Our systems businesses serve markets like defense, space, and other stuff are mixing business. So, generally, we feel that in terms of diversification, there are two or three things that we look at - One is, of course, our ability to engineer and manufacture these goods. So, that is something that we have as a USP, as a company. So, that continues. But the new verticals or these new businesses that are helping us diversify, are now entering or helping us grow from non-traditional industries, right? So, nearly 70% of our business, maybe 18-to-24 months ago, maybe even more, came from chemical and pharma. And while the chemical market kind of went down over the last couple of years, it was important for us as a company to diversify as a long-term strategy. If you want to see continuous and sustainable growth, the more you

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diversify, the more at least the buffer that you have, right, because all the verticals and all the industries hopefully would not go up or go down at the same time. So, that is the thought process behind the diversification. And many of our products can also be used in non-traditional markets. So, we are trying to improve our penetration in new market areas. In terms of margin profile, they remain quite similar in anything. Once we move up the value chain and we give process technology like we do in our systems business, you will see margins improving there. Again in terms of Return of Capital, the other thing that I would like

to just mention here is that these factories and the se businesses are not heavy in terms of assets. They do not have large manufacturing sites and facilities and footprints. They are pretty much buying and assembling and putting it all together and selling it to the customer, right? So, it is a combination and I think, I hope that kind of answers your question. Alex, do you want to add something?

Alexander Poempner: I definitely have to echo. In fact, the new businesses, they should be at least as attractive as the current ones regarding the ROCE. We gave long-term ROCE guidance in our last Capital Markets Day. We are currently not there, but we are confident that we will bring up continuously.

Tarak Patel: Yes, and I think as a strategy, the way I would hope people think about this is that a company that was famous and only known for glass-lined, today has 50% of its business coming from non-glass-lined, non-pharma, non-chemical. So a lot of people talk about diversification, but you can see now with the size of the orders that we have, so a large order in defense close to \$30 million. A large order from nuclear close to about \$15 million. So these are large orders where we would not be getting these orders if we were not capable or we did not have the kind of capabilities to kind of support these large projects. So that shows that over time that we have diversified, and this strategic initiative is going to be very important for us over the next few years as well.

Sameer Thakur: Okay, thank you. My second is, what is the reason behind this lower EBITDA margin sequentially? I believe SEMCO is margin-accretive, if I am not wrong. So, if you can provide

some

details on that?

Tarak Patel: SEMCO is doing quite well. I was in Brazil actually last week. SEMCO has a very strong order book and the outlook looks very positive. There are large investments coming into metals and minerals, oil and gas, petrochemicals, even chemical and pharma in South America, which we should definitely try and get involved in. So, SEMCO is a company that today is strong in terms of both backlogs and opportunities and continues to remain that way.

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Sameer Thakur: Okay, thank you. I was just thinking about the lower EBITDA margin sequentially. Is that driven by something else, I mean, what are the factors behind it? In general. I am just saying total EBITDA margins of the company.

Tarak Patel: Okay, so I think the EBITDA margin, if you see as a group consolidated numbers, it is flattish. It is about 12.7% versus 12%. But again, I would just recommend that when you look at GMM Pfaudler, we must look at it on at least a nine-month or a 12-month basis. Quarterly would not be a fair way to look at an engineering manufacturing company where most of our orders are long-term and over a period of time. So, I think as we have said that during this year, we will maintain 12.5% to 13% margin and look at upside if the market picks up. So I think it is a stable margin. It is better than where we were. There are tough places in the world right now where we do have problems. We do not have order intake as much as we would like and that is always going to be the case. Some geographies do well, some geographies will not do so well. But generally, we are definitely happier today and have more comfort because of the order intake and the backlog that we now have.

Alexander Poempner: Just to add, I think if you compare on a nine-month basis, the EBITDA margin is increasing from 12% to 12.7%. So, we see the upward trend. There are, of course, and especially the new investments, there we achieve already higher EBITDA margins. But, unfortunately, we have some units which are performing not good. Of course, you could imagine that Pfaudler GmbH, the unit in Germany where currently we initiated cost-saving measures, there EBITDA is definitely not where it should be. We also still have some challenges in Switzerland, and also China, especially with the outlook from the EBITDA margin perspective, it is not there where it should be. It is below average. However, and I think this is fair to say, especially the new businesses that we invested in, there we are already trading at higher EBITDA margins. So, what we have to do, we already started. We have to improve the underperforming units.

Tarak Patel: Just one more point here is that obviously there is a product mix that has a place. Sometimes you will see that there will be a large HE order that could get shipped out. So, it is really again, a quarterly would not be the right way to look at it. I think from a margin perspective, we believe that there is obviously room for improvement. We are working towards this, and as volumes pick up and as some of these cost initiatives take effect, we will definitely see margins hopefully move in an upward trend.

Sameer Thakur: Okay, that is helpful. If I can squeeze in one more, just a small one. That is the order inflow. Can you give the break-up of India and international markets? Is it driven by more from India

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Tarak Patel: So, just at a broad level, India was about INR 290 crores, so INR 300-odd crores India, INR 600 crores something in international. So both of them have recorded quite strong order intake. And this quarter also looks good. And the nice part about it with India is that the glass-lined business is looking a little bit better. We have won some large glass-lined business as well. So that is also a positivity from an I

ndia perspective.

Sameer Thakur: Okay, that is helpful. Thank you. That was all from my side.

Moderator: Thank you. The next question is from the line of Sagar Shah from Spark PWM. Please go ahead.

Sagar Shah: Thanks for the opportunity and congratulations to the management for delivering such numbers in such uncertain times actually. Now, my first question, sir, was just a follow-up of the previous participant actually. I understand it is an engineering company, so there must be volatility in the margins. But what I wanted to understand is, there is some difference in the gross margins as well. So, the gross margin for this quarter is at around 60.1% as compared to the previous two quarters we were clocking about 63%. So, is this difference in gross margins is just because of product mix or is it something else or is it related to any kind of tariffs? I wanted to understand that point, sir.

Alexander Poempner: I think what is important to consider for us is probably if you look on a 12-month basis or nine-month basis. If you just do a quarter-to-quarter comparison, there could be a high impact just due to the business mix. So, we also intend to focus more in the future on a 12-months basis and not just on a quarter because exactly as you said, it could come just due to a really strong performance, high gross margin business in one quarter and then you have the resizing on the full move.

Sagar Shah: Okay, got your point, sir. So, what are the steady-state gross margins or EBITDA margins that we would like to target in the next two years, anything between FY27 and FY28 if this global situation actually remains stable and if it actually improves?

Alexander Poempner: I think what we gave and we definitely stick to this as a mid-term EBITDA margin to go back to the 16% to 18% range and we are getting there because especially the latest investments, we already achieved better EBITDA margins. We have to admit that currently we have the challenges in the global economy. We see the uncertainties. We have still some underperforming units due to this and therefore we are not there, but as said before, the EBITDA on a group level compared to last year, it increased from 12% to 12.7% and we are confident that we also bring it slowly up again in the next financial year already, but the full

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achievement, the target by when we will reach it, it also depends on the global economic situation that we currently could not really foresee how it will develop.

Tarak Patel: Even though that the global situation of course is something that none of us can predict in terms of what is going on, but at least from the perspective of the customers that we speak to, at least the chemical customers which is currently our biggest, I would say a pain point is that volumes have now come back. So at least that is a positive development. Maybe the margin will take a little bit longer but people are at least now running full factories which means that hopefully the next investment cycle is not so far away. So, at least from that perspective, we have had two years and many of you have been following chemical companies. I know that there is not too much positivity right now, but the cycle has to turn at some point. So we all I guess have our fingers crossed that at some point things will improve and I think now there is at least from a global trade perspective some amount of hopefully stability. Maybe I speak too early, but at least with India-Europe, India-US, maybe there is some potential improvement and development on that front.

Sagar Shah: Okay. Got your point sir in that. Thanks for that answer. My second question was on the disclosures. This time is the first time that you have given disclosures that how much percentage of your orders were from non-traditional sectors actually. So, don't you think now it is the time

to give disclosures even within technologies that which segment -- is it from the industrial mixing side or is it from the GLE or is it from the lab and the process glasses or which businesses are actually giving you higher order intake, what is the outlook regarding

that so that investors can get further more confidence, sir, that how GMM can grow in the next two years?

Tarak Patel: Okay. So one of the learnings over the last few years after speaking to people like you is that our business is confusing, right? And there is so much stuff going on with so many different entities and international versus India, I think it becomes difficult for investors and analysts to really put a finger. There is much easier companies to track than GMM was. So, we get that for sure. I think what we have to do, one is obviously to make it easier for you, but I think the more important part is to make it easier for management to think about businesses to strategize about businesses, right? So, we are now going through a transformation which I have spoken about quite a bit. You will see a different company in the next few years. We have already reorganized. We are in the process of reorganizing our business lines to meet specific needs. We also believe that every vertical or every business line has different strategies. For example, our glass-lined business, is a mature business. It is not growing at 20%. We are the market leader and it is a mature market. The play there is not growing market share. The play there is not growing. The play there is to really cut GMM Pfaudler Limited
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cost and that's why you see we have already looked at three facilities in terms of reducing and kind of downsizing. These are tough decisions to take, but we are taking them because we believe it is the right thing to do. And we believe that we already have enough capacity for glass-lined. So over time, this should play out to our advantage. Our other verticals like heavy engineering, for example, are a high growth vertical. So our strategy for that is completely different. Our strategy there to add sales people, to add capabilities, to add different kind of geographies and PTR's so that we can cater to a much wider range of industries. So every vertical will have different strategies, every region within those verticals will have different strategies. So, that helps us as a company deliver and initiate strategies based on specific needs and not a one size that fits all. So hopefully, we are in the process. We obviously will go internally to the board with next year's budget shortly. And at some point, we will also start articulating our next long-term strategy. It has been quite some time and we have been talking about coming back to the capital markets with our strategy day, our analyst investor day. We were hoping that the market stabilizes. We did not want to come back too early and then still kind of struggle. So, we were waiting till the market stabilizes before we come to you. But the plan is ready, the ideas are ready, the numbers are ready, the strategies are ready. So, I think the thinking has already started because what this company was five years ago, it is not the same company today. So the strategies will need to evolve. The people, the organization will need to now evolve. And like I said, once business picks up, things should look good. But, I am excited. I think the people in the organization are excited. I think that at least from the last maybe two or three months of changes that we implemented, there is definitely more accountability, there is definitely more excitement. So, I think it's definitely a positive.

Sagar Shah: Sir, my last question was related to the non-glass-lining technologies and the trade deals behind that. Within the non-glass-lining technologies that you are getting from the non-traditional sectors, defense, nuclear,

and even metals and minerals, you just highlighted about the North American market also in your opening comments. But, I wanted to understand that, which of these companies are getting traction, is it Edlon or is it just heavy engineering in the India business or is it MAVAG for the filtration and drying systems or is it process and glass systems? Which are the actual segments or which are the companies internationally actually are giving you that kind of traction or will give you higher traction in the future?

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Alexander Poempner: I think what definitely we already announced before, we have a strong focus on mixing. You saw it also from the latest acquisition to setting up this mixing platform with the entities MIXEL in France and China, MixPro in Canada, as well as SEMCO in South America combined with Mixion in India, we have the platform there. This is something where we expect further growth to come and especially also marginal improvement, because, as I said before, this is from our perspective an attractive margin business. It is a smaller unit, but the interseal business,

it is an entity in Germany, which also belongs to the non-glass-lined business, which also achieves high margins. So, this is attractive from our perspective. And besides the non-glass-lined, we also have the system business. And the system is helping us currently with order intake. And there I think we announced in June last year the big order intake of INR 330 crores, so EUR 33 million. This is going more to, call it the defense industry. So also it is broadening our customer portfolio, and we are developing there in the right direction also with attractive margins. And in India, of course, we have our strong heavy engineering business, where we are also developing in other industries. Also, there is now something in the nuclear sector. So, this is also helping us in broadening our customer base, our customer industries. And this is also something where we expect further goals to come, especially also top-line goals.

Moderator: The next question is from the line of Salil Desai from Marcellus Investment Managers. Please go ahead.

Salil Desai: Hi, Tarak and Alex. My first question is on this Germany restructuring, right? So between what you have done at the U.K. facilities and what you are doing at Germany, how do you think differently, of what interventions are required at each unit? And related to that is what more can we expect? And does production suffer with the German initiatives that you have taken? So I am saying that what you have done in Germany versus what you did in the UK, right, so how are you thinking differently of different facilities of what intervention is required? And once the decision is made, in the future, can we expect something more in the pipeline? And how does production change from what you have done in Germany?

Tarak Patel: Yes. So I think let us start off with the global glass-lining business. There is obviously an addressable market, there is a market size. And obviously, as many of you would know, we have glass-lined facilities in US, Brazil, UK, Italy, Germany, China, and in India we had Karamsad and in Hyderabad. So on a global basis, obviously, considering the growth and the market, we felt that we had too much capacity. So, we had to look at reducing capacity, especially in Europe. Started with UK, because UK was our oldest facility, it was about 100-plus years old, so, definitely the first one that we went after in terms of downsizing, that is completely done now. So, there is no glass-lined production now in the UK. We then, GMM Pfaunder Limited
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obviously, in India, we had our Karamsad facility and we had a Hyderabad facility. Again, too much capacity for the Indian market. We decided to move everything into one rather than

have two factories running at 50%. We would have one factory running at 80 percent or higher, and that is what is happening now. Hyderabad facility was sold off. The people were let go, and the land is now sold, and we should now receive the proceeds this month. The German facility, again, considering the current order trends in Europe, that is a proactive step where we have taken because we know that our cost structure is high in Germany. And we had an agreement. Over the last couple of months, we negotiated and we signed an agreement with the Metal Union workers to reduce 30-plus another five over time, so 35-people, which accounts for nearly 30% of the total wage bill of Germany. So, it is a significant restructuring. I know it is not fun to restructure. We would love to have business that was growing and orders coming in, and we could have these factories completely full, but unfortunately, that is not the case. But I think it kind of gives us a better standing for the future. We already have a facility in Italy that does quite well, which is a very different model because they outsource a lot of their production. So, that continues. The German facility will also continue, however, with a different cost structure where a lot of their metal fabrication will now not be done in Germany and could be done in the lower cost countries. So, that is part of the strategy. And in terms of further downsizing, I do not think there is anything significant right now that we are looking at. China is a small facility. China's strategy is something that we are working on. China is slow for sure. What we do in China is something that we will need to kind of figure out over the next few months. But it is not something that is a big problem for us. So, I think where we need to work is Europe. In Europe, we have already done a lot of hard work. And this is just one more step to make sure that we are from a cost perspective just much more comfortable.

Salil Desai: Understood. Thanks. And second question is, can you just remind me on nuclear, what applications are you getting orders for? And has anything moved on the semiconductor side?

Tarak Patel: Yes. So on nuclear, we have received a couple of large orders from the Nuclear Power Corporation of India. So, these are for ancillary equipment going into the nuclear power plant. So, these are not nuclear stamped vessels. However, they are large pressure vessels, heat exchangers, and column. So they go into the same plants that generate nuclear power. So, that is where our play is. There are not many people who are qualified. And because of

the acquisition of Hindustan Dorr-Oliver or HDO, we were able to kind of break into this market. So, that was in nuclear. Going forward, India nuclear, there has been investment already approved. So, we believe that over the next few years, the nuclear power sector here in India will continue to grow. And again, we will be well-positioned to capture some of that growth. So your second question on this was?

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Salil Desai: On semiconductors. I thought we had some opportunities there, so possibly - ?

Tarak Patel: So, semiconductors is basically our unit in the US. Edlon is doing quite well. Has a good strong order book driven by semiconductors. And also quite profitable. And how big would Edlon be at it now?

Alexander Poempner: It is USD 25 million. Please consider for Edlon. We also announced an investment and set up of a new site, because we expect a significant growth over the coming years based on the semiconductor business Inflation Reduction Act, which was signed in the US, I would say, 12 or 18 months ago. So, a lot of investments are coming there. And therefore, we invested early in the new site and will expect a significant increase on this high profitable business.

Tarak Patel: Yes and Edlon also does work with the n

uclear industry. They make some PTFE line glove boxes also that goes into nuclear. But I think you would remember, Salil, a few quarters ago when Edlon was not performing that well, we had actually put it as an asset for sale. We were running a process. This was before the selling, the boom had kind of happened. And that was about \$8 to \$9 million business, which has now grown about 3x and is quite profitable. But we need to push that business and maybe see if there are more opportunities to grow faster and quicker on that front.

Salil Desai: Thank you so much and all the best.

Moderator: The next question is from the line of Kunal Mehta from Sunidhi Securities. Please go ahead.

Kunal Mehta: Hi, Tarak and Alex. Very good evening. And my first question is I think a while back you all had mentioned that the heavy engineering and the mixing business can be a \$100 million business each in the next three, four years. So, now that we have four brands under mixing and, we have the Hindustan-Dorr Oliver facility for the heavy engineering. How do we see this growing? Are we going to see any more acquisitions for your capacity expansion in the heavy engineering, so we can have a facility overseas so we can cater to orders overseas as well? And how is the mixing segment also looking in terms of order intake?

Tarak Patel: Yes. So, on the heavy engineering front, we have enough of capacity to hit maybe about INR 600 crores to INR 700 crores mark from this very site. So, no further real investment needed. But, if you want to go up to a INR 1,000 crores of revenue, then, of course, we would need to add capacity. We have space available to expand even within the current site. So, for the next two to three years, we do not see any significant investment in our HE business and engineering business. Of course, so mixing a gain, like you said, four different

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facilities around the world. Our SEMCO, Brazil and MixPro, Canada are doing quite well, driven by oil and gas, metal, rare earths, etc., Very strong backlog and very strong opportunity pipeline, doing a lot of work with some of the newer and non-traditional industries. India and Europe, India is okay in terms of mixing some large orders to be finalized. Europe, because of the general weakness in chemical and pharma, continues to remain weak. And we are looking at obviously manufacturing some of these equipment outside of the high cost western countries to make our product more kind of attractive for the European market. So, that is the general feel in mixing.

Alexander Poempner: And China is still a small unit, but nevertheless, it is also a mixing unit. And there we are in line with the Chinese economy our order intake also behind our expectations. So, this is also not doing good.

Kunal Mehta: Okay. So, my next question is, India just signed a trade deal with EU. And do we see any indirect benefits from this, because there might be some expansion of orders from defense or nuclear or maybe the export scenario becomes better like from India, you can leverage the facilities, the low cost base of India to supply to Europe as well, so, can you share a possibility?

Tarak Patel: Yes, I think that one of the things that I was reading was that chemicals can now be imported into Europe from India. So, that could obviously drive investment in chemical manufacturing

in India, which obviously means that would result in more business for us. Pharma collaboration, again, I think it is too early to comment. It is definitely a positive. But if you were to ask me specifically which and where it is going to impact us, I cannot say right now. But I do think that it will definitely add some benefit in terms of even trading between the two countries, export licenses in certain cases, there could be some benefits as well, right? So, I see that. And then, of course, now with

the U.S. coming back in again, we had USD 5 or USD 6 million worth of orders from the U.S. last year that obviously we can then now process and kind of again start looking at the U.S. market from India.

Kunal Mehta: I think when last time I spoke with Alex, sir, he mentioned about a little drag in the filtration and drying segment. So, are there any issues that we are facing in the Europe market?

Tarak Patel: So, Europe, again, generally it is low. But again, there are very large projects in the pipeline. So, for example, there is a once-in-a-generation investment of Roche that is going on in Switzerland that obviously could mean more business for the group. So, there are some projects coming in pharma. Chemical is something that remain slow and we do not see too much excitement on that. And at least in India and maybe also in Europe now, peptides is

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becoming another area where more and more people are looking at adding investment. So, in the US, Eli Lilly, in Europe, Nova, and then of course in India, quite a few pharma players are now getting into peptides. So, that could be a nice area for us to get into as well.

Moderator: The next question is from the line of Praveen Kumar from Acuitas Capital. Please go ahead.

Praveen Kumar: Yes. Hi. Thanks for the opportunity. I had a couple of questions. The first one was on the international business. Again, if I look at it on a nine-months basis and split it into services versus technology based on your disclosure. So, on a nine-month basis, it still looks like that on a YoY basis, the growth rate on the services part is where it is highest, followed by technology, right? So, I just wanted to understand non-traditional businesses you are talking about, mixing, heavy engineering, etc., Largely, those revenues will be classified under the technology segment, whereas services probably would be an old GLE kind of business, right? So, I just wanted to understand, despite the slowdown in GLE and despite all these other segments doing well for you, on a nine-month basis, why do we still see services being the highest growth segment versus some related technology? That is my first question.

Tarak Patel: I am not sure if I understood correctly. You are saying the international business, nine-month comparable period, you are saying services is growing the fastest?

Alexander Poempner: No, services is more or less, it is one of the growth areas that we expect on a global level. We also expect that something to come, as we always said, from India and China, because their services is underrepresented. We have not achieved it so far, so we do not see it.

Tarak Patel: My general view on services is that services was slow, but last quarter and now as well, services have seen some improvement, especially in the U.S. So, I think services will come back to the normal level, especially in the Western, U.S. and European markets.

Praveen Kumar: Because if I look at your nine-month numbers on services, it adds up to around INR 699 crores for nine-month FY26. The comparable number for nine-month FY25 seems to be INR 647 crores. That is like an 8% growth rate versus on technologies, INR 884 crores last year has grown to INR 950 crores. That is like a 7%-odd kind of growth rate. Unless my numbers are wrong, that was the question.

Tarak Patel: No, your numbers seem okay. Both growth rates are around 8%-10%, right? That is what you are saying.

Praveen Kumar: Services is 8.1%, the other is 7.4%. That was the question.

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Alexander Poempner: Services consolidated to INR 800 crores for the nine-months versus Rs.699 crores, correct, for consolidation.

Tarak Patel: That is a 14% growth.

Praveen Kumar: I think we can take it offline.

Tarak Patel: Yes, just take it offline. We will be happy to kind of gi

ve you the break-up so that you can clarify.

Praveen Kumar: Sure, sure.

Alexander Poempner: We do not see the growth in services so far in India, neither in China. This we say. Otherwise,

services, I think it is a good performance.

Praveen Kumar: Understood. And my second question was on the margins. I think earlier you were saying that you aspire to get to the 16% to 18% kind of an EBITDA margin trajectory. So, just wanted to understand from your current levels to get to that level, how much of that would be in terms of getting more operational efficiencies versus how much would be driven by growth rates? And what kind of growth rates would you need to get to that level?

Alexander Poempner: First, let us start with this non-glass-lined business. So, this is a sealing, this is a mixing. It is already trading at significantly above average margin that we have. These businesses we also expect to grow faster. Therefore, just due to a higher share of this business, we expect a margin improvement. On the other side, we have especially the glass-lined business where currently we are not doing as good as we want to. And we are also not achieving the margin that we want to. This is due to several effects. First, we have some significantly underperforming units, partly loss-making units. We already explained about Germany. We also said about China and we have to turn these around. Therefore, we already started with the restructuring measures. We have this cost-saving program in Germany we talked about. We also have to and when we could do in China. And by turning this around, we will also bring the currently low EBITDA margins of our glass-lined business up again. And in combination, this will result in this mentioned 16%- 18% target EBITDA range.

Praveen Kumar: Understood. Thanks for the response.

Moderator: The next question is from the line of Bhavik Shah from Invexa Capital. Please go ahead.

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Bhavik Shah: Hello, sir. My first question is, can you help me with the split of the order backlog and order inflow in terms of India and international?

Tarak Patel: For this quarter, about INR 290 crores was from India and the balance was from international approximately.

Bhavik Shah: This is for inflow, right?

Tarak Patel: Yes, this is the order intake.

Alexander Poempner: And the backlog is INR 550 crores for India and the balance INR 1,600 crores for the international.

Bhavik Shah: My second question is regarding the German unit and employee hit which we have taken.

So, does that mean our structurally employee cost comes down from next quarter onwards?

If yes, how much is that reduction which we are seeing? And in the last three quarters back or something, we took a similar hit in the UK business and then we took an impairment. So, are we expecting some impairment also coming in the Germany unit?

Alexander Poempner: No. In fact, the key difference between the restructuring program in the UK and Germany was that in the UK, we really stopped the OE glass-lined manufacturing. So, we also had to write off the inventory, some assets which were related to this without any cash impact. I think this is also what we said a year ago, and this resulted in some cash outflow only. In Germany, we still have the operations. We just size these down, and therefore, we also took out and we will still take out some people, therefore, we do not have the write-off of inventories or impairment of assets. So, it is slightly different. And the cost improvement in Germany, it will phase in over two years, because we said we just started with Phase-I, which is 14 people in FTEs and we expect there already an improvement in the result of roughly INR 15 crores to INR 17 crores.

Bhavik Shah: Okay. So, quarterly INR 15 crores to INR 17 crores?

Alexander Poempner: For the financial year starting next year?

Bhavik Shah: Okay.

y. So, INR 15 crores to INR 17 crores is the entire year savings in FY27, right?

Alexander Poempner: This is a full year saving. And then we will still have some further FTEs will phase out in the next financial year. And the full year impact that we expect due to them leaving will be in the area of INR 25 crores. So, in total, we have above INR 40 crores savings impact.

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Tarak Patel: Yes. So, this is a big downsizing for us. Nearly 25%- 30% of the cost is being kind of taken off over a two-year period. So, it is a restructuring of a large size and it definitely will impact us positively going forward.

Bhavik Shah: Understood. Can you just help me with the guidance for FY27 in terms of growth rates in India and international business?

Tarak Patel: So, I think just wait a little bit, Bhavik. We will let us get into this quarter a little bit in detail.

So, we know what our starting backlog is. Let the order intake continue. And we would be happy to kind of give some broad level guidance maybe in the next quarter.

Moderator: The next question is from the line of Rohit Ohri from Progressive Shares. Please go ahead.

Rohit Ohri: Hi, Tarak. Hi, Alex. Two questions, probably two parts to that. First one, we see that you are building the order book for HE with all these opportunities coming from oil and gas, nuclear or maybe green hydrogen. My question is that are we already insulated contractually for these projects or do we see volume margin fluctuation or risk associated to that?

Tarak Patel: So, I think we are pretty well insulated. So, these are fixed price contracts with some amount of escalation clauses if material prices were to change. There also payments are milestone-based. So, we do not see any significant kind of risk. But, of course, the sizes of these projects are larger. So, we need to be efficient in terms of ordering, procuring material, manufacturing, execution, quality. So, it is like any other business. Just the size and the scale of these orders are bigger. So, of course, from our project management perspective, we have to be completely on our toes to make sure that we execute these projects very well.

Rohit Ohri: Do you think that you will be going aggressively after the market share in HE division?

Tarak Patel: So, HE is a business that is a really large business. And I think there is enough of space for at least quite a few large companies. In our niche space, we have a group of companies that we normally compete with. And there are companies above us and also kind of below us.

So, the idea is to move up again in terms of value chain to make sure that over time, in terms of material, in terms of thickness, in terms of weight, in terms of complexity, we can take better stuff and higher stuff as well. So, that is the push. And over time, as you would have seen, maybe when we started this HE business three years ago, we got 90% of the material handled would have been carbon steel. Today, that carbon steel has come down to 40%.

But we have stainless steel, we have the Hastelloy, we have Titanium. We have encoders.

So, all these materials coming in. So, from the same capacity, you can get much more revenue if you can increase or change the material. So, that is something that we are working

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on. And again, here, the export market is very lucrative as well. So, the Middle East, Southeast Asia, Saudi Arabia, all markets that we can get into. And one of the strategies is to really build our presence and penetrate those markets quite well.

Rohit Ohri: Tarak, congrats on this big order that was shipped out for some oil refinery via EQUILLOY, which was, I think, 48-meters or so. But the thing is that going forward, do you think that in the next two and a half, three years, HE alone can be somewhere like INR 1,300 crore

s or

INR 1,500 crores kind of order book for you?

Tarak Patel: So, see, it is a growth vertical for us. But again, like I said, we do not want to grow and go into markets where the margins are tough and the competition is strong. Let us find a nice niche for us. There are quite a few different industries that we can cater to in this market.

So, between this, we find some place to play. Of course, growth is a challenge in our traditional market. So, we have to find growth from new markets such as nuclear, oil and gas, different metals, minerals and stuff like that. So, we are trying. Some of them, we will succeed, some of them would not grow as fast as we would like. But, I think that we have created a strong brand. We are a well-known player now in heavy engineering. So, we are considered as one of the premium players here. We are no longer somebody who is trying to get in. We are already in. We have got our foot in the door. We are approved by most of these government companies, EIL and also big, big, big multinationals as well. So, the idea is to grow the business but grow it profitably.

Rohit Ohri: One last question is related to Poland property and the recent developments. If you can take us through what is the size of this plant? Or maybe there is free land available? And what could be the estimated peak revenue that you get?

Tarak Patel: Yes. So, the Poland facility has just started about three to four months ago. So, we are already producing at this site which is helping our Swiss and French subsidiaries. So, about 80% of the business that Poland does today is for the two sites. They are booked out. So, all the new orders that have come in, have been now outsourced to Poland. So, that is something that is ongoing. We do plan to invest in Poland for another facility to increase our manufacturing footprint there because then we can really use Poland to even start making maybe stainless-steel vessels or Hastelloy vessels for agitator businesses and things like that. So, Poland has turned out to be a good option for us and we need to kind of build that and reduce costs in high-cost countries like Switzerland, Germany and France.

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Moderator: Thank you. Ladies and gentlemen, this will be the last question for today which is from the line of Mukul Deshpande from Insightful Investment Managers. Please go ahead.

Mukul Deshpande: Yes, hi, thank you for the opportunity. So, I have two questions. First one is, given the substantial increase in the order backlog as well as we are seeing health continuing order inflows, should we now expect a higher revenue growth of let us say 15%-20% for the next two, three years?

Tarak Patel: I think it is simple. A company like ours, if you had to judge or you had to base your views and your future projections on a company like ours, a backlog is a very strong metrics of that performance. We are one of the only companies in India that puts out backlog data and we have been putting it out for the last maybe, I do not know, 12-15 quarters. Most of our peers do not share this data. They talk about this data in terms of months, in terms of, I don't know. So, we are upfront and honest because this is something that you cannot fool. I mean, this is clear numbers. So, having a strong backlog is definitely a sign of future revenue and future growth if that backlog is big enough. In our case, the backlog is 27% - 30% higher, which is good. But, it still means that we have to book orders for Q4, we need to ship out in Q4. Q4 should be a good month in terms of revenue and shipment. That means the backlog will get depleted, but we are quite confident that we have and we have already enough of opportunities, some of them have already been booked in this Q4 to help us have a stronger backlog for next year. But it is clear across the organization, everybody knows

that order

intake is critical, order intake for Q4 becomes even more critical, because that means you start the year off with a much stronger backlog, right? And for a manufacturing company like us, that is really the name of the game. That is the most important part of our business.

Mukul Deshpande: Yes, right, sir. So, with so much being done on the cost-saving initiatives, like we closed two plants, we are moving a facility from Switzerland to Poland, and we also have let off some people in Germany, and the other initiatives that you mentioned in your opening remarks.

All these initiatives should lead to a much better margin for the coming quarters. Is that a fair assumption? And also, could you share the quantum of the same?

Tarak Patel: So, again, I would just say, if you believe in the story, I would say trust the process. We are still going through a very tough economic situation. It does not look as bad because we have done so much stuff, and some of these benefits have really helped us. Like these large orders from non-traditional industries, if they had not come in, we would have been 30% lower in terms of revenue for this year. So, we have done well. I do not want to speak too much about this, but it is a clear strategy. It is something that we will continue to do. So, cost is something we control. So, cost is something that as a company, yes, you know, obviously

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in the past things have been different. After COVID, everybody was booming, order intake was great, all the factories were fulfilled to capacity. But today, it is a different situation. And that actually forces us to take some tough decisions, which is good, because it makes us stronger for the future. And I think that is the most important thing, that we will be a stronger company coming out of these last two years. It is a tough situation. It is not the greatest time to, I mean, obviously, the last maybe 24-months, the numbers have not been great. It has been up and down. But, yes, a lot of work is going in, and hopefully some of these things will kind of turn out to be the right things, and hopefully the numbers will reflect those improvements.

Alexander Poempner: I think maybe also a little bit from my finance perspective. We have a really solid, good backlog to start the next financial year. It is 27% up versus last year. However, please do not expect that the next quarter we grow by 27%. The 27% increase is also coming from other businesses, partly the systems business. It will not directly convert in revenue. On the other side, what you mentioned regarding the cost improvements, I think we have done our homework. We have considered the current situation. We reduced our cost significantly. We still see an improvement. Nevertheless, there are still some areas where we are not doing great, and where there is still uncertainty, and where we still have also not the EBITDA margins that we want to have in the next quarters. Of course, maybe I am a finance guy, a little bit more prudent and not overcome with let me say, expectation due to the strong increase in order intake and backlog. We will improve, but constantly.

Tarak Patel: So, I think with that, I will hand over the call back to the moderator.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Raveen Kanabar: Thank you, everyone, for joining us today. It was a pleasure interacting with all of you, and we look forward to many such interactions during the course of the year. Take care and see you soon.

Moderator: Thank you. Ladies and gentlemen, on behalf of GMM Pf audler Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

GMM/SEC/202 6-27/14 May 28, 202 6

To,
BSE Limited National Stock Exchange of India Limited
Scrip Code: 505255 Symbol: GMPFPAUDLR

Sub.: Earnings Call Q 4 FY26 – Transcript

Dear Sir/ Ma'am,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of earnings conference call for the quarter ended March 31, 202 6, conducted on May 21, 202 6, for your information and records .

The above information is also being made available on the website of the Company at www.gmmpfaudler.com .

Thanking you.

Yours faithfully,

For GMM Pfaudler Limited

Mittal Mehta
Company Secretary & Compliance Officer
FCS. No. 7848

Encl.: As above

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MAY 21, 202 6

MANAGEMENT :
• MR. TARAK PATEL – MANAGING DIRECTOR , GMM PFAUDLER LIMITED
• MR. GREGORY GELHAUS – GROUP CHIEF EXECUTIVE OFFICER , GMM PFAUDLER LIMITED
• MR. ALEXANDER POEMPNER – GROUP CHIEF FINANCIAL OFFICER , GMM PFAUDLER LIMITED
• MR. ANKIT NAYYAR – DEPUTY CHIEF FINANCIAL OFFICER , GMM PFAUDLER LIMITED
• MS. MITTAL MEHTA - COMPANY SECRETARY
• MR. RAVEEN KANABAR – MANAGER FINANCE & ACCOUNTS , GMM PFAUDLER LIMITED

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Q4 and Year Ended FY'26 Earnings Conference Call
May 21, 202 6

Moderator: Ladies and gentlemen, good day, and welcome to Q4 FY '26 Conference Call of GMM Pfaudler Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Raveen Kanabar. Thank you and over to you, sir.

Raveen Kanabar: Thank you. Good evening, ladies and gentlemen. A very warm welcome to all of you into

the Q4 and Year Ended FY '26 Earnings call of GMM Pfaudler Limited.

The earnings presentation was uploaded on the stock exchanges today and is also available on our website. Hope all of you had a chance to go through it.

From the management today, we have with us our Managing Director – Mr. Tarak Patel, our Group CEO, Mr. Gregory Gelhaus – our Group CFO, Mr. Alexander Poempner – our Deputy CFO, Mr. Ankit Nayyar – our Company Secretary, Ms. Mittal Mehta.

We will give you a “Brief Overview of the Performance of the Company,” after which we will get into the “Q&A.”

Before we begin with the overview, a brief disclaimer. The presentation was uploaded on the stock exchanges and also on our website, including our call discussions that will happen now, contain or may have certain forward -looking statements regarding our business prospects and profitability, which are subject to several risks and uncertainties. The actual results could materially differ from those in such forward -looking statements. I now hand over the call to Mr. Tarak Patel to provide you an overview of the performance.

Over to you, Tarak.

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Tarak Patel: Thank you, Raveen. Good evening, everybody, and thank you for joining us today.

Let me start with a brief overview of last year's performance:

We delivered another steady year with a notable increase in revenue by about 10% and EBITDA at about 11%. Our margins remain stable in the year and the India business particularly did quite well. The India business grew revenue by about 12%, the EBITDA grew by about 24% and the PAT in India also grew by about 40%.

The good news is that the order intake continued to remain strong this quarter as well, but on a year -on-year basis, order intake is up 20%. We have an order intake this year of INR 3,714 crores versus INR 3,100 crores in the previous year. Our opening backlog on April 1st is also up by about 34%, which gives us a strong revenue visibility as well.

The general economic business environment is not so strong and has been difficult over the last 6 to 9 months. Most recently, of course, you all have been part of the turmoil in the Middle East which has, of course, kind of created uncertainties and investments going forward.

There are definitely geographies within the global sphere that we operate that are doing quite well. We do see also some positive developments in certain industry segments as well, but in our traditional segments of chemical and pharma, pharma has done quite well this year, but chemical still remains slow, especially in our India and international markets. Having said that, our diversification strategy is now playing out quite well. Nearly 50% of our order intake this year has come from non -traditional industries. So, when I say non -traditional, these are non -chemical and non -pharma. So, our diversification strategy into these new industries has given us a lot of additional order intake as well. Some of these new industries are, like I said

before, semiconductors, defence, oil and gas, petrochemicals, metals and minerals.

We have also had some organizational changes this quarter. So we have, as of this Board meeting, announced Gregory Gelhaus appointment to Group CEO and Ankit Nayyar has joined us as Deputy CFO of the company.

With that, I now hand over the call to Alex. Alex will take you through the brief financial performance of the company. Over to you, Alex.

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Alexander Poempner: Thanks, Tarak. As said by Tarak, I would like to say also a few words about the financials, especially focused on, first, on the extraordinary, the exceptional items which we already flagged in the last quarter. There is a minor change. It is an increase of INR 9 crore for our restructuring initiative in Germany. This comes from the fact that we now signed the agreement with all the individuals and it was slightly more costly. However, it also then results in a higher cost saving going forward.

And regarding the balance sheet, I would like to focus here on working capital. We were able to achieve an improvement versus the half year, which I think we also already estimated in the last call, so we were able to achieve this. And therefore, we generated a

strong free cash flow of INR 367 crores, which is even slightly upper than prior year by INR 49 crores. And our free cash flow to EBITDA ratio remained slightly above 90%.

We have repaid our long-term debt of INR 60 crores during this year and therefore, with also the strong cash generation that we achieved in this year, we reduced our net debt to adjusted EBITDA ratio to 0.4x versus 0.5x in the previous year, and significantly below our target range and the net debt to equity also remains low with 0.1

If we come to the outlook, we have a really strong backlog as Tarak already said, so this also gives us some comfort for the year just started. However, as already mentioned in prior calls, there are also still some territories which are impacted by the on going crises due to the now new Middle East conflict, and the general geopolitical tensions, uncertainties. So, we are confident, but we also do not want to be too bullish. We will also benefit from the initiated restructuring measures. This at least will help us to improve our profitability.

This is all from my side as of now. Therefore, I hand over to Raveen again, and we start with questions.

Raveen Kanabar: Thank you, Alex. Moderator, you may now open the lines for the questions. Thank you.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. First question is from the line of Sagar Shah from Spark PWM. Please go ahead.

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Sagar Shah: Thanks for the opportunity a very good evening to entire Management of GMM Pfaudler Limited. Sir, my first question was related to our margins, actually. In this particular quarter, obviously, our revenue growth was quite good, but almost 7% sequentially, 17% Y-o-Y. But there was some serious derailment in margins, actually. And more than your other expenses, it looks like your gross margins have weighed even on a standalone, even on a consolidated level. Our consolidated level margins stood at 55.4%, and as compared to Y-o-Y, as well as sequentially, it has dropped down.

So, first of all, I wanted to know what was the reasons behind the same, and what are the sustainable margins going forward that we can assume, actually. So, that was my first question.

Tarak Patel: So, let me start off by saying, I mean, just looking at one quarter in isolation will not be fair for the company. We are a manufacturing company. So, we will have a little bit of fluctuation in margins, especially when we have a very wide range of products. So, sometimes we have shipments and dispatches that come from maybe a lower kind of the margin but

business,

and some quarters we might have high, so the mix of the products will definitely play a part in that.

I don't think we believe that this is something that will continue. It is probably a margin specific to this quarter. We would like to at least maintain or grow margins in the next year. And even for the full year basis, if you see, we have still improved over previous year. So, our EBITDA value has increased from about INR 361 Crores reported last year to INR 403 Crores, and even the margin percentage has gone up by 1 percentage point on a full 12-month basis, right!

So, again, I think the foundation is in place. It's been a tough year for us. There has been a lot of multiple different issues that have impacted our performance. I will just again highlight some of them. There is already a general slowdown in chemicals, especially agrochemicals. So, that has impacted us.

Europe, for us, has been slow. You know the story in Europe in terms of the new investment. However, I would like to add that the large orders that we have received and the order intake has actually also come from Europe. So, even though Europe, the execution, the performance was slow, the order intake from Europe is much stronger this year, which obviously sets us up nicely for next year.

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From a margin profile perspective, I will maybe let Alex speak a little bit in terms of what the expectations are next year and what specifically happened this quarter.

Alexander Poempner: Look, and as Tarak already mentioned, if we just look at one quarter, it could be a little bit

misleading. I think we stated once in a prior call that it is better to look on an LTM basis to always a 12-month period because at the end, you do not see these big fluctuations, which are coming from the share of the different businesses in the quarter.

In general, we improved versus last year. We were also able to increase our margin. We significantly increased our order intake. So, we are confident to see further improvement in the next year.

We have a really solid basis based on the background that we have, based on the operational improvement that were initiated. So, on a constant basis, we expect an improvement, which we already started in this current, I would say, difficult economic environment.

Tarak Patel: Yes. So, just to add to that, there has been significant work that we have done in Europe in terms of taking out costs. So, the German factory, which we have downsized, right-sized, we have reduced people there, which will definitely benefit us a little bit next year and obviously for future years as well.

We have also right-sized some of the other operations within the European continent to make it more efficient as well. Our Poland facility is now up and running, so that should also help as a low-cost source for Europe. We shut down the UK and the Hyderabad facility here in India.

So, we are working to a much more efficient cost structure. There are still low-hanging fruit that we are working on. We have not finished all the work, but if the volumes were to return and with the backlog that we have now, we do believe that next year, we should definitely improve from this year.

Sagar Shah: I agree, sir, that you have a very solid order backlog and we have done the measures to actually curb the cost. But I wanted to understand, particularly in this quarter, so is the increase in the glass lining business has led to the derailment in gross margins? How can we read?

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And secondly, the guidance for FY '27 and FY '28, what are the stable-state EBITDA margins that we can target, sir?

Tarak Patel: So, a couple of things on this. I think there was a large HE order that was shipped out this year, which could have impacted the margins. That was one.

Number two is that we prob-

ably had a little bit of increases in some of our costs, which were a result of the gas prices going up and metal prices and stuff like that. But that has now stabilized, so we should be okay.

And looking forward, I think what I can say now is that we had with our Board yesterday a strategic plan meeting. We have outlined some basic three-year plans and we are in a good position to come to the market in the next few quarters. Again, we would like to come when we have a little bit more confidence around just the general business environment, but we have something in place now that will at least give us some visibility and vision for the next few years.

So, we are preparing. I have spoken about this before. So, we are there now in terms of at least the ideas, the initiatives, the broad level numbers, and now we will find the right opportunity to come to the market and explain to you what we are talking about and what we are trying to do.

Alexander Poempner: From the market perspective, we improved versus last year. We only look on a 12-month basis. There are continuous improvements. We really were able to improve order intake significantly. So, when we are stating, we are confident that also next year will look better. We feel really comfortable to state this. But really on a quarterly basis, it is tough to say how each quarter will develop. So, really let's focus on 12 months and be confident in the order intake, the backlog that we have, the restructuring measures initiated. So for the next year, we are really confident to see further improvement.

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Sagar Shah: So, my second question, sir, as you are seeing a very good outlook for the next two years, so what would be the drivers? I understand the diversification beyond chemicals, pharma, the disclosures that you have given on investor presentations, that is one of them. But I wanted to understand that what would be the drivers within the non -glass lining technologies, whether it will be industrial mixing or whether it will be some add -on services business or where we will see some supernatural growth, which will actually help GMM Pfaudler to at least have double -digit growth in the next two years. I mean in terms of revenue.

Tarak Patel: So, I think there are a couple of things that we would like to speak about here. One is that when we speak about the three -year strategy, the vision of the company, we have broken it down into three big buckets. One is growth .

Growth is going to come from multiple different avenues. Growth can come from share in market share. It can go from regional expansion. It can go by selling into new industries or some new phenomenon that comes in which drives a further more requirement o f a specific product . So, growth is something as a company that we have been focusing on and not every product of ours will grow.

Of course, like a glass -lined business of ours where we are a market leader, we have a very high market share, the growth rate there will be slower than, let's say, a heavy engineering business where we have a small market share and we have multiple diffe rent industries that we can cater to who are currently growing.

Mixing could be another growth area for us, but again, because mixing, we have a global organization and it caters to multiple different industries, we have growth there .

So, growth is definitely something that we are planning, but again, I can't say one product or one industry will drive growth. It is going to be multiple different levers across multiple different products. So, that work has gone in.

The second part is cost . So, as a company, we are the technology leader. Can we also become the cost leader?

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So, a lot of work that we have had, we have inherited a lot of costs in Europe and those geographies obviously

are not growing as fast as we would like. So, the only option really for us is to create a much more efficient cost structure in these geographi es. So, that is what we are working on as well.

So, you have seen that also happen last year. So, that gives us confidence that next year we are operating with a much lower cost structure . We could say that things are fine and we expect growth to come back in a big way and have 20% growth year -on-year.

Realistically, I don't think that is going to happen. If it does happen, great, fantastic. We will have more orders in at a lower cost struc ture. So, we will be happy with that, but we are not building our plan around some of these geographies .

And the last is organization. If we want to win, if we want to operate in these multiple different geographies, in these different industries, we have to kind of reorganize and change behavior as well. So, going from an international Indian organization, can we really align by product, by vertical, by industry to really drive some of these growth .

So, a lot of work has gone in, a lot of work is going in and growth is a very important part of our business. But do keep in mind, certain geographies will grow fast, some will grow slow, but we do believe that we have plans in place to help us grow at le ast double digits over the next, whatever, three years or so.

Sagar Shah: Just last one, sir. You had guided for a closure of the China plant. You were working on that. In the last quarter also you mentioned to curb down the cost further because due to lack of business there. So, any color on that, sir, part?

Tarak Patel: That is an incorrect statement. We have never said anything about closing our China facility. It remains a very important part of our business. We have just looked at maybe taking some costs out with the slowness in the business.

But as of this quarter, some of the business has come back in China. We hope that will continue. So, I don't see China closure or any cost reduction there to be a big part of this year. If anything, we expect China to do okay.

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Moderator: Next question is from the line of Kunal Mehta from InCred Equities. Please go ahead.

Kunal Mehta: Hi, Tarak, very good evening. I know it is a tough time right now. And just two questions.

One is on the tax. How are we on that? How are we working on improving the tax? This in this quarter, the tax has been pretty high. Are we again in the Luxembourg entity, which is still not solved? Or are there more further complications in other places as well?

And the second question is, we were to change the way we report our segments. So, are we going to be doing it from next quarter onwards? Or what is the plan for that? Because we had last time we met you in the conference, you said that there will be change in tech, heavy engineering process, performance, and systems. So, we will be reporting it in that way. So, will we be doing it from the next quarter onwards?

Tarak Patel: Yes, so I think a few points before I let the technical answer come from Alex. One is that, like you started off saying it is a tough time. It is not. I mean, it is definitely not as tough as what it was 12 months ago.

So, I think as management today, we are confident that some of the work that has gone in will definitely bear fruit in the near foreseeable future. I think that the market itself also is showing some positivity. I just hope that some of this craziness that is happening around the world, if that is going to stabilize, I think things can look very, very different.

So, we are positive. Again, like I am saying, it is part and parcel of life. You are not going to have every quarter where we are going to go by 20%. There are going to be good quarters and bad quarters. It is not going to be just your smooth sailing going forward.

And as a good company, I think mi

tigating risk, identifying risks and these issues, and even

for us, if you do look back, and we are a large company, INR 3,500 crore for a manufacturing company is not small and to have that much order intake coming in this year, especially when our core industries, our traditional industries were not growing that fast, I think that is a significant achievement and these sectors, until two years ago, we were not even speaking about.

So, to get an order of INR 130 crores from nuclear or getting a USD 30 million order for some acid recovery are not normal. We have worked hard, we have put in, and we were there at the right place to capture this. We could have very easily said, hey, everything is slowing down, so we will degrow.

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So, even in a tough year, we have grown 10% revenue and what is even better is our profitability at the EBITDA level has grown at the same rate or slightly better. So, we haven't lost a lot.

Yes, there is a lot of work to be done in cost in Europe. There is a lot of work to be done in our restructuring and I will let Alex speak about that. Alex?

Alexander Poempner: Regarding the taxes, the taxes was, I think it is coming up regularly, and we already worked on it. And if you would take a comparison here on the quarter, you already see an improvement in the international connections.

Nevertheless, it is not there where it should be. And it is coming mainly from the Luxembourg entity, fully correct and we are working on this. But this, unfortunately, does not go so fast. It requires some time. But as I said, as you already, as you look to the quarter over quarter comparison of the tax rates for the international business, it's already improved.

Tarak Patel: Yes, maybe you want to also talk about the Fx and stuff like that, while we are on that, on anything that we are doing for the loans.

Alexander Poempner: Yes. Well, for example, this is one, and I think it was also mentioned in prior quarters, there is one company loan, which we have between the German entity and the Luxembourg entity, and which creates some Fx exposure, which also could result then or impact the result and this also triggers or could trigger some additional tax expenses. And there we, especially in the beginning of the Calendar Year '25, and the beginning of our financial year, we saw a negative impact and this drove significantly this strange tax rate.

However, if you look to the international business in the last quarter, you see a tax rate in the 30% area, which I think comes already closer to the expectations and we are working on it to get this also settled in the coming financial year.

Kunal Mehta: Just one question. How are we placed on the order contracts? Do we have a pass through?

How much of raw material input costs that has risen can pass through to the customer?

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Tarak Patel: So it depends on the contract. Fast moving contracts, small contracts, you can't. In any case, we buy material to stock for our glass line business. So, there will always be that discrepancy. But sometimes it helps us, sometimes it doesn't, but it is not a significant impact.

Some of the longer -term projects have a built -in expedition clause. Heavy engineering, some of the system contracts will have that. So, if we kind of go above or below that 5% threshold, we can go and ask for more or they can ask for less, right, in a worse situation. So, that is something that we have and mostly internationally, most material is only ordered after the order comes in. So, that material cost is already priced into the cost of the product.

Kunal Mehta: I think I fall back in the queue for further questions.

Moderator: Next question is from the line of Praveen Kumar from Equitas Capital Advisors. Please go ahead.

Praveen Kumar: I had a couple of questions.

The first one was trying to understand the commentary on, you know, when Alex was referring to the fact that he sees that the management is confident but don't want to be too bullish and Tarak, you yourself were also referring that you would want to defer guidance until more clarity emerges, you know, we want to come back later.

So, I just wanted to understand, on one hand, you have a very strong order book and order intake that seems to be going well. But on the other hand, of course, there are macroeconomic uncertainties related to the war and other issues .

So, I just wanted to understand your reluctance to provide guidance. Is it more driven by worries that some of these projects could get, orders could get cancelled or delayed or whether the margin on those could be volatile? Or I just wanted to understand, double click and understand further on that. That is my first question.

Alexander Poempner: If you currently see the economic environment, I think we all agree that a lot of uncertainty is going on. I think in the last conference call, we were not aware of the crisis in the Middle East.

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If you now look to our order intake, it increased by 20%. If we would now just say, okay, the order intake gives some guidance for the next financial year, I consider this to be too bullish. Why? Because some of the order intake is also coming from businesses like the system business, which does not have the direct conversion into revenue.

Some of the bigger orders that we gained, they will be converted over two or even three years into revenue. So, this is in a little bit the intent to not set the expectations that we will improve by 20% next year and maybe EBITDA improvement is even higher. We are confident we will improve. We improved this year. I think we are fully on track what we said. We just don't want to be too bullish.

We would like to be realistic and as I said, I repeat myself, we will improve. We have profitability improvement, cash flow will improve, the restructuring measures initiated. We will have, I think, a solid year again, but we will be impacted by all the economic situations. If there is something else that is coming up, of course, we will see it.

Tarak Patel: Yes, so just to finish off that point, I think the apprehension is not about giving and the idea is, so we were hoping to come to the market, the plan was August, September. With the current crisis in the Middle East, we probably would still like to hit that date, but if not, then a couple of months more. But this year, we do believe that we should be in a position if everything goes smoothly to articulate our strategy, our three -year vision to the capital markets.

We have seen other companies do certain things, and if you don't achieve those numbers, then that also hurts. So, we want to be realistic. At the same time, we want to be smart about it . The last thing we want is to come out and give a number and then not achieve it.

So, I think it is the right combination. But again, as management, the last couple of years have been tough, a lot of work on it. Even for us to build more confidence, we would like to see momentum build some good quarters and the idea is to have improvement every year, from not only the internal performance, but things like taxation, Fx, loans, everything, cash flow.

So, across the board, we are trying to improve and I think when we are ready to give that number, we will do so. So, we are not afraid to give that number, but we want to have more confidence before we do.

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Praveen Kumar: My second question was on a broader question on the disclosure and presentation itself over time. See, over time, as the business has evolved, and now, as you yourself mentioned, a good part of the orders as well as revenues are coming from non-traditional

industries. But the presentation format seems to be still somewhat kind of indexed to the older kind of business model. So, I just wanted to get your thoughts.

Tarak Patel: Yes, so that is going to change. Sorry, I know you are talking about it. I am sorry to interrupt, but we don't like to change something during the year. It will be weird to change it now in Q4.

But next quarter onward, you will see some different stuff. We are reorganizing. We have a new organization in place. We have new ideas. So, we will come to you with that. You will get more information. It is a work in progress and we are going to come at least next quarter, for sure, with a new reporting system with much more clear data where you can track different things. So, it is something that we are working on.

Praveen Kumar: And just one follow-up to what Alex was saying earlier on the order intake. If I look at the overall order intake, it seems to have been largely helped along by a large systems order intake uptake, right? Whereas the rest of the orders were probably low to mid-single-digit kind of a growth.

So, just wanted to understand your thought process on the sustainability of this because quite a significant part of the order intake has come from, you know, the increase has come from systems, right?

Tarak Patel: Yes. So, that is absolutely right. Two large orders in systems, one in the U.S. and one in Eastern Europe. We are still in the process of many more opportunities in this space in Europe. We currently have open opportunities, and we believe that that should actually generate USD 20 to 30 million of order intake per year over the next few years.

It is not only a European play. We see that happening in more geography. We are now in talks with Indian companies as well to look at the same technology for India, and I think that is going to be at least maybe one of the growth areas for us globally, not only in Europe.

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The other businesses which were traditionally focused, I mean, they were more traditional in nature, more dependent on chemical and pharma. Chemical has definitely been slow. You guys know this. We know this. Europe Chemicals is definitely slow. You know BSF, Bayer, you hear of people shutting down facilities. So, it is not something that is growing at 20% for sure.

India has also seen some slowdown because of agrochemicals, because of overcapacity in China. But the good news is the last few quarters, whenever we speak to owners, promoters, management, the volumes have come back.

So you have seen a spurt of new opportunities that have been finalized, large orders, and you are seeing something more happening now as well. Pharma in India is still being driven by CDMO. So, they are doing quite well.

Internationally, pharma has picked up also because of GLP and the other drugs and also localization and the American market is also something that we are quite bullish on.

Hopefully, some of the deals that Mr. Trump has signed will translate into new investments which would benefit us.

But having said that, again, the general uncertainty, the tariff situation, just the mindset

today is not gung-ho investment. People are more cautious, and we would like to be a little bit more cautious right now. It is a tough environment for sure and it is something that we will have to work around and that is probably the new world order, I guess, how things will operate in the future.

But I think for us, we do believe that growth will come from these non-traditional industries. But again, we have to focus more and build an organization to capture more and more from these. But yes, the work is definitely happening, and we believe that this is a growth opportunity for us.

Praveen Kumar: Thanks for that.

Moderator: Next question is from the line of Anil Shah from Insightful Investment Managers. Please go

ahead.

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Anil Shah: Hi Team, I just wanted to check with you on your cash flow statements on the consolidated cash flow that you released. There is a line item for unrealized foreign exchange fluctuation loss of about INR 72 crores. Where would that be sitting in the P&L, please?

Alexander Poempner: It is in the OCI. You don't see it directly. You see it in the OCI.

Anil Shah: And in the other comprehensive income? In terms of the INR 137 crores that you talked about, is that where it is sitting?

Alexander Poempner: Yes. You do not have one single line in the P&L. You see it everywhere. Because the FX is impacting several lines in the P&L. But it is summarized.

Anil Shah: My second question to you is, I mean, in the sense, when we look at your P&L account, we continue to see pretty large finance cost for the year. But when I look at your gross debt, and then I look at the cash on hand, the net debt is actually not that much.

So clearly, the interest income that we earn from the cash seems to be meager to nothing.

But we are really paying up for our loans, whether it is long term or short term. I mean, what use is this cash INR 600 crores plus that is just sitting in terms of cash and bank balances. I mean, it just doesn't make sense from EBITDA to PAT. The flow through just is very, very meager.

Alexander Poempner: Yes. And there are several things. First, you already talked about the FX fluctuations and if you remember, before to a question, I explained the one big intercompany loan that we have between the entity in Germany and the entity in Luxembourg and we have an FX fluctuation, which you also see there in the interest due to this intercompany loan.

Additionally, you are also right, we have a lot of cash on the balance sheet. It is too much cash and usually you would repay the debt. But currently, we have our financing agreement in place till 2028. We will restructure this and this is also part of the general tax restructuring, which I answered before, we could not do it within a few months. It is intended to do it in the next year. But unfortunately, currently, we have to live with this.

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Anil Shah: I am sorry, but there are many companies in India listed companies operating across the world. I haven't seen this kind of flow through from EBITDA to PAT to be as meager as this and particularly on the interest side. I mean, net debt is about, if I leave out the pension fund liabilities, which anyway is a year-to-year change, you are not paying interest on it on a yearly basis. It is just, I mean, our net debt would be less than INR 200 crores today on March 26, but I still end up paying INR 120-130 crores of interest.

Tarak Patel: So, Anil, let me also just jump in. You are right. Absolutely right. It is a work in progress. We already got some approvals today for restructuring. It is ongoing. But do keep in mind that this was inherited because we acquired the Pfaudler business and was structured in a certain way.

The restructuring also comes at a cost. But we are working to reduce and improve the flow through from EBITDA to PAT for sure. You will see some improvement also next year in the coming quarters as well. The work is going in, but some will take a little bit longer. But

we are on this. So, we understand the concern here and we are definitely working on it. And now we obviously have Alex also supported by Ankit who has joined us on May 11. So, they will work together to create the right structure and create the right efficient movement of EBITDA and PAT.

Alexander Poempner: And as Tarak said, unfortunately, we have it since a few years. You could not get it set up within a few months. The plan is there, the Board approval is there to change it and it is coming from the intercompany loan we manage

as we already mentioned and from the setup

with the Luxembourg entity. We are not properly set up there, but it will take me a while to clean it.

Moderator: Next question is from the line of Rushabh Shreedalal from Pravin Ratilal Wealth. Please go ahead.

Rushabh Shreedalal: Sir, thanks for the opportunity and congratulations on a good order book in this tough environment. I again want to pick up from the last participant who had alluded to the fact that you currently have almost INR 680 crores of cash and on the other hand, our debt is increasing.

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So, I do understand that some of these would be through the acquisitions that have come to our balance sheet. But sir, if I just look at your cash flow statement, since the last two years, you have been generating a lot of cash flow. So, almost INR 380 crores of cash flow in both the years.

So cumulatively, if I look at that, it is almost INR 720-730 crores plus of cash flow that you have generated in two years. And why is it taking almost two years and still our debt is going up?

So, can you just give a timeline as to when do you plan to reduce it? Because I think that INR 122 crores can literally flow to our PAT and improve our earnings. And sir, I believe that two years is a reasonably good time for management to realize this. That is my first question.

Alexander Poempner: I agree that look, we are on this. We will reorganize the financing within the next year calendar. This is something which currently is in place. However, what you should also not overestimate, we have a lot of these big contracts that came with prepayments of customers. And therefore, a lot of cash that we have on the balance sheet, we require to finance these big orders.

We discussed especially the systems business. We received a lot of cash, which we now have to use in the coming months to finance the business. So, currently, the balance sheet looks really strong. But let's not say that we generate this kind of cash also going forward. Yes, we also still need some cash.

Rushabh Shreedalal: So, I got your point. But can you give some numbers as to what kind of debt profile would it look for FY '27 and '28? And based on that, what will be our interest cost for the coming two years? At least some directionally, if you can give something or some range or a number would also be good.

Alexander Poempner: We will repay or intend to repay easily 20 million USD...

Tarak Patel: From the international.

Alexander Poempner: From the group, to reduce the cash and reduce also the debt position. This could be easily done.

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Rushabh Shreedalal: So, we can assume at least INR 200 crores of debt coming down in FY '27.

Alexander Poempner: It will probably not be there as of March. The challenge that we have, we have a structuring in place and we also have some financing arrangements in place, which were signed, which came also with the transaction and it is because we have to check with other parties, we have to check with tax authorities and I could not get it implemented just within a few months.

I know that it takes long. But unfortunately, to change these setups, it takes a little bit longer. It was inherited. We are working on this. We get some Board approval to continue

now with the proposed measures. But I do not want to confirm that it is settled, solved by end of this financial year.

Tarak Patel: So, let me maybe just, because it is a long conversation and I think from a management perspective, I need to just highlight a couple of things. One is that certain, you know, do keep in mind the complexity of the scale and size of the operations we have. We have about 18 jurisdictions. So, money is there. It is in different jurisdictions. We need to be smart about it, and we are trying to reduce, obviously, the debt pos

ition. If we had

cash, there is no point for the cash to sit there and not earn interest .

So, these are all things, like I said, besides operations, besides the growth, besides the cost, besides the organization, there are also low hanging fruit in some of the inefficiencies that we have in the system. We are working on them, and you will see some improvement. Right now, you don't see it because we needed time also to first understand the situation. We brought in a Big Four who spent six months to identify the ways that we could do it. We looked at multiple different options, some cost us money, some don't.

So, it is not as easy as just saying, okay, let's move on and go from this jurisdiction to this and pay it off, right. So, it is a bit complex. Maybe we are a little bit slower than we should be, but let's do it right. But the intent is there to clean that up once and for all and not have a situation where we do it because we as management also and Alex is part of this, sometimes we feel bad that the hard work that we do at a business level sometimes doesn't show up at the earnings level, right.

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So, we are working on that. I mean, we can't change what's happened in the past, but the idea is to definitely change what we can do in the future.

Rushabh Sharedalal: My second question is on, again, the European operation. So, we have completed significant restructuring actions in Europe, especially the closure of the UK Leven facility and there was some workforce rationalization that we did across Germany, France and Switzerland and the commissioning of the Poland plant at a very low-cost manufacturing hub. But we did have an exceptional item and somehow or the other, either a small number or a large number, but an exceptional item keeps coming.

So, my question specifically is that how much more exceptional items should we expect going ahead? And once this, you know, the rationalization has already been done. So, can you just quantify the annual run rate cost savings that we expect once these actions are fully absorbed, both in terms of the absolute terms and also in terms of improvement in the international EBITDA margin, which are currently at 10%?

Tarak Patel: So, on the one off, I don't think we will have anything significant next year. I can't say right now, but as of now, there is no plan. Most of the stuff that we wanted to do has been done.

So, there is no specific plan right now to do anything in terms of onetime cost, right. So, I don't see that hitting the P&L next year.

In terms of the cost savings, I think we had mentioned something. The contract has been we have added about four or five more people to that restructuring as well. And we could probably articulate some savings. They start over next year and really materialize as and when people retire. So, we could share something. Yes, Alex.

Alexander Poempner: In fact, we would like to share that we saved with this initiative INR 45 crores on an annual basis.

Tarak Patel: The German one.

Alexander Poempner: The German one, the German restructuring fund and I echo it is exceptional. Yes, you are right. We had last year exceptional. We have this year exceptional. Why do we have it? Because we really shut down the site and this, of course, will not continue.

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Currently, there is not a plan to do something. But of course, depending on the environment and everything, we have to improve here and there. And we initiate another big restructuring measure and we will report it as a one-off item. But then you will also see additional cost saving in the future. As said Germany restructuring cost us money.

Rushabh Sharedalal: Sir, sorry to interrupt.

Alexander Poempner: And therefore, we see INR 45 crores improvement in future .

Rushabh Shredalal: Sir, sorry to interr

upt. Just wanted to get a clarification. The INR 45 crores that you alluded to the number, that was an exceptional item in the Lev en closure alone cost, right? So, when we say that we have made the Poland...

Tarak Patel: No, we are talking about the German Waghausel , we borne 4.5 million that we spent this year.

Alexander Poempner: I think we have an exceptional this year. We have INR 65 crores. This consists of the restructuring, mainly sever ance costs in Germany, as well as the impact on the labor code in India.

This INR 45 crore that I mentioned, this is an improvement, the cost saving going forward in the international business in Germany. So, in fact, the costs that were taken out with this restructuring initiative.

Rushabh Shredalal: So, the normalized EBITDA for the international business currently for this quarter, it was around INR 50 crores. But if I even look at the annual EBITDA number, it is around INR 260 crores for this quarter for the international business. We can expect that to be anywhere between INR 320 crores to INR 330 crores. Is that a fair assumption?

Tarak Patel: So, what he is saying is everything remains the same, if business continues, margins continue, prices don't increase, everything is the same, you will see that saving coming through and adding to that number. Yes, it does in an ideal situation, but there could be some other savings that might come up. Pricing might increase. It could increase to that. It might decrease a little bit, but the savings in terms of what we pay people, the salary that goes out .

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Alexander Poempner: But he is right. Currently, if you start with 260, 264 EBITDA this year, you have to add the 40-45 to come to a like -for-like comparison just based on the restructuring measures. But as also Tarak mentioned, we will not get everything directly from April because some people will leave during the year. So, 45 is the full -year impact.

Rushabh Shredalal: So, we can expect...

Moderator: Sorry to interrupt, Mr. Rushabh. May we please request you to rejoin the queue, sir, for the follow -up question? Next question is from the line of Dheeraj Kumar Reddy from AlphaSqr. Please go ahead.

Dheeraj Kumar Reddy: Sir, I have two questions. The first one being, in the last quarter, I remember you mentioning our sustainable operating margin structure. I understand there are some gross margin issues this quarter, but if we have to understand our sustainable operating margin structure, how should one think about it, maybe, if not next year, probably two, three years out, what is the management vision there?

Tarak Patel: So, our company of us, in engineering, we believe that a 15% EBITDA margin, if you look at some of our peers, that should be something that we should definitely aspire to. So, we are today at 11.5%, 11.4%, and we believe that in the medium term, that is a number, at least as a minimum, that we should achieve, if not more, right.

If our initiatives work out the way we planned them, if the growth comes in, if the order intake comes in, there is no reason why we should do it even faster. But again, general business environment today is a bit slow, so it does take a little bit of tim e. But we do believe with the current this year also initiatives, we believe that next year we will improve again, right.

So, yes, it is an improvement that maybe some of us feel is a bit slow, but keeping in mind the current situation, I think it is a steady performance this year. But again, next year, again, like you said, people would like to see improvement, and some of the improvements which are within our control, they would like to be done faster .

So, we are working on those. But I think a 15% margin is something that we should definitely be targeting. And I think management and my colleagues here feel I think that is at least a minimum that we shou

ld be having.

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At a global consolidated level, At a global consolidated level, so within that, you will have certain products maybe earning a 20% EBITDA margin and some maybe a 12% EBITDA margin. But at a blended rate, we believe a 15% margin would be achievable.

Dheeraj Kumar Reddy: This is slightly lower to what we had expected last quarter. If I remember it correctly, last quarter, it was more like in the range of 16 to 18 if I am not wrong.

Tarak Patel: Yes, so, again, we are taking a three year view. So, the idea today is again to be cautious and to be, I would say, we are optimistic, but again, promising you something and then not achieving it. So, the idea is to get to 15 as soon as possible. If that time frame becomes faster, then there is no reason why 16, 17 should not be achievable.

Dheeraj Kumar Reddy: I think I will just ask my second question. Sir, fundamentally, any company will drive their growth in two ways, right? One is through existing products. And the second one is the new products, right?

So, I know that now GMM is working in the areas of semiconductor and nuclear. So, we just wanted to understand like what are the kind of products which we are working and who is the typical customer? What are the end use cases here? And how do you see this vertical growing for us in the mid, if not like next year, probably a two, three year view. And what are the typical margin structures? Like are these higher margin products? So, I think this is the question I had.

Tarak Patel: Yes. So, this is maybe a slightly different way to answer the question. So, continuing on the strong order intake for last year, in spite of the current situation, we do see a good amount of traction also in Q1. So, order intake is continuing to be of a decent level. So, that is definitely a positive.

Again, this quarter, we have seen a nice order coming in for Edlon in the tune of USD 8-9 million. We have had a large order in Asia, in India as well for a heavy engineering business. So, order intake is coming in and like you are saying, it is coming in from the non-traditional segments of, for example, defense, oil and gas. We have got some international export business as well.

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So, these different industries are definitely driving a little bit of growth. Our current markets of pharma have also seen some improvement here in India. The CDMO play is picking up, like I told you. The peptide play is also adding to that. Chemicals, unfortunately, has not seen significant improvement. We are still kind of waiting for the big projects to line up, but still, they are a little bit few and far in between.

So, I think that is a concern, but generally some of the slowdown in chemicals, we tried and made up from the other industries.

Dheeraj Kumar Reddy: Yes, sir, my question was more in the lines of what are the applications in semiconductors and what are the end applications and who are the typical customers you are working in, and what are the typical operating margin structures?

Tarak Patel: Yes, so in our Edlon business, we have maybe the big focus on semiconductor where we work with Micron, we work with Intel, we work with all these companies who manufacture fab and chips and things like that. Because they require very high purity linings within those vessels where they do these kinds of chip manufacturing and things like that.

So, the who's who of semiconductor. But today, Edlon, if you remember a few years ago, it was a USD 10 million business, it was put up for sale and as the market turned and semiconductor started booming, we decided to keep that business within the group. It is now a USD 25 million business, high margin business, and good growth as well. So, that is the application.

Edlon also now is seeing some traction into the nuclear industry

in the U.S. where they are making glove boxes lined with the same material. So, that is another area that we are kind of trying to get into.

The third part for the other products where I think we have done a lot of work in diversification, we have a lot of new emerging kind of technology like lithium extraction, battery technology, we have built systems for that.

And then in our mixing technology business, we have done a lot of work with metal and minerals. So, both our South American units, SEMCO, have done exceedingly well. This quarter, they got another large USD 12-13 million order for agitators as well.

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And the MixPro in Canada also based on the same investment going into metals, minerals, is growing quite well and highly profitable. So, there are different pockets around the world that are doing quite well and generating good order intake.

The chemical, traditional markets of chemicals are a bit slow and patchy. Hopefully, that will come back.

Moderator: Next follow-up question is from the line of Kunal Mehta from InCred Equities. Please go ahead.

Kunal Mehta: Just a couple of follow-up questions. One is, the other intangible assets in the balance sheet has grown about INR 150-160 crores. So, if Alex can maybe just guide us, how the SEMCO acquisition has been distributed on the balance sheet, how much is for goodwill?

How much is for the intangible and how much assets, the property, plant and equipment?

Tarak Patel: Yes, we can. But it is probably better if you just connect directly. We can share the working with you because on the call, you might get some different numbers. So, probably better to get these details. It is easily available. I think Raveen can share with you. So, just reach out and we will share it.

Kunal Mehta: Sure, And just one on the provisions. Provisions also have increased by INR 110 crores. So, these are the pension liabilities. Have they increased?

Alexander Poempner: No, this is just, you asked regarding the pension liabilities on the balance sheet?

Kunal Mehta: Yes.

Alexander Poempner: No, this is coming just from a different interest rate. It is a valuation which was provided by the actuary, but the plans are closed. So in fact, we have irregular, there are some fluctuations, but this is just driven by the assumptions, by the interest rates maybe.

Just coming back also regarding the intangibles and goodwill, I think it was provided. You see it in the papers and the amount, the new amount is coming with the SEMCO acquisitions and partly Inox. So, the two acquisitions, but the split, I think you also see it here.

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Kunal Mehta: What is GMM Inox?

Alexander Poempner: That is the Poland facility that we incorporated this year.

Kunal Mehta: And do we plan to acquire 100% of that in future?

Alexander Poempner: We have the possibility to acquire at one stage, but currently we have a strong local partner and currently it is not our interest to increase it to 100%. No.

Kunal Mehta: And how much is the capacity utilization over there right now?

Tarak Patel: It is full. It is completely full. We need to build another two sheds as soon as possible.

Alexander Poempner: Currently, this acquisition we invested, yes, more or less it was a cash investment to get the 51%. And now we are setting up, we are increasing the size and as mentioned before, it is more or less to set up more production facilities for the other sites in Europe to also benefit from cost savings in Poland.

Kunal Mehta: And how much revenue from Ahmedabad facility, the heavy engineering, how much revenue has been done this year?

Tarak Patel: Heavy engineering, I think INR 300 plus-ish crores, yes.

Kunal Mehta: And all is domestic, right?

Tarak Patel: No, I think they would have had some small export component, but not major.

But the new

orders that have come in, there have been some good export orders. But for last year, I don't remember them having a very large export, maybe a couple of ones to the Middle East, but nothing significant. But yes, generally, maybe domestic, but the current order backlog will have a little bit more exports.

Alexander Poempner: But Inox is not heavy engineering.

Tarak Patel: Yes. You are talking about the Vatva facility, right?

Kunal Mehta: Yes.

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Tarak Patel: So, that's grown year -on-year double digits. It has grown for sure. And the plan there is to continue growing as well, because that is one business line that has the legs for growth.

Kunal Mehta: And we can do how much revenue from there, about INR 600 crores from current?

Tarak Patel: No, I think from the current facility, we could expand a little bit more there, but I think around INR 700 Crores to INR 800 Crores can be targeted from that facility with some more investment, small investment. More than that, we will need a new facility.

Moderator: Ladies and gentlemen, due to time constraint, we will take this as a last question for the day. I now hand the conference over to the management for the closing comments.

Raveen Kanabar: Thank you everyone for joining us today. It was a pleasure interacting with all of you and we look forward to many such interactions during the course of the year. Take care and see you soon.

Moderator: Thank you very much . On behalf of GMM Pfaudler Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.